Muthoot Finance Ltd. (MUTHOOTFIN)

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"Muthoot Financ e Limited
Q3 FY2023 Earnings Conference Call "

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 Moderator : Ladies and gentlemen , good day and welcome to the Muthoot Financial Limited 3Q FY2023 Earnings Conference Call hosted by Motilal Oswal Financial Services. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being r ecorded. I now hand the conference over to Mr. Abhijit Tibrewal from Motilal Oswal . Thank you, and over to you, Sir !

Abhijit Tibrewal : Thanks Vikram. We have with us today the senior management of Muthoot Finance represented by Mr. George Jacob , Chairman, Mr. George Alexander Muthoot , Managing Director , Mr. Alexander M. George, Whole Time Director, Mr. George M. Alexander , Whole Time Director, Mr. George M. George , Whole Time Director Mr George M. Jacob , Whole Time Director, Mr. Eapen Alexander , who is our Executive Director, Mr. KR Bijimon, Executive Director and Mr. Oommen Mammen , Chief Financial Officer . We at Motilal Oswal thank the management for giving us the opportunity to host this earnings call today. We will begin the call with opening remarks from MD Sir and post that we will open up the floor for Q&A . Thank you and over to you Mr. Muthoot.

George Muthoot: Thank you Motilal Oswal . Good day to all. Welcome to the conference call of 2023 Q3. The consolidated loan assets under management increased to Rs.65,085 Crores which is up by 7% year on year and the consolidated PAT also increased to 934 , which is also up by 4% quarter on quarter. S tandalone assets under management is 57,731 which is up by 6%, standalone profit after tax is at 902 Crores which i s also up by 4%. We have received permission to open 150 branches. We have opened many branches in the last two quarters and this quarter we have opened 64 branches , another 30 branches are remaining which will be opened in February and March and all the 1 50 will be completed by March. Thereafter , we plan to approach the regulator for the next set of 150 branches and all these branches which we opened are spread all over the country north, east, west and south. We have also raised 422 Crores through the 28th and 29th public issues of the secured redeemable non -convertible debentures and we have also launched marketing campaign showcasing the message Put Your Goal To Work . We have done very good media publicity on this and it has actually started showing resu lts and all the other comments are with you and all the other financial highlights are with you . I think I will now close and probably open up for questions and answers. Present in the room are our CFO Mr. Oommen and our ED Mr. KR Bijimon , the others have joined online.

Moderator : Thank you. Ladies and gentleman w e will now begin the question and answer session. We have the first question from the line of Vaibhav Barjatya with Honesty and Integrity

Investment .
Please go ahead.

Vaibhav Barjatya : Thanks for p roviding the opportunity. We are now into upper layer it could be classified as upper layer NBFC, so if you can help us understand what is the incremental regulatory restriction or any other restriction s which is there on us as being part of upper layer NB FC as compared to any other lower layer of NBFC .

George Muthoot: Thank you and I think there are no restriction. There are only more disclosure and compliance. It is more of disclosures and compliances and to tell you the fact in the last two years itself we have been compliant with many more reports and regulation and my personal understanding is of this is there is nothing much we need to do fresh compared to as being in a upper layer because every year we are inspected by the Reserve Bank. Last inspectio n is also just over and after the inspection they give us new compliances, new disclosures , etc, RAR, RMPR all those risk mitigation plans etc ., everything has been there for the last four, five quarters it is there and all these things we have started com plying and I think the upper layer bracket just puts all these things together and another compliance which was there was the company to get listed. We are already listed so I think some of the compan ies in the 16 member group some of them may not be listed probably they have to get listed so that is what I said as far as we are concerned there is nothing much more to be complied and to answer your question there is no restriction .

Vaibhav Barjatya : So different in terms of regulatory requirement relating t o minimum capital adequacy or the risk weight age or nothing like that .

George Muthoot: It has already been there. All these things are already been compliant . There is nothing new additional to be do.

Vaibhav Barjatya : For you there is no incremental thing but what I am saying the difference between the lower layer and upper layer .

George Muthoot: That is there in the act, yes.

Vaibhav Barjatya : Okay that is it from my side. Thank you.

Moderator : Thank you. We take the next question from the line of Sagar S hah from Philip Capital. Please go ahead.

Sagar Shah: Good evening Sir. T hank you for the opportunity . Actually my first question is I wanted one stand a little bit about on the ground recording o ur gold finance business and you have mentioned in your pres entation we have stopped the AM loans actually which w ere low yielding in nature , but now I think you are suggesting that the competition is decreasing or especially maybe the competition is realis ing that the gold finance business is not as easy as it see ms actually so wanted to understand that are we in such a phase that we will return to the era which we clocked almost double digit growth in AM almost every quarter so will we return to that or are using some different signs on ground that is my first que stion.

George Muthoot: I think you are right we have said like that competition that people were just jum ping into the gold loan fray and started slowly to realise that is operationally challenging business that is one part of it and that is the se nse I get from the branches and the staff there that is one side of it , the second your question was whether we will return , hopefully we should return whether it will take one quarter, two quarter or four quarters it is yet to be seen but to me after three , four quarters we should ge t back to the double digit growth.

Sagar Shah: Okay so basically you can say that the demand from the customer would be on the higher ticket range of the lower ticket range Sir can you specify our ticket size range where you will be se eing some incremental demand .

George Muthoot: The demand i s there . It depends on the location . Maybe in tier two, tier thre e cities it is a lower one and in the bigger cities it may be the higher one but it is not a big differentiator because it depends on the type of people who are coming there it is not one area only the lower level people are coming no every where both type of people are there. We see demand coming from all over because people need purchasing power whether it is the lower level, middle l evel or upper level everybody needs more money, some people need more money so I think generally over average ticket size is above Rs.70,000 so you should people in that range are the people who are coming to us mostly.

Sagar Shah: Okay sure Sir. My next q uestion Sir was related to our non gold finance businesses right now they constitute around 12% and you have mentioned in the presentation you intend to actually grow that business to increase the proposition of those business out of your specific area, so any specific number that you would like throw that in the next two years you would like to bring that percentage up to this percentage of total area. You have a target.

George Muthoot: It is almost 12% touching 13% a year back it is 10% only now it is tou ching 12 to 13% so what we have done is we have started a few non gold loan business three to four years back that is the personal loan, the home finance loan, vehicle loan, MSME loan etc ., and soon after that COVID also came and we were slow on that but d uring the COVID we were able to moderate all these business and also learn many things from there so most of the loans were meant for giving to our existing gold loan customers. Now that COVID is behind us this has now started growing and we are giving foc us there also that is why you see our non gold loan portfolio is also starting to increase and we have not put on any specific numbers there , but in the next three to four years plus we would like this grow to 15 and 20% is what is in our mind , but at the same time, the first priority, the first preference will be for growing the gold loan business and there is what we want to see a 10% growth maybe in the next year, end of next year we should see 10% growth in the gold loan business and in the others we wi ll start growing from 13, 14 to 15 probably about 20% by three, four years.

Sagar Shah: Okay sure Sir. You are actually saying almost 10% growth in your gold loan business so that is quite less as compared to you can say the pre COVID levels so is it just because of the competition you are specifying this low growth actually or is it something else.

George Muthoot: We have conservative estimate that is all. Just being conservative that is it.

Moderator : Thank you. We take the next question from the line of Umang Shah from Kotak Mutual Fund . Please go ahead .

Umang Shah : Hi good evening. T hanks for taking my question . My question is just related to growth . If I were to look at your number of loan accounts outstanding we are significantly lower compared to

 wher e we were let us say March 2021 and even during year to date period now the number of loan accounts have been shrinking if you could just give some colour as to what exactly is happening in terms of new customer acquisition and how do you see the pace of n ew customer acquisition kind of shaping up over next one to two years.

George Muthoot: We may not be giving to much importance to the number of customers. Generally looking at the AUM because there is where the income is not in the number probably not pret ty sure about these numbers but then we are focusing more on the gold loan that has been steady it not coming down slightly improving .

Umang Shah : So in that case if you could just help me whether the competition in the high ticket go ld loan segment has it kind of subsided or because on the ground I mean we do see banks as well as other NBFC s getting significantly active in the last tick

et home loan segment or do you believe that is not the case

George Muthoot: The competition is there from NBFC etc. T here are also competing for the same business I would not say competition . Everybody is trying to give loans or get business from all these people whether it is the smaller fellows come back to you, generally bank give a bigger lo ans etc. Even banks also someti mes give lower loans probably as agricultural loans etc., because in that sense also banks are doing this .

Umang Shah : Understood . Sir the other question again was to our growth aspiration s for next year you indicated that we would like to grow the standal one gold loan bus iness at about 10 odd percent. For the current fiscal also we had kind of put out a number a similar sort of a growth number but if I look again during the year to date period we are almost fla ttish, how should we look at growth from FY202 3 perspective and also if you could just provide a little context against a background that the gold prices have been increasing last quarter as well as in the current quarter but that does not seem to be reflecting into our goal loan AUM growth and LTV se em to be dropping just wanted to understand a little bit on that front.

George Muthoot: See LTV dropping is because the gold prices has gone up the LTV definitely should drop . We are seeing growth in the last two months so that is why you see a small uptic k compared to last quarter that is what you see and next two quarters also you should see better gold loan growth so we should end the year with about 4 to 5% growth by the end of the year that is what our expectations are from that basis we expect the nex t full year to reach about 10% growth that is what our expectations are . So you see growth has started coming back and that is what we see .

Umang Shah : Understood . Sir just a last question was on the subsidiary performance so if we were to look clearly the microfinance subsidiary seems to have seems to have come out of the woods and

growing at pretty steady click but if I was to look at the housing finance business now the AUM for that business had been fairly stagnant for a good period of time so from a co nsolidated AUM perspective how should we look at the overall mix between AUMs from a two to three -year perspective that w ould be my last question thanks .
 George Muthoot: We were slow especially on the home finance , and the personal loan a nd the vehicle fin ance our books slowed during the COVID time. N ow it is behind us . Just now restarted growing these things and we have now a new CEO for the home finance also . He has joined us two weeks back and we have mandated or we are planning and budgeting for pretty substantial growth in the home fina nce business also the coming year specifically for home finance. In the personal loan sector also we have now tested the waters in the last two , three years we have gone through a cycle with the COVID also so we have lear ned quite a few things , we have understood , we have modified our systems or processes etc ., and we should see the personal loan book also growing so also the MSME growth so all the other loans we have now put correct people in place , correct vertical heads in place and we should see growth coming in those also in addition to the gold loan.

Umang Shah : Understood . Alright perfect. T hank you so much for this and good luck for future quarters. Thank you.

Moderator : Thank you. We have next question from the lin e of Shubhranshu Mishra with PhillipCapital . Please go ahead.

Shubhranshu Mishra : Hi Sir good afternoon . Thank you for this opportunity Sir. T he first question is around the branch expansion . We have increased most amount of branches in west in third quart er however if I look at the productivity of branches the branches in east India are way more productive than west Indi

a so it seems a bit counterintuitive why we are not increasing more branches in east India that is the first question Sir. S econd question is around the growth and competition when I look at our website Sir there are so many schemes which are listed at lower ticket sizes , low interest rates as low as 9% and going up to ticket size almost up to 5 Crores so is competition a real threat or what kind of ticket sizes is the competition really active in and the third is a data keeping question Sir. I f you can split AUM into less than 1 lakh, 1 to 2 lakh, 2 to 3 lakh and 3 lakh and above as a proportion of AUM that will be very helpful thanks.

Georg e Muthoot: So first question is about geography, so we are aware wherever this per branch business may be high in some geographies . We will be opening more and more branches in those areas as we speak we should look at many other factors also when consider ing to open branches there are security safety reasons also which also we have to take into consideration when opening branches so rest assured if there is a growth potential in any place we will be the first one to open branches there . Your second questio n was about people offering low interest rates so I think I should answer all this in one way , one word only . There are so many players coming into the market now everybody thinks that gold loa n is a very easy to run of business , a bed of roses that is wha t people outside are thinking but once you come in only they feel to get business we have to offer loans at 6% , 7%, 8% that is one set of people . Others are thinking that you can take two or three employees from Muthoot or some other place and start a busi ness fine and there are very few things which are operationally very challenging for any gold loan business one is the frauds which happened in branches see all the new players et c., especially banks they rely on an external appraiser for appraising the gold whereas Muthoot does it in house all are branches , all our staff
 are trained to do th is so everything is done in house whereas people outsource that is again a very risky proposition which people w ill realise only after a while , not initially after a wh ile. The second is we have started the loan at home to help our customers to get their gol d to Muthoot and we send our own staff to collect the gold whereas most others including banks or whoever does that or third party is a third party who is going to co llect the gold and customers are never comfortable with handing over their valuables to a third party who will take it to maybe X bank or Y bank or Y NFBC and you will read in the papers so many staff fraud s happening in branches . We have a team of 1000 audit staff who goes around these 5000 branches and ensures that the quality , quantity , purity etc ., are met. Now we have 13 layer security systems in our branches 13 layers of security to prevent all sorts of robbery , burglary , etc., so these things we have invested money into this . We have invested time and people into this. P eople are not releasing . Everybody is jumping into this offering at 9% you said I do not interest 9% 5 Crores, 10 Crores etc. I do not know what is their maths in that, what is their f inal expense, what is their profit in that so finally what is going to happen is what happened 10 years back when many players jumped into the gold loan business thinking it is very easy , etc. After starting to do

business after growing the business only t hey have realized this implication, the operational
intensity, operational challenges , etc., and they lose interest. That is what I said slowly the
intensity is coming down and we should see only serious focused players in gold loan continuing
this. All th e others who come into just seeing like everybody getting attracted to this business
they will come, after sometime they re

alize and they leave it whether it is the profitability side,
whether it is the control side, whether the fraud side or the safety se curity etc ., people will only
realize after that, so it is just a matter of little time that we will get back to our old growth .
Shubhranshu Mishra : Right. Just one counter question to this Sir. Given the fact that we understand gold finance so
well would you want to give a blue sky guidance for growth in FY2024. Can you give a
conservative estimated or around 10% would there be a blue sky scenario as well like 15 -20% if
you can comment on that.
George Muthoot: We just give a conservative number only. It is not that tomorrow everybody is going to stop . It
will take some time maybe one quarter, two quarter, three quarter let us give it sometime.
Anyway not that we are making any losses . We are making reasonable profit instead of that bi g
profits of 3900 , it is more lesser than that in a year that is all otherwise nothing great. So we may
made about 900 Crores every quarter so I think that itself is reasonable to sustain us but I do not
know about the new players will they be able to sustain .
Shubhranshu Mishra : Sure. M y data keeping question . Ticket size wise AUM split.
Oommen K. Mammen: Less than 1 lakh will be about 41% , between 1 lakh and 3 l akh it will be 35% and abo ve 3 lakh it
will be 24% .
Shubhranshu Mishra : Thank you Sir . Best of luck .
Moderator : Thank you. We have next question from the line of Shweta Daptardar with Elara Capital . Please
go ahead.
 Shweta Daptardar : Thank you Sir for the opportunity. Sir couple of questions from my si de. The first being
similar
to what earlier participants had raised so why on sequential basis LTVs have dropped from 69%
to 65% is this the outcome of competition or should we attribute to anything coming from the
regulatory side .
George Muthoot: No it is just because the price of gold has gon e up so the LT V will be lesser.
Shweta Daptardar : So you guided for 10% growth right for the forthcoming year so what ticket segment should
drive this particula r 10% growth , should we presume that low ticket gold loan market is sort of
not coming back because your ticket sizes have als o gone higher right so largely this growth is
going to come from which ticket segment.
George Muthoot: No we have not looked at ticket sizes. We feel that the growth will come from all the branches.
We have not looked at the ticket size growth. It is not j ust that we are giving to give only high
ticket loans or low ticket loans whoever comes for gold loans whether it is high ticket or low
ticket our branches are equipped to do that. I do not think we differentiate between high ticke t,
low ticket , etc.
Shwet a Daptardar : So there is go ld loan demand on the low ticket size as well even today .
George Muthoot: Yes, yes there is. D efinitely there is that is why our average is still about 75 ,000 only, low ticket
we have people taking 5000, 7000, 10,000 also so man y people are there definitely. A ny
customer who comes to the branch we will service the m irrespective of the ticket si ze.
Shweta Daptardar : Okay s o one last question from my side are we by any chance cross selling any of our gold loans
to our MFI customer s.
George Muthoot: Nothing like cross sell etc ., for MFI customers. MFI customers takes MFI loans, gold loan
customers take gold loan. A customer who has taken a vehicle loan from somewhere from Bajaj
will also take a gold loan, somebody has taken a housin g loan from State Bank of India may also
have a go ld loan it is all there. T here is nothing like a cross sell etc.
Shweta Daptardar : Understood Sir. Thank you so much.
Moderator : Thank you. We have next question from the line of Shreepal Doshi with Equi rus Capital . Please
go ahead.
Shreepal Doshi : I wanted to ask you about have we tweaked the pol

icy in respect to acquiring customers from
other banks and NBFC s in the gold financing space and also wanted to understand if some
employee has left us because t here has been this strategy wherein other NBFCs and banks are
acquiring our employees so do we have a policy where we accept them back when they come
back so just wanted your thoughts on these two aspects .
 George Muthoot: Acquiring customers I have heard , acquiring staff is first time I am hearing. A nyway jokes

apart
people have gone away from us , sometimes they come back i f we feel that it was a good resource and he went astray by mistake , we will take him back . There is a policy of maybe taking from where ver source gold loan comes we will take, whether it is from bank or customer everywhere somebody brings it if he takes it from the bank and comes we will take it , if he takes it from NBFC and come we will take it , from house also we will take it.
Shreepal Doshi: We have done some channel checks which have suggested that we had some restrictions with respect to say BTV cases for gold and also for employees as well, so have we changed these policies in the recent times or just…
George Muthoot: Anybody who ask ed if you say good person we will take him back Sir.
Shreepal Doshi : Got it and why the GNPA number sequentially has gone up?
George Muthoot: NPA?
Shreepal Doshi : NPA number is sequentially almost 50%.
George Muthoot: Nobody usually ask that question, at l east analys t do not ask, only the press people ask about NPA, NPA of gold loan does not affect the P&L at all because 100% gold is there, we can get back the interest and principle, so retaining some customers , although they are NPA definitely a customer f riendly approach, because customers otherwise the next option is when the NP A are becoming just because it has crossed the time limit, so if we give them a little more time, they will take it back otherwise we will have to auction gold. So auctioning the g old is very painful to the customer so when customers request we give them more time and since we are in the money especially now that there is a gold price also high, we are in the money , so all that you see is NPA it is not some hardcore default , it is people to whom we have given some more time to take back their gol d. There are no credit loss, credit loss is only 0.02% .
Shreepal Doshi : Got it Sir. So incrementally you have been guiding for 10% growth, so how much of it could be driven by this new branch es that we are opening ?
George Muthoot: New branches last year we are opening about 150 branches , they are not going to grow much in the first year, so coming years those branches will start giving business, but more than that we have capacity capability o f doing more, so today our average per branch business is about Rs.11 Crores plus, so there are branches with Rs.35 Crores and Rs.40 Crores also, so potentially every branch can do this depending on the location and type of people, community they serve, th is can go up to 30 also so even without branches, the AUM can really go up, but then opening branches in good places is definitely something which we need to do and that we are doing so next year also we are opening new branches. New branches definitely ad ds to business, but not too very substantial business in the initial one, two years.
Shreepal Doshi : Got it and next year also we are requesting for another 150 branches right .
 George Muthoot: Once this is completed, we will request for the next set of bra nches.
Shreepal Doshi : Got it and any yield increase that we are doing incremental pricing?
George Muthoot: Yield increase we do when the cost of borrowing goes up, so if the cost of borrowing goes up, we will pass on that to our customer also because we t ry to maintain our NIM.

Shreepal Doshi : Got it. Thank you so much for answering my question sir.
Moderator : Thank you. We have next question from the line of Pradeep Agrawal with Systematic Shares and Stocks. Please go ahead.
Pradeep Agrawal : I have a coup le of questions. Basically on the teaser book side, so while we understand that in H2 FY2022 we had a large part of the book which was about teaser rate loans which got matured in this quarter and some it will mature in next quarter, so what will be the ad justed growth in AUM, this quarter on a sequential basis if we adjust for teaser rate book normalized books, both could have been….
George Muthoot: We have been doing teaser rates for the last 10 years. We do not call it teaser rate, we call it differentia l rate, even today, we have closed that 8.9%, 10%, 12%, 18%, 20%, 21% we have and the yield etc ., is on a blended basis, so today also we have, but we had an ultra low teaser rate two, three quarters back and now we had stopped it also, but even now we hav e loans at 8.9%, 9.9%, 10%, we have to offer differential rate to differential people, only then we can be in the market, so this is what we are doing and we will try to maintain it blended that is our scope, the ultra teaser rate is what you have been tal king about 6%, 9%.
Pradeep Agrawal : Why I am asking this question is because in Q3 and Q4 last year, our disbursement have grown significantly after we brought in ultra teaser rates, so just want to understand that book which w e have on the ultra teaser ra te loans, what portion of that book would have?
George Muthoot: That has fully gone off from our books .
Oommen K. Mammen: We stopped this scheme towards the end of March and we migrated all those customers with effect from July 1, 2022, so that is over.
Pradeep Agrawal : So we did not have any maturity which was due in current quarter of ultra teasers as well?
Oommen K. Mammen: Those loans got migrated even before its maturity.
Pradeep Agrawal : Okay, secondly also would like to understand your employees days have come down by about

800 odd people, whereas branches are rising to some extent so anything to do with that .
Oommen K. Mammen: Because of the branch addition as well as normal exits it can happen, sometimes it is seasonal when you have larger payouts , etc., so it is an impact of a subsequent event of those actions.

 Pradeep Agrawal : Okay, also just a related question on the teaser side, looking at the past one to two years behaviour if you can give some sense in terms of the ultra rates or less than 10% rate what proportions the customers normally stay back with us even after increasing those rates, what has been your experience in the last 12 months after putting those interests rates of 7%, 8% some sense on that.
George Muthoot: We give them an option g oing into the higher bracket even without anything else many of these customers average tenure is only three months four months even without doing anything these people will take back gold so that will be driven things some people who renew the gold and continue with us maybe some of them continue , few of them would have taken back, we did not get into the integrity of that. Somebody is not interested to keep with us, just want to take it away, they would have taken it away, but majority of them would have closed, even there is nothing else, all the loans are generally for three, four months only .
Pradeep Agrawal : Okay, just one last data keeping question, what was the auction number during the quarter?
George Muthoot: Rs.225 Crores.
Pradeep Agrawal : That is it. Thank you so much.
Moderator: Thank you. We have next question from the line of Nidhesh Jain from Investec. Please go ahead.
Nidhesh Jain : Thank you for the opportunity Sir. Firstly 10% guidance that we are putting out for next year, what is the expec tation of volume growt

h in terms of number of customers growth that when we say 10% growth, so how much we expect from number of customers growth in that?
George Muthoot: We do not look at the number of customers , etc., I think we are talking more about th e AUM growth, number of customers is only by-product of that.
Nidhesh Jain : Okay, secondly in our subsidiary, housing finance we are seeing AUM decline, asset quality, GNPA continues to remain elevated, so what is happening there, what is the strategy ther e in that subsidiary?
George Muthoot: 10 minutes back I have actually told that we started all these businesses which we went slow during the COVID period, the housing finance, the personal loan, the vehicle loans, MSME loans, etc ., we started it and speci fically for housing finance we have got a new CEO on board also. He has joined us less than a month back and we are sitting with him and probably putting up the business plans for the next three, four years also, you should see the growth coming back in the home finance also that is what your question.
Nidhesh Jain : Yes okay and lastly on the microfinance, what is the reason of PAT declining sequentially versus last quarter, we reported around Rs.21 Crores of PAT this quarter PAT had declined to Rs.14 Crore s, so what is the reason for that?

 George Muthoot: All the microfinance companies not only us, everybody had some legacy notes with them which people write off over the quarters. That is what we have just rescheduled, some rescheduled notes that were there so they were written off, so what should we say cleaning up the stable .
Nidhesh Jain : Thank you Sir. That is it from my side.
Moderator : Thank you. We have next question from the line of Vishal from ICICI Securities. Please go ahead.
Vishal : Thank you for the opportunity. I had a couple of questions. One question I heard about the yield in gold business, it has improved by 84 bps in this quarter, but it is still at around 18.2% that to the normal level of 21%, so just wanted to understand on a yield trajec tory from hereon ?
Oommen K. Mammen: Due to this teaser rate loans, our yields had significantly come down in the first quarter, so we had explained at that point of time that once the teaser loans are migrated, it could improve which has happened in the se cond quarter and again it has improved in the third quarter so the third quarter it has moved by about 84 -basis points and I think it is not like this teaser rate loans 6.99% has moved to 24%, we have moved these customers in stages, so probably currently those customers might be in 10% to 12% so depending on how the business scenario is evolving, we will gradually increase the rates on those loans and accordingly the overall yield also can improve in the coming quarters.
Vishal : Okay, understood. Secondly, I also wanted to understand on the funding cost part, in this quarter it has increased by around 20 -bps, if I can see our absolute borrowing has also decreased quarter - on-quarter, so will you use these excess in our balance sheet to contain the funding co st and also going forward how should we think about the funding cost increase?
Oommen K. Mammen: I think we have moderated on balance sheet liquidity, everyone is experiencing now increase in

the borrowing cost, so in our case also borrowing cost has gone up, so that is reflected in the borrowing cost for third quarter. I think incremental cost, incremental borrowing rates are also higher, so I think it should move up a little bit in the fourth quarter.
Vishal : Okay, understood, got it and lastly I also had one question , in MFI subsidiary our credit cost seems to be elevated and it is not on the improvement so I just wanted to understand what is happening there and when should we see the credit cost normalizing in the MFI subsidiary?
George Muthoot: Our MFI is as good or better than the

general all other MFI, so credit cost is there as I was saying in the last question somebody asked the same question earlier also, there were loans which are rescheduled during the COVID times and some of those loans you have just taken an aggressive stand that is why you see the credit costs have gone up in MFI. What I said is our credit cost are definitely better than most other micro finance so we are better than the others in the MFI is that what I wanted to say. There is n o credit cost in gold loan, definitely credit cost in MFI.
Oommen K. Mammen: Post COVID loans are as good as the pre -COVID.
 George Muthoot: The post COVID loans are as good as the pre -COVID loans, yes, correct.
Vishal : Okay, so should we see any improvemen t in credit cost going forward now?
George Muthoot: Definitely, we should see better performance lesser credit cost going forward.
Vishal : Okay. Thank you so much. Those are my questions.
Moderator : Thank you. We have next question from the line of Arul Se lvan from Independent Advisors Private Limited. Please go ahead.
Arul Selvan : Good evening Sir. Thank you for giving the opportunity. I had a question in a more long -term framework over here and this was regarding your earlier comments about your plans of increasing the non -gold AUM from the current 12% to maybe 15% to 20% in the future. I hope that part I got it correct in terms of your future plan? So now what I am thinking about here is along the lines of given that the return profile, the risk profile a nd perhaps even the core underwriting experience and your expertise as well in each of these segments be it let us say housing loans or microfinance loan given that these segments are all unique, is there any plans of perhaps spinning off or demerging this business in the future once it grows up to a sizable proportion?
George Muthoot: That was your question.
Arul Selvan : Yes that is my question.
George Muthoot: Okay.
Arul Selvan : I understand that perhaps it is a little bit too early for me to ask this, be cause obviously these things are still at a smaller stage, but I was just trying to understand.
George Muthoot: At Muthoot Finance we have been the masters in the gold loan that is accepted, we also accept it, but when it comes to others we have CEOs etc ., from the market who have experienced in that in all these other divisions, so we do not plan to grow it and then hive it off etc., because certainly have it in our own books and at our own company so this is microfinance, it is housing finance, we have CE Os etc., who are experts in those field , we have overall managerial control of it, that is what it is the fact and actually we have never thought of growing it and then hiving it off to somebody that thought has not crossed our minds.
Arul Selvan : Okay and in terms of which segment I heard that the housing segment is where Muthoot is planning on focusing on, so is it predominantly housing, but are you also looking at other segments like microfinance and vehicle finance similarly at…
George Muthoot: Home loa n is one , the personal loans one, the MSME loan as another, the microfinance is another, so we would focus on all these, these are all separate verticals.
 Arul Selvan : Right, but then you said that you have gotten a new CEO for the housing segment?
George Muthoot: The others are existing CEOs. They are also CEO s.
Arul Selvan : That is it from my side. Thank you.
Moderator : Thank you. We have next question from the line of Mona Khetan from Dolat Capital. Please go ahead.
Mona Khetan : Good evening. I just had one question, so what is the share of loans we have with yields less than 12%?
Oommen K. Mammen: It may not be sizable, we do not have the information readily available.
Mona Khetan : If you could give me a b

road sense also that would be useful?
George Muth oot: No, I think we look at the blended yields to come.
Oommen K. Mammen: Because we run a rebate system so it is very difficult to freeze on a particular level.
Mona Khetan : Thank you.

Moderator : Thank you. We take the last question from the line of Palla vi Deshpande from Samiksha Capital. Please go ahead.
Pallavi Deshpande : I just wanted to understand better on the borrowing cost. Will we see a steeper hike in Q4 then what we have seen in Q3 on the borrowing cost side and the second question would be on t he employee costs, what would be the attrition rate and what is the kind of salary hike that you normally give out?
Oommen K. Mammen: So borrowing cost for Q3, it was around 8.13% I think it is likely to move up in the fourth quarter, because in the third quarter, the incremental costs have been going up, so it should move more towards 8.5% in the coming quarters.
Pallavi Deshpande : Right. The third quarter you had the benefit of some high cost borrowing also retiring or something like that, so fourth quart er will be …
Oommen K. Mammen: Not the incremental borrowings, because almost all types now one year is around 8.3%, 8.5% so as and when the reset happens, the rates will move in those ranges.
Pallavi Deshpande : On the employees, what would be the attrition rate and how it has moved over the last one, two years?
George Muthoot: Last two years after COVID, many of the employers do not want to work, they have all spoiled beyond repair, everybody is sitting at home and enjoying, so people now are finding it dif ficult to

 come to office to work and for us they have come to office, there is no work from home for gold loan, so gold loan means the customer comes to the branch , so jokes apart there is an attrition everywhere, it is not attrition going elsewhere, some of them are just going and sitting at home that is what my people tell me, they are getting PMGY, KMGY and may be sitting at home . Like I said people go attrition is there, everywhere, every industry there is attrition, so we normally produce some salary h ikes and retain some etc., and try to contain this and run the business. It is a very generalized…
Pallavi Deshpande : I am asking is we have seen from banks is what I understand there has been a lot of coaching from gold finance companies and…
George Mutho ot: That is I was telling everywhere also, some people go there and earlier one person asking whether they come back will you take them so if you take the prodigy of the son who has gone away afterwards coming back we will take them back if they are good p eople so sometimes they feel that they need to go as well.
Pallavi Deshpande : So would the number be above 20%?
George Muthoot: 20% lower level also, the lower level people are the people who just jump away they do not want to work those who join quickly, they just move away and they are not going somewhere else, they are just going home or going abroad.
Pallavi Deshpande : Lastly overall on the cost to income size can be assume the long -term trend to be where it is currently or we see that creeping up like this? One more if I may squeeze in, the online gold loan has that 36% is transacted online is what you put up, so how is it?
George Muthoot: We transacted online is only just a remittance of cash madam, people remit cash, they will pay cash, but otherwise to take the gold, to check the gold, keep the gold, keep back the gold, it is the physical branch itself, only the fund transfer transaction can happen online that is they can take the funds, they can repay the funds, they can pay the interest only that ha ppens online. All the other things checking the gold, taking it, keeping it back in the place, taking it back they have to come to the branch and this is a physical process only.
Pallavi Deshpande : Thank you

so much.
Mode rator: Thank you. Ladies and gentle men we have reached the end of the question and answer session and I would like to hand the conference back over to the management team for any closing remarks. Over to you gentlemen.
George Muthoot: Thank you investors those who are again still there defi nitely, thank you for supporting us. We need your support, we need your insights, we need your advices always so we are always there, we are only focused on our business and our growth and we will see that we will do our best to see that your company, our company does is better and better every time. So thank you all for a good day and wish you a good day. Thank you.

 Moderator : Thank you very much Sir. Ladies and gentlemen, on behalf of Motilal Oswal Financial Services that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

"Muthoot Finance Limited Q4 FY23 Earnings
Conference Call"

May 1 9, 2023

MANAGEMENT : MR. GEORGE ALEXANDER MUTHOOT – MANAGING
DIRECTOR , MUTHOOT FINANCE LIMITED
MR. GEORGE ALEXANDER – WHOLE -TIME DIRECTORS ,
MUTHOOT FINANCE LIMITED
MR. GEORGE JACOB , WHOLE – TIME DIRECTOR ,
MUTHOOT FINANCE LIMITED
MR. EAPEN ALEXANDER – EXECUTIVE DIRECTOR ,
MUTHOOT FINANCE LIMITED
MR. K R BIJIMON – CHIEF OPERATING OFFICER ,
MUTHOOT FINANCE LIMITED
MR. OOMMEN MAMMEN – CHIEF FINANCIAL OFFICER ,
MUTHOOT FINANCE LIMITED
MODERATOR : MR. SANKET CHHEDA – DAM CAPITAL ADVISORS
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Muthoot Finance Q4 & FY23 Earnings Conference Call hosted by DAM Capital Advisors Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing star, then zero on yo ur touch tone phone. Please note that this conference is being recorded.
I now ha nd the conference over to Mr. Sanket Chheda from DAM Capital Advisors Limited. Thank you and over to you, sir.
Sanket Chheda: Hi! and a very good evening to all of you. We are here with us to discuss the Muthoot Q4 Results. We have the entire Management Team with us , starting with George Alexander Mu thoot , who is the Managing Director, then George Alexander and George Jacob who are whole -time directors, then E apen Alexander and K R Bijimon , who is Executive Director and Oommen Mammen, who is the CFO of the company.
Without further ado, I will hand the call over to Mr. George Alexander Muthoot for the opening remarks, which will be followed by a question s and answers . Over to you sir.
George A. Muthoot: Thank you. Good evening. This is George Alexander – Muthoot's Managing Director. T he Executive Directors of Muthoot Finance are also pr esent he re, along with the CFO and also the COO, Mr. K R Bijimon .
This quarter business has been good. We have the highest ever quarterly gold loan disbursement of Rs.51,850 crores , that's the highest ever gold loan disbursement . And we have an all -time high gold loan growth in any Q4 of 5 ,051 crores that is the highest. And we have an all -time high interest collection of any quarter of Rs.2, 677 crores. That's also a very good performance.
There's an increase in the consolidated profit after tax, 8% QoQ at Rs.1,009 crores. Along with the subsidiaries , our total branches as on 31st March 2023 is 5 ,838 with an addition of 259 new branches opened during this year.
Muthoot F inance is also certified as a "Great Place to Work for the Second Year in a Row by Great Place to Work Institute ."
Muthoot Finance has also been certified as India's Most Trusted Financial Service Brand for the 7th Year in a row by TR A Brand Trust Report ' 23."
In addition to Mr. Amitabh Bachchan, Muthoot Finance has also engaged Mrs. Madhuri Dixit as our Broad Ambassador in February 2023.
The consolidated AUM stands at Rs.71,497 crores, which is up by 10% quarter -on-quarter. The standalone AUM of gold loan stands at Rs.63,210 cror es, which is also up 9% quarter -on-quarter.
The standalone profit after tax stood at Rs.903 crores for this quarter.

May 19, 2023

We have also launched a few new products. One is the Small Business Loans which we have started. It is the backbone of the Indian economy accounting for a 90% of all business in the country . We have launched Small Business Loans to address the prevailing gap of credit access to MSME segment with an unsecured loan ticket size of up to Rs.10 lakhs . We have just started it. We have commenced ope rations in metros and we plan to expand it to Tier 2 and Tier 3 locations in Phase 2. We are doing it on an initial basis and we will see the progress how it is turning out and then go forward.

We have also started a Micro Personal Loan , a small personal loan as part of our initiatives to leverage the existing customer base and to position ourselves as a one -stop financial service provider .

We are now offering a Pre-Approved Personal Loan; we call it Micro Personal Loan to eligible custo mers. It is an EMI loan for 9 months to 12 months. The maximum loan is 1,00,000 and the entire loan journey is digital. The launch of this product has expanded our product range, increased our customers engagement progress and n

ow cater to their diverse fi nancial needs.

This is one thing which was missing in Muthoot Finance that we have started the Micro Personal Loan , which is an EMI loan.

The growth has been revived in the subsidiaries . The home finance disbursement has started going up in this quarter an d there's a significant jump of 53% in disbursal during this quarter of Rs.84 crores compared to Rs.33 crores in the previous quarter.

We plan to grow the disbursement 400% compared to financial year '23. Muthoot home finance was not growing much, but then 400% do looks high , but definitely in absolute numbers it will not be that high but we plan to grow 400%.

We also plan to expand the home finance network by opening 26 new branches across states in this year.

The vehicle loan disbursement by Muthoot Money has also started well and in last month we have disbursed Rs.20 crores.

Belstar Microfinance has crossed 6 ,192 crores as lower AUM as of March, and the net worth crossed 1 ,000 crores, which is a historic landmark , and the revenue has also crossed 1 ,000 crores , a year-on-year growth of 42%. Collection efficiency continues to remain at 99% for regular account . The profit after tax of the company reported Rs.130 crores, which is again a year -on-year growth of Rs.189 crores.

Muthoot Finance has fulfilled its corporate social responsibility commitment with a spend of 101% during the financial year. We have spent a total of Rs.96 crores which is Rs.69 lakhs in excess of our statutory budget. The company has allocated more than Rs.100 crores for the next financial year with an emphasis on areas of environment, health and education to alleviate the poverty and uplift the financially deprived sections of the society.

We have declared an interim d ividend for the financial year ' 23 of 220% , that is Rs.22 per equity share of 10 , involving a payout of Rs.883 crores .

We have raised Rs.250 crores through the 30th public issue of secured redeemable NCD .

And we have also launched a new marketing campaign , “Kholiye Khunshion Ki Tijori” .

So this is the gist of the financial results of this year. I think now I would stop here and open the floor to questions and comments from the investors. Thank you.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: I have two questions. Just want to understand from last quarter to this quarter, what has really changed that has helped us deliver such strong growth in gold loans -- is it predominantly I mean higher gold prices or is it also to do with some lowering of aggression that you are seeing from maybe banks , what is it that has helped you kind of deliver such strong gold loan growth during the quarter ? And secondly, sir, if you could just explain why is there such a sharp jump in your employee expenses during the quarter versus last quarter for matter , the last quarter of the prior year?

George A. Muthoot: Gold loan growth for this quarter has been robust. A few things helped. We have actually started a great campaign for involving all our branches and staff to do more and more gold loan business. And I think that is paying dividends. Our brand ambassadors a nd our gold loan initiatives also are seeing results and that is what I also said last time. Secondly, the economic activity we feel has started picking up and the demand for loans and gold loans have increased in this quarter . As you definitely said, the higher gold price has also helped, but not to the extent of the growth, but definitely it has helped . And again, as I was saying last time also , I feel that gradually the competition or the excitement of the bags , etc., in gold loan is slowly waning becaus e as time progresses the excitement of the bags, etc ., to go ld loan also is waning and tha

t is also a fact. So
that is one part of it , the gold price is another, but most important, the economic activities has picked up and we see gold demand and our branc hes have also started bringing in more and more business. To the second part of your question, we have increased more than 1 ,000 employees during this quarter, that must be one of the reasons for that. And overall , there is always a hike in the increment salary also comes in every year. We have not looked so much into this. There is no big aberrations we have seen in that.

Abhijit Tibrewal: Just one follow -up question here . Just wanted to understand given that we talked about a couple of things , higher gold prices helping , economic activity picking up, which is leading into better gold loan demand , and the margin excitement of banks go ld loans winning, is it kind of giving you hig her confidence of a better or let me put it this way, would you now start gold guiding for higher gold loan growth v ersus what you've been guiding in the last two quarters? And one more question on the sector. I just wanted to understand , once the contract ed tenure gets over , a customer can repay the interest and then that gold loan can be rolled over based on the current market prices of gold prices , is that a common practice in the gold lending industry ? And the

other related question here is have you had some conversations with the RBI around this practice?

George A. Muthoot: Your question was whether we see better growth in the coming months . Yes, that's what we feel. And in the past several years, we've been guiding a growth of 15% and in the past year we were unable t o do the 1 5%, we were able to do only about 7%. But I'm sure this year we should be doing in excess of 15% growth. So that's what we'll come back to the earlier 15% -plus growth this year. That is the first part of it. The second part you said that people coming after the period. So on the gold loan side, 90% of the loans get close d before 12 months. It's only less than 10%, which goes beyond the 12 months . Of that a few of them may come for that and because this is so fungible and easy, because there is no entry load , exit load , it is easy for the customer to go elsewhere and take the same loan etc ., So, it is better practice for us to co llect the interest and then re new the loan at that point of time. But there are very few people do that, most of them before 12 months, it is almost closed , because period is 3 months, 6 months, etc. , our loan tenure is 12 months, so up to 12 months, more than 90 %, 95% of the customers close their loan at that time.

Moderator: The next question is from the line of Rahul Shah from Shah Associates. Please go ahead.

Rahul Shah: My first question is, you said in the previous con calls and also in the TV interviews that Mu thoot Finance is a very operational intensive business. So , can you tell me what exactly do you mean by that? And how exactly the fintech players and the banks , whether they are small banks or big banks not able to compete with that model of yours ? How operational intensive is it?

George A. Muthoot: I didn't say about Muthoot Finance, I said about gold loan business . Gold loan business of Muthoot Finance is operationally intensive business because first the gol d has to physically come to the branch, it has to be physically we ighed, checked and also assess , that is again no second alternative for that . And second , this has to be checked or of course etc., has to be collected. Rather more than all the other usual photos, KYC, etc ., we just physically pack it, check it and keep it in the store room. We have to also look at the safety of th e store room and the gold ornaments . When the customer comes back to r elease it, we have to release it in good stead . A loan is given maybe 10 minutes, 15 minutes, 20 minutes time . W

hen we give it back,
we give it in 3, 4 minutes time. There is also a line layer safety security system which we have in our branches to store a nd take care of the gold because we have had earlier very many attempts at break -in robbery, the quality , etc., and all this attracts all these elements who tr y to steal these things , that is one part of it. So we have to take care of th at. Not only anybody who does that, has to take care of that. The second is again the staff. The staff also has to be very careful because this is gold and cash which is very attractive for maybe even for the staff also to do some sort of malpractice , that also ha s to be here. So we have a team of more than 1 ,000 physical inspectors or auditors who visit branches frequently, maybe once in a week, once in two weeks, depending on the size of the branch, o nce in a month to. randomly check , test check , the gold package there , numbers , quality. So this is operationally very challenging because we have to return the gold to the customer. Actually , the customer has to have big trust in a gold loan companies to hand over Rs.100 gold and take Rs.60 or Rs.70 loan from us. He is actually depositing Rs.100 and taking only Rs.60. So the trust is also very important . So all this requires quite a lot of operational

challenges and that over the years we have been able to train our staff also for even checking of the gold, assessing of the gold. We don't employ outsiders. That's what I meant when I meant by all these operationally challenging. When somebody thinks of this looks easy, but operationally this is intensive , that's what I meant.

Rahul Shah: Is there AUM d ependent on gold p rices totally or there are some other factors as well and how do you plan to utilize those factors to grow that? And secondly, where do you see your company

in the next five to 10 years both in terms of number of branches and also profitability , specifically
for the gold loan segment?
George A. Muthoot: I think I answered part of that in the first question. There are quite a few things. Gold price is
also a part of it because somebody can get more money on the existing gold. That is gold price
also one part of it. But that may be only a small part of it. The most important part is somebody
should definitely need the money and we should be available in that place to do the loan.
Somebody should need a loan amount and he should have th e gold with him and he should have
the mental framework to p ledge his gold and take money, not something else. So if all these
things come together, then the business is there . And your question about growth . That also I
gave a guidance, that we have been growing 15% in the gold loan business over the years , except
for last year, which is a difficult year for us for very many reasons which I have explained earlier.
But now I think we are again back on the 15% -plus growth path and I'm sure we should be able
to do that not only one year , in the more years to come. So 15% is something which we would
always be targeting . Shortly, we should be opening about 150, 200 branches every year, that is.
something which we look at the need and necessity for branches in ea ch area and then go about
with that . And the profitability, yes , when the business also grows, we should see profit also
going up proportionately at least.
Moderator: The next question is from the line of Nitesh from Investec. Please go ahead.
Nitesh: What are the incremental yields that we have bought in this quarter on the gold loan business?
And is there an impact of penal interest circular that we foresee on our business ? And second
part of the question is on digital lending that we are star ting. Can you talk about how are we
filtering the customers who are eligible for these personal loans, how do we plan to scale the
collection infrastructure for that?
Management: So th

e yield for the quarter is 18.48 and in Q3 it was 18 .22. I think we have been more or less
able to stabilize the teaser loans which were there in the past. I think going forward it should
remain around these levels . As far as the penal charges circular, I think still it is in draft form .
Let's you on the final circular . So at the end of the day if we need to raise a particular amount of
revenue , we have to raise it, whether as charges or as interest . So we'll take a call at that point of
time.
Nitesh: On digital lending , if you can share how we are filtering the customers wh o are eligible for these
loans and also share the collection strategy in case of boun ce and overdue?

George A. Muthoot: We don't do any digital lending. We lend only to the customers who come to our branch. So who
are our existing customer s we give them a personal loan based on this course, etc ., we give an
EMI loan. And collection strateg y is the usual collection thing , nothing different about it.
Management: For faster processing, digital capabilities are useful for our existing customers.
George A. Muthoot: Locating customers and probably giving them the disbursal .
Moderator: The next question is from the line of Nikhil Nyati from Equirus Securities. Please go ahead.
Nikhil Nyati: Sir, I just have one question regarding the new players that are coming into the market. They
have high OPEX , but the ir low base absorb the OPEX . And I just wanted to know your view
how do they gain businesses ? Through channel checks, we have understood that they are
reduc ing the interest rates to gain business . Have you come across any instances wherein have
you lost the business to these people?
George A. Muthoot: Newer NBFCs coming up with the lower interest, etcetera. Probably banks come up and offer
lower interest , etc., But I don't know about the newer NBFCs coming and offering the
competitive rate of interest. As you said, OPEX definitely is there. I don't know how they are
accounting for these OPEX , whether they are accounting on a p ro rata basis also, which I'm not
sure. So the firs tly there is OPEX. NBFCs which have come and p robably give very low rates
of gold loans. I'm not aware of such companies, sir.
Nikhil Nyati: The next question is just a data -keeping question. Can you give the AUM break up with regards
to the ticket size between zero to 1 lakh, 1 lakh to 2 lakhs and above 2 lakhs ?
George A. Muthoot: I think the average ticket size is about Rs.70,000.
Management: Right now I don't have this information. We can provide you later.
Moderator: The next question is from the line of Nischin t Chawathe from Kotak Institutional Equities.
Please go ahead.
Nischint Chawathe: Can you mention the q uantum of auction s done in this quarter ?
Management: Still auction is very low ; I think it's around Rs.27 crores .
Nischint Chawathe: Third quarter ?
Management: Rs.223 crores.
Nischint Chawathe: And there has been a fair amount of pile up of NP As. So do you expect large blocks of option in
the first or second quarter , would you write -off some now?
George A. Muthoot: These NPAs because they have crossed the 12 months plus 3 months period, but then many of
these customers who are there in this have paid part interest , etc., and they have also requested

for some more time for us. So in the money for all these loans we don't expect any interest loss in these accounts.
Management: We have roughly around 7 and a half tons of gold as far as these NP As as sets are concerned.
Nischint Chawathe: So there may not be any large block of auctions ?
George A. Muthoot: No, no, no.
Nischint Chawathe: And the other thing was on the cost front . Would you say that on the cost basis, how much of it could be sort of one -off and how much of it could be sustainable going forward ?

Management: I think this quarter is slightly higher because when you have a higher growth, we pay higher amount of incentives to the employees , that is one thing . On the directors renumeration also there is an annual performance in centive which is booked. So otherwise I think it should more or less remain, somewhere around 3 .5 percentage at least for some more time.
Nischint Chawathe: Anything that you envisage in terms of increase in cost of funds ?
Management: So, I think the borrowing cost is going up . I think most of the banks SLRs are around 8.5 percenta ge, The cost of borrowing should move in that direction unless we start seeing reversal. I think in the last few days or more a week we are seeing some sort of softening of the rate. B ut till that happens in a major way I think you should move more towards 8.5 percentage in next few quarters .
George A. Muthoot: Even if the interest cost goes up by 20 , 30 bps, we should be able to pass it on to our loan customers because if the cost of funds is increasing for us, it will increase for everybody in the market. So , the borrowers also will understand. So I don't think we've not had any difficulty in passing on such incremental borrowing cost to our customers.
Nischint Chawathe: I think you mentioned the trajectory of business in the last one and a half mon ths has also been strong.
George A. Muthoot: Thanks.
Moderator: The next question is from the line of Raj iv Mehta from YES Securities. Please go ahead.
Rajiv Mehta: Sir, while you talk about competitive intensity from banks for the margin slightly waning, so far we have not seen any reflection of hitting your customer m etrics. So when you look at the number of new customers acquired or even reactivation of old custome rs or even additional loan on additional collateral to existing customers , that metric has been moving pretty slowly and very stable. How do we see this metrics kind of improving in the future and what can drive more customer acquisition, more customer activation , what efforts we will put for that?
George A. Muthoot: We have been putting quite a few marketing initiatives. We are doing lot of outside market activities or so , that is definitely bringing in customers. So you should definitely understand this

is a very short term product, t he average tenure of 3 to 4 to 5 months is very short. So customers come in, customers go , new customers come, existing customers come back again , so it is not that we get a lot of new, new customers to this . New customers have been added this year. New courses have been added , that also happens . So I think as an ongoing process we will be doing more and more initiatives to get more business from m ore new customers also. Also , existing customers can also bring in more of their loans because what we have seen is every customer has more than one loan probably with us or somebody else getting more of his existing gold loan business from other institutions also , is very good . So the existing customer can be giving us more and more business also.
Rajiv Mehta: And so do we internally track that what percentage of customers which went to competition in the last couple of years because of their heightened activity are coming back to us ?
George A. Muthoot: These are small loans. We don't know how to keep a track of somebody who has gone to another bank and you come back to tell us that you have gone to another bank , because it is not a takeover, etc ., He h ad a loan with us, he c losed it, took the ne xt loan from p robably another ba nk and the 3rd loa n instead of going to that bank probably he must have come to us. So very difficult to keep th e track because it's not related to some property , etc., So if there's a property , we would have known , this property was p ledged to that ba nk and now it has come to us. So this is fungible gold lo

an. It is only the impression we get from our field team in the branch that people whether they have gone elsewhere, etc., It's the impressio n we get from us. Every customer even if he goes elsewhere, he comes, closes her loa n and then goes to the next bank . So we would not know where the customer is going.
Rajiv Mehta: Any change in the product level interest rate in recent months, including A pril and May ?
George A. Muthoot: No, I think we constantly do tweaking of the products region wise, geography wise , etc., to cater to different sectors and different demands. So that is an ongoing process. Not very viral changes though . We are not thinking of any ultra loan services , etc., But of course we always offer different rates ; so maybe a 12 % loan is always there , 14% is there , 18% is there , 19% loan is there , all these loans are there. So from a consolidated or a blended yield is what we are looking

at. So what Mr. Umang said earlier, we have about 18% yield , that is what is a blended yield.
Moderator: The next question is from the line of Shweta D aptardar from Elara Capital. Please go ahead.
Shweta Daptardar : I have a couple of questions. The first one being while the teaser loan portfolio is behind and they have been migrated to higher interest rates . So have they been migrated say from 7 %, 8%-odd to directly 18 %, 19%-plus?
George A. Muthoot: There's no migrations, etc. , In the teaser rates like loan gets closed. When he comes for the new loan, they have to take the new loan at the new rates. New rates can be 12%, 18%, 15%. Not that somebody has been migrated from 6% to 18% , no-no. We would have stopped that scheme and the customer has to redeem that loan and probably when he comes for the next loan, he'll have to jump in at this new existing rates only.

Shweta Daptardar: Secondly, as far as growth is concerned, so firstly commen dable growth on the gold loan side, but just because you mentioned that it cannot be completely attributed to gold price, right? Of course you gave other reasons, but historically if I go back and see that Q4 is always a seasonally strong qua rter. So , is there a seasonality and if so, what is that thing which is driving the seasonality every fourth quarter of the year? And then if the answer is yes, then how do you see quarter -on-quarter gold loan momentum for next two quarters?
George A. Muth oot: On the fourth quarter, yes, we agree that it's a good quarter. This year's fourth quarter has been a historical high , that's what we said , historical high of the fourt h quarter. So compared to any other fourth quarter, this was the high , that is the f irst part of it. Second , we have given a guidance of 15% plus this full year . So probably we should be able to do in the next year . So every quarter we should see better. It's not that every quarter can be the highest quarter. So we'll see that we get the 15% overall yearly growth.
Shweta Daptardar: We have also seen tonnage improvement in this particular quarter. You also mentioned that there are customers who open and close the account, there are renewals happening. So what is the reason for tonnage i mprovement at a time when competitive intensities have been still clearing up?
George A. Muthoot: When the gold loan growth happens , tonnage also has to go up. It is not directly proportional to the growth, because the gold price is also a factor. But then you are seeing a gold loan growth in this quarter. So definitely the tonnage also has to go up.
Moderator: The next question is from the line of B unty Chawla from IDBI. Please go ahead.
Bunty Chawla : Firstly , sorry , I have joined late if you have already shared that number . Branch expansion for this year and RB I approval for number of branches, what is the number?
George A. Muthoot: We had an approval for 150 branches and this quarter we opened 67 bra nches and I think 150 is complete. So on ongoing basis we will be opening more branches.
Bunty Chawla: So for this F Y24, what is the target of branch opening?
George A. Muthoot: Maybe 100, 150 branches we should be opening every year.
Bunty Chawla: Secondly, sir, what is the incre ase in the average ticket size on a QoQ b asis?
George A. Muthoot: Now it is 17.
Bunty Chawla: So what was the growth on a Q oQ bas is?
Management: So December it was 70,000, March it is 75,940.
Bunty Chawla: 5,000 increase. Lastly, in previous question on the higher expenses you said . So what should be the normal run rate we should carry for this quarter or full year ' 24 if you can highlight on that ?

George A. Muthoot: We expect next full year to grow by 15%.
Bunty Chawla: No, sir, on OPEX part as for previous question you said , for example if directors remuneration was higher during this quarter , so for full year FY24, what should be the expected OPEX we should consider ?
Management: So that's what I am saying in an earl ier question. So we are expecting around 3 .5 pe rcentage.
Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal: Just one thing which bothered me a little bit, just want to understand this or cl arify this. I recall maybe a quarter or two quarters back there were articles in media where it was often talked that banks at the margin were giving out personal gold loans in the garb of agricultural gold loans, which qualify for PSL. So have you seen some change there or are those practices still continuing? I don't know if I vaguely recall we've been highlighted these practices to the regulator. So have you heard anything from the regulator or have these practices now stopped?
George A. Muthoot: As you say, we have highlighted it to the regulator . We hope or expect that they would have taken some action but anyway we have not got any confirmations from the regulator regarding this. We have only said and we don't expect them to get back to us directly on this also. We have raised our concern to the regulator. That's it.
Abhijit Tibrewal: But sir are these practices still going on or have they stopped?
Management: We should say we lost interest in that.
Moderator: The next question is from the line of Vaibhav Ba djatya from Honesty and Integrity Investment .

Please go ahead.
Vaibhav Badjatya: Can you give me the total absolute amount of penal interest that is recognized for the full FY23 and F Y22?
Management: Sorry, can you repeat your question?
Vaibhav Badjatya: Absolute amount of penal interest for FY23 and FY22.
Mana gement: We don't have breakup of interest. So everything we recognize as an interest.
Vaibhav Badjatya: But for the loans that become overdue, you will be charging some, additional charge, right. I just want that additional number in terms of absolute amount .
Management: I don't have the absolute numbers . To give an indication , so normally our rates becomes after 12 months and there is a 2% additional p enal interest which is charged on those overdue loans. So you need to link it to the fact tha t most of the loans gets closed before 12 months.
George A. Muthoot: 90% to 95 % of the loans get close d before 12 months .

Moderator: The next question is from the line of Sh ubhranshu Mishra from Phil lipCapital. Please go ahead.
Shubhranshu Mishra: Two questions. The first one is , what is the net customer a ddition we have seen in the last two odd years b ecause of the competitive intensity , first part ? Second is the competition also from various other NBFCs and fintechs , which are into small ticket person al loans as well as small ticket business loans ? And the third question is what is the total payout to Mr. Amitabh Bachchan and Mrs. Madhuri Dixit annually f

or brand promotions ?
Management: There is slide in our presentation. So if you look at , there is a custom er addition of 3.3 lakhs during this quarter , and overall if you look at the total customers, number of customers have increased from 52.33 lakhs to 53.2 3 lakhs. So that is a net increase in the customer addition and also the new customer addition numbers we have given. So the point you need to see is that we have a large customer base and every quarter we have been able to add around 3 , 3.5 lakhs new customers. So we have a large customer base . Lot of them have avail ed the loan and a lot of them currently not avail ed which we tr y to tap them on a regular basis. That's what we give always the information about fresh loans to inactive customers.
George A. Muthoot: Those customers were a personal lo an with us . This is a very short period loan, it gets turned every three months, fur months. What was your second question, sir ?
Shubhranshu Mishra: Are we facing competition from other NBFCs and fintechs in small ticket business loans and small personal loans ?
George A. Muthoot: People who take gold loan definitely will also be taking some other loans also. So it is not that because somebody is getting a small tickets loan , etc., he is substituting it for a gold loan or substituting for that. I don't think we have neve r faced such a situation, sir. About Amitabh Bachchan , etc., I think we pay some decent money to them sir.
Shubhranshu Mishra: What is that as a part of the OPEX , so that's what I'm trying to get?
George A. Muthoot: I think we pay some decent money. I think that's better there.
Management: That's a confidential information.
Moderator: The next question is from the line of Pavan Kumar from Ratna traya Capital. Please go ahead.
Pavan Kumar : Sir, can you comment about whether the NIMs have stabilized … should we assume that the current levels are at stabilized levels? And also , any comment on the cost of funding going forward?
George A. Muthoot: Yes, I think we have always been. telling about 1 0%. I think we will try to keep that spread at 10% maybe plus or minus 5.5% is what we would like to keep. I think it should stabilize at that level sir.
Pavan Kumar: Currently , the spreads for this particular quarter are around 10.44. We are saying that 1 0% should be normalized levels for the next year?

George A. Muthoot: Around that 10% should be something which we should be able to do.
Moderator: The next question is from the line of Manan Tijori wala from ICICI Prudential AMC. Please go ahead.
Manan Tijoriwala: Just two questions. One is how much is the accrued interest? And second, what is the proportion of this person al loan book that we are making , what will be the average ticket size and where do you see this proportion being in the near to medium term on the standalone book?
Management: Interest accrued is Rs.1,843 crores.
George A. Muthoot: The personal loans are given to salaried customers. The average ticket size is about Rs.4 lakhs . And the personal loan book should be in the range of about Rs.500 crores as of 31st March .
Manan Tijoriwala: How much do you intend to grow it in the near -term?
Management: We started this business almost seven, eight years back and we have been very careful in terms of underst anding this business. Though we have been running this business for last eight years, we have done only so far Rs.544 crores . So going forward also we'll do a calibrated growth. We understand that this is an unsecured loan. So there is a careful policy around the personal loan business.

Moderator: That was the last question. I would now like to hand the conference over to the management for closing comments.
George A. Muthoot: Thank you , investors. You have always been a support to us . You have al ways given us confidence. We have always

brought us to do better and better and from our side we will
definitely ensure that we'll do the best a nd w e take care of all our stakeholders including the investors . That's an assurance from Muthoot. So good day.
Management: Thank you, Sanket . Thank you, DAM Capital for arranging the call for us.
Moderator: Ladies and gentlemen, on behalf of DAM Capital Advisors Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

Ref: SEC/MFL/SE/202 3/4848
August 22, 202 3

National Stock Exchange of India Ltd.
Exchange Plaza
Plot N o. C/1, G Block
Bandra - Kurla Complex
Bandra (E), Mumbai - 400 051
Symbol: MUTHOOTFIN Department of Corporate Services
BSE Limited
P.J. Tower, Dalal Street
Mumbai - 400 001
Scrip Code: 533398

Dear Sir/Madam,

Sub: Transcript of the Analyst Call on Unaudited Financial Results (Consolidated and Standalone) for the quarter ended June 30, 202 3.

In continuation of our letter dated August 05, 202 3, and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the analyst call made on August 11, 202 3, on the Unaudited Financial Results (Consolidated and Standalone) of the Company for the quarte r ended June 30, 2023, has been uploaded on the website of the Company within 5 working days of the conclusion of the call and is available at
https://cdn.muthootfinance.com/sites/default/files/files/2023 -08/11 -August -23.pdf

Thank You,
For Muthoot Finance Limited

Rajesh A
Company Secretary
ICSI Membership No. FCS 7106

"Muthoot Finance Limited Q1 FY '24 Earnings Conference Call "

August 11, 2023

MANAGEMENT : MR. GEORGE ALEXANDER MUTHOOT – MANAGING DIRECTOR
MR. ALEXANDER GEORGE – WHOLE -TIME DIRECTOR
MR. GEORGE M. ALEXANDER – WHOLE -TIME DIRECTORS
MR. GEORGE M. JACOB , WHOLE – TIME DIRECTOR
MR. EAPEN ALEXANDER – EXECUTIVE DIRECTOR
MR. K R BIJIMON – EXECUTIVE DIRECTOR
MR. OOMMEN MAMMEN – CHIEF FINANCIAL OFFICER

MODERATOR : MR. SANKET CHEDDA - DAM CAPITAL ADVISORS LTD

Moderator : Ladies and gentlemen, good day, and welcome to the Muthoot Finance Q1 FY '24 Earnings Conference Call hosted by DAM Capital.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions aft er the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sanket Chheda from DAM Capital. Thank you, and over to you, sir.
Sanket Chheda: Thanks. Hello and good evening to all of you . We have with us the entire Management Team of Muthoot Finance to discuss their Q1 FY '24 Results.
Naming the management, we have with us George Alexander Muthoot, who is the Managing Director, Mr. Alexander George, who is the whole -time director ; George M. Alexander, whole - time director George M. George and George M. Jacob , both of them are whole -time directors; Mr. Eapen Alexander , Executive Director ; K R Bijimon, who is also an Executive Director; and Mr. Oommen Mammen, who is the CFO.
Without further ado, I will hand the call over to Mr. George Alexander Muthoot for the ir opening remarks, followed by which we will take Q&As. So, over to you , sir.
George A. Muthoot: Thank you , and g ood evening to all . I am George Alexander – Muthoot's Managing Director. Today, Muthoot Finance had its Board meeting and the results of the Q1 have been finalized and it has been uploaded to the Stock Exchange also .
I would now like to say a few things about the “Performance Highlights ” of this Quarter . Our consolidated loan assets of the management has i ncreased year-on-year 21% and today stands at 76,799 crores .
We also had the highest ever quarterly gold loan disbursement of 53 ,600 crores , all time high gold loan portfolio gro wth in any quarter one of 4,164 crores . There is an increase in the consolidated PAT of 27 % year -on-year, which is at 1,045 crores , and the standalone profit after tax 22 % year-on-year at 975 crores . There is also an all -time high interest collection in any quarter , first quarter of 2,863 crores .
On a Q-on-Q basis , the gold loan assets have grown by 4 ,429 crores in this Q which is up by 7% quarter -on-quarter , and the gold loan assets has also grown by 4,164 crores quarter -on-quarter up by 7%.

Other key highlights we would like to place here would be that we opened 59 new branches in this quarter . We received permission from the RBI in July last month to open 140 new branches . We have raised 179 crores through the 31st public issue of secured NCD mainly from retail investors.
As far as the subsidiaries are concerned , the growth revival continues and for Muthoot Home Finance, the gross AUM stands at 1,501 crores a growth of 4%. The disbursal this quarter is 109 crores versus 69 crores in the quart er of last year . The interest income is up by 10 % to 37 crores versus 34 crores in the last quarter . The profit after tax of 4.72 crores versus 1.41 crores in the same quarter last year and 2.1 crores in the last quarter .
GNP A and NNPA stands at 3.79 and 1.21 crores in this quarter respectively , against a higher GNPA of 4.01 and 1.39 in March of last year . The provision coverage ratio in the home finance is 70.37 crores , higher than the required provision as per NSB norms .
Muthoot Money, there is a c ontinuous decline in the NPA through physical collections witnessed consistently throughout the quarter . The NPA decreased to 2.46 % from 3.72%. The gross loan assets has increased from 387 crores to 496 crores , and the branch network increased to 185 from 149.
The Belstar Microfinance has seen an improvement in t

he disbursement month -on-month to 700
crores per month . The gross loan assets and the management crossed the 7 ,000 mark, and the collection efficiency on regular accounts is 99.4%. GNPA stand s at 1.62 %, and NNPA at 0.21%. There is an improvement in the credit rating and the outlook has changed from AA- Stable to AA+ by CRISIL rating agency . Belstar has also started expansion in other than Tamil Nadu states to reduce the concentration in Tamil Nadu , which is a home state. This had been initiated in line with the long-term strategy to diversify the concentration from 49 % to 35 % by financial year 2026.

The other results or details are there in the fi le with this Muthoot Insurance Brokers . It's a wholly owned subsidiary that generates the total premium of 148 cro res premium collection as against 131, and the profit after ta x stood at 10 crores versus 4 crores in the same quarter last year .
Asia Asset Finance PLC, which is the Sri Lankan subsidiary where Muthoot holds 72.92 %, the loan portfolio grew to Sri Lankan rupee 2,010 during the year as against 1,762 Sri Lankan rupee s last year , which shows an increase of 14 %. Year -on-year revenue resources have grown up and the profit after tax st ood at Sri Lankan Rs. 6 crores in this quarter as against 5 crores in the same quarter last year .
I think , with that I would like to conclude my initial opening remarks , and I would now leave the floor open for clarification from the investors . Thank you.

Moderator: Thank you very much . We will now begin the question -and-answer session . The first question is from the line of Nischint Chawathe from Kotak Securities . Please go ahead.
Nischint Chawathe: I was trying to get a little bit of sense on your cost of borrowings , which have inched up by around 40 basis points quarter -on-quarter . So, if you can kind of just explain what exactly happened over here and what would be the outlook of cost of borrowings going forward?
Management: So, Nischint, the cost of borrowing for the quarter stands at 8.41% . March quarter , it was 8.02 %. So, there is an increase of about 37 bps. As you know, most of the banks , MCLR is around 8.6 or 8.65 . So, gradually it will move in that direction unless there is a reduc tion, which is not likely to happen I feel in the next six months to one year . So, it is more moving in that direction .
Nischint Chawathe: And on the yield on loans , you know, if I kind of try to see it mathematically , there is some compression on a sequential basis . Not very significant but some comparison . So, how should we see that ? And in light of the fact that this cost is going up really significantly , let's say over last quarter and this quarter, would you kind of see overall rates going up ?
Management: So, March quarter , the yield was 18.48 %. This quarter it is 18.08 . If you look at the last year , you know, it is 17.3 . So, compared to last year , you know, certainly it is a higher number . Of course , gold loan business , you know, because it's a short -term, there could always be a fluctuation of 30 , 40 or 50 basis points , fluctuations either side . So, we feel this is a normal thing which can happen because it is a very short term .
Nischint Chawathe: No, fair point , but I think the point I am saying is that , you know, given the fact that if you look at last quarter , which is first quarter and second quarter , we are probably looking at around 60, 70 basis points kind of increasing cost of funds . Probably half of it has happened and maybe some of it is kind of coming in the next quarter . So, in light of that , would you sort of , you know, believe that across the board , there could be some hikes in gold loan rates , or is the competitive scenario such that it doesn't make sense ?
George A. Muthoot

: You are right , because if the gold borrowing rates are also going up , certainly we will be increasing our lending rates also as you said , right ? We try to maintain our spread and NIM to the earlier level so that that doesn't get affected . If overall the cost of borrowing is going up , definitely the cost of bor rowing for our gold loan borrowers or their other loans also should go up, and we wouldn't find it difficult to pass it on to the customers . That's what we usually be doing . Certainly, we will be taking a call on that also if the rates go on increasing . We will pass it on to the customers .
Nischint Chawathe: And have you seen any of this in the ground right now or we should proba bly take a call ?
George A. Muthoot: Yes, because we review these interest rates maybe on a monthly basis or once in two months we review , and wherever we feel there is some tweaking to be made because there are so many

schemes etc., we tweak some of these schemes so that we get a better yield . If the cost is going up, certainly we will pass it on to the customer also . That is definitely the policy here .
Moderator: Thank you. The next question is from the line of Raghav Garg from Ambit Capital . Please go ahead.
Raghav Garg: Just one question from my side . So, historically , we have seen that your yields and margins in Q1, always tend to be lower quarter -on-quarter versus your Q4. Can you help us understand what is the element of seasonality here ? And my second question is that though I understand that margins have compressed quarter -on-quarter because of higher borrowing cost ,. I think you partly answered that . Should we expect margins to expand in subsequent quarters and overall margins for the full year be higher than last year ? Those are my two questions .
George A. Muthoot: Generally, we have a NIM of between 11 plus and a spread of around 10 %, maybe plus or minus 0.5%. So, I think , going forward also , we will be maintaining that . And as I said earlier , if required , if the cost of borrowing is going up , we will increase our cost of lending also. We will

increase our lending rates.
Raghav Garg: Sir, but could you help us understand why your margins are always lower in Q1 versus Q4 of last year?
George A. Muthoot: I don't know. We never thought like that why quarter 1 is this. This is small, small loans.
Management: Your question was on seasonality . I don't think now since we are spread out across the country, there is any specific seasona lity in terms of i t is all about the schemes you drive . Now as I said to Nischint , you know, because it's a short -term, there could always be different schemes on parallel y in different locations . So, you know, there could always be a fluctuation of 30 or 40 basis points between quarters or anytime . So, that is a normal thing , but compared to last year we have already taken a call then we should increase the interest rates . So, that's why the rate has gone up during last year because , you know, first quarte r you can see that the yield was 17.3%. That is more because of the impact of the teaser scheme . Subsequently , we revise d the interest rates continuously in the subsequent three quarters which now helped us to know reach 18% or 18.4 % last year in the subsequent quarters .
Raghav Garg: And just another question . So, you have delivered about 18 % gold loan growth , you know, your guidance has always been about 15 %. Is there a chance that you would like to revise your guidance given , you know, the positive momentum that we have seen in this quarter ?
George A. Muthoot: Yes. You are right , but anyway , we will try to stick to what we said earlier . We will try our best to deliver more than we have promised always.
Moderator: Thank you. The next question is from the l

ine of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Just wanted to clarify one thing . Now with our loan to value ratio at 68%, it's fair to assume that this ratio does not go up much more and whatever growth come should come from tonnage growth , right ?
George A. Muthoot: Assuming that it is just at the 68 %, 70% is the average , the loan which people take , average . Some people take 60 %. Some take 65%. A majority of them take s 75%. The 68% is a function of that , the rate , the amount which people take on their loan . So, it's not that we are going to maintain the LTV at 68 %. It just happens that people don't need more money . They don't take more money . If they need more money , they will take it . So, there is no relation that we c annot do. We are permitted and we would like to give even up to 75 %, but if people don't want it , we don't give it .
Moderator: Thank you. The next question is from Pratik Kothari from Unique Portfolio Managers. Please go ahead.
Pratik Kothari: Sir, one, if you can qualitatively com ment, so in the past quarter we had mentioned that the rural demand seems to be picking up for the kind of products and customer segment that we c ater to. So, one qualitatively if you can comment, and we are seeing the numbers to o. So, if you can comment how is the demand sha ping up , and also the competition that we saw 6, 12, 18 months back , if we can get some update on that?
George A. Muthoot: No, the business for us comes from all the areas, and we have been confident of maintaining our NIM etc. So, I think , our non -gold loan segment also continue to grow , and we witness improved business performance , and so far we have seen that the gold loan also is driven by st rong domestic demand , and I feel that going forward the demand will be there both in the rural as well as the semi -urban and urban areas also .
Pratik Kothari: And sir, any comments on the competition , how is it shaping up currently ?
George A. Muthoot: So, as you know, competition has been there , and probably from the bank s, etc., has been there for the last one or two years . Nevertheless, we haven't also been able to grow our book . So, competition is there . As I said earlier , when people feel this is a good sector to be in, so more and more people are coming , and the players , focused players will continue to do better , and I think ourselves in the last two quarters also prove d that we have been able to maintain our position as a leader in this segment .
Pratik Kothari: But if the competition is receding, I mean, at one point of time, we used to make 12%, 13%, 14% spread, maybe it might be one -off, but we used to do 12% spread for quite some time. And in your comment today that we will be in the 9.5%, 10.5% range. So, what has changed the n in the industry ?

George A. Muthoot: No, the 12 %, etc., came with a very, we should say , one-off time when we did more , what should we say , auctions at that time and our realizations were better , etc., at the time when we got more yield at that time, but that is a one off . So, generally , we also should be tend to be happy with the spread of around 10 %. I think we should be able to , we should attain that going forward also .

12, etc., came one or two years also, but I don't think that can be something which we also feel that it can be sustained and continued .
Pratik Kothari: And sir, last, what would be the auction numbers for this quarter?
Management: It's around 110 crores.
George A. Muthoot: It's 110 crores. Yes.
Moderator: Thank you. The next question is from the line of Bunty Chawla from IDBI Capital . Please go ahead.
Bunty Chawla: Sir, why we have not focused on stage three assets ? It has increased from March

3.79 to 4.26
because if we think , if you compare the last year , still gold prices are still higher , and we can go for collection efficiency or auction and decline or arrest the increase in the asset quality . Any specific reason we are still allowing the customer to hold the asset though it is billed above 90 days after the 12 month also ? Any specific reason ?
George A. Muthoot: Yes. So, we have actually been quite supportive of the customers , and many of our customers have , we have been collecting a vast interest from many of these customers. So, all the customers , some of the customers pay part interests and those which have gone into the stage three category also have accounts . Many of them have accounts which have already paid interest. So, all, most of them would have paid part interest also.
So, when they are paying part interest , it shows that they have not abandoned the gold. They would like to keep their gol d. They need little more time . So, when these customers approach our bank and reque sts that please do not auction these gold, we keep , try to keep it for some more time because that definitely endures well with our customers , and they are also quite happy . And finally , the company does not lose money here .
If you look at the NPA , the NPA amount of 2,878 that if you look at the tonnage of that, it is only 60 %. The LTV at today's price is only 60 %. So, even if you add all the interest on that , even then we are still in the money . So, the point is as long as we are in the money , customer has paid part interest , he has shown his interest to, his commitment to pay more at least he doesn't want to lose the gol d, we don't want t o auction .
We can auction the go ld, but then we will be unfair to the customer who have these . So, since we can safely carry some of this NPA in our books , we tend to err on, not err, to support the customer so th at customers don't go away because once you auction it, the customer is definitely

unhappy , and those who have paid part interest etc., many of them and requested for extra time, we are giving them. This has been our position . And finally , over the last decade , we have not lost any money in this through NP , and none of these NP A results in a loan loss.
Bunty Chawla: Sir, out of this 2,900 crores , if you can share how much percentage of customers would have not given a single penny ? Is it all the customers have paid some bit of interest?
George A. Muthoot: We haven't got any such number etc. But many of them pay money, and that is why we give them more time. So, it is the branch managers and the data also shows that you have not lost any money .
Moderator: And sir, if you can share one data point , interest accrued , what will be there as of March 23 and similarly, Q1 FY '24 number , sir?
Management: June it is 1,8 65 crores and March it is 1,853 crores.
Moderator: Thank you. The next question is from the line of Rajagopal Ramanathan from Sada Khush. Please go ahead.
Rajagopal Ramanathan: Just two questions , sir. One is, I don't know whether you normally disclose this , but do you disclose NIM s for your vehicle financing business and your microfinance business ? If not, can you indicate what they could be or a range at least ?
George A. Muthoot: The vehicle finance?
Rajagopal Ramanathan: Yes.
George A. Muthoot: Vehicle finance.
Rajagopal Ramanathan: The Muthoot Money business .
Management: So, the yield on the two -wheeler portfolio we have roughly about 22 % to 23 %. That is on the yield side . The cost of borrowings , Yes, cost of borrowings would be roughly about 8.5%, 8.3%.
Rajagopal Ramanathan: 8.3. And what would it be for the Belstar book ?
Management: Yield would be in the range of 24 to 25 and the cost w ould be 10%.
Rajagopal Ramanathan:

Cost of around 10. And could you also just sort of explain what led to a significant pickup in NPAs in the vehicle financing business ? And what have you learned ? And because you intend to infuse equity into this business , what is your strategy going forward ? So, some strategy would always help us .

Management: Yes. So, you know, we had seen a spike in the N PA for our vehicle finance business because about three years back , we were funding commercial vehicle , construction equipment , both new and used . Those are product lines that we have hitherto stopped about two years back , and today , we are focusing purely on the retail customers that are aligned with our gold loan customer base and focusing only on two whee lers and used cars . Our NPAs quarter -on-quarter for the last three quarters has been coming down in Muthoot Money. But I think , our learning was that , you know, probably on the commercial vehicle , construction equipment sort of product lines , it requires a little different sort of a skill compared to the retail franchise that Muthoot has.
Rajagopal Ramanathan: So, going forward , you will continue to focus on segments like two -wheeler financing , and what else, sir?
George A. Muthoot: As of yet, it is two -wheeler financing and used cars etc ., but it is not that for the next 10 years we will do only that . Year -on-year we will look at what is the better one and then change that tweak according to the requirement .
Rajagopal Ramanathan: Fair to think that this could at least be the strategy for the next three years , right ?
George A. Muthoot: Don't put words into our mouth. Let us do the business and the strategy please .
Rajagopal Ramanathan: And what about Belstar? Now, what is the capital adequacy at Belstar?
George A. Muthoot: It is 20%.
Rajagopal Ramanathan: 20%, is it?
George A. Muthoot: Yes.
Rajagopal Ramanathan: So, would you need to increase capital adequacy there or would you need to go out and raise money ?
Georg e A. Muthoot: The current year growth, we are just thinking of about some run rate options we are thinking . I think concrete finalized, but fundraise options also Belstar is thinking .
Rajagopal Ramanathan: The reason for asking is , are the rating agencies mandating any minimum threshold from a capital adequacy standpoint for the credit rating that you are currently at ?
George A. Muthoot: No, now we are at 20 actually. This year's growth is well capitalized . Maybe for the next year growth only we ne ed to look at, and before that the committee has been formed to find out options possible .
Moderator: Thank you. The next question is from the line of Shweta from Elara Capital . Please go ahead.

Shweta: A couple of questions from my end . Sir, firstly , year-on-your basis , we have seen rise in bank borrowings . So, is it the spike , incremental spike in cost of funds which will come by should definitely come from yours ? What sort of repri cing you are seeing on this book ? And how would the mix shape up ahead ? And secondly , because you clearly mentioned that , you know, I mean , you admitted that competition sustain s, and define that we have posted over 20 % growth this particular quarter . So, how sustainable is this? And since you mentioned that focused players will continue to do well , so how are we going differently today , you know, now that even teaser loan schemes are behind . So, can you please address that ?
George A. Muthoot: So, I think , bank borrowings have gone up . If it has gone up also , it has gone up because of AUMs also increased. There was a growth of 4,600 crores in this quarter . So, it should be compensated by some sort of borrowing and the bank bor rowings would have been one of th at, and we also repaid

some of our ECB loans so that this has brought down the other than bank borrowings. So, bank borrowings are a part of our GNA and we need to do bank borrowings etc. Your next question was about whether the 26 % or 25 % is sustainable et cetera? I think I answered earlier also . We had given a guidance of 10 % to 15 % for the year, and I am sure we should be achieving that. We don't want to change our guidance now just based on the good performance of Q1. We will try our best to do the best and probably do better than what we have promised , and I don't remember what was your second question . What was your second question, madam?
Shweta: Sir, the same, it was a follow -up. So, you mentioned that focused players will continue to do well. So, what differently you are doing now that even teaser loan schemes are behind? So, would you sustain this growth, define competition?
George A. Muthoot: Actually, we are not doing anything different ly. We are continuing to do what we are doing . It is only the new players who come and start doing different things . We continue to service our customers . We continue to do them , give them good service . We continue with what we are doing . So, some of these , that is because we said we are focus ed. Some of the other players come . They do something . They get some business . After some time , they lose interest etc. Only time will tell . For us, we are focused . We are continuing . We will continue our focus on gold loan etc., and I am sure going forward , the focus pla yers, I repeat , will definitely be doing well

going forward also .
Moderator: Thank you. The next question is from the line of Pranay Khandelwal from Alpha Invesco . Please go ahead.
Pranay Khandelwal: I am sorry if I missed this information . I think I joined a little late . I just wanted to know what 's your outlook on the yield going forward ? Are you looking to maintain the yield or will you be looking to increase your yield on the gold loan side ?

George A. Muthoot: I already said that that yield will be a function of the borrowing cost. So, if our borrowing cost goes, yield , the yield will be a function of the borrowing cost. If the borrowing cost is going up, our yield or the lending rate also will definitely go up. So, it's not that we are going to maintain the yield . We will try to maintain the NIM and the spread .
Pranay Khandelwal: But in the same respect , I think , if banks keep on their foray into gold loans, I think wouldn't it be harder to pass on that borrowing cost because their yield s they will probably look to maintain them at a lower interest and will we be able to pass on cost easily if that happens?
George A. Muthoot: I think we have crosse d that bridge about almost two years back. So, two years back itself banks started this and we have been able to maintain our business and our position and maintain at least good part of our NIM etc. I think going forward also , we will be able to do that. It is nothing new, sir. It is last two years , three years , banks have been doing the same thing , and we have been , our strategy has been to grow , and we have been able to maintain reasonable NIM and spread .
Pranay Khandelwal: And also, do you have a ny, what do you think about the impact OCEN will have on our business , Open Credit Enablement Network ?
George A. Muthoot: I didn't understand , sir. What is an Open Credit Network ?
Pranay Khandelwal: So, the government is coming up with a new initiative , OCEN, Open Credit Enablement Network , and that is supposed to unlock a lot of countries supposed to help a lot of underbanked and unbanked areas will be reachable by financial services company . So, do we have a view on that if that will be a threat to our business ?
Management: No, in fact , we are actually embracing

these things and building it into our business models for unsecured loans . So, Muthoot Finance, as you know, has an unsecured , salaried personal loan product as well as unsecured bu siness loan products also . So, these are new initiatives and , you know, public infrastructure that the government is building , we are also embracing that into our business models .
Moderator: Thank you. Next question is from the line of Abhijit Tibrewal from Motilal Oswal . Please go ahead.
Abhijit Tibrewal: Sir, two questions . First one for Oommen sir. I mean , at the beginning of the call itself you guided that cost of borrowings which are at about 8.4% can stabilize around this 8.6, 8.65, which is where bank MCLRs are. Just wanted to understand , sir, almost all of last year we didn't see any increase in the cost of borrowings . Now that we started seeing that increase , you think with the repo rates remaining here, the cost of borrowing s hould pick out around that 8.6 %, 8.7%?
Management: So, as it stands now, Abhijit, it should be around 8.6 , 8.65. We don't have a visibility in terms of whether there could be a rise above that .

Abhijit Tibrewal: Sir, the second question that I had has been on the asset quality. You partly answered it. But sir, I mean, just trying to understand this NPA going up , this is appreciable you are giving more tim e to your customers , people who request you not to auction their gol d jewelry , but what is it indicative of why we said that, I mean , people are not paying their interests or is it that people are not renewing their loans ? Is it indicative of some stress somewhere that people are not coming forward and paying their interest in their loans? Because you have seen multiple cycles , multiple gold price cycle s as well gold prices are moving up and down . At this point in time where gold prices are higher , what is this indicative of , I mean , this increasing NPA s, customers not paying their interests ?
George A. Muthoot: See, first thing you need to understand this business. It's not a EMI loan. We have given it for a 12 month loan , and just to people who do not have a regular cash flow . This has been taken by somebody . Somebody has a regular platform monthly expense; he would take an EMI loan o r a personal loan etc. Here he is expecting some money from somewhere . It has not reached . And secondly , the number of loans which goes here is not even 2% of our portfolio . So, if you have le nd 100 people , only 2% to 3% of them come into this bracket . All the balance 97 %, 98% people have already taken it back . So, it only doesn't show that there are some big stress in the market . This is for individual people who h ave some st ress. That is why they are coming for a

gold loan also because they don't have monthly repayment capacity , monthly source . That is why they are taking a loan , paying higher interest than any other loan . It is because of the comfort they receive because there is no EMI pressure . So, this is just natural . Nothing gr eat in this . As I said , we are definitely in the money . The principal plus interest , if we auction the gold , we can definitely get it , but then people have paid some part interest . They have shown their commitment to the borrowers that he is keen to take it back . He just needs more time , and we are there to give more time when they request it, and they request the branches to give more time. Some customers we give the time . Even if after some time they are not coming forward , we have to auction it . So, just give them a helping hand or an adjustment to the customer so that we don't need to auction .
It's definitely a customer friendly mission and that is one of the reasons why most , many customers come , choose Muthoot over many other companies . You should see that

has always
been saying , Muthoot Finance has all the other NBFCs right around the branch . Right around any branch . Any branch of Muthoot , there is at least four or five NBFCs giving gold loan. But still many customers come to us because of some of these things . We have been more reasonable and more accommodative of the customer , and we have never lost any money also on this account. We have only gain ed customers . That is why we give little more time to these customers . Finally , we don't lose money . That's also as an investor you would like to know that .
Abhijit Tibrewal: And sir, last question, just a follow -up here. I a m just trying to understand when you said, right, I mean , we wait for a certain time and then eventually , if the customers will not come , that is

where we auction the gol d, and obviously , I understand we don't lose money . Somewhere earlier you also said that some of these customers who are there in they see the effective LTVs are around 60%. So, even if we add the interest , it will still be in the money . But, I mean , internally , what is it that you track? How many , for how many months or quarters do you wait before you eventually decide that okay , let's auction the gold that we have discussing ?
George A. Muthoot: I think that is a function which at the field level the managers take . The managers come back and say, sir, there is no point giving him any more time , but rather than the auction itself . It's a decision taken at the branch level individually .
Moderator: Thank you. Next question is from the line of Jigar Jani from B&K Securities . Please go ahead.
Jigar Jani: So, basically , your active customer base has gone up by almost 2% in the quarter Q-on-Q. Do we expect this trend to continue going ahead for the rest of the quarters ? Are you confident of adding similar sort of range every quarter going ahead ?
George A. Mu thoot: Yes, I think we have taken quite a lot of initiatives . I think you would also see that we have put lot of advertisements . Other than Amitabh Bachchan we have also got in Madhuri Dixit also as a brand ambassador. Lot of advertisements are going . That is on the media side , and we have also started or rather get doing more of this local road shows and initiatives . So, it's definitely bringing in more customers . So, going forward we should see more customers coming in , but as you also know , there is a big turn here . So, customers come . Customers go. 100 customers come . 80 customers take back their gold . Another 110 comes . Next year another 100 goes away . So, it's a churning. Quick churn is there. Our job, our effort is to see that those who have taken a gold loan earlier either come back to us or new customers also come . So, those who have taken a gold and taken i t back , we would expect them to come back maybe after three months , six months. It's a treadmill like we are on a treadmill .
Jigar Jani: And sir , so considering you are investing in marketing and so are we kind of confident of maintaining our earlier guidance of OPEX to average assets of 3.5 % or if you , will we see an increase ?
George A. Muthoot: I didn't hear you . What is the percentage ?
Jigar Jani: OPEX to exercise in last quarter you had guided about 3.5 %.
George A. Muthoot: There is not very much drastic increase or decrease in the OPEX exercise . It will be almost the same guidance only. Not that we are going to invest thousand crores on these things, but it should be a reasonably good investment we make year on year.
Jigar Jani: And sir, last question , can you share your A UM by ticket size less than 50,000, 50,000 to 1 lakh, and above 1 lakh, gold loan AUM?

George A. Muthoot: Give us a few minutes . Let us check it up

. We will reply to this shortly .
George A. Muthoot: So, loans above 3 lakh is 27%. Between 1 lakh and 3 lakh is 38 %. And less than 1 lakh, it is

35%.
Moderator: Thank you. The next question is from the line of Arul Selvan from Independent Advisors Private Limited . Please go ahead.
Arul Selvan: I had just a few questions . I was actually going through the performance of your microfinance subsidiary , and one thing that really stands out here is that over the last two , three years , there has been a substantial , you know, improvement in the quality of your microfinance loans in the asset quality . I was just wondering , you know, have there been some learnings , have there been some changes in your strategy ? Is this kind of the quality that you expect to kind of , you know, maintain going forward ?
George A. Muthoot: You have put a right question . Yes, we would like to maintain this as this , but then these are the lowest , lower end of the pyramid , lower end of this list. As long as there are no big hiccups coming in the market , I think we should be able to maintain this .
Management: One differentiation with the S HG model . That is unlike the other microfinance companies, the focus is here more on the SHG model. So, that's SSG model. Normally, other microfinance companies are on the JL G. So, that's one thing which is working with the thickness as well as the regional h abits of the SHG groups are better than the JL G model . So, that's one reason. Of course, the other some tweaking and digital models, a ll those things have helped us to improve the collections also .
Arul Selvan: So, could you just explain a little bit more about the difference between I am guessing when you say SHG, you mean self-help group versus , you know, joint lending groups , right ?
Management: Yes, the SHG actually , this is a bigger group of people. They have been trained a little bit on how to make an earning as well as savings e tc. And then only the money is le nt. So, after six months paid work by the hand -in-hand group only the money is lent. And the other one , just a borrower directly comes . Borrower take the loan and then the number of team also is lesser . Maybe there will be seven members while the S HG, the average in 20 members . So, there is a difference . The thickness as well as the lending, the first one is not a lending. It's a saving and it will be their….
George A. Muthoot: Something like a few months seasoning is there .
Management: Yes, seasoning is there .
George A. Muthoot: Yes, before the loan is given. That is the difference between SHG and JLG. So, the thickness collection . And we have another differentiat or also. Unlike other microfinance company, we

have a branch model where people have to come and present it. Other, most o f the other microfinance companies, they don't have a, their collection executive just goes into the field and collects it. So, I think those two are the one differentiator with the other microfinance companies.
Arul Selvan: And any learnings in the last two , three years ? I mean , anything differently that you have done , you know, which could kind of indicate that there is improvements and that will sustain , this sort of levels will sustain ?
George A. Muthoot: Yes. Only that demonetization etc., it's a tough question.
Arul Selvan: So, actually that brings me on a slightly related question . I also noticed that the AUM s of your housing and your two -wheeler portfolios have , you know, shown a substantial improvement increase . Is there any guidance that you would like to give in terms of how much of a increase that you expect for FY '24 in these portfolios ?
George A. Muthoot: In the housing side, in the housing finance, I think we have given a guidance of 1,800 crores to 1,900 crores by the end of th

e yea r.
Arul Selvan: Microfinance and two-wheeler, sir?
George A. Muthoot: Two-wheeler I think it's very , very modest . Very modest.
Arul Selvan: And microfinance , sir?
George A. Muthoot: Microfinance I think they want to reach about 9,000 crores. That's about 10,000 crores we would like to reach about. That's something the guidance they had told by the end of the year, 9,000 crores.
Management: 9,000 crores we should take.
Arul Selvan: And one last question , sir. Not that I am complaining , but any particular reason for the cash levels to have decreased to these levels ? I think , two, three years back , the total amount of cash that you have maintained was much higher and now , you know .
Management: Because everyone was complaining about excess liquidity, we also wanted to reduce. Of course, the loan growth has also started coming in . Look at the last two quarters , we have grown almost like 9,000 crores, 10,000 crores. So, that reduce the excess liquidity .
Arul Selvan: No, I understand , but my la rger question here is that are you comfortable with the liquidity levels at where they are currently or do you plan to kind of get back to what it w as before?
Management: for 14 days t his is a liquidity level which is comfortable . We keep on raising funds which should meet the growth requirement .

Arul Selvan: No, I mean , I was more wondering whether at these levels , you know, you are able to be comfortable , because the last time I think what sir was saying was that unless you have a substantially higher amount of cash available , it gets difficult . The bargaining power is not very high with the banks . I was wondering whether if you are able to continue borrowing , you know, from other sources at these levels , that was…
George A. Muthoot: Yes, it's not an issue . It's also a good level . Very , very decent level because I don't want to name . There was some reports of some companies who are having alm ost similar AUMs etc., with a very low cash in hand . So, still we are much better .
Moderator: Thank you very much .
George A. Muthoot: Probably, all the questions might have been answered by now.
Moderator: Actually , that was the last question in the queue . There are no further questions . I woul d like to hand the conference back to the management team for any closing comments .
George A. Muthoot: So, from the management side , thank you , and probably , we will continue . We will put in our best efforts to do better and better quarter -on-quarter . We value your suggestions and your comments . Please keep us well informed of such things , and we will from our side see that we do the best for the company and best for our new investors also and all the other stakeholders . We will be doing our best going forward . Thank you for the support and thank you for the patien t listening.
Management: Thank you , Sanket, for organizing the call. DAM Capital.
Moderator: Thank you very much . On behalf of DAM Capital , that concludes the conference Thank you for joining us . Ladies and gentlemen , you may now disconnect your lines.

Call: Nov 2023

“Muthoot Finance Limi ted
Q2 FY '2 4 Earnings Conference Call ”
November 09, 202 3

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MUTHOOT FINANCE LIMITED
MR. OOMMEN K. MAMMEN – CHIEF FINANCIAL
OFFICER – MUTHOOT FINANCE LIMITED

MODERATOR : MS. SHWETA DAPTARDAR – ELARA SECURITIES
PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Muthoot Finance Q2 FY '24 Earnings Conference Call hosted by Elara Securities Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Shweta Daptardar from Elara Securities Private Limited. Thank you, and over to you, ma'am.
Shweta Daptardar: Thank you, Lizann. Good evening, everyone. On behalf of Elara Capital, we welcome you all to the Earnings Conference Call of Muthoot Finance to discuss the Q2 FY '24 performance.
From the esteemed management team today, we have with us Mr. George Alexander Muthoot:, Managing Director; Mr. Alexander George, Whole-Time D irector; Mr. George M. Alexander, Whole -Time Director; Mr. George M. George, Whole-Time Director; Mr. George M. Jacob, Whole -Time Director; Mr. Eapen Alexander, Executive Director; Mr. K.R. Bijimon, Executive Director; Mr. Oommen K. Mammen, Chief Financial Officer.
Without much further ado, I now hand over the call to Mr. George Alexander Muthoot for his opening comments, post which we can open the floor for Q&A. Thank you, and over to you, sir.
Oommen K. Mammen: Thank you, Shweta. And this is Oommen, CFO of Muthoot Finance. Welcome, everyone, for the analyst call. I -- first of all, let me apologize for the 30 minutes delay. So there was some delay in terms of filing and conclusion of the Board meeting. So because of which we could start with a delay of 30 minutes, I apologize for the same. And anyway, we have a good attendance in spite of that. Thank you for the support. I now request MD, sir, to start the call.
George A. Muthoot: Thank you. Good evening once again. Once again, apology for the delay. So we just had concluded our Board meeting, and Muthoot Finance Board meeting. The performance ended -- for this half year ended September 30, I would like to present before you. Our consolidated loan portfolio has shown an increase of 24% year -on-year and now stands at INR 79,493 crores. We have also very -- we have highest ever gross gold loan advance in any first year -- first half of the year of INR 84,742 crores gold loan advances in the first half of this year.
Also, gold loan advances to new customers is a lso on a record high of INR 8,109 crores for this

half year. This half year, our gold loan portfolio has grown by INR 5,642 crores, and the increase in gold loan portfolio year -on-year stands at INR 11,016 crores. The consolidated profit after tax year-on-year stands at -- for the half year stands at INR 2,140 crores. And the standalone stands at INR1,966 crores. Our interest collection has been all -time high in any half year at INR 5,447 crores.

Coming to the subsidiaries. Belstar Microfinance has an increase in portfolio of 53% year -on-year and now stands at INR 7,874 crores. And the increase in loan disbursement is 76% year -on-year, stands at INR 4,294 crores, and the increase in profit after tax 284% year -on-year at INR 135 crores. Muthoot Home Finance, the inc rease in loan portfolio is 14% and stands at INR 1,616

crores, and the increase in the loan disbursement 164% at INR 278 crores. There is an increase in profit after tax at INR 9 crores.

The insurance brokers have shown an increase in total revenue and stands at 47% -- INR47 crores, and the increase in profit after tax now stands at INR 25 crores for the half year. Asia Asset Finance, which is a Sri Lankan subsidiary, there's an increase in profit after tax , 31% quarter -on-quarter at LKR

7.2 crores, increasing branch network, the branch network now stands at 80 branches. We opened 331 new branches by the group in the half year, raised INR 700 crores through the 32nd public issue of secured nonconvertible debentures, which was oversubscribed on the first day of the issue.

Muthoot Finance Limited, in terms of gold loan portfolio registered a profit after tax of INR 1,966 crores for the half year as against INR 1,669 crores in the previous half year, which is an increase of 18% year -on-year. The profit after tax for this quarter stood at INR 991 crores as against INR867 crores in Q2 of the last financial year, shows an increase of 14% year -on-year. Loan assets stood at INR 69,000 crores in the half year as compared to INR 57,230 crores in the last half year, registering a growth of 21% year -on-year. During this half year, gold loan assets increased by INR 5,642 crores, showing a growth of 9%. And during this quarter, the gold loan increased by INR 1,478 crores.

The Belstar and Home Finance and Muthoot Insurance Brokers and the Asia Asset Finance, I've just discussed with you, I don't think there is anything more in that to discuss at least we will wait for your clarification and questions.

Oommen K. Mammen: This is Oommen again. You can download the investor presentation on the BSE site. I think it's already I can see that it is there. And NSE also it is already uploaded.

George A. Muthoot: I think that concludes my initial opening remarks. I now leave the floor open for questions and clarifications.

Moderator: Thank you. The first question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Sir, so this time on a sequential basis, the AUM growth is only 2% Q -o-Q. So any comments on outlook for the next few quarters? A nd why it looks a bit subdued compared to banks who have grown their gold loans aggressively?

George A. Muthoot: Yes. This quarter, the growth in gold loan is 2%, which is INR 1,478 crores. That's not a bad growth. And for the first half year, the total growth in the first half year is 9%, so the half year, 2 quarters together, it is 9%. And we had given a guidance of 15% to 20% for the full year. I think we stand by it, and we should be able to achieve the 15% to 20% by the year ending.

Mahrukh Adajania: Okay, sir. But did you in the second quarter or so far in the third quarter, how do you see competitive intensity from banks? Is it remain more or less similar to the last 2 quarters? Or has it increased?

George A. Muthoot: No, I don't think there is any inc rease in for competitive intensity. In fact, as I said last time also, some of the competitive intensity or the -- what should I say, the bank's appetite and enthusiasm for gold is not as much as there as we have seen last year.

Mahrukh Adajania: Okay, sir . And my last question is on margins. So what would the outlook be because margins have declined sequentially in the second quarter. So where do you see the cost of funds and yield both settle? And what explains the kind of pressure on yields this quarter?

George A. Muthoot: See, our yield last year same quarter was -- or our interest spread was 9.4%. In the quarter 4, it was 10% -- 10.4%; in quarter 1, it is 9.67% and now it is 9.19%. So we expect to maintain the

yield around this level, 9% level is what w e should be able to maintain. That's the interest spread.
So there is no pressure on yields, et cetera. But then as the book grows, definitely, the yields cannot -- the spread cannot go up substantially, but we will be able to maintain this 9% to 10%
yield -- spread going forward also.
Oommen K. Mammen: And to -- adding to what MD sir has mentioned, you might be knowing that our policy is to derecognize the interest accrual once an account becomes an NPA. So there has been an increase
in the NPA. Of course, w

e had sold a certain portion of the portfolio to ARCs. But whatever new
NPAs have happened, and to that extent, the interest reversals have happened. So this has also -- this is also a reason why the yield is slightly lower, otherwise probably could have been more
closer to the numbers which we have seen in first quarter.
Moderator: The next question is from the line of Nischint Chawathe from Kotak Institutional Equities.
Nischint Chawathe: Just serious on the ARC sale, how much would you have sold? And w hat would be the financial implication of this?
George A. Muthoot: Yes, the amount of loans sold to the ARCs, INR 700 crores. The main reason for this is Muthoot has always maintained a customer -friendly policy with regard to its gold loan customers. So
when technically a loan becomes an NPA, maybe 90 days after the due date, it has -- it becomes
an NPA in our books. And we have to maintain the NPA rate also. So we have to either auction
the gold or the customer is not coming and he's requesting for more tim e, we are unable to give
him that time because we've given the time, the NPA will go out.
So in order to reduce the NPA to manageable for a reasonable level, we sold the portfolios to
the ARC. But in this case also, the customer's gold is not auctioned. H e gets definitely better
time to release -- some more time to release the gold. Otherwise, the option would have been to
auction the gold.
So as I said earlier, our stated policy is that we will be a more customer -friendly company and
try to retain the go ld as far as [inaudible 0:13:29] to retain this in the ARC's book. Now although
we have given to the ARC INR 700 crores, as of date, of this INR 700 crores, more than INR 250
crores have already been...
Oommen K. Mammen: [INR400 crores]...

George A. Muthoot: Is released, about INR 250 crores to INR 300 crores is already released, as we speak, in the last 1 month, 1.5 months this much has already borrowed. So we were able to support so many
customers. That's definitely, we would -- we see that it is a bit support we did to the customer.
And all the transactions were done within the regulations, and we are well within the regulations
on that.
So -- finally, when we look at it, we have been able to help our customers. We have been able
to help our customers by not auctioning their gold. I'm sure in the next few months, most of the
-- 90% or 95% or 100% of these loans, the customers will take back. And then when we look at
what we have benefited from it, we have benefited from 80,000 customers whose gold we have
not able to -- we did not have to auction. That is the reason for that. And then that has been very
well appreciated by our customers themselves.
Oommen K. Mammen: So the transaction was securitized perfectly in line with the RBI regulations. So this policy is in the boundaries of the RBI regulations. And for us, it was an innovative structure and probably
for the first time we have done this transaction. So for us also it was a learning experience.
Certainly, the most important thing is supporting the customer s and the 88,000 customers benefit
is we could manage the NPAs at the same level. Of course, our NPL doesn't translate to a loss.
But sometimes we have to provide comfort to some of the people who raises too many questions
on NPA numbers. So that is the re ason why we have done this transaction.
George A. Muthoot: But finally, we were able to get 88,000 customers.
Management: People are already benefited. They have released the gold and redeemed the gold.
George A. Muthoot: Okay. And I hope the question is clear.
Nischint Chawathe: This, I think, helps actually to understand why you did it. But just a very simple point, I think
I'm asking is what is the financial implication, is it kind of leading to some x crores of interest
reversal because you mentioned t hat

somewhere you got was subdued. Out of the INR 700 crores,
how much capacity do you have? Are they included in the loans under management? I think just
basic accounting, which sort of helps us understand the financial implication of the transaction.
Oomm en K. Mammen: Okay. So the interest reversal has happened not because we have done an ARC transaction.
Interest reversal happened the moment the loan account becomes an NPA, that is we give the
loan for a period of 12 months, 3 months from 12 months, that is after 15 months, anyway, the

account gets classified as an NPA. So ARC transaction is done for transfer of NP assets, not the good accounts. So since it's already reversed, that reversal in any case would have happened.
Then the transaction value has happened at part because it's the first time we were also not -- everybody -- all parties have to be comfortable with the transaction. And there are certain returns which go to the ARC, but that is only expense we incur because it was 85% -15% transaction, 15% is contributed by ARC. So to that extent, the ARC gets the benefit, and that is only extra cost. But of course, for us, it's a very negligible amount. We will get our yield as it was there in our books.

Nischint Chawathe: So for the INR 600-odd crores, and I think INR 100 crores would be, I guess, the ARC, and I guess you have here. So you would have -- it sounds like around INR 600-odd crores. So that is something which is sitting in the loans and -- I mean, sitting in the gold loan book or is it outside of the gold loan book?
Oommen K. Mammen: So it is under the investment because as far as we have shown as an investment.
Management: Not under the loan.
Oommen K. Mammen: Not under the loan book.
Nischint Chawathe: Very, very technically, if I add that back, maybe your loan growth would have been slightly higher?
Management: You are right. You are right.
Oommen K. Mammen: Yes. So the INR 1,428 crores of gold loan growth is after excluding the ARC sales. So if we must gross it up, then probably it is INR 2,100-odd crores.
Management: Yes. You're right.
Oommen K. Mammen: But I'm not sure whether it is...
Management: IWe are not doing it in the court .
Nischint Chawathe: Sure. So this helps. Just one final question is, Oommen, if you could give some outlook in terms of where the borrowing cost in gold loan settled?
Oommen K. Mammen: Sorry?
George A. Muthoot: Borrowing cost...
Oommen K. Mammen: So borrowing costs, I think we are having around -- the cost is around 8.46%. Most of the banks, the NPA are around 8.55, 8.6 percentage level. I think now we will move towards 8.6%. After that, I don't think there will not be much increase unless the banks also revises the interest rates.
Moderator: The next question is from the line of Piran Engineer from CLSA.
Piran Engi neer: Congrats on the quarter. Just a clarification on the previous question, this ARC sale happened in October, right?
Oommen K. Mammen: No, September end.
George A. Muthoot: September last.
Oommen K. Mammen: September 27, I think.

Piran Engineer: Okay, o kay. And so -- but our NPLs are still not gone down by INR 700 crores, it's down by only about INR100-odd crores. So it basically means that there is a further slippage of INR 600 crores during the quarter.
Oommen K. Mammen: Yes, correct.
George A. Muthoot: I think none of these are loan loss assets. Everywher e -- actually, we are in the money.
Piran Engineer: No, no, which is fair, which is fair. And I just wanted to understand, sir, that INR 250 crores, INR300 crores, which has been recovered, how has that been recovered finally?
George A. Muthoot: The customers come and release the gold...
Oommen K. Mammen: See, that is the entire purpose of doing the ARC sale, right?

So if you wanted to reduce the NPA, you should have done the auctions before September 30. Then there has been a disruptive process for the customer. Because of the gold price, we are always in the money. And if you sell the jewellery , customer is going to lose ornament and of course, he is on the surplus. But for him, it is a loss of his personal ornament. So of course, he made the request also to not to auction it because of the collateral valu e.
All these customers INR 250 crores customers or about 20,000 customers have come and taken back the gold and they are so happy that they got back the gold.
Piran Engineer: No, I just...

George A. Muthoot: I just give you the principal and interest.
Piran Engineer: So the gold stays with you in your vaults?
George A. Muthoot: We are -- yes, we keep it in the safe custody with us.
Oommen K. Mammen: Collection arrangement.
George A. Muthoot: Collection arrangement...
Piran Engineer: So it does not go to the -- okay, so you're acting as a servicing agent for the ARC in such a case?
Oommen K. Mammen: That's correct...
George A. Muthoot: That's the correct way of thinking of that.
Piran Engineer: Okay. So then just going back to the fundamental question, the customer when he was -- an NPA was not paying you back. And then what changed that he suddenly started coming to pay you back? Just that you've told him that now we've sold your loan to an ARC. So he comes and pays you back?
George A. Muthoot: No, sir. In th e last -- after 12 months, every month, so many customers come and pay. For these customers also would have paid in 16 or 17 months, he would otherwise without doing anything.

So he would have come and paid in 16 months. If it is a not an NPA, he would hav e paid in the 16 or 17 months, only that has happened now. Nothing else has happened.
Oommen K. Mammen: In this case, and in one case, I suppose the customer is expecting the cash inflow to come in the 16th month. And had we auctioned -- at the end of 15th month, he would have lost the ornament. So we gave him some extra 1 month time, he could come and take back the ornament after repaying the dues. So that is a benefit which we have passed on to the customers.
George A. Muthoot: It's not that we are trying to do things that you have gold loan to ARC, et cetera, no. So otherwise, the normal course, he would take 16th and 17th month.
Management: That is what has happened. One of the USPs at Muthoot is always that we talk to customers, it will not be -- the go ld will not be -- we will not get easy auction. That's the...
Oommen K. Mammen: This is the maximum rate. That is...
Management: We use the maximum guidance...
Oommen K. Mammen: That is why we for the customer perception of what Muthoot is that we are a ve ry customer -friendly company as regards retaining this gold with us without auctioning it very fast.
George A. Muthoot: Compared to other players, the complaints are very low because the auctions are less or -- that is the one complaint normally in the gol d loan company. My gold is auctioned early without asking me or I've asked you some time, you didn't give, that is a major reason for complaint, and these customers -- example, 80% of customers, already 24,000 customers have taken back their gold. We have auctioned off, they would have all ended up with the complaint or they would have had hurt feeling.
Piran Engineer: Okay. No, sir, that I totally agree but it's a customer -friendly organization, and this is slightly digressing, but now how does the ARC then make profit if it is paying you the full value, the book value of the loan?
Oommen K. Mammen: So they put 15%. On 15%, they get a higher yield, which is actually the cost for us.
Moderator: The next question is from the line of Kunal Shah from Citigroup.
Kunal Shah: Yes. So sorry, again to touch upo

n in terms of the write -off, given that Stage 3 is still more than 4-odd percent. Was this more kind of a one -off or we will continue to resort to write -off in the coming quarter -- maybe sorry, sale to ARC in the coming quarters as well?
George A. Muthoot: We can do auctions also, we can maybe persuade customers to come and take it back also. If it is required, we'll do whatever is necessary in that.
Kunal Shah: Okay. So if there is a demand, maybe given 4% Stage 3, we may continue with sales to ARCs?
George A. Muthoot: No, it's something a decision which we need to take later. As we go forward, we will take that decisions as well.

Kunal Shah: Okay. And the entire Stage 2 movement which is there, maybe almost from INR1,400 crores to INR700-odd crores, is what -- was there a forward flow into Stage 3 because there was an increase of INR 600-odd crores in Stage 3. So were there hardly any upgrades coming through in this Stage 2 accounts?
Oommen K. Mammen: This quarter, et cetera.
George A. Muthoot: Upgrade and downgrade, sir, what is that?

Kunal Shah: No, no, I'm saying last quarter, Stage 2 was INR 1,400 crores. Now it is down to INR 700 crores but it seems larger part of it has flown into Stage 3, okay? Because ev en after selling to ARC, Stage 3 is down only by INR 100-odd crores. So INR600-odd crores would have moved from Stage 2. So then this Stage 2 is not actually getting upgraded to Stage 1, but it is more slipping into Stage 3. Would that be a fair assumption?
Oommen K. Mammen: Okay. Kunal, two things I just want to know. See, because there are so many questions around this Stage 3. Even after repeatedly we are saying that, no, our Stage 3 doesn't translate loss. Too many questions, everybody raises concern. Sometimes we are also worried why the analyst community is asking too much questions on gold loan NPAs. Even though we don't incur a loss.
So that is also one of the reasons why we have done this ARC transaction. Now specifically, you are asking why is there is no upgrade because our loans are all bullet repayment loans. There is no question of upgrade. It's not an EMI product, right? So we need the loans for 12 months. After 12 months, he is required to repay the loan. Even if he's...
Kunal Shah: Yes. So you said he had to repay, okay. So either get repaid or you may sell or maybe it will get recognized. Yes.
Oommen K. Mammen: So the only option is for him is to repay the principal and interest. There's no option of upgrade because it's not an EMI product.
Kunal Shah: Okay. Okay. And one last question in terms of loans, this gold pledged, okay, so that will still exclude the sale to ARC amount? Because you said like it still continues with you. So gold pledge number will not help this sale to ARC? Or it will still continue to have that sale to ARC? In tonnes, what we reflect as a gold pledge number that will not have the sale to ARC number?
Oommen K. Mammen: That's correct. So the loan outstanding, which we have shown in our presentation and the balance sheet , it doesn't include the ARC amount of [INR100 crores] . It also doesn't -- the tonnage also does not include this...
Kunal Shah: Okay. Perfect. Yes. Okay. So 183 tons doesn't include this ARC thing?
Oommen K. Mammen: Correct.
Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal.
Abhijit Tibrewal: Sir, I mean I think you've asked -- answered this question a couple of times that, I mean, this ARC sale was done to kind of manage the NPAs, and the fact that, I mean, you are not at a loss,

even if there are NPAs. Just wanted to understand, sir, why are these slippages happening? Why is it that customers -- and so many customers not kind of able to repay their gold loan at the end of 12 months, not able to pay them

at the end of 15 months and subsequent to that, they become an NPA. I mean what is the underlying stress out there, which is not allowing customers to kind of repay their principal and interest and take their gold jewelry back?
George A. Muthoot: This is actually -- gold loans are actually a bullet repayment loan. They take a loan thinking that they can get some money in 1 month, 2 months, 3 months. The money -- 95%, 96% of the customers take back their gold before 12 months. Only 2% to 3% of them go beyond 1 year. This is nothing new. This has been happening for decades. This is what happens in decades. Now the question is whether we need to be harsh on these customers and auction the gold. Why stress is happening? It is because they are in financial difficulties that they have taken a gold loan, and they've taken this not an EMI loan. So he's waiting for a full repayment together, bullet loan. As and when they get the money back, they are repaid. So there is nothing new that today there is some stress is happening. So mark et practice.
So finally, he's not able to take it at all, then it will get auctioned. That's all. So there is nothing new, th is time or any time . They have always a cash flow issue. So when the cash flow issue is better, they will take it back. When the c ash flow issues being extended, extended, et cetera, different customers they may not be able to take back in the time of 7 months or 10 months or 12 months. It will go to 13, 14, 15, 16, 17 months. That's what happens. There's nothing new here. No new...
Abhijit Tibrewal: So essentially, the cash flow issue that the customers have is much more pronounced today vis - a-vis what they used to be past because if you just look at the NPA numbers, I mean they are alleviated versus what they used to be in the past.
George A. Muthoot: So many different customers, so many small, small, 50,000 loan, 20,000 for customers. So nobody...
Oommen K. Mammen: We have around 84 lakh loan accounts, 55 lakh customers. We don't assess the cash flows of the borrower at the time of giving a loan. So probably a customer is coming and taking the loan for 3 months, another customer will be coming and expecting cash flow to come in 6 months.
Another customer is expecting the cash flow to come in 11th month. Another customer might be expecting somewhere around 15 months, 16 months. We are offering a standard product of 12 months because we don't know the cash inflows.
The customer is expecting that because this collateral is good, he'll be able to repay when the cash inflow comes. Now at

different points of time, we can be flexible to these customers by offering extra time. It is not a reflection of the stress of the borrower. No, it is more because --
no, we are not aware about when these cash flows are going to happen for repayment.
Abhi jit Tibrewal: And my final question is again on your yields and spreads. So first is a data -keeping question. If you can just quantify the interest income reversal for this quarter and last quarter so that we can calculate the yields excluding the interest income reversal? And sir, secondly, the second question again on spreads, sir, somewhere we kind of acknowledge that banks enthusiasm for

gold loans is not as high yield as last year and maybe an inference of this is maybe the competitive intensity also n ot high -- not as high as last year. But at the same time, somewhere -- our yields or our spreads are moderating. I mean, this quarter, I mean, spreads of almost 9.2% and where we earlier used to be spreads of 10%. Somewhere, I think there's an acknowledgm ent that I'm seeing that spread could now further decline to 9% as well.
Oommen K. Mammen: So of course, we generally don't give a guidance on the yield. Mostly, we talk about return assets. Our -- we always give a guidance of around 4% return assets in th e medium

term. Because we
are able to generate a higher return assets in the short term. And we continue to focus on that, because it's a short -term loan -- because it's a large volume, small ticket size loans, we had to offer various schemes in different markets at a different rates. So the yield sometimes can vary. I don't -- customers are also becoming more knowledgeable about the interest rates. So they also expect a better deal from us.
We being the largest player, we always try to offer a better deal with the customers. So we focus more on retaining the customers because of this deals are supposed to come gradually over a period of time. Though in the short term, we have continued to generate a higher return assets. I think this quarter, it's around 5.8% -- 5 point something return asset. So in the current quarter also, I think it is more or less in line with the first quarter, except for the reversal would happen. You're asking also on the interest reversal, I think it should somewhere around INR 100-odd crores, so I don't have the exact number. It should be around INR 100-odd crores the reversal should have happened. So -- that is the I think we'll be able to maintain the same levels of fee for some more time. So that's why we give a medium -term ROA ta rget of around 4 percentage in terms could be -- I think maybe about 5 years, I think there is a minimum level we try to maintain, of course. Currently, we have a higher ROA level.
Abhijit Tibrewal: Sir, what's the INR 100 crores this quarter? What was the interest rate income reversal in the last quarter?
Oommen K. Mammen: I don't have exact numbers, but no, it's around those levels.
Moderator: The next question is from the line of Raghav Garg from AMBIT Capital.
Raghav Garg: Just wanted to harp on the same question again with respect to the decline in yields. So one of our larger peers this quarter had seen able to increasing yields on a quarter -on-quarter basis. We are given to understand that this is a product where one can exercise pricing power since it 's an emergency loan. So in that context, I wanted to understand whatever you are doing to retain customers, probably offering him a lower rate, is this more an outcome of the competitive intensity that we are seeing? Is that what it is? And then my follow -up question would be, where do you see yields going from here on at least for the next couple of quarters?
Oommen K. Mammen: So if you look at the first 6 months, the disbursements to new customers having the highest in any -- in first half of Muthoot Fin ance history. So we are getting a good number of new customers. Our focus is always on increasing the AUM to new customer acquisition as well as win back of existing customer base, personally do not have a -- currently don't have a loan

account. So that is our primary objective. Of course, yield comes secondary because we are currently generating a good return to our stakeholders. So the focus certainly is on increasing the yield.
George A. Muthoot: So anyway, to answer your question, our yield will not dec line or change substantially. It would remain almost the same, maybe 10, 15 basis points here and there, that's all, nothing more than that.
Raghav Garg: Would you say there is some geographic color to the competitive intensity probably out is one where yo u're witnessing a much higher level of competition say, from regional banks or some of the other players which are smaller than you ? Is that the case?

Oommen K. Mammen: No. No. No.
Raghav Garg: Okay. And just last question for your gross loans under manage ment, 675 million that you reported on Page 32 of the presentation, that does not include the portfolio sale, right, of INR 700 crores.
Oommen K. Mammen: Yes, it does not include, yes.
Moderator: The next question is from the line Shubhranshu Mishra from PhillipCapital
.
Shubhranshu Mishra: The first one is around what is the quantum of interest reversal? The second is, what prompted us to do this ARC sale? This is the first of its own kind. And any which way we have -- you're negotiating with the customers to come and get their gold loans -- gold collateral back which we used to do any which ways using auctions. So why don't we choose this path of ARC sale and not doing auctions? What was the thought behind that? And what is the quantum of interest reversal ?
George A. Muthoot: I think you were not there earlier. We have explained all this in the earlier discussion -- earlier questions. We have actually fully answered why we give this, et cetera. It's available there anyway. Very quickly, during the ARC trans action, we are able to retain the gold of the customer who has requested not to auction, so that we were not able to auction it. We don't need to auction it. Auctioning means the customer loses the gold. His precious ornaments is lost. We're actually givin g a very good customer -- or should the customer friendly approach for which -- so many customers are appreciating.
Shubhranshu Mishra: What is the quantum of interest reversal?
Oommen K. Mammen: Earlier, I had given this to play. I think it should be arou nd INR100-odd crores. I don't have the exact numbers.
Moderator: The next question is from the line of Mona Khetan from Dolat Capital.
Mona Khetan: So I have this question on the yields. So essentially, at a previous call, you had indicated that with rise in cost of funds, you will eventually have high yields as well? Or rather you will pass

on some of the interest rate hikes to customers. So have you seen anything? And could you give some color to the extent of lending rate hike, if anything?
George A. Mut hoot: So there was no substantial hike in the cost. So only when there is a substantial hike, we need to pass it on to customers. It is only a few basis points hike, which we thought we could absorb.
Mona Khetan: Okay. So there is nothing in the pipeline in terms of rising because H1, we have seen about 45 bps rise in lending rates -- sorry, cost of funds.
George A. Muthoot: No. I think our CFO earlier explained also we don't see a big spike in the lending rate going -- in the borrowing costs going forward. It will be almost the same, maybe small 10, 15 basis points. That's all.
Mona Khetan: Okay. Okay. So just in one of the previous questions you mentioned that the interest -- the decline in the lending yields that you had this quarter, it's not probably be cause of the interest reversals because the NPA -- the hike did not happen this quarter. So what is resulting in this still yield decline for us? Is it the lower rates offered to customers to retain them?
George A. Muthoot: These are all short -term loans w e give for -- the loan period is usually 3 months, people take back the loan in 3 months, etcetera. New loans are given. Small interest variations happen. It's not that we are giving it 20 -year loan, et cetera, to the customers. It's a very short -term loan and the loan period, which actually loan exists in our books, sometimes it's only 1 month, 2 months, because it is so short, small variations in the interest will definitely affect on the overall yield. It's all small, very, very minor change.
Mona Khetan: Sure. So your rate guidance now comes down to 9% to 10%. Is -- did I hear that right?
George A. Muthoot: 90?
Mona Khetan: The guidance on spread, does that come down to in the range of 9% to 10% versus over 10% earlier?
George A. Muthoot: Yes, yes. It is always between 9% to 10% only. It is now on the lower side of 9% to 10%. Sometimes it is on the higher side of 9% to 10%.
Moderator: The next question is from the line of Dhruv Saraf from Manyavar Family Office.
Dhruv Saraf: Just wanted some color on the run rate of dis

bursements. So for the last 3 quarters, what you've seen is in Q4 of FY '23 and in Q1 of '24, the average disbursement for the quarter was around INR50,000 crores plus the gold loan portfolio. And if I were to look back this quarter, we had around INR30,000 crores, INR 32,000 crores. So can you just shed some light as to what's happened and why is the run rate come down despite gold prices kind of not being stable than where they were?
Oommen K. Mammen: So if you look at last year, we had a lower growth because of various reasons in the first quarter,

we were focusing on migrating the teaser rate customers. We also had a little bit of auctions during the first quarter. Second quarter, we had some salary because we sold a lot of unhealthy

practi ces by banks, which are affecting our business opportunity. We don't want to elaborate on what banks were doing and currently doing. And in the third quarter, we again started seeing growth. Because we lost almost 3 quarters, we went all out to the market in the fourth quarter. And we did an aggressive scaling up of our book. We did a lot of top- ups.

In the first quarter also, we continued that momentum. This quarter also, we did and we can do about INR1,000 -- close to INR 1,500 crores of growth, which is not a bad growth. And that is -- the growth path we have followed in probably last 12 to 18 months. So if you do a top- up, what happens is it has like a rollover of the existing loans. So because of this, the advances sometimes, it will be higher.

Moderator: Ladies and gentlemen, that is the last question. I now hand the conference over to Ms. Shweta Daptardar for closing comments.

Shweta Daptardar: Thank you, Olizan. On behalf of Elara Securities Limited, we thank the management of Muthoot Finance to provi de us the opportunity to host the earnings call. Thank you, team. Thank you, all.

Oommen K. Mammen: So thank you, Shweta. Thank you, everyone.

George A. Muthoot: Thank you, Shweta. Thank you, all.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Elara Securities Private Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2024

Ref: SEC/MFL/SE/202 4/5022
February 20, 2024

Natio nal Stock Exchange of India Ltd.
Exchange Plaza
Plot N o. C/1, G Block
Bandra - Kurla Complex
Bandra (E), Mumbai - 400 051
Symbol: MUTHOOTFIN Department of Corporate Services
BSE Limited
P.J. Tower, Dalal Street
Mumbai - 400 001
Scrip Code: 533398

Dear Sir/Madam,

Sub: Transcript of the Analyst Call

In continuation of our letter dated February 10, 2024 and February 14, 2024 , and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the analyst call made on February 14 , 2024, on the Unaudited Financial Results (Consolidated and Standalone) of the Company for the quarte r and nine months ended December 31 , 202 3, has been uploaded on the website of the Company and is available at https://cdn.muthootfinance.com/sites/default/files/files/2024 -02/14 -feb-24.pdf

Thank You,
For Muthoot Finance Limited

Rajesh A
Company Secretary
ICSI Membership No. FCS 7106

"Muthoot Finance L imited Q3 FY24 Earnings
Conference Call "

February 14, 2024

MANAGEMENT : MR. GEORGE ALEXANDER MUTHOOT – MANAGING DIRECTOR , MUTHOOT FINANCE LIMITED
MR. ALEXANDER GEORGE – WHOLE -TIME DIRECTOR
MR. GEORGE M. ALEXANDER – WHOLE -TIME DIRECTOR , MUTHOOT FINANCE LIMITED
MR. GEORGE M. GEORGE – WHOLE – TIME DIRECTOR , MUTHOOT FINANCE LIMITED
MR. GEORGE M. JACOB – WHOLE – TIME DIRECTOR , MUTHOOT FINANCE LIMITED
MR. EAPEN ALEXANDER – EXECUTIVE DIRECTOR , MUTHOOT FINANCE LIMITED
MR. K R BIJIMON – EXECUTIVE DIRECTOR , MUTHOOT FINANCE LIMITED

MR. OOMMEN K. MAMMEN – CHIEF FINANCIAL
OFFICER , MUTHOOT FINANCE LIMITED
MODERATOR : MS. RATI PANDIT – NIRMAL BANG INSTITUTIONAL
EQUITIES

Moderator : Ladies and gentlemen, good day, and welcome to the Muthoot Finance Limited 3Q FY '24 Earnings Conference Call hosted by Nirmal Bang Institutional Equities .
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Rati Pandit from Nirmal Bang Institutional Equities.
Thank you, and over to you, ma'am.
Rati Pandit : Thank you, Rico. A very good evening to everyone. On behalf of Nirmal Bang Institutional Equities, we welcome you all to the 3Q FY '24 Earnings Conference Call of Muthoot Finance Limited.
We are pleased to host the senior Management of the Company , represented by Mr. George Alexander Muthoot – Managing Director; Mr. Alexander George – Whole -Time Director; Mr. George M. Alexander – Whole -Time Director; Mr. George M. George – Whole -Time Director; Mr. George M. Jacob – Whole -Time Director; Mr. Eapen Alexander – Executive Director; Mr. K.R. Bijimon – Executive Director; and Mr. Oommen K. Mammen – Chief Financial Officer.
I now hand over the call to MD sir, Mr. George Alexander Muthoot for his opening remarks, post which we can have the floor open for Q&A. Thank you, and over to you, sir.
George A. Muthoot: Good evening to all of you. This is George Alexander Muthoot, Managing Director. Thank you for participating in this Conference Call.
We just concluded our Board meeting and most of the Directors are here in this room itself. And performance highlights for the 9 months which ended on December 31st, we have an increase in the consolidated loan AUM of 27% year -on-year, which now stands at 82,773 crores. As far as the standalone loan assets under management, it has grown by 23% and stands at 71,182 crores.
The gold loan AUM has also increased 22% year -on-year, increased by 12,397 crores. The consolidated profit after tax has also increased by 23% year -on-year and now stands at 3,285 crores for the 9 -month period. The stand -alone profit after tax has also increased 16% year -on-year and for the 9 months stands at 2,993 crores.
As far as the subsidiaries are concerned, Belstar increased its AUM by 65% year -on-year, which now stands at INR 8,835 crores. The loan disbursement has also been , for the year -on-year, it has gone up by 85% and it stands at 6,776 crores. The profit after tax has shown an increase of 382% year -on-year, which now stands at 235 crores for the 9 -month period.

Muthoot Home Finance has increase in loan assets under management of 26% year -on-year and now stands at 1,783 crores. The loan disbursement has also increased by 493 crores. There is an increase in the profit after tax, which is now 13 crores for the 9 -month period.
Muthoot Money has shown an increase in the loan assets under management, 179% year -on-year, which now stands at 818 crores. The total revenue has also gone up to 82 crores, and the profit after tax is 3 crores as against a loss of 3 crores last year.
Asia Asset Finance, Sri Lankan subsidiary, has shown an increase in profit after tax and now stands at Sri Lankan Rs. 9.7 crores, and the branch network has also increased to 80 branches.
We have opened 487 new branches by the group in the 9 -month period. We have raised 480 crores through the 33rd Public Issue of Secured Redeemable Non -Convertible Debentures this quarter. And the Company and the group have received multiple industry recognitions too in this period.
I think with that opening remarks, I would like to conclude here and open the house for questions and answer

s and clarifications.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Rajiv Mehta from YES Securities.
Rajiv Mehta: So, my first question is on gold loan yields. So , there is a marginal uptick of 15 basis points on sequential basis. So , is it completely driven by NPL reduction or is there any positive impact of some change in customer segment mix or any product rate increases taken in the quarter?

Oommen K. Mammen: Being a short -term loan, it is quite usual for such fluctuations.
George A. Muthoot: It's not a substantial uptick. As you said, it's only 15 basis points.
Rajiv Mehta : And could you share the quantum of auctions and quantum of settlements done in the quarter?
Oommen K. Mammen: Auctions will be about 360 crores for the quarter . 381 crores for the quarter .
George A. Muthoot: 381 crores for the quarter.
Rajiv Mehta : And any settlement that we would have...
George A. Muthoot: We don't do any settlements.
Rajiv Mehta: And just last thing . We see a slight dip in new customer addition and old customer reactivation on sequential basis. That number is slightly dipped in this quarter. I see that as a seasonal feature also, but is it also the impact of the reduced advertisement and publicity expenses in t he quarter?

George A. Muthoot: No, I don't think it is because of that. Some of these things are seasonal also , but there has been an increase in customer addition. But probably, as you said , the...
Oommen K. Mammen: Again, the number is not that significant. You know, September quarter, the number was 3,60,000. This quarter, it is 3 ,34,000. So, it's quite usual when there is a huge churn in the portfolio. So , we deal with about 55 lakh customers . So, it is quite usual for such fluctuations.
Moderator: Thank you. The next question is from the line of Mona Khetan from Dolat Capital.
Mona Khetan: So, firstly, just referring to the ARC sale we had last quarter , so you had mentioned about 200 crores to 300 crores of recovery during Q3 itself when the last call happened. So , where does it reflect in the P&L?
Oommen K. Mammen: So, when we do an ARC sale, we invest in a security receipt in the proportion of 85% and 15%. So, they won't be invested in security receipt . It's coming as a part of investments.
Mona Khetan: So, the recoveries that you had will now be reflected in interest income as...
Oommen K. Mammen: No, in the investments. It comes as a reduction in the investments . And once it is exhausted comes as an interest income .
George A. Muthoot: Whatever is coming more than the investment will come as interest. Whatever is get more than the investment will come as interest.
Mona Khetan: It will come in the interest income. So , some of it is reflected in the interest income itself .
Oommen K. Mammen: No, that's not what we said. So , when the investment , when the security receipt completely becomes zero, whatever we get over and above the security receipt, we have to treat that as income. Till that time, we cannot treat this as an income.
Mona Khetan: So, we have not had any income from that in this quarter or how ?
Oommen K. Mammen: Yes.
George A. Muthoot: You are right.
Mona Khetan: But is anything expected in the coming quarters or something?
Oommen K. Mammen: Definitely. Definitely.
George A. Muthoot: We have around 280 crores outstanding. We hope to recover that in this quarter. If it is completely recovered, then probably we might see an income. Otherwise, it might come in the first quarter of next year.

Mona Khetan: That's clear. Because limited amount was recovered, it could not be , only the deduction has happened from investment books and nothing, no benefits in the P&L?
George A. Muthoot:

Yes.
Mona Khetan: Secondly, can you share the breakup of your loan book based on ticket size less than 1 lakh and above 3 lakhs?
Oommen K. Mammen: So, there is not material change in the proportion. I think abo ve 3 lakh continues to be 27% . Between 1 lakh and 3 lakh continues to be 38% . And the rest 35% is less than 1 lakh.
Mona Khetan: And just one more thing. So , if I have to understand the attrition levels at Muthoot, could you give some color as to what is it today? And what was it, say, a few years back, maybe 3 to 4 years back?
George A. Muthoot: Attrition , maybe after the COVID, et c., or during the COVID, attrition was fine. Prior to that, it was low. Now , I think we are almost getting back to the pre -COVID level.
Mona Khetan: So, it's back to the normalized levels pre -COVID?
George A. Muthoot: Yes, almost normal , almost.
Moderator: Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal: Sir, first question is on this ARC receipt transaction that you have done. In the notes to your financial statements, you have said that the outstanding revenue of the SR receipts have declined from 595 crores last quarter to about 228 crores or 230 crores as on December.

So, sir, if you could just explain, I mean, how is this working? I mean , essentially, when the
ARC goes ahead and does the auctions or when you do the auctions, it will reflect as a decline
in the SR receipts, is it?
Oommen K. Mammen: Yes. So, the collections we get goes to reduce the SRs. And finally, when the SRs become zero,
any amount collected after that becomes an income for us , but the collections are not actually
coming through auctions. Primarily, it is coming through repayment of loans by customers .
George A. Muthoot: Not through auctions.
Abhijit Tibrewal: So, sir, this decline from 595 crores of SRs in last quarter to about 230 crores of SR as on
December is predominantly coming from collections or basically customers coming and
repaying their loans?

Oommen K. Mammen: It is predominantly done to help the customers to give them little more time to redeem their gold.
Now as you said, 200 crores of security receipts of customers came back, redeemed their gold,
and they were saved from auction. That's the biggest advantage of the ARC transaction.
Otherwise, we should have to auction those gold. So, customers are separately happy, very much
beneficial also.
Abhijit Tibrewal: Oommen sir, like you said, whenever these outstanding SR receipts become zero, at that point
in time, whatever extra is collected will be classified as income . Because from what I recall, this
ARC transaction last quarter was done at par . So, you have received the entire principal.
Oommen K. Mammen: Yes.
Abhijit Tibrewal: Sir, one more question that I had was on the borrowing cost. This quarter around, given that you
had also raised from public NCDs, I think , the cost of borrowings have not gone up, but
otherwise, this risk weight circular that came in, I mean, most of the other gold lenders seemed
to suggest that banks are reaching out and increasing the costs, the lending rates, at least on the
incremental l ending that they are doing.
This quarter, I see our bank term loans have actually declined sequentially. So , maybe it's not
impacted as much. Going forward, how are you looking at the cost of borrowings, particularly,
I mean, borrowings from banks?
Oommen K. Mammen: So, right now, the borrowing cost as of December quarter, it is around 8.55%. I think we are
more heading towards 9%. So , probably , in the next 6 months, I think we might see moving
towards 9%, unless there is some decline happening in the general interest rate scenario.
Abhijit Tibrewal: So, actually bank borrowing cost can convert from 8.55% now towards 9%, which is the
incremental cost

of borrowing .
Oommen K. Mammen: Yes, but it can happen maybe only over the next 3 to 4 months.
Abhijit Tibrewal: And sir, my last question was again on Belstar. I mean, very good growth , very strong growth,
I would say, that we are seeing in Belstar today. So , two things . I mean, looking at the
environment today, I mean, are you not a little anxious about such strong growth, 65% kind of
a Y-o-Y growth, not on a very small base ? That is the first part of the question.
And the other one is, I mean, last maybe 4 quarters, you were seeing a continuous improvement
in asset quality. This time, there is a minor deterioration of about 40 basis points sequentially.
So, any geographies where you have seen this deterioration in asset quality?
George A. Muthoot: No. I think , see, our base was low. That is why you see the higher percentage, etc. Compared to
the total balance sheet side or asset side of Muthoot Finance, the Belstar investments or Belstar
loans are not significant for us. So , not that significant. 65% is because the base...

Oommen K. Mammen: We have opened branches .
George A. Muthoot: We have opened branches.
Oommen K. Mammen: 240 branches.
George A. Muthoot: As far as the NPA is concerned, we have not seen any particular geographies or something. This
is just part of 0.4% this way or that way. It will definitely keep on happening.
Moderator: Thank you. The next question is from the line of Shubhranshu Mishra from PhillipCapital. Please
go ahead.
Shubhranshu Mishra: The first question is around the loan book proportion you gave out what is less than 1 lakh, but
within that, what is less than 50,000? That's the first question.
Second is, what is the accrued interest?
Third is in the PPT, sir, I saw that you do use Paytm as our payment services for loan repayment.
I know we are using other Fintech companies also. But what is our dependence on Paytm? And
do we plan to stop it or alter that relationship?
George A. Muthoot: I forgot the first one. Can you just remind the first one?

Shubhranshu Mishra: What is the proportion of AUM less than 50,000, sir?
George A. Muthoot: 16%. The second one was Paytm. We also have some of others, Paytm also. I don't think it is impacting.
Oommen K. Mammen: No, no, we don't have any impact.
Company Executive: I don't think we are depending on any technology .
George A. Muthoot: No, no , we are not depending on this Paytm.
Oommen K. Mammen: We don't have any impact from th at Paytm.
Shubhranshu Mishra: Accrued interest, sir?
Oommen K. Mammen: Yes, 1,921.
Moderator: The next question is from the line of Raghav Garg from Ambit Capital.
Raghav Garg: Just two questions from my side. One is, so we have seen that there has been a lot of chatter about stress increasing in small ticket personal loans. Are you witnessing any such trends where

customers who may have taken such loans are now coming back because they aren't able to get those unsecured loans anymore as easily as before? And so , yes, should I ask my other questions or?
George A. Muthoot: Just because they a re not g etting a personal loan, we don't see any significant offtake of the gold loan. Is that what you mean t?
Raghav Garg: Yes, that's what I meant. So, generally, what we see is that...
George A. Muthoot: Probably, we have to wait some more time. If it is really going to dr y us, like during the COVID, then there will be a big demand. During COVID, personal loans sector initially dried up fully .
So, we had a good demand for gold loan at that time. Probably, we will have to wait for some more time. If it is really drying up, then people will come with gold . More people will come with gold.
Raghav Garg: Second question is , cash and investments have been increasing. So , I see that in Q1 as a

percentage of borrowings , that was, I think, 10%, 12%, then 16% in Q2, has increased to about 18%. What is the comfortable level that you would like to keep? And would you also look to utilize some of this balance for growth in the next quarter or would you borrow more?
George A. Muthoot: No, I think a certain percentage , I have always been saying that we keep a certain percentage of cash, etc ., because we are a reputed NBFC. We have a large borrowing book. So , our total borrowing is around 60,000 crores.
So, we have to keep a good amount of cash. Probably , some of it, maybe 1,000 crores, 2,000 crores can seem to be excessive, but then it is always safer or more prudent to keep little extra cash. We know it has a negative carry, but still maybe 2%, 3% carry is there, but still it gives more comfort to us.
And your final question, yes, as you have seen, we are seeing growth in many sectors now and keeping little more cash with us and also increasing the borrowing, not depending only on the cash. That would be our policy also. So , we will continue to borrow, and we also continue to have maybe a little, maybe a little extra cash with us.
Raghav Garg: Sir, my last question . In 4Q, how are you looking at the OPEX ratios? Where I am coming from is that typically, this quarter is when you see the management remuneration also coming into the OPEX line item. So , any levers we have to mitigate that? Or how would you look at...
George A. Muthoot: It will be same as any other fourth quarter.
Moderator: Thank you. The next question is from the line of Shweta Daptardar from Elara Capital. Please go ahead.

Shweta Daptardar: Sir, just two questions. One is, so this question was asked initially. So , is my observation correct that this time you have seen a very strong gold AUM growth? Of course, it's come on a little lower base of last year, but this has come despite your LTVs dropping from 70% to 65%. So , that is very commendable. But is it that reason why the new or fresh customers have dipped or the fresh renewals have not come by?
George A. Muthoot: You have put too many assumptions in this. Anyway, growth has come. Actually, LTV is going low because of the increase in the gold price. So , whenever the gold price increases, the LTV on the book definitely will come down from 75% to 70% to 68% to 60%. That's the reason for the LTV growth. Yes, new customers are coming. And what was the next thing you asked?
Shweta Daptardar: No. So, even the fresh collateral has also dipped. So , new loans by fresh collaterals...
George A. Muthoot: I think, w hen the gold price goes up, people need to be brought only lesser gold for the same amount of loans.
Oommen K. Mammen: I think tonnage remains the same, 194 tons, no?

Shweta Daptardar: Yes.
George A. Muthoot: Because when the gold price goes up, the new loans, instead of bringing 50 grams, they will bring only 48 grams.
Shweta Daptardar: Correct.
George A. Muthoot: That's it for the new one a nd this is churning so fast that the old one, 50 grams fellow will go out and the 47 grams fellow will come inside. I think you got the point.
Shweta Daptardar: Right. So , basically, the gold price has driven the gold growth largely for this quarter?
George A. Muthoot: You don't need to summarize like that. I said t he tonnage difference is what I explained.
Shweta Daptardar: Right. Also the tonnage has been steady, right. So, then how does the outlook look like in terms of competitive dynamics as on today? Because we have not seen much material improvement in yields as well. So, the going look in similar fashion, like is it going to be as healthy as on today going forward?
George A. Muthoot: Yes. See, we have given a guidance of 15% growth for the full year for the gold loan. I think we should be able to achieve that for the full year. I think to tha

t extent that will be there.
Competition is always there as I have been always saying. After a while, some of these banks, etc., fatigue will set in and then probably the focus on gold loan will come back. So , we have been always keeping our business focused on gold loan. We will continue to do that. And probably, we will see cont inued growth also in the same 15% fashion.

Shweta Daptardar: And my second question is pertaining to Belstar. Sir, with this kind of strong growth again on the AUM front, so at what IRRs are we operating? So, we have seen the top players calibrating interest rates on the MFI side , on the MFI business front. So , how are we placed on the yields front and any such calibration we are looking forward to?
George A. Muthoot: See, the industry actually acts as a group actually. As a whole, the industry has taken a decision to recalibrate the interest and people have started doing it . We have also started doing it. What the other industries, the leaders in the industries are such like that , we will also be doing. I think they w ill also be doing.
Oommen K. Mammen: The SRO for microfinance is very strong. Actually, they have a good control on the members, and they also instruct what to do and I think 25% to 30% .
George A. Muthoot: Self-regulatory organization in the microfinance is quite effective and strong. So , I think everybody works in tandem.
Oommen K. Mammen: Yes.
Moderator: Thank you. The next question is from the line of Pratik Tandel from S wan Capital. Please go ahead.
Pratik Tandel: Congratulations on a healthy growth in your gold AUM this quarter. So , my question was, can you give some guidance on the growth coming in the next few quarters, let's say, FY '25, '26, maybe?
Also, I would like to understand the competitive environment. So , from the banks and other gold lending NBFCs, are we gaining market share from them, or we are benefiting from the sector getting slowly organized?
George A. Muthoot: Yes, you said it right. So , first of all, the growth, we had guided for a growth of 15% in gold loan for the full year. I think we should be able to reasonably achieve that by the end of the year.
Going forward also, last several years, we have always been giving guidance of 15%. We will continue to do that in the coming years also. The first part of the question. Second was about, what was it, second part?
Pratik Tandel: So, are we gaining market share from banks and gold lending NBFCs, or we are getting benefited from the sector getting slowly organized?
George A. Muthoot: Yes, it's not sector organizing. More and more customers are now going to, it is not that we are taking any customers from the bank or the bank is taking customers from us. See, t he overall market for gold loan has also increased. Definitely, it's increasing bec ause some of the banks are also at not the same pace, t hey are also growing their gold loan book. We are also growing the gold loan book. So , it only means that the market is improving.

Moderator: Thank you. The next question is from the line of Vikram Subramanian from MWAM. Please go ahead.
Vikram Subramanian: I have a couple of questions. First on margins, specifically yields. So , we have reported about close to 13, 14 bps of yield expansion Q -o-Q. But as I remember, last quarter, due to ARC sale and the GNPA increase, we had interest reversal and we had cited that as one of the reasons to have impacted yields. So , is this just a reversal of that? Or how should we read this? Or is 17.5%

to 17.75%, is this the new normal of yields?
George A. Muthoot: No, I think, see, 17.5%, 17.8%, 18% is what we have been having yield over the last 5 quarters. So, it will still be around that only. 10, 15 bps here and there, it's just because of the short -term t

enure of the loan, very short -term tenure. So, sometimes 15, 20 % bps here and there. So , last year, it was 17.65% . Now it is 17.79% . Previously , it was 18.08%. So , some small change here and there just because of the very short -term nature of the loans.
Vikram Subramanian: So, my next question is on growth. So , specifically on the operational parameters. So , if I notice, I mean, gold price Q -o-Q had increased about 9%. Even on an average basis, it has increased about 4% between 2Q and 3Q. Our gold loan growth is still trailing at 2.5% Q -o-Q. And this also seems to be largely value driven , and which is what we have been having value -driven loan growth for almost the entire year. Our customer addition is still trailing at 1% or lesser. Even if I look at average ticket size of gold loans on a per loan account basis, that is up 15% Y -o-Y. So, most of our growth has come from this.
I look at it the other way . LTV is now down to 65%. But if I adjust for the gold price increase, end of period increase, LTV has actually gone up to 71%, 71.5%. So , almost the entirety of our gold loan growth still comes from price movement. So , how should we look at this going forward? Because we seem to be completely at the vagaries of gold loan price is what is moving us.
George A. Muthoot: No, I think you are doing such a lot of statistics and figures, 5, 6, 7 or 10 parameters of growth this way, that way, etc. Anyway, our gold loan business is growing. Our new customer additions is happening. The AUM has gone up. We have given a guidance of 15% for the year. I think we will touch that.
You have made so many statistics and parameters and deductions and inferences you have done. I don't know which is all correct and which is not correct. Anyway, w e are looking at the growth. Our interest comes from the growth. Our interest and income comes from the AUM only not because of the disbursal, etc. If our AUM grows, our interest will be higher ; our profit will be higher. I think we are almost trying to stick to that.
Vikram Subramanian: And that's 15% growth, sir?
George A. Muthoot: I think last two questions I have answered like that only.

Moderator: Thank you. The next question is from the line of Shreepal Doshi from Equirus. Please go ahead.
Shreepal Doshi: So, my first question was pertaining to the new customer acquisition run rate. So , what is it that we have in mind or that we are targeting in order to add on a monthly basis in the new customer acquisition landscape?
George A. Muthoot: I think , we are doing a lot of road activities . We call it BTL activities. BTL activities we are doing here, everywhere we are doing, and that is actually growing our customers also because the customer churn is definitely higher, because the loans are very short period.
So, it's like a treadmill. So , new customers come. They take back their gold. We have to get new customers. And that's an ongoing process for us, ongoing process for us, because the tenure is very short. But then the advantage of a short tenure is that our yield, our returns, our NPAs, etc ., will not be there.
So, we are always in the market with activities, with advertisements also. We do advertisements also for maybe branding, etc. And local activities is there on all the 5,000 brands. So , that is how we keep the new customer growth.
Shreepal Doshi: So, sir, just a follow -up question on that. Have we tried to relook at or revisit the key responsibility area of our employees so that this momentum on new customer acquisition can also be sort of improved, or the leakage that we have of the customer in terms o f renewal of or maturity of loans that can be curtailed? So , have we looked at or revisited the KRAs of our employees?
George A. Muthoot: Yes, I think this is a very operationally challenging business. The staff, etc ., need to be

at the
branch to take custody of the gold, control of the gold, safety and security. They have to be in the branch. At other times, we expect them to go out and do business also.
But we don't expect them to be always outside because every day there are such a lot of walk -ins coming to the branch for new pledges, interest payment, release, etc. So, staff has to be in the branch also. Security, safety also is there. But n ot disturbing that, we have a marketing team, and occasionally, the branch people also accompany them for marketing activities.
So, KRA is mainly their growth in the business in the branch, and there are some of them also to do marketing. And we have tele -calling, etc ., at the branch level itself for our customers to ask them for new business, ask them for interest, ask them for renewals, etc.
Shreepal Doshi: Sir, just one last question on the Muthoot Money franchise. So , if you look at the branch network

has doubled in the last 12 months and also the AUM. Just wanted to get a sense with respect to
what does the loan book mix look like in th is subsidiary of ours?
George A. Muthoot: The loan book today is about 800 crores. So , the branches have also increased . Their loan book is also increas ing.

Shreepal Doshi: Loan mix, like of gold loan and vehicle loan in that book?
George A. Muthoot: We have a healthy mix of gold loan and vehicle loan. We are normally a vehicle loan Company , but we have also started gold loan because gold gives better income also and shows a better
quality. So , we do a mix of both.
Moderator: Thank you. Our next question is from the line of Kushan Parikh from Morgan Stanley.
Kushan Parikh: I just had a couple of questions. One, just a data keeping question. Could you tell us what the auctions were for the September quarter , the auction amount ? And also, if I could just put my
second question as well. Basically, how should we think about loan spreads and margins going
forward given that we are saying that cost of funds could increase from 8.55% to 9% over the
next 1, 2 quarters ? I mean, will we be increasing our yields to also sustain our margins ?
George A. Muthoot: Yes, the yield has been hovering around 18%. So , 18% plus or minus 15 bps, 20 bps is what we have been seeing in the last 5 quarters. So , the yield may remain like that. Although the CFO
said that the cost of funds will go, that is for incremental cost of borrowing. But overall, probably
we may not expect it to reach near 9%. Just a little more only. It will be nearer to , not up to 9%.
So, some of it probably we will be able to make up with better operational cost reduction, etc.
But probably , we may not be thinking of increasing our rates, etc ., unless the cost of borrowing
goes up substantially. We will be able to maintain our NIM and yield etc .
Kushan Parikh: And the auction for September quarter, the auction number?
Oommen K. Mammen: For December quarter, it is 381.
George A. Muthoot: December, 381.
Kushan Parikh: And the September quarter, sir ?
Oommen K. Mammen: 236 crores.
Moderator: Thank you. The next question is from the line of Jigar Jani from B&K Securities. Please go
ahead.
Jigar Jani: Just one clarification. The incremental cost of borrowing , bank borrowing is 9%, right? That is
what you mentioned, right?
Oommen K. Mammen: It can come up to 9%.
Jigar Jani: And currently, it is , on a blended basis, what would be the incremental cost of borrowing?
Oommen K. Mammen: That's what 8.55 for December quarter.

Jigar Jani: So, 8.55 is the blended as well as incremental cost of borrowing. And sir, can you just repeat the
accrued interest number. Sorry, I missed it.
Oommen K. Mammen: 1,921 crores.
Jigar Jani: 1,921 crores. And sir, just corresponding to the previous partici

pant, you had earlier guided for
a 9% to 10% kind of spread range. Is that maintained overall, the guidance?
Oommen K. Mammen: Yes, I think this quarter, it is 9.24%, right?
George A. Muthoot: 9.24.
Jigar Jani: Yes. So, we will be near within this range even after the rate increase , the cost of borrowing
increase that we might anticipate.
Oommen K. Mammen: Yes. We will try to maintain that.
Moderator: The next question is from the line of Rajiv Mehta from YES Securities.
Rajiv Mehta: Sir, just two questions on Belstar. Can you give some outlook on Belstar's credit cost? And if
you can also share the Stage -2 number for Belstar as of December and as of September ?
George A. Muthoot: Stage -2 or Stage -3?
Oommen K. Mammen: Belstar Stage -3 is 1.9%.
Rajiv Mehta: Stage -2?
Oommen K. Mammen: Stage -2 is 1% . 1.03%.
Rajiv Mehta: And what is the outlook on credit cost? Because we have seen a sharp jump in par 1990, I mean,
Stage -3 numbers and provisioning has also gone up. Do you expect it to stabilize in this quarter
or normalize a bit?
George A. Muthoot: In fact, Stage -3 has come down compared to last year.
Rajiv Mehta: On Q -on-Q basis?
George A. Muthoot: No, n ot on Q -on-Q basis.
Oommen K. Mammen: Yes, I think it is stabilizing .

George A. Muthoot: Stabilizing in January . So, that is better.
Oommen K. Mammen: Cost of funds or credit cost.

Rajiv Mehta: So, in Q4, the early trends are that it is stabilizing, right?
George A. Muthoot: Yes, stabilizing .
Moderator: Thank you. The next question is from the line of Vasu Jain from Marcellus Investment Managers Private Limited. Please go ahead.
Vasu Jain: Sir, can you tell us something about the branch openings that we have done. We can see 30 branches have been opened in standalone business. And can you share something on what is the RBI saying on further branch openings?
George A. Muthoot: So, for the last year, year '22 -'23, we opened 150 branches. Thereafter, we approached RBI. They gave us permission to open another 114 branches. I think that's almost complete by this March or maybe early April, we should be able to open that also.
Further, we will again approach another set of branches and that is an ongoing process . 100, 160 branches a ye ar is what we have been doing now. I think, i t will be an ongoing process.
Vasu Jain: And we do not see any problem in obtaining the approval?
George A. Muthoot: We have to convince the RBI. That is what our job is to see that they are convinced about the Company and its operations. And of course, if that is so, we don't see any issues there.
Moderator: Thank you. The next question is from the line of Ashish from Infinity. Please go ahead.
Ashish: Sir, I had one question in relation to the insurance brokers entity. We have seen the operating expenses jump up significantly. Any specific reason? Or is there a one -off?
Oommen K. Mammen: I think it should be a one -off.
Ashish: And what would have been nature of, sir?
George A. Muthoot: I don't remember it.
Ashish: Maybe we can get it off -line from you, sir.
Moderator: Thank you. The next question is from the line of Piran Engineer from CLSA. Please go ahead.
Piran Engineer: Just a couple of clarifications on previously asked questions. Firstly, our SR book of 230 crores , if we recover, let's say, 300 crores out of it, the extra 70 go to the ARC or to us?
Oommen K. Mammen: No, s o the collections are divided . So, the investment in SRs is in the proportion of 85% and 15%. And the collections also are a portion on the same basis. And collections over and above

the SRs gets allocated in the form of 85% and 15%. Of course, there is a certain ca p which is there for the ARC.
Piran Engineer: That explains it. Secondly, did we have any inter

est reversals in this quarter or any write -backs?
Last quarter, it was a 100-crore reversal, if I remember correctly.
Oommen K. Mammen: So, if you look at the numbers from September 30 and compared with December 31, I think, the NPAs have declined. So , there is no need for interest reversal. So , that is why there is a provision reversal, because the ECL provisions have come down.
Piran Engineer: So, is it fair to say that the 100 crore s reversal we had in September quarter, we did not have in December quarter? That is fair to say?
Oommen K. Mammen: So, now if you go deeper into it, there is always a reversal, because it's not the same set of NPAs which get declared . It could be a new set of customer who is now showing as an NPA compared to September quarter. So , the September quarter, NPAs would have maybe closed or a major portion would have got closed. Then a new set of customers. So , at a low level, there could be reversals.
Piran Engineer: And just lastly, on Belstar, we have seen this slight increase in NPLs. Is that because of the floods in Tamil Nadu? Or how do we read this? And also , what are the key states for Belstar?
George A. Muthoot: Belstar I think , Tamil Nadu is about ...
Oommen K. Mammen: Tamil Nadu is the majority. 50% in Tamil Nadu.
George A. Muthoot: 50% it is Tamil Nadu. The rest are South Indian and probably...
Oommen K. Mammen: Yes, I think floods have got a small impact, but it got corrected in the month of January. That's what we understand.
Piran Engineer: So, did I hear that bulk of the book is in South India and half of the book is in Tamil Nadu state alone?
George A. Muthoot: Yes.
Oommen K. Mammen: Predominantly, it's a South Indian Company .
George A. Muthoot: South Indian Company .
Moderator: Thank you. The next question is from the line of Shubhranshu Mishra from PhillipCapital. Please go ahead.

Shubhranshu Mishra: Just wanted a clarification on the branch opening for '24 and '25. And do we get any incentives to open up branches in leftwing extremist districts? That is first.
Second is, sir, as to my understanding, we can't do assignments of gold loans, because they are bullet loans. But if we take monthly interest, can we do the gold loan, sir?
George A. Muthoot: So, first question was about what the branch is opening in...
Oommen K. Mammen: Special incentive .
George A. Muthoot: Incentive for branch opening in which place, sir?
Shubhranshu Mishra: Leftwing extremist districts, sir, LWED.
George A. Muthoot: We have not talked about such things.
Oommen K. Mammen: Leftwing extremist districts. First of all , I don't know what states?
George A. Muthoot: Which are the states?
Shubhranshu Mishra: Because some districts would fall into Telangana as well, sir, which could have large quantities .
George A. Muthoot: No, I don't think there is any incentive for us there.
Oommen K. Mammen: Anyway, before opening a branch, we do a risk assessment, etc.
George A. Muthoot: Second one was about monthly interest, what are you saying , sir? I did not understand.
Shubhranshu Mishra: Sir, as the gold loans are on monthly interest, can we do assignment transactions for our gold loans?
Oommen K. Mammen: I think so. EMIs and monthly interest, we will be able to.
George A. Muthoot: Yes.
Shubhranshu Mishra: But that would be yield dilutive, right , sir, if we do monthly interest on gold loans?
George A. Muthoot: That will be?
Shubhranshu Mishra: Yield dilutive.
George A. Muthoot: Yield dilutive.
Oommen K. Mammen: So, whether it's gold loan as a product source monthly payment is doubtful. So , not sure how far.

George A. Muthoot: Our loans are all bullet repayment and there is no EMI and monthly commitment for the customer. It's all EMIs . It's all bullet loan and bullet repayment. That is why customers come and take a gold loan.
Oommen K. Mammen: Anyway, it is a short -term product, no? So, asking customers to pay on a monthly basis, how far it is accepted, we are not sure.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. As there are no further questions, I would now like to hand the conference over to the management for closing comments.
George A. Muthoot: So, from the management, very happy that we were able to present a good set of numbers , and extremely happy that we had quite a few interesting questions and clarifications , and we hope that we have been able to clarify your questions. And from our side, we will ensure that the Company does well and does well for all stakeholders, whether it's our shareholders, lenders, regulators, everybody. That is our priority. So, thank you very much for participating . And God bless you all. Thank you.
Moderator: Thank you. On behalf of Nirmal Bang Institutional Equities, that concludes this conference.
Thank you for joining us and you may now disconnect your lines.

Call: Jun 2024

Ref: SEC/MFL/SE/202 4/5761
June 05, 202 4

National Stock Exchange of India Ltd.
Exchange Plaza
Plot No. C/1, G Block , Bandra - Kurla
Complex , Bandra (E), Mumbai - 400 051
Symbol: MUTHOOTFIN Department of Corporate Services
BSE Limited
P.J. Tower, Dalal Street
Mumbai - 400 001
Scrip Code: 533398

NSE IFSC Limited (NSE IX)
Unit 1201, Brigade, International
Financial Center, 12th Floor, Building
No. 14 -A, GIFT SEZ Gandhinagar,
Gujarat 382 355

Dear Sir/Madam,

Sub: Transcript of the Analyst call on Audited Financial Results (Consolidated and Standalone) for the quarter and year ended March 31, 202 4.

In continuation of our letter dated May 24, 202 4, and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the analyst call made on May 30, 202 4, on the Audited Financial Results (Consolidated and Standalone) of the Company for the quarter and year ended March 31 2024, is available on the Company's website at https://www.muthootfinance.com/analyst -call

Thank You,
For Muthoot Finance Limited

Rajesh A
Company Secretary
ICSI Membership No. FCS 7106
RAJESH
ACHUTHA WARRIERDigitally signed by
RAJESH ACHUTHA WARRIER Date: 2024.06.05
12:10:13 +05'30'

"Muthoot Finance Limited
Q4 FY'24 Earnings Conference Call "
May 30, 202 4

MANAGEMENT : MR. GEORGE MUTHOOT – MANAGING DIRECTOR –
MUTHOOT FINANCE LIMITED
MR. ALEXANDER GEORGE – WHOLE -TIME DIRECTOR
– MUTHOOT FINANCE LIMITED
MR. GEORGE M. ALEXANDER – WHOLE -TIME
DIRECTOR – MUTHOOT FINANCE LIMITED
MR. GEORGE M. GEORGE – WHOLE -TIME DIRECTOR
– MUTHOOT FINANCE LIMITED
MR. GEORGE M. JACOB – WHOLE -TIME DIRECTOR –

MUTHOOT FINANCE LIMITED
MR. EAPEN ALEXANDER – EXECUTIVE DIRECTOR –
MUTHOOT FINANCE LIMITED
MR. K.R. BIJIMON – EXECUTIVE DIRECTOR –
MUTHOOT FINANCE LIMITED
MR. OOMMEN MAMMEN – CHIEF FINANCIAL OFFICER
– MUTHOOT FINANCE LIMITED

MODERATOR : MR. SANKET CHHEDA – DAM CAPITAL ADVISORS
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Muthoot Finance Limited Q4 FY'24 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanket Chheda from DAM Capital Advisors. Thank you, and over to you, Mr. Chheda.

Sanket Chheda: Hello, and very good evening to all of you. We have with us the entire management team of Muthoot Finance to discuss their Q4 results and the strategy ahead. So from the management side, we have Mr. George Alexander Muthoot, who is the Managing Director; Mr. Alexander George, who is Whole -Time Director; Mr. George M. Alexander, who is Whole -Time Director; Mr. George M. George, who is also Whole -Time Director; George M. Jacob, Whole -Time Director; Mr. Eapen Alexander, who is ED ; and Mr. K.R. Bijimon, who is Executive Director; and Mr. Oommen Mammen, who is the CFO.

Without further ado, I'll hand the call over to MD sir for their opening remarks followed up by question and answers. So over to you, sir.

George Muthoot: Thank you. Good evening to all of you. So we are glad to announce another year of remarkable growth and achievements for the company. Our consolidated loan assets under management crossed the milestone of INR89,000 crores and stand -alone AUM has crossed the milestone of INR75,000 crores.

The consolidated assets under management increased by 25% year -on-year and the stand -alone assets under management increased by 20%. The contribution of subsidiaries on loan assets increased to 15% from 12% last year, reflecting our strategic diversificati on efforts. The consolidated profit after tax for the financial year '24 increased by 22% year -on-year and stands at INR4,468 crores.

The contribution of subsidiaries in the consolidated profit after tax also increased to 10% from earlier 6% , underlining the resilience of our diversified business model. With a strong focus on Muthoot Finance vision to emerge as a diversified services group , financial year '24 was a year of transformation for us.

Apart from consciously pivoting our efforts towards growing our non -gold loan book, we also focused on strengthening our digital strategies for a transformative growth across our product portfolio. Despite the various industry hiccups, we have continued to maintain our position as leader in the gold loan industry and capitalized on the strong growth opportunities in affordable housing in macro finance, in personal loans, small business loans and vehicle finance. Further, the robust domestic consumption grow th growing the middle class segment and rising aspirations provide ample opportunities for future growth.

We embark financial year '25 on a positive note and shall continue our vision to grow the share of gold loan subsidiary -- non-gold loan subsidiaries to 18% to 20% in the next five years. We also take immense pride in achieving a loan growth of 20% as against the guidance of 15% in this financial year.

In Q4, the stand -alone loan assets under management witnessed a historic high of INR75,827 crores, driven by the robust growth in gold loan of 3,657 in that quarter low. The stand -alone profit after tax for the financial year increased by 17% year -on-year and stands at INR4,050 crores. This year, we also achieved the highest ever gold loan advance to new customers of

INR16,415 crores, reinforcing our position as a trusted partner in the gold loan industry. Complementing our core gold loan business, our non

-gold loan business offerings continued to
gain traction with our micro finance loan, personal loan, above loans paying a pivotal role in diversify our overall loan book. The housing finance arm achieved a disbursement of INR815 crores in the financial year as against INR223 crores in the previous financial year.
The micro finance arm also witnessed upward trend, increased loan assets under management by 62% year -on-year, reaching INR10,023 crores and profit after tax by 161% to INR340 crores.
As part of our transformation journey in financial year '24, we also focused on boosting our digital business adapting new technology savvy millennials and general [Zip 0:05:31] customers.
Our physical strategy has yielded positive results with critical infrastructure already in place.
We are confident that the impact of regulatory norm of 20,000 cash disbursal limit on our business and volumes be limited since it is an industry -wide move. In alignment w ith strict talents from regulators on the NBFC industry. We also remain committed to maintaining the highest standards of corporate governance and compliance.
During the year, we raised INR480 crores to the 33rd public issue of secured renewable nonconvertible debentures. We opened 225 new branches by the group in the quarter of 2024 across regions, including Bangalore, Goa, etcetera. We also received multiple industrial recognitions as most trusted bank, great place to work, etcetera , etcetera , so with these words, I would like to now conclude and open the floor for your questions and answers. Thank you.
Moderator: Thank you very much. We now begin the question -and-answer session . The first question is from the line of Digant Haria from GreenEdge Wealth.
Digant Haria: Congratulations on this strong growth, especially on the gold loan side. Sir, question is that we are seeing two things. One is gold prices strengthening by the month, by the quarter. And on the other hand, this whole cash disbursement and regulatory scrut iny on the sector has slightly gone up. So in that interplay of these two things, how do you see the growth panning out in FY'25?
George Muthoot: And of course, as usual, we would give a guidance of 15% minimum guidance of growth in this year also. Last year, we gave a guidance of 15%, but we were able to achieve almost 20%. So we share also anyway, our guidance would be 15%. We will try our best to better it.

Digant Haria: Sir, gold help you more here. You have to -- gold will help you so much this year, the gold price.
George Muthoot: Let's see sir, this is not -- there is still a lot to come .
Digant Haria: Sir. And then generally, how is the discipline in the sector? And because -- see, 2022 and '23, there was too much of indiscipline by a lot of new entrants and all. Do you see those things especially falling in place now?
George Muthoot: Yes. I think there is something which needs to be seen also. Most of the gold loan companies were based on working out of Kerala . They were working out also all over India, but they were regulated by the Kerala -based or Kerala, Trivandrum regulator. So there was a lot of discipline issues and we -- that we always had good interactions with the regulator here. And I have -- we have never come across any such -- what should I say, indiscipline, as you say, in any o f the companies based here.
All this has come because when people see one industry or one sector or one -- a few companies growing well, probably in the gold loan sector, many want to enter, but they don't realize that this is a very operationally intensive business. That is the biggest challenge here , which I have been saying over the last many quarters, just because somebody is just having some funding, etcetera, or things like that, they cannot simply start a gold loan company . The moment they start, initially, it will be good.

But the moment they reach 300, 400 branches, etcetera, all these
challenges come up. And that is what is happening here.
And as you said, indiscipline has never been the practice in the Kerala -based NBFCs and I'm sure continuing with that also, we will be maintaining that. Now that you have asked about this, I think the regulation about the INR20,000 cash limit is applicable to all, and it has not had any significant effect on any of these disburses and we see quite good traction even in this year even in this quarter. So we would see good growth coming in spite of all this because all the compa nies will have to abide by this INR20,000.
Only customers who definitely want cash, etcetera , may go to unorganized sector. But unorganized sector, I don't know whether they have -- they will be able to tackle to all these things. But I'm sure a sense of discipline will come with the NBFCs as well as the with the people. So to answer your questio n, we see with all these challenges, etcetera , also good NBFCs, well run NBFCs will have great place in this business, and they will continue to.

Digant Haria: Perfect. Sir, second question is on the non -gold business. Like in the last decade , we incubated 3 new businesses The micro finance, home loans and this vehicle finance. Micro finance has grown to a good size. Home loans seem to be turning around. So in this decade, which will be that a large business, which will grow to, say, INR10,000 crores kind of loan book? Because micro finance has now reached that, which could probably be the next one, say, over next 3, 4, 5 years.
George Muthoot: We have also started salaried personal loan and SME loans, etcetera, along with this. The vehicle loan business, probably if you ask me personally, we don't see a very big prospect because the because the sector is very crowded and we don't have much stren gth their. Of course, it will be

there, but it will be muted. But we see good growth in these probably, as you said, in the micro finance. In the home loan sector, I think we have a new set of team there. They will definitely grow well home loan sector and also in the personal loan sector also. Because in the personal loan sector also, most of these new sectors, we are picking of maybe giving a cross -sell to many of our gold loan customers.
Because whenever we look at our gold loan customers, we realize that they have taken a personal loan or a home loan or a business loan from elsewhere. So why don't we retain that customer, we give the same loan. That is the thought behind this non -gold bus iness. So, as I said, as we were saying, we will reach the 20% maybe between in 3 to 5 years ' time. 20% of non -gold loan business.
Digant Haria: The last question is probably for Oommen. But if you do the same thing this year, you guide 15% and you achieve 20%. What happens on the liability side? Are enough borrowings available at reasonable rate because right now, there's some tightness in the borrowing market.
Oommen Mammen: So in terms of the borrowing, probably you are aware that we have done a U.S. dollar bond issuance. We raised USD650 million. So that helped in liquidity. Now we are also raising NCDs through tight placement in the domestic market. I think now with the fin ancial results are getting announced, I think the bank borrowings also will happen with the newer opening. So bank funding also will come.
And certainly, the retail institutions also is going to support in terms of the liability requirement. So, of course, when there is a general liquidity tighten, certainly the interest rates will go up so that we are already seeing that. But I don't think t hat it's going to have a material impact on return on assets or probably we'll decide to pass on to the customers.
Moderator: Next question is from the line of Maruk Adajania from Nuvama.
Maruk Adajania: Congratul

ations. Sir, I have a couple of questions. Firstly, if you could explain the movement in provision for this quarter and Stage 2 loans, because there was a sharp increase. So that's my first question. And sir, my second question is a bit of an exte nsion to what Digant asked that your AUM growth has been good and competitive intensity, especially in the last 4, 5 months has been quite low and there are reports that other than a private company, even PSU banks have been pulled up by FM and they've been asked to check their gold lending processes, etcetera . So the competitive intensity just now maybe the lowest in the last 2, 2.5 years. And say if -- I mean, if some private sector players get off their band and start relending, will that change in a big way? And will that impact our AUM growth? That's my seco nd question. And my third question related to AUM growth again is that a lot of growth has also come from gold price movement and tonnage and customer ads have contributed relatively lower compared to gold prices. So does that change? I'm not talking about gold prices, but does the customer acquisition change in a big way or tonnage assumptions change going forward? Because that is the basic driver of growth, right so?

Oommen Mammen: Okay. Mahrukh, on the ECL provisions, primarily the increase in provisions have come because of the increase in the loan assets.
Maruk Adajania: Okay.
George Muthoot: Regarding the competitive intensity yes, of course, I'm glad that you feel that the competitive intensity has reigned in the last few months. It's not that it is actually, as I was saying in the first half, it is a very operationally challenging business. So everybody who did or how did, I wouldn't say reckless, but we thought thoughtless gold loan business or thoughtless gold loan growth are

now finding some skeletons in their cupboard. So that is what is now, I think, what the regulator is also concerned about.
So when people -- when companies probably should say for houses that we go in a calibrated manner with the decades of experience in this and our growth has always been maybe in the 15%, 20% range. So we should see quality also not being compromised. That i s what is happening there. So probably as you said, when regulators and the finance ministry, etcetera , ask the gold loan lending institutions and banks to really check their things.
It is because of lack of what should I say, the awareness of the intensity of the operations of this business. That is what is causing trouble there. I think now that the people take a step back and look into what is all these things. Probably they will also come to realize that this is not that easy and that we need to do many, many things before they think of goi ng forward. going forward in a big manner.
Regarding the gold price impact, the small thing is that all these loans are short term. So suppose somebody has a goal loan today. He takes it off -- probably he bought it at the rate of maybe INR3,000 per gram. So he would -- when he's close to say a loan of INR1 lakh, he would take away 33 grams. But when it comes for the next gold loan of INR1 lakh, he need not bring 33 grams. He will bring only maybe 25 grams.
So that is the reason because this is churning because we cannot prevent our customers from not taking the gold. And we cannot ask a customer to go more gold than what is necessary. So when gold price increases, the tonnage definitely will come down -- will have to come down to because we can insist on more gold, etcetera.
Moderator: Participant s, please stay connected while we rejoin the management to the call. Ladies and gentlemen, thank you for your patience. We have the line for the management reconnected. Sir, go ahead.
George Muthoot: So where did we stop? The gold price, yes madam?
Maruk Adajania: Yes, yes, I can hear you, sir.
George Mu

thoot: Where did we stop? When did we get cut?
Maruk Adajania: No, you were talking about the tonnage, sir?

George Muthoot: When new customers come, the prices [inaudible 0:20:22] asking of them to bring more gold. So as what we have seen earlier also when the gold price goes up because these are short -term loans earlier loans get closed and those are higher for them the gold price was lower at that time. So they will have given m ore gold. But the new process takes the same amount of loan, they give only lower amount of gold. So I think that is a relevance there.
Oommen Mammen: Mahrukh, also if you see, between December and March, the number of loan accounts also has gone up by almost 2 lakh numbers. And a number of customers also has gone up by about 1.2 lakhs. So that is a significant achievement. No, it is not simply a functio n of a gold price increase. So the price of the gold increase.
We cannot say that no we will not give the relative increase unless there is a serious concern from a risk management point of view. So we are not concerned about the price. We have to naturally give a LTV which market expects. And also, everyone asked whe ther there is a tonnage increase. This time, the tonnage also increased by about 4 tonnes.
Maruk Adajania: Got it. And just a follow -up question on the whole ECL -- sorry, the Stage 2 loan, they've grown a lot?
Oommen Mammen: So it is about 1,355, of course, there are a couple of factors. As you should we know -- in the gold loan business, there is not a serious concern in terms of overdue accounts. There will be a lot of accounts where we would have collected interest regularly. Some customers would have paid interest regularly. Just that they have not closed the known. We are also not too much concerned because the price of the gold, the security is adequate.
George Muthoot: We're still in the money.
Oommen Mammen: We're still in the money. So we don't mind giving some more extra time to the customer so that he gets time to repay it.
Moderator: Next question is from the line of Jeet from Pinpoint Asset Management Ltd.
Jeet: My question is on your loan growth guidance of 15% for next year. So how much gold price increase have you baked -in in this assumption? So hypothetically, I'm trying to understand the organic ability of the business to grow without any support from gold pr ices. So just to frame it the other way, if gold prices don't move for the next year, then what would be your loan growth per se?
George Muthoot: I think -- okay, we'll go to historical data. In the last 2 years or maybe 2 years back also, gold prices had not increased as much as this, but still we were able to grow 15%. So I think that

should answer that question. Even when the gold price is not mo ving or going up like this in previous years, we still did 15% to 20% growth year -on-year. So even with gold price rise or not, we were able to grow the 15%.
Jeet: But then if I look at your active customer growth or your tonnage growth over the last 5 years, that's not a great number, right? I mean that is more indicative of the organic ability of the

business to grow without support of gold prices, right? So if I just look at those numbers, then that does not extrapolate to a 15% growth without any support from gold prices.
Oommen Mammen: You cannot compare this lending business with other source of lending business, See, this is a very short -term product. A customer will come and take a loan, we will close it at related time. The same customer will come back again. So not necessary and the ticket size of these loans are also quite wide.
A customer can come and take a INR5,000 loan also. He can come and take a loan INR200,000. He can come and take a INR500,000 loan also. So the customer addition is not really

significant
because the ticket size is so wide, unlike in the mortgage business, there is the average ticket size, the deviation from the average number will not be so wide. So the number of custome rs is not a real factor on this.
But for providing more comfort and see how the business is running, we provide this number. In fact, there will be a lot of inactive customers for us who will come and take a loan at different points of time. So just by saying what is the outstanding numbe r of live customers and does not make a meaningful assessment of the business potential.
Jeet: Okay. Sure, sir. Just second question would be what would be your plans for branch expansion for the next couple of years?
George Muthoot: I think we have -- last year, we have grown about -- last quarter, we have grown about 225 branches. So going forward, we will go -- we will grow our branches maybe 150, 200 every year, yes.
Moderator: Next question is from the line of Gao Zhixuan from Schonfeld Strategic Advisors .
Gao Zhixuan : Congratulations on the results. Just one question on the margin. So why did our yield go up so sharply quarter -on-quarter? And is that sustainable going forward in FY'25?
Oommen Mammen: Can you repeat your question?
Moderator: Sorry to interrupt you, but your voice was breaking. Can you come in a better reception area, please?
Gao Zhixuan: Am I audible?
Moderator: Yes, sorry, we can hear you, but your voice is breaking. Can you check if you have a proper reception at your end?
George Muthoot: Anyway, please try, please try to ask.
Gao Zhixuan : Okay , so my question is on the yield. Why did our yield go up so much on a quarter -on-quarter basis? And is that sustainable going forward? How should we think about it by margins?

Oommen Mammen: So in terms of the yield. So in third quarter, the yield was 17.79%. And in the fourth quarter, it is 18.27%. So the differential interest is about 40 basis points. See in gold loan business, as we always say, it is a smaller ticket size loan. We disbursed about 65,000 loans in a day, a similar number comes back also as a collection. And we operate it across the country and different parts, we follow different schemes. And this scheme now carries a higher rate. We keep -- there will always be a fluctuation and changes in the rates.
And sometimes, we regularly offer rebates to the customers when they come and remit the interest. So when there is a delay in the discounts given to the customers is lower. So when you consider all these factors, the 40, 50 basis points variation is quite normal. So for example, in the first quarter, the yield was 18.08%. It came down to 17.65% in the second quarter. Third quarter, it went up to by about 14 basis points to 17.79%. And in the fourth quarter, it is 18.2%. So these fluctuations are quite norma l for this kind of a business.
Gao Zhixuan : So when you say that we -- it's partly because of smaller discounts or lower discounts that are given to a customer. Is it a quarterly phenomenon or going forward because of gold price or because of easier competition. Are we going to give a less discounts ? How we should think about that?

George Muthoot: No, it is not that we have different schemes. We have a 12% interest scheme. We have 14%, 16%, 18%, 20%, we have all sorts of interest schemes. So if one geography, the interest scheme of 16% is going up. So the yield would be better. So if one quarter [inaudible 0:29:17] And the yield will be lesser. So overall, the geography, there will always be some ups and downs when people take higher rate loan or low interest loans, etcetera . That is why it is because and also a short term, the averag e tenure is 4 months only. It's not that we give a 5 -year loan and 10 -year loan and we increase the interest, no it is given for a very short period. The average tenure is only 4 month

s.

Gao Zhixuan : Got it, sir. And on the cost of funds, how should we think about it? Should we expect further increase and what's our incremental cost of fund?

Oommen Mammen: No, this quarter, the average borrowing cost is somewhere around 8.45%, 8.5%, which is what the number we had discussed of course there is some averaging impact also. I think that cost of borrowings would be somewhere around 8.65%. The incremental cost of borrowing is almost around 8.8% to 9%. So I think in the coming quarters, I think the overall borrowing costs will move towards 9%. But given the fact we have a wide -- larger return on assets, the impact on the impact because of such increa sed 25, 30 basis points is not material, we can always decide to pass on this incremental cost to the borrowers also.

Moderator: Next question is from the line of Abhijit Tibrewal from Motilal Oswal.

Abhijit Tibrewal: Sir, congratulations on a good quarter. Sir, first thing is, I mean, in your stand -alone book, the non-gold portion of the book, I mean, I think it's on a very low base, growing very, very fast. So just wanted to understand, I mean, in addition to a salari ed personal loans, what other products are we doing there? And what is the yield maturity of these loans? Also, I mean, the product of personal loans that is often bundled with the gold loan, is it also sitting in the stand -alone book?

George Muthoot: Okay. The loans probably the personal loans are 2 years, 3 years product. The home loans are definitely 5 years, 10 - year 15 -year product. These are all stand -alone. Nothing is bundled with any gold loan. We only get the data of a customer who has been -- who has dealt with us -- a customer who has dealt with us, we know the customer is there. So we offer him -- yes, you have dealt with us with a gold loan, we've taken a hold on earlier, etcetera , why don't we offer because all these custome rs take the similar loans.

Oommen Mammen: So just to clarify. So it's not that we have started this business, and we are growing aggressively. Personal loan, we have started almost 8 years back or 8 or 10 years back. And we have been gradually building this book, and we have been gradually buildin g the expert, and we have scaled it up in a calibrated manner. So now we have a good team in place to scale up this activity. We have a proper credit assessment process, there's a continuous engagement.

I think we have engaged McKinsey also in terms of refinement of our underwriting process, and in terms of fine -tuning our operational process. So it's not that we are scaling it overnight. It is almost like 8, 10 years of hard work behind this. And there i s a committed team working on this business. And also, we have a business loan book of around INR500 crores [inaudible 0:33:11] and we are scaling up.

So it's not that we are -- probably you might feel that we are got off to scale up, but we just started. If you look at our financials in the past, there is always another loan book, which was always there. It is the -- the initial proprietary mode prepara tion work, which was done in the earlier years. Now we are getting the benefits of those hard work.

Abhijit Tibrewal: Got it. Sir, but almost INR3,000 crores of non -gold book that we have in the stand -alone region that is unsecured, right, largely unsecured?

George Muthoot: Some of it is the housing loans are secured...

Oommen Mammen: Okay. No, there is a INR500 crores loan given to wholly owned subsidiary, group company, wholly owned subsidiary. Other than that, it is almost unsecured.

Abhijit Tibrewal: Second question that I had is, I mean, a lot of discussion has already happened on gold prices and how it can help gold loan growth? Rather than dwelling on that, I just need to understand, I mean, maybe fourth quarter or these 2 months that you have seen, what proportion of our di

sbursements are in the nature of top -up loans that are happening?

George Muthoot: Okay. So customers have taken a loan, he may close the loan and take a take fresh loan or he may ask for top -up also. So there is a top -up definitely happening because people -- some people were aware that he is able to get some more money certainly he'll come and take it We don't go after the...

Abhijit Tibrewal: Got it. So sir, where I was coming from is, I mean, across the industry since gold prices are up, right? Very often, we hear a lot of players who voluntarily reach out to customers, given that the effective LTV comes down, we are deep in the money. So a lo t of players effectively reach out

to customers suggesting that they can pick top -up loans now given that gold prices have moved up is what I was trying to understand.

Oommen Mammen: Even today also, the average LTV on the gold loans is around 63%. So if customer wants certainly he come and take a loan of up to 75%. Then the average LTV should have been 75%. Now the customer is not coming because he may not have a requirement probably the service level people or the branch level people might reach out to our customer and ask them whether they need a loan.

Somebody pledges a chain of 20 grams, he may not need a loan for the entire 20 grams. He might take a loan for INR20,000. And later when he has a requirement he will come and take another INR20,000. So that cannot be treated as the top up. It is just that when his need increases, he will come and take a load. And unlike other lending products, it's so convenient that he can get a loan taken in 5, 10 minutes.

George Muthoot: The most important thing is still our loan to value is only 63%.

Abhijit Tibrewal: Just one last question. Oommen sir you have explained, maybe there's some averaging thing, which is why the cost of borrowings look lower. But from what you were guiding essentially is that over a course of time, cost of borrowings should increase towards 9% which would suggest that going forward, can we look at some margin compression in FY'25?

George Muthoot: If the rates are growing up very slightly, only a few basis points, we try to absorb it. Otherwise, if it is going up, we'll pass it over to the customer because customer will take a loan from elsewhere. If the overall rates are going up whatever loan is t aking from any bank etcetera the rates would have and certainly, they will be -- we will justified in charging or base also. So small fluctuations will try to absorb it but if it's higher, pass it on to customer.

Oommen Mammen: And 25, 30 basis points increase. And our return on assets can easily absorb. If we want, we can pass on to the customers also. That is the point.

Moderator: Next question is from the line Raghav Garg from Ambit Capital.

Raghav Garg: I just have one question. So I think this year, the total growth in the customer base has been about 7%. You've added about 3.5 lakh customers. Now going into FY'25 with one of the larger players being out of the market, do you anticipate that your customer base growth could be same in the range of 9%, 10% or higher than 7% what is delivered in '24. That was my only question.

Oommen Mammen: Raghav, we don't give a guidance in terms of customer addition. We reach out to the market, the amount of marketing spend that we have, it's quite significant. So the objective is to reach out to as much as new customers. There is a lot of market potential is there. There is a lot of untapped customer base is there. So we try to reach out to all sorts of marketing mechanism. So we don't want to give a specific number in terms of the customer addition.

George Muthoot: We are giving a guidance of 15%.

Raghav Garg: But if I were to see if you were to see or look at your own numbers say

it from March onwards up until May, then do you anticipate that your customer base growth could be higher than last year. Sorry, I'm just asking the same question, but I just wanted to get some confidence on that.

Oommen Mammen: So of course, as MD sir said, I know what the discipline because of the new NPA guidelines, there is no impact on our disbursements. In fact, our disbursements are certainly at a good level in this current quarter also whether there is more addition, we can't identify the customer, whether that customer was belonging to another player or -- so that we are not spending time on that. The objective is to reach out to the guided growth number.

Moderator: Next question is from the line of Nischint Chawathe from Kotak Institutional Equities .

Nischint Chawathe: Can you share the auction number for the quarter?

Oommen Mammen: It's INR162 crores. Total INR892 crores.

Nischint Chawathe: Got it. Got it. And just on -- again, sorry, going back to the margins question. Do you see that with kind of competition reducing a bit. There is slightly more pricing power for you.

George Muthoot: It is not that -- we charge what the customer agree -- we charge according to maybe a reasonable sum just because competition is there or not there, we just don't increase our wage, etcetera . But then as we said earlier, we have increased our rates only if the borrowing rate also goes up

consistently the way we wouldn't want to be -- we have a decent interest and we would like to come to continue it there.
Nischint Chawathe: Change in regulation for the cash disbursements, I think it's, whatever, a few weeks down the line, have you seen any impact or would you want to say that maybe this kind of first quarter had some impact of this? And can we kind of normalize from July, Aug ust or so?
George Muthoot: No. I think there's nothing -- no significant impact, etcetera at all. Because, first of all, all the players had to third and they are doing it also. And the customers are also very -- not very much inconvenienced. So everybody has taken it in their stride and newer customers and the NBFCs have taken their stride. A nd we have seen -- even after this in April, May, we have seen a good growth in these months also.
Moderator: Next question is from the line of Shubhranshu Mishra from PhillipCapital India Private Limited .
Shubhranshu Mishra: So the first question is around the INR20,000 cash clause made. So given the fact that that's the regulation now when we do any FTA or RTPs or UPI disbursement to the customer, this opens up the data to the bank. Do we fear any sort of customer attrition because of this? That's question number one. Second question is from a data point, what is the accrued interest in fourth quarter versus the fourth quarter of last year? And if we can give out the AUM split of less than INR1 lakh -- INR1 lakh to INR3 lakh and more than INR3 lakhs.
George Muthoot: So about the INR20,000, there's not been an impact. So when we give this loan through a bank, I think it just goes to the bank -- credit to the bank. And customers have taken a loan from Muthoot, it is all available in the credit report. Everybody's credit report it is th ere. If he wants

to get it, he can easily get it. There are lot of UPI based transfers also. So we don't see any big issue there. The bank is taking away a customer because we are paying through the bank. So that's the first question. Second was about the...
Oommen Mammen: In terms of the ticket size breakup, you had asked less than INR1 lakh and above INR1 lakh, right?
Shubhranshu Mishra: Less than INR1 lakh, INR1 lakh to INR3 lakh and more than 3 lakhs.
Oommen Mammen: Less than INR1 lakh is 35%; INR1 lakh to INR3 lakh is 37%; and above INR3 lakh is 29%.
Shubhranshu Mishra: 29%?
Oommen Mammen: What was the second question? I didn't get it?
Shubh

ranshu Mishra: Accrued interest in fourth quarter of this year and accrued versus fourth quarter last year?
Moderator: Shubhranshu, do you have any follow -up questions?
Oommen Mammen: We'll come back to you.
Moderator: Our next question is from the line of Samip Bhansali from Tata Mutual Fund.
Samip Bhansali : Hello, sir. I just wanted to…
Moderator: Samip , sorry to interrupt you . Can you speak with the handset, please?
Samip Bhansali : Yes. Am I audible now?
Moderator: Yes.
Samip Bhansali : I just wanted to check before this regulation of -- on cash disbursement. What was the cash disbursement levels in that category of INR20,000 to INR2 lakh as a percentage?
Management: The majority is online.
Samip Bhansali : Pardon me?
Management: Majority is online.
Oommen Mammen: In terms of accrued interest for March '24, the total interest accrued is INR2,180 crores; March '23 interest accrued is INR1,853 crores, I think Shubhranshu asked for that interest accrued details. Okay. That's all. I think those are two numbers he wanted.
Moderator: Next question is from the line of Shreepal Doshi from Equirus Securities Private Limited .
Shreepal Doshi: Congrats on a good quarter. Just a couple of questions. Firstly, why was the provisioning during the quarter higher?

Oommen Mammen: AUM has gone up by almost like INR3,700 crores.
Shreepal Doshi: Okay. So just towards that?
Oommen Mammen: Correct.
Shreepal Doshi: Okay. Okay. Secondly, even the other opex was higher during the quarter. So was it pertaining to the IPL spending? Or if you could just explain that.

Management: We do not have any IPL spending.
Oommen Mammen: Probably the -- we had a manageable remuneration, incentives etcetera , in the last quarter. So that is in fact of INR50 crores in the fourth quarter. That could be one reason.
Shreepal Doshi: Okay, okay. Got it. Just the last question pertaining to the personal loan product. So what is the basic eligibility criteria for the customer to be -- to get the personal loan.
George Muthoot: A fact that we will do. They have -- [inaudible 0:48:37] the u sual personal loan criteria , nothing different from the market.
Shreepal Doshi: Okay. But sir, he has to be a gold loan customer for us, then only he will be easily eligible for the personal loan?
George Muthoot: No, no, no. We do from the market also. But what I said is a gold loan customer, we get a good need from the -- because he is a gold loan customer, we have his address KYC. So we can easily offer it to him. That's all. It's more of a need.
Shreepal Doshi: There is no comfort that we derive of him having a gold loan with us other than just a track record with us?
George Muthoot: No, no, no, gold loan track record is not that great because it's a bullet loan, because all the gold loans are bullet loans . So there is no big track record we can get from that.
Oommen Mammen: Personal loan be discussing earlier was with respect to the pure unsecured personal loan, which we have been trying for the last 8 to 10 years. So that is based on proper credit assessment mechanism including CIBIL's credit score. .
Management: Our loans are -- simply if the customer is verified for all the other parameters. There are some 10 parameters to be verified.
Moderator: Next question is from the line of Bunty Chawla from IDBI Bank Limited.
Bunty Chawla: Sorry, if I'm repetitive because I have in late Sir, can you share the gold loan growth during the quarter has been strong. How much portion could be due to one of the entity has been banned by the RBI to disburse the gold loan.
Oommen Mammen: The growth in gold loan INR3,657 crores in Q4.

Bunty Chawla: No, no, I understand that number, but my -- okay. Okay. Okay. And is it right the guidance for the next year

has been still 15%?
George Muthoot: It has always been 15% for the last 5 years.
Bunty Chawla: Okay. But we believe that we could be having a still same number next year as well?
George Muthoot: Yes, that's what I said there is still a lot to come .
Moderator: Next question is from the line of Rajiv Mehta from Yes Securities Limited .
Rajiv Mehta: Congrats on good number. Can we have the breakup of ECL provision of INR935 crores across stage 1, 2 and 3?
George Muthoot: Do you have any other questions?
Rajiv Mehta: I just wanted to understand that if we were to resolve the state loan assets by auction in the future, what kind of reversal of provision we can have.
George Muthoot: That question I'll answer whatever we have a provision of about INR1,000 crores. The prevail actual provision, which we require is because we have never had a need to have vouchers of provisions for any of our loans. So it is related because we are statutory bound to create the provision Otherwise, the gold is with us. It is fully secured. We are in the money. We actively don't need to keep a provision that we have never had to use the provision. So the INR1,000 crores plus, which we have pr ovisions is actually our reserve.
Rajiv Mehta: Yes. And we had a good jump in the employee expenses, about 10% jump in the employee expenses in the gold loan business. So did we run any contest scheme and we had some payouts related to it? Or is it very usual increase?
George Muthoot: At least 10% increment would have been there. The business has also gone up also. Incentives are always there. We could extend this to our staff. So if business goes up, there's growth, etcetera , they earned little better insert I didn't look at that number. If you say it only 10%, I don't -- I think it's very reasonable.
Rajiv Mehta: And just lastly, have you kind of revised our pricing or rates under any schemes of late in the last 2, 3 months?
Oommen Mammen: Lending rates?
Rajiv Mehta: Yes, lending rates, pricing, I mean, you say that your pricing is typically scheme specific, market -specific, has there been any upward revision in the last 2, 3 months in any of the schemes.
Oommen Mammen: No, we keep the change in the rates, geography wise, scheme wise. So there is a usual fluctuation of around 25 to 50 basis points in terms of the yield just because of that and as well as because of the discounts that the customer pays interest prior to th e due date. So that is quite normal in our business. You're asking on the...

George Muthoot: Whether we have changed our interest rates in the last 2, 3 months.
Oommen Mammen: So it is not -- so we would have changed interest rates frequently.
George Muthoot: Or maybe 0.5%, 1%, etcetera .
Oommen Mammen: ECL provision of Stage 1, the ECL provision is INR620 crores. Stage 2 is INR28 crores and sales 3, it is INR288 crores.
Moderator: Ladies and gentlemen, we'll take that as the last question. I will now hand the conference over to the management for closing comments.
George Muthoot: Thank you all for appreciating the company and maybe our business and our results this time. We from our part, will continue to add value to all stakeholders, and that we always will continue to be in the growth part, with all sorts of the best practices.
So with that, I think you can rest assured that we put no efforts -- We will spare no efforts to see that our company always is the best in the sector and probably live up to the standards of the -- and the values of Muthoot.
So thank you for a patient hearing, and we will continue to work towards growing the company in all of them. Thank you once again from the management.
Moderator: Thank you very much. On behalf of DAM Capital Advisors, that concludes this call conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2024

Ref: SEC/MFL/SE/202 4/5835
August 21, 202 4

National Stock Exchange of India Ltd.
Exchange Plaza
Plot No. C/1, G Block, Bandra - Kurla
Complex, Bandra (E), Mumbai - 400 051
Symbol: MUTHOOTFIN Department of Corporate Services
BSE Limited
P.J. Tower, Dalal Street
Mumbai - 400 001
Scrip Code: 533398

NSE IFSC Limited (NSE IX)
Unit 1201, Brigade, International
Financial Center, 12th Floor, Building No.
14-A, GIFT SEZ Gandhinagar,
Gujarat 382 355

Dear Sir/Madam,

Sub: Transcript of the Analyst Call on Unaudited Financial Results (Consolidated and Standalone) for the quarter ended June 30, 202 4.

In continuation of our letter dated August 08, 202 4, and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the analyst call made on August 13, 202 4, on the Unaudited Financial Results (Consolidated and Standalone) of the Company for the quarte r ended June 30, 2024, has been uploaded on the website of the Company within 5 working days of the conclusion of the call and is available at
https://cdn.muthootfinance.com/sites/default/files/files/2024 -
08/13+Aug+2024.pdf

Thank You,
For Muthoot Finance Limited

Rajesh A
Company Secretary
ICSI Membership No. FCS 7106

"Muthoot Finance Limited
Q1 FY '25 Earnings Conference Call "
August 13 , 202 4

MANAGEMENT : MR. GEORGE ALEXANDER MUTHOOT – MANAGING DIRECTOR – MUTHOOT FINANCE LIMITED
MR. ALEXANDER GEORGE – WHOLE -TIME DIRECTOR – MUTHOOT FINANCE LIMITED
MR. GEORGE M. ALEXANDER – WHOLE -TIME DIRECTOR – MUTHOOT FINANCE LIMITED
MR. GEORGE M. GEORGE – WHOLE -TIME DIRECTOR – MUTHOOT FINANCE LIMITED
MR. GEORGE M. JACOB – WHOLE -TIME DIRECTOR – MUTHOOT FINANCE LIMITED
MR. EAPEN ALEXANDER – EXECUTIVE DIRECTOR – MUTHOOT FINANCE LIMITED
MR. K.R. BIJIMON – EXECUTIVE DIRECTOR – MUTHOOT FINANCE LIMITED
MR. OOMMEN MAMMEN – CHIEF FINANCIAL OFFICER – MUTHOOT FINANCE LIMITED

MODERATOR : MR. SANKET CHHEDA – DAM CAPITAL ADVISORS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Muthoot Finance Q1 FY '25 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sanket Chheda. Thank you, and over to you.
Sanket Chheda Yes. Hi, all. Good evening. I welcome you all to the Muthoot Finance Q1 FY '25 Conference Call. We have with us the entire Management team today. Mr. George Alexander Muthoot, who is the Managing Director; Alexander George, who is Whole Time Director; George M. Alexander, Whole Time Director; George M. George, Whole Time Director; George M. Jacob , Whole Time Director; Mr. Eapen Alexander, who is our Executive Director ; Mr. K.R. Bijimon, who is Executive Director; and Mr. Oommen Mammen, who is the CFO.
Without further ado, I'll hand the call over to the MD sir. We'll follow that up by -- with question and answers. Over to you, sir.
George Muthoot: Thank you, and good evening. Good evening to all of you. Okay. We're happy. We just add the board meeting this morning, this afternoon. So most of the family directors are here with us. I am George Alexander, Managing Director. I have with me the other directors and also K.R. Bijimon, Exec utive Director; Mr. Oommen K. Mammen, CFO also along with th e directors, they're also here.
So this has been a good quarter for us. The consolidated loan assets under management has crossed INR98,000 crores at the standalone loan assets under management stands at INR84,324 crores. Both historic highest for the growth in gold loan assets of INR14, 000 crores in the last one year, with records up to 23% and highest ever standalone profit after tax of INR1,079 crores and highest ever consolidated profit after tax of INR1,196 crores for this quarter.
Other highlight , we have raised 650 million to the global issuance of bonds, open 280 new branches by a group as Muthoot Finance has become the only Indian NBFC selected for the FATF, Financial Action Task Force on -site mutual evaluation report on India, conducted in November where India received outstanding outcome in place, it is a regular follow -up category. Muthoot Finance also launched two new ad films as part of its Bharosa India Ka brand. The subsidiaries have also done well. The Belstar Microfinance has increased its profits after tax to INR90 crores, and the gross AUM stands at INR9,952 crores compared t o INR7,000 crores in the Q1 of last year. Muthoot Home Finance, the loan assets stands at INR2,199 crores against INR1,501 crores in the same quarter last year. Disbursed loan of INR221 crores in Q1 compared to INR109 crores in Q1 of last year.

GNPA stood at 1.75% in Q1 versus 3.97 in Q1 of last year. The NNPA stood at 0.52 in Q1 of this year compared to 1.21% last year. Muthoot Money, the loan assets stands at INR1,657 crores versus INR496 crores in the same quarter last year. The continued decl ine in NPA through the fiscal collection witnessed consistently throughout the year. The NPA decreased to 1.63 in Q1 to 2.43.
The branch network also increased to 674 from 470 during this quarter. The other subsidiaries, Muthoot insurance brokers have done good business and their premium collection of INR148 crores, and the total revenue stood at INR44 crores. Asia asset finance, the listed subsidiary based in Sri Lanka, where Muthoot hold 72%, and loan portfolio stood at Sri Lankan 2% INR335 crores as against INR2,000 crores in the same quarter of last year.
We have be

en able to do good business in this quarter and during this -- additionally, the union budget also emphasized many things and that we are sure that the investors given in the union budget also will help us in growing the company further. We see g ood prospects for the business in the coming years, and we expect to do well in the coming years also.
So with that, I would thank -- I would like to close, and I would like to open the floor for any classifications, doubts or queries. Thank you.
Moderator: Thank you very much. First question is from the line of Maruk from Nuvama. Please go ahead.
Maruk : Hello. Congratulations. Sir, I had a couple of questions. Firstly, on the gold loan growth, if you see last quarter also tonnage growth was around 3%. This quarter also, it's that of course, the

total AUM growth is much higher. So going ahead, should you e xpect the same run rate in tonnage for t he next three to four quarters?

And then my next question is on top -up loan. So why is the regulator so worried about top -up loans. First of all, if you could share your top -up loans in terms of what percentage of disbursements were towards top -up? And do you think any segment of competi tion is doing this aggressively, which has worried RBI? And also in terms of your guidance now for AUM growth for the year, where do you see it settled?

Moderator: Sorry to interrupt you, sir, the lines from your side is not clear. I'll disconnect you and reconnect again. Ladies and gentlemen, wait for a moment. We will connect the management line. Ladies and gentlemen, we have the management connection back on call.

George Muthoot: Hello. If you can hear now, I'll continue. So you had asked three or four questions, one of them about the tonnage. The tonnage is directly proportioned to be with the gold price. The gold price is high on incremental growth. The customer needs to bring on ly lesser quantity of gold. So the tonnage will definitely be proportionate to the gold price. So if the gold price keeps steady or keep pricing, the tonnage will be in the same proportion. So I think that should answer the first question.

The second question was about your top -up loans, yes. Customers take top -up loans because, it is not actually top -up loans, customer who have taken only INR50,000 earlier. Now we see some

the eligibility for him has gone to INR60,000, he takes more money on that. We have not -- we expect -- we understand the team may take more money on that. But as long as it is within the 75% LTV, we're not concerned. So as far as it is below the LTV cap o f 75%, we are not concerned.

And your question about -- we have not heard anything from the RBI about top -up loans, gold loans top -up, I have not heard anything. So of course, RBI cautions many things in the probably -- we have not heard anything about from the RBI about this. Today, as of today, the average loan-to-value for our gold loan is only 63%.

So that means that the customers who have taken loan only 63% of the amount has been taken by them, but is still much below the 70%. One more -- guidance, we had been consistently giving guidance of 15%. So probably, we will continue with that to probably take a call after H1, it is Q1 only. After Q2, we'll see how the things are padding out, and if there is a guidance correction to be weak, we'll do it at H1. Thank you.

Moderator: Thank you. The next question is from the line of Sumit Sarda from Compound Everyday Capital. Please go ahead.

Sumit Sarda: Thank you for the opportunity. Just one question about impairment of financial instruments, there's one line item, which has grown significantly sequentially as well as year -on-year. Can you explain the nature of this and why should it not be included in t he cost of fund? Thank you.

George Muthoot: We didn't understand that what we -- can you...

Oommen Mammen:

Which item is that?

Sumit Sarda: Impairment of financial instruments. Around INR375 crores.

Oommen Mammen: Okay. So on the impairment, it is nothing but the ECL provision. So as you are aware, we have grown this quarter by about 11%. So that is roughly around INR8,400 -odd crores. So we make ECL provision as per the PD and the LGD percentage which we have devise d. So generally, we stick the PD and LGD percent in March in the fourth quarter, and we retain that percentage throughout the year, and we review it only at the next year -end. So we calculated the portions based on the PD and LGD accordingly , because there is a growth of INR8,000 -odd crores. We know that there is a ECL provision on the growth element.

Now there is also an increase in the Stage 3 assets by about INR1,000 crores, for which we make a provision of about 10%. As you know, on gold loan, the NPAs are technical NPAs, we don't incur any loss because of the collateral. And no, we don't see any lo ss also coming on that NPA book.

If you look at the average LD of the Stage 3 gold loan assets, it is only around 54% at the principal amount. So -- because it's an accounting requirement as well as the RBI requirement, we had to make ECL provision about 10 percentage. So because of these two, the impairment amount is higher this quarter. But no, we don't incur any cash loss on this impairment provision.

George Muthoot: To keep things a little more in perspective that we usually see it every year, every time is that the NPA which we see is only a technical NPA, because it has crossed the threshold time limit of 12 months plus 90 days. But all these loans, we are in the money. And especially now because the gold price is also high. When customers come and request for time we give them time. That is why you see them as NPA.

We can, of course, be -- if you harsh on the customer and maybe auction the gold and make it in the zero NPA, but then I don't -- we felt that it's not customers interest and also the company's interest to auction the gold even when there is -- we are in t he money. So when we are in the money, the customers request a time, we don't mind giving them more time to raise it. That is definitely a customer -friendly approach which has been practicing all around.

Sumit Sarda: Yeah, thank you, sir. Sorry, I think I misunderstood. What I wanted to understand was, is there any impact of foreign exchange transmission on the forex borrowing that you've taken? And RBI also recording it here.

Oommen Mammen: No. So no, the -- so of course, we have done a dollar bond fund raise of about $650 million in the first quarter. But that will not have an impact in the impairment. Those hedge costs, etc., will come as a part of the finance cost.

Sumit Sarda: Okay. Understood. Very clear. Thank you, sir. All the best.

Moderator: Thank you. The next question is from the line of Shubhranshu Mishra from PhillipCapital. Please go ahead.

Shubhranshu Mishra: Hi. Thanks for the opportunity. Two or three questions. So first is, what is the accrued interest in the quarter? Second is, can you please give us the AUM split of less than 1 lakh, 1 lakh to 3 lakh and more than 3 lakh. And the growth guidance that we ar e giving of around 16%. What proportion of that would come from south versus north. Thanks.

George Muthoot: Yes. I think the south versus is north, it is growing equally, almost equally, south is today, about 48% and the north is 52%. So proportionate growth will be there for guidance also, that is what we have been doing. And the second question was about the impairment.

Oommen Mammen: Accrued interest. Accrued interest is INR1,980 crores.

George Muthoot: INR1,980 crores is the accrued interest and one more point --1 lakh or 3 lakh? Give me two minutes.

Shubhranshu Mishra: So South and non -south both will grow at 15%, fair under

standing here?

George Muthoot: Yes, yes, yes.

Oommen Mammen: Sir 1 lakh is 32%, 1 lakh to 3 lakh is 37%, above 3 lakh is 31%. So 32% to 37%.

Shubhranshu Mishra: Right. Got it. Thanks.

Moderator: Thank you. The next question is from the line of Rajiv Mehta from Yes Securities. Please go ahead.

Rajiv Mehta: Hi, good evening. Congrats on a very strong set of numbers. Sir, we have seen a clear uptick in new customer acquisition volume, even the fresh loans to inactive customers even that volume has increased. So if you can elaborate on the drivers of this bette r numbers coming through in this quarter. Is it one of the competitors not being present that has helped us? Or is it some competition moderation from bank or do you see that demand is coming because there is lesser availability of unsecured c redit for the borrower?

George Muthoot: I think you answered all the questions. All the three other reasons good enough, maybe -- the credit also -- credit requirement is also going up. So probably, there has been some caution from the bank also with regard to unsecured loans, etc. So probably p eople are now coming back more to gold loans. That is one. The second, of course, the conversation from the banks, it is probably -- it is always there, you won't say competition, there's always there, but probably it will come down.

So -- but -- as always, we say companies like Muthoot, which are always focused on gold loan, we always have room for good growth in gold loan. So that is what we have been able to do. Muthoot has always been focused very much on gold loan and we have been able to get the advantage of probably the lesser competition or the decreased intensity of competition from banks as well as some other NPAs.

Rajiv Mehta: And sir, what is the reason for holding back revising the guidance upward after this stellar show? Because from March to June, we've already seen 11% growth in the gold loan portfolio. We're still guiding for overall 16% for the year. So I mean, have we se en the trend slightly moderate a bit on the growth side in July and August and if not, then what is holding us back from revising the guidance because out of 15% -odd, 11% is already done in the first quarter.

George Muthoot: I think we didn't want to do a very -- we want to revise the guidance as early as in Q1. So we

thought we will do it after Q2. That's all. It's nothing more than...
Rajiv Mehta: Yes. So July, August trends have continued in terms of growth and customer acquisition.
George Muthoot: I think this is continuing just like before.
Rajiv Mehta: Okay, sir, thank you so much.
Moderator: Thank you. The next question is from the line of Ashish from Infinity Alternatives. Please go ahead.
Ashish: Thank you and congratulations. First set of numbers. Couple of questions which I just wanted to understand on the NPA, especially the Stage 3. Now that we have a very large number, do we expect over the next couple of quarters, the NPA number, Stage 3 numb er to come down? I know you guys started to try and be customer -friendly, but the number is getting very large. And related to that, sir, we had done an ARC transaction, I think, three or four quarters back. So if

you can just update as to how much returns have we got beyond the principle. And if you can help us understand if we are if you're thinking of another ARC transaction on our books.
George Muthoot: So I think, as you said, we are definitely in the money. We have a stated principle or stated policy of Muthoot, we would like to accommodate the customer wherever possible. So as you also said, if the numbers are going beyond level, then we'll have to tak e some actions, maybe option little more frequently is that's what we record. But then we would, of course, pursue on the customers to c

ome and close the loan and probably take a new loan. That is something which we are starting to do now a lso persuading them to close the loan and probably take a new loan that will also change the NPA status, etc. So we are taking steps to that.
Finally, we would like to accommodate the customer as far as possible. Regarding the ARC, which we did six months back, we did transactions for about 80,000 customers. And today, we are so happy that out of the 80,000 more than 80% of them have taken back their goal. So probably, we were able to -- what should I say, prevent auctions or maybe n ot do auctions in 60,000 cases.
We have 60,000 customers. I'm sure they are definitely ever grateful to us for saving their gold and giving them a little more time, three, four months' time, so that we were able to take back the gold. So to answer your question of the ARC, ARC was done f or about INR700 crores. I think about INR200 crores is still outstanding as principal receivable from them.
Ashish: On the ARC transaction so that we -- as you said, we are in the money -- so we're looking at giving another ARC transaction. And on the ARC transaction, are we expecting any update beyond the principle, because obviously, it was 100% is principle is what I remember.
George Muthoot: Definitely, we expect upside on principle definitely as soon as this recipient received balance which we are going to receive would be the interest and that will come in their next quarter. So we have not considered doing another ARC at the moment.
Ashish: Okay, thanks and wish you all the best.
Moderator: Thank you. The next question is from the line of Pranav from Bernstein. Please go ahead.
Pranav: Hey, good afternoon. Thanks for taking my question. My question is again on the Stage 3 assets. While I understand there is no cash loss for the company. Can we see this as a decline in the repayment ability of the customers? We are seeing a general pickup in credit costs across various lenders. We see a continuation of that trend. Some colour on that would be really helpful. Thank you.
George Muthoot: Firstly, I don't think it is that reason because the other option would have been for us to auction the growth. So if you look at our auctions, auctions have been very minimal in this quarter and last quarter also, because we were accommodating customers without auction. So if you look at the overall, the number -- the NPA customers or the Stage 3 customers are almost same. It is just that we thought because we are not a uctioning. Many of them are now remaining in our books as Stage 3.

And that's all. Because these are all small, small customers, it is not that there is some trust in the market for these people, etc. And such a small ticket size, the call all around the whole geography of India. We don't see any such stress, etc. But the fact here is that we are able to accommodate them and prevent the options. So if you look at our auctions, auctions should have been much lesser in the last two quarters.

Pranav: Understood. Understood. So just that I understand the slide. So you're saying that the number of customers who have fallen behind on payments has been really changed. Only thing that has changed is lesser number of auctions, which is driving this higher nu mber. Is that fair?
George Muthoot: You're almost right there. Customers also very well aware the value of this collateral he has given. So he can very well request for some extra time. So if we are not giving extra time, we can go to somebody else and about the same amount. So, it is not due to any stress across any particular segment.
It's, just that is postponing that repayment, we send an auction notice, he will come and repay the loan. A majority of them will come and repay the loan. But as a prudent practice, we give some extra time to this customer, especially for t

he fact that the average LTV on these loans at origination is around 54% at the current pr ice.
Pranav: Understood. Thank you very much. Super helpful. Thank you.
Moderator: Thank you. The next question is from the line of Pavan Kumar from Ratna Traya Capital. Please go ahead.
Pavan Kumar: Sir, can you give me the auction number.
Moderator: Sorry to interrupt you, sir. May I request you to please use your handset?
Pavan Kumar: Is an auction. Can you hear me now?
Moderator: Yes, sir. Please go ahead.
Pavan Kumar: Can you give me the auction numbers for this quarter and last quarter?
Oommen Mammen: So now this quarter is INR68 crores.
Pavan Kumar: And last quarter, how much was it, sir?
Oommen Mammen: Last quarter, just give me a second. Last quarter was about INR162 crores.
Pavan Kumar: Okay. And did I clear why we are saying nothing -- I mean, we are not seeing any kind of difference in the amount of stress we are seeing on the ground on the customer, but it is more because of us doing not much auction that the G&P figure.
George Muthoot: Yes, yes, you're almost right.
Pavan Kumar: And from here on, what is the kind of credit cost we should expect for the rest of the year?

Oommen Mammen: So as per ECL calculation -- for gold loan, the PD we have kept is 8.9% and LGD is 9.96%. So this will continue to apply for the growth element. And on the NP assets, the loss given default will be applied for the entire NP assets at 9.96%. So that is an impact. So this is a mathematical formula. No, I can't do much about it till it is revised.
George Muthoot: Sir, to clarify something. None of these NPA results in loan loss. That is what we want to do. None of this euro loan loss on this...
Pavan Kumar: I do understand that, but I was trying to more figure out why would these customers actually -- I understand you are 54% LTV. But I was just trying to understand why would -- I think is it the testing of the lending segment as a whole that this is happenin g or why is that NPAs have suddenly gone upside.
George Muthoot: I told you because customers know that their gold is worth much more. So the request for little more three months, six months time to maybe to keep it because we just accommodate them. That's all.
Oommen Mammen: In fact, compared to last NPA percentage has come down from 4.26% to 3.98%. But it doesn't mean anything as far as we are concerned.
Pavan Kumar: Okay, sir. Thank you.
Moderator: Thank you. The next question is from the line of Gao Zhixuan from Schonfeld . Please go ahead.
Gao Zhixuan: Just wanted to understand, post the budget, there's a pretty sharp drop in the domestic gold prices. Are you seeing demand side being impacted post the budget because of that?
George Muthoot: Yes. There was a fall in the domestic price by about 8%, 9%. So there was a 9% fall in the customs duty. But of late, if you look at today's price also, the international price has actually gone up, because actually reached $2,500. So international price i s actually covering. And today, the peak decrease in the price compared to pre -budget, it's only about 4%.
Gao Zhixuan: Sorry I missed an earlier answer, but in July and August, is the momentum that we saw in the first quarter largely continued so far?
George Muthoot: Gold price is still going up only. The momentum, there may be sports of very high growth, very high price pricing one month. But if you look at overall in the last one, two years, the three years, the price has been steadily going up only, mainly probably because of the geopolitical tensions, etc.
Gao Zhixuan: No, sorry, I'm referring to our gold AUM growth into all those.
Oommen Mammen: So we are continuing to see a good level of disbursement, of course, we can give a quantification for that. But we are seeing a good disbursement as far as gold loan is concerned.

Gao Zhixuan: Got it. Thank you.

Moderator: Thank you. The next question is from the line of Digant Haria from GreenEdge Wealth. Please go ahead.
Digant Haria: Yeah. Hi, sir. Sir one question I had that even in South India, which is continued as a matured market for gold, are your so much drop on growth, all the small, small banks, cooperative banks. So this somehow this entire gold loan industry is seeing very, very vibrant growth. Any reason you can point out for this. The gold price is on even, but anything else you can tell us?
George Muthoot: Good to hear your voice once again. And I think what is happening is also companies who are very focused on gold loan. They will continue to grow. The others who come in maybe come here focus after one quarter focus on this after three quarters, reduced th eir focus for them, the growth may not come as there. So those were focused gold loan place. Probably we can take, I can say only about Muthoot.
We would definitely continue to see growth momentum, whether to south or north, etc., even with regard to, as you say, a mature market. Mature market is also -- there are so many people still who are not definitely made use of the gold loan model, gold loa n model for their funding requirements. So the market is very huge. There are so many people still there who have not used this opportunity.
So we see new customers also coming. And in the last several quarters in one year, two years, many of the banks have also been doing well are doing. So doing gold loan well. So the -- what should I say, the knowledge of people that the gold loan is a good fact good borrowing vehicle is also increasing. So more on more people who earlier were not taking gold has or try to take this, in a market a lso, that are repeat customers.
We always say 80% -- 75%, 80% of our customers are repeat customers. After some time, they came and close the loan after three, four months, they come again. So as long as we are focused there as long as people feel that Muthoot is a reasonable company where they are getting good service and also, of course, always their gold is also safe and not auction ed very quickly, etc., we get a lot of repeat customer.
Digant Haria: Right. Very good that is good to hear. Sir, but in that case, shouldn't you revise our guidance, I know you just said that after H1 you will do, but you start the year with 15% guidance. This year, we started the quarter with 15% growth in just one quarter . So maybe is it time or you just to be cautious because maybe the competition will bounce back again and whatever.
George Muthoot: It's not that because I think if you look back also, all the years, we have always revised only after second quarter, etc. There never waste after the first quarter. So just going by all the precedents only but definitely, we would take the maximum -- we u se the maximum opportunity for gold loan growth, we will leave no stone unturned to get the maximum possible gold loan business. So that is our main focus and wherever there is an opportunity for gold loan growth or AUM growth, we will do it and we will use it to the maximum is. So it's just that we don't want to give a revision after one quarter. Probably next quarter, we will be a ble to do a better. Or that we see

anything in the horizon that is negative, we don't see anything like that. But we don't want -- we wanted to do it after two quarters. That's all. Nothing more than that.
Digant Haria: Perfect. Sir, and one more thing, which I wanted to ask is that in 2020, '21, '22, when a lot of these banks are getting aggressive, we had to take that trade -off of growth versus lending yields. Now I see at least our lending yields have been stable despi te such high growth. So that whole growth versus margin trade -off, do y

ou think that is over now and we should at least get this stable margin, which we have been getting for the last four, five quarters?
George Muthoot: The margins are reasonable now. And of course, we see -- occasionally, we see the borrowing costs also going up slightly. So as the borrowing cost is going up, we will -- whatever we can absorb ourselves, we will do trust, we'll have to pass on to customer s. So we take a call on that maybe in the coming months, we'll take a call borrowing costs, etc., incremental borrowing cost is going up. We'll have to take a call on that. Some time, we will try to absorb the cost. But afterwards, we have to take care of our margins also, NIMs also required. We will do a yield evolution also. As far as possible, maximum it till -- we would like to do the best ways to these customers.

Digant Haria: Got it. Got it. Got it, sir. Sir, this is safe to assume that this 20,000 disburse, we disbursed everything in bank accounts. There's more than 20,000. So it was that an operationally very heavy quarter, but as I can see, there is no disruption. So that al l that thing went very smoothly this quarter?
George Muthoot: I think yes, there is such a big commotion and confusion, because everybody is carrying cash into 20,000, etc. It was -- most of our customers have bank accounts. They come and they see in the branch, can I give you INR60,000 cash we used to give. But now they say, we can't give, we just transfer it to their account. Everybody has some Google Pay or UPI something is there for everybody. So hopefully, has found it difficult nowadays. No issue has come because of that.
Digant Haria: Right, right. So that's great to know. Thank you so much for the opportunity and I wish you great for this year and the coming years.
Moderator: Thank you. The next question is from the line of Prolin Nandu from Edelweiss Public Alternatives.
Prolin Nandu: Yes. Hi. So this is Prolin here. Thank you for giving me this opportunity. One, just a bookkeeping kind of question. While I understand that our NPAs are more technical in nature, but this assumption that we changed at the start of the year for LGD and PD, has that changed towards this last year?
Oommen Mammen: So, ever since Indes has implemented, we normally revise the PD , LGD only in March, in March quarter.
Prolin Nandu: So then in March quarter of March of '24, we were revised upward, right? What -- I mean is it -- I mean, has it changed towards is March 23 quarter, the assumption of LGD and PD.

Oommen Mammen: Yes. Now it has come down a little bit lower compared to March '23.
Prolin Nandu: Which means that the incidents in terms of asset quality is better than what we were building in, am I correct?
Oommen Mammen: Yes.
Prolin Nandu: Right. Okay. Thank you for that clarification. Secondly, sir, just extending Digant's question a little bit further. Now you -- I mean, Muthoot has always been focused on gold loan. And it's like a fair weather -- it's like an all -weather friend for its cu stomer, it's always there, right? I mean, competition comes and go. And you are very optimistic in terms of loan growth also going forward.
So I'm just trying to link the gold loan growth with the margin part. So is it fair to assume that maybe in near past, right, for a couple of years when competition was high, the -- our decision on pricing was not purely based on the cost of the fund, but it was also based on what the competition does. Going ahead, will it purely be based on cost of funds? Is that a fair assumption to make?
George Muthoot: So I think one thing is that we have to look at the customers also. The customers is our first priority. So when customers are presenting for very low interest, we are getting low interest some -- we have to definitely take care of our customers at that co st of probably some profits. But

then after sometimes, customers also realized that what they saw is getting a low rate from somewhere is not is having its own difficulties, etc. They started coming back to us. So now today, we have it.
So it's not that now because the customers have started coming back, we can just -- we need to simply increase our vendors. I think we look at the customers first. So that is why -- because any other company, nearest competitor, NBFC, etc., we have much mo re than 2 times, 3 times their aim, because customers feel that we are a more reasonable of the company. So whenever we have an opportunity, we support the customer, whether it's at our auctions, less frequent auctions or maybe not increasing the rates to -- or increasing the rat es only to maintain our limits.
So that adheres customers more to us, because these are mainly walking customers. They have to come back and decide to come to move. That is what is most important here. The repeat customers, the customers have taken a loan closed, it should come back to u s on the second loan. And that we are the definitely see. That is where we are able to score over many other people.
So to answer your question, now that there is no competition etc., it's not that we want to increase the rates. We will try to maintain ou r mean, etc., reasonable profit, good profit. And then we will continue with that way.
Prolin Nandu: All right, sir. That's it from my sir. Thank you for the answers and all the best.
Moderator: Thank you. The next question is from the line of Jigar Jani from B&K Securities. Please go ahead.

Jigar Jani: Yeah, hi. Thanks for taking my question. So jus t a follow -up on the margin par ts. So earlier, our guidance of $0.11 to $0.02 kind of NIMs that we'll be maintaining still be maintaining those targets? Or do you think there is an upside or downside risk to this?
George Muthoot: Sorry, can you repeat? Can you just -- we did not quite understand your question. We didn't quite understand your question. Jigar, are you there?
Moderator: Mr. Jigar, may I request you to please repeat your question.
Jigar Jani: Yes. Is this better?
George Muthoot: Yes.
Jigar Jani: Yes. So what I was asking was on your margin guidance, Earlier we have been guiding for 11 margin rate, but then about 11.5 %. So we'll be still sticking to that margin guidance.
George Muthoot: No, maybe 0.5%, 1% here and there. We generally try to stick to that, sir.
Jigar Jani: Okay. And any risk that you see to this margin given that maybe the -- one of our competitors who will sell embargo -- when they come back, they might revert back to aggressive pricing to regain market share. So what would be our strategy? Would you -- would we still kind of sacrifice on margins to maintain market share or would be like prefer to maintain margins at current levels and grow at a slightly slower pace, because we have seen this play out before in terms of teaser rates. I just want to understand, if a scenario like this comes in, what would be our likely strategy?
George Muthoot: Actually, Muthoot Finance, we have our own strategy for business and growth. We are not very much concerned of to take it by what others do. But then we don't want to comment on the other companies, etc. We would like to grow our company in the way we like , and I think we have been able to do that well, and we should -- we will try to stick on to that.
Jigar Jani: I think somebody asking the quantum of the top -up loans that we do would give you possible to share?
Oommen Mammen: There is nothing like top -up. As we said, the average LTV of the loans is around 63%. Now customers who have taken as a loan earlier, if he has a requirement, he'll come and take an additional loan. If I am not giving that loan -- we can go to somebody els e and take a loan. So I don't think theirs is a top -up, it is purel

y based on his requirement. Top -up really, meaning when I know somebody has taken the maximum amount of a loan. And then on top of that, they are getting up additional loan. Today's environment, especially when the average LTD is only 63%, the question of top -up doesn't arise, it is purely based on his needs at different points of time.
Jigar Jani: Okay. So we won't have a separate number on these type of loans that we are giving. And we'll be tracking on how much of a renewal would be where customers are coming and taking an additional loan LTV is available?

Oommen Mammen: See, if you look at our customer -- the number of loan accounts is around 91 lakhs, whereas number of active customers is around 59 lakhs. So which means that every customer has maybe more than one loan, which also explains the fact that I mentioned some people -- when they have a requirement, they will c ome and take an additional loan. So we don't want to call that at the top-up. No, it is a wrong terminology to use for that situations.
Jigar Jani: Understood, sir. Thank you so much for answer the question. Thank you.
Moderator: Thank you. The next question is from the line of Nischint from Kotak Institutional Equities. Please go ahead.
Nischint Chawathe: Thank you. And in Slide 42, you give gold price per gram of INR6,580 in June. What exactly price is this. I mean, is it like a 24 -carat 22 -carat price, what is it?
George Muthoot: Which slide are you referring to?
Oommen Mammen: That is 22 -carat.
George Muthoot: 22-carat. The ornament gold is all 22 -carat.
Nischint Chawathe: Okay. And what would be the price today? I believe this is also.
Oommen Mammen: I think it has come down by around INR6,200 or so, then again, now it is INR6,500.
George Muthoot: INR6,500. Just one minute. Today, the prices again just come back. So after the budget -- today price is INR6,565.
Nischint Chawathe: 22-carat. And today's loan book in that sense would be greater than the loan book as on July or will it more at a similar level?
Oommen Mammen: So no, 1.5 months are past announced in June 30. So the newer loans will be happening at a newer LTV, probably the older loans should have been good, which has happened at lower LTV

would have got closed. So I can't comment on the exact LTV at this point o f time. So you
visualize on that basis. And when we progress, the newer loans will happen at newer LTV. Not
necessarily that every customer is going to take at the maximum LTV.
Nischint Chawathe: But fair to say that is higher than the INR81,000 crores that we reported in June.
Oommen Mammen: No, no, Nischint, don't ask me that question right now. We already discussed the disbursements have been good in the current quarter. So that's all we can explain.
Nischint Chawathe: And just LTV on NPAs, I think we mentioned this number, but I'm not verifying...
Oommen Mammen: 54%.
Nischint Chawathe: And just one last one, and this is actually on the microfinance business, where we have fairly seen fairly sharp price on a sequential basis on Stage 3 loans. So if you have any commentary
on that? And how do we see the relation for that?

George Muthoot: Yes. The Stage 3, yes, definitely, it is not -- it is -- across the board, across the industry, the Stage 3 has gone up, and we are actually much better off than majority of the similar companies.
Nischint Chawathe: Are you planning to put invest selling capital further capital in the micro finance business?
George Muthoot: I think they are looking for an IP.
Nischint Chawathe: Okay. So nothing from our side.
Oommen Mammen: As of now, nothing. Because I think they can manage it. And now there is also an IP with this plan. It all depends on the outcome of that.
Nischint Chawathe: Got it. Thank you very much and al

l the best.
Moderator: Thank you. The next question is from the line of Pranuj Shah from JP Morgan. Please go ahead.
Pranuj Shah: Thank you for the opportunity. Sir, I think earlier in the call, you had mentioned the competition
in general is seeing some moderation. On the NBFC front, I can understand that one of the
competitors in there. But you also mentioned that bank competition is coming off. So what is
driving that?
George Muthoot: It's not that bad -- the focus of banks are not maybe not as aggressive as it was maybe six months, eight months back.
Pranuj Shah: Okay, understand. In the case like earlier banks are also giving other unsecured loans. So because
of the RBI scrutiny increasing on that. I would assume that even the banks will focus more
towards that secured gold loans and focus towards these set of loa ns for smaller ticket sizes. So
that is not the case.
George Muthoot: I wouldn't want to comment on that because banks have always been doing gold loans and
unsecured loans both are always ensure banks get a much higher yield on unsecured loans than
the gold loans, some deficiencies, they have take to nothing in our side. What we are seeing is
that the competition, the agg ressive competition from some banks have actually waned.
Pranuj Shah: Understood. Understood. And sir, just one more thing. Sorry, coming back to your auction and
your Stage 2 plus 3. Like if I look at the Stage 2 plus 3 book that is higher even on a year -over-
year basis by around 80 basis points. So generally, for how long would you wait before you start
sending auction notices again to customers, make sure that can help us understand?
George Muthoot: We will try to keep that NPA within some limits. So we would have wanted to go very high. But
then we are actually taking some efforts to ask the customers to come and close the loan and
take a new loan. That's what we are focusing now so that they are abl e to save their goal. Our
focus is mainly to save the gold of the customer. So probably -- we have been having, last year
-- last year this quarter on Stage 3 was 4.2%. Last quarter, it was 3.8%. Now it is 3.98%. So if
you look at the quart er of -- similar quarters in last year, the Stage 3 was 4.6%, today is only
3.98.

Pranuj Shah: Understood. Actually, I was looking at both Stage 2 plus Stage 3. All right, I get the point.
Thanks a lot, sir.
Moderator: Thank you. The next question is from the line of Raghav Garg from Ambit Capital. Please go
ahead.
Raghav Garg: Hi. Thanks for the opportunity, sir. Just one question from my side in terms of bank competition,
in the past, we've observed that there has been some utilization of the interest subvention
subsidiary from banks, which is one of the reasons why they were a ble to give lower rates on
gold loan. Another thing is that also very recently one of the largest PSU banks said that they

were turning down on Agri gold loan. So just kind of the two, three things. Is that the reason why banks have toned out their gold loan effort? I think in the past, you have also commented at some point in time that banks were not really playing a fair game. Just some of your observations or commentary on that will be very useful.
George Muthoot: We have been always -- earlier, we were always putting it to the regulator that this is happening, probably they themselves would have realized some of these things can change. I wouldn't want to comment anything on that because we have been always saying that there was something unfair, etc., happening. Probably some of the banks would have give some instructions to do that. I'm not sure about that. What I feel is that aggressiveness has toned down.
Raghav Garg: Understood. And sir, another question, when I look at the data, clearly, you've gained quite a bit of market share in this quarter. Can you provide any insight in terms o

f what percentage of your
customers which were acquired this quarter? They were earlie r taking loans from, say, another gold loan lender. Is that a data point that you would have handy?
George Muthoot: So actually, customers don't comment tell us that I have been taking the loan from x company and then bringing it to you. Come with their gold. We don't ask them from whether it's a plastic anywhere else. We don't have any data on from where they have take n this loan, etc. Usually, what happens is somebody takes a loan when he gets the money, he repays that loan, keep the loan -- we keep the gold with him. Next time, he wants, he goes to x company. So usually, what we see is most of our cust omers come back to us and new customers also come.
So it is not that he is taking gold from x company and giving it to Muthoot. No, nobody does that. They take the gold, they keep it at home, whenever they want because when they get the money only they can repay the loan from the other company. X company, they will repay the loan when they get the money. We'll keep the gold at home. Next time, after one month, two months when they want the money they come back. Instead of going to x c ompany, they all come to us. That's all what's going to happen.
Raghav Garg: Understood. And sir, how much more kind of cost of funds increase from there.
Oommen Mammen: So no, this quarter, it is around 8.75%. I think probably another 25 bps.
Raghav Garg: Understood.

Oommen Mammen: We've also taken the equity borrowing where the average cost will be around 9.6% on a monthly basis. So that also will increase the overall funding cost.
Moderator: Mr. Raghav, does that answer your question?
Raghav Garg: Yes.
Moderator: Okay. Thank you. The next question is from the line of Jignesh Shial from InCred Capital.
Jignesh Shial: Yes. Sir, just a couple of questions. One, you have been saying that gold prices have been going up and down. So how frequently do you revise your -- the pricing or is it remaining fixed or over a period of time you revise the gold pricing? Or for 1 gram o r it is regularly being revised based on day -to-day price moment?
George Muthoot: That is your question, any more questions?
Jignesh Shial: Yes. Secondly, I also wanted to check your personal loan portfolio is right now around 24 billion, if I'm seeing it correct, how much of would we cross -sell to our existing customer? Or will it be a completely fresh set of customers. That is second. Third, you have guided for 15% growth.
George Muthoot: I understand your second question, what is it?
Jignesh Shial: So your personal loan portfolio, what kind of customer profile is it? So is it same like gold loan customers additional loans -- your 15%, you're giving a good -- your loan guidance right now, but you're saying south and north would be equal, right? So can you guide us something on the branch expansion side. Are you planning any more branch expansion? And where exactly will it be happening? That is something I wanted to understand. And fourth, lastly, you had given that up to 1 lakh, 1 lakh t o 3 lakh and 3 lakh and above percentages for the quarter. Can you give us the same number for last year? Is it possible? That's my four questions.
George Muthoot: The LTV rate is everyday dynamically. So it depends on the daily price movement. So everyday, the LTV is fixed. There is based on the price movement. Actually, the price movement is taken last 30 days average. But then every day, it is fixed every day, it moves. 4,900 today. Tomorrow, it may be 4,902 or 4,903. So that is the number one.
Number two question is about our branch expansion -- yes, we have been growing our branches, yes. We have been growing branches wherever the regional office comes and says there is good potential in this place, we open the branch. So probably last quarter also, we op

en some branch
going forward. This year, we may open another 100, 150 branches this year. Another question

you asked us about?
Jignesh Shial: Personal and customer profile.
Oommen Mammen: The ticket size you have for last year. So last year, up to 1 lakh, it was 35%, 1 lakh to 3 lakh is 38%, and above 3 lakhs, it is 27%.
George Muthoot: All 30% range.

Jignesh Shial: Yes. So basically, we are seeing that more than 3 lakh customer bases basically has increased Y-o-Y. Is it correct? Or it's almost similar.
Oommen Mammen: I'm sorry, 27% to 31%.
George Muthoot: People are getting more prosperous.
Jignesh Shial: Understood. Okay. And just a follow -up on what you answered. So also, I wanted to check your personal loan customer profile, if you can tell me that one, that will also be used to...
George Muthoot: We wanted to do all this personal loan and all to actually give loans to our existing customers because when we looked at the customer profile we found that they were taking home loans, they were taking personal loans. They were taking vehicle loans from e lsewhere, we thought we can do that. So of course, to start with, we put into that alone. We wanted open market also. We have an open market probably today, it will be 50 -50 or 50%, 60% should be open market and others are cross -sell to our customers. So cross sell just a lead generation customer, who we feel have taken a loan from x company personal loan, we can always ask why don't we take the personal loan from us also. I think all the banks also do the same thing. Close all their gold lo ans, personal loans, etc., is also tried to do that is.
Jignesh Shial: Understood. So just to follow up quickly. Since you are saying branch expansion wherever it is possible you will be doing it up, but I think in north, you will be less penetrated compared to south? Or is my understanding incorrect? So the...
George Muthoot: There is a requirement in north or south, we just open it, sir. That's all.
Jignesh Shial: Okay. Understood. Understood. Perfect. Understood. And yes, I guess, yes, that's it from my side. And sorry, one last thing. When you are saying it is really 30 days moving average and then based on LTV. So if there is a steep correction in gold prices, th en it might happen that LTVs might even inch up, right? That is possible. I mean if gold price moving down suddenly.
George Muthoot: It will start moving -- because that is a RBIs instruction. It's not that we do it, it is the Reserve Bank of India's instruction that the Bombay bullion rate average of 30 days should be taken, and that should be the LTV fix every day. The moving average of 30 days.
Jignesh Shial: Perfect. Thanks. Thanks a lot, sir. Perfect. That answers my question, sir. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Bunty Chawla from IDBI Capital. Please go ahead.
Bunty Chawla: Thank you, sir. Thank you for giving me the opportunity and congrats on a good set of numbers. Sir, on the Slide 51, as we have seen operational efficiency, in fact, this quarter was the one of the best quarters in terms of sequential growth in the AUM, bu t still cost to assets or you say operating expense to average loan assets still going inching up in Q1 itself. Is there any one -off in operating expenses or how one should see this number going?

Oommen Mammen: No, that reduction is primarily because of the growth on a Q -o-Q basis in AUM. So otherwise, operational expenses continue to increase in absolute amount wise.
George Muthoot: Rent goes up, salary goes up, everything goes up.
Bunty Chawla: No, no, I was saying that if you have an operational efficiency number, which has inched up from 4.1% to 4.24%. So though there has been an increase in the AUM growth sequentiall

y, but
still operating expenses has increased. So any one -off or this number, how should see?
Oommen Mammen: Yes. So the operational numbers -- pure operational expenses, which is 3.12% and 1.12% is actually because of the impairment portion. So that increase is actually because of the impairment portion, which we explained it earlier, because of the loan growth, there is an around INR100 crores of impact. And because of the increase in the NPA, there is another inflation of around INR100 crores. So that is the reason why the total percentage, which we have put is slightly higher.
Bunty Chawla: Okay. Sir, secondly, in the RBI monetary policy they have asked to be the monitoring of end

use of funds to be done by the NBFCs or banks as such. Generally, in gold loan, we generally
do focus on the end use where the customer is using. Do we have to now do that thing? Or if --
will it have some bit of impact, how one should see that.
George Muthoot: I have not gone through that the requirement to look at that and then come back to you.
Bunty Chawla: Okay. Okay. Okay. Then lastly, on Belstar Microfinance, we have already filed the DRHP. So -
- and this quarter, it has been slightly harsh for MFI portfolio. We have seen in our portfolio as
well. How one should see this IPO time line or how it is going, p lease?
George Muthoot: Don't have any definite guideline, etc., as and when the market is right and when the approvals
come, we will go for it. That's all. We don't have any hard and fast food that it should be done
in the next month or this month or next quarter, etc., whenever in fact, the approval comes and
the market is right, we should go for it.
Bunty Chawla: Sir, lastly, on the MFI, this Belstar Microfinance, how the industry -- this quarter, I know it has
been hard. How you are seeing this investor any improvement in asset quality or growth, how
one should see?
George Muthoot: I think overall, the industry is growing -- it will be okay. We also have sometimes ups and downs,
elections come from impacting their production. So those are all geographical factors which
affect this. Otherwise, the microfinance industry, an industry in itself is a business in itself. They
have their own challenges, they have their own deal raises, etc. There is nothing much we can
also do in that. It is a -- they are also one around the industry, not the biggest player also
reasonable pl ayer.
Bunty Chawla: Okay. Thank you. Thank you very much, sir. Best of luck.
Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. I would now like to
hand the conference over to the management for closing comments.

George Muthoot: Thank you. It has always been a pleasure interacting with our investors and our well wishers.
I'm sure Muthoot, we on our part, assure you that we will do our best to do the best in all fields
of the business, whether it is quality of business, whether it is governance and all said, we will
put in our best. We are thankful to our support for all these quarters, all these years, and we
would request your support in the coming days also. From our part, we will do our best to keep
all our stake holders happy. Thank you, and good day. Happy Independence Day to everybody.
Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank
you for joining us and you may now disconnect your lines.

Call: Nov 2024

Ref: SEC/MFL/SE/202 4/5937
November 20 , 202 4

National Stock Exchange of India Ltd.
Exchange Plaza
Plot No. C/1, G Block, Bandra - Kurla
Complex, Bandra (E), Mumbai - 400 051
Symbol: MUTHOOTFIN Department of Corporate Services
BSE Limited
P.J. Tower, Dalal Street
Mumbai - 400 001
Scrip Code: 533398

NSE IFSC Limited (NSE IX)
Unit 1201, Brigade, International
Financial Center, 12th Floor, Building No.
14-A, GIFT SEZ Gandhinagar,
Gujarat 382 355

Dear Sir/Madam,

Sub: Transcript of the Analyst Call on Unaudited Financial Results (Consolidated and Standalone) for the quarter and half year ended September 30, 202 4.

In continuation of our letter dated November 11 , 202 4, and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the analyst call made on November 14 , 202 4, on the Unaudited Financial Results (Consolidated and Standalone) of the Company for the quarte r and half year ended September 30, 202 4, has been uploaded on the website of the Company within 5 working days of the conclusion of the call and is available at https://www.muthootfinance.com/analyst -call.

Thank You,
For Muthoot Finance Limited

Rajesh A
Company Secretary
ICSI Membership No. FCS 7106

"Muthoot Finance Limited
Q2 FY '25 Earnings Conference Call "
November 14, 202 4

MANAGEMENT : MR. GEORGE A. MUTHOOT – MANAGING DIRECTOR – MUTHOOT FINANCE LIMITED
MR. ALEXANDER GEORGE – WHOLE -TIME DIRECTOR – MUTHOOT FINANCE LIMITED
MR. GEORGE M. ALEXANDER – WHOLE -TIME DIRECTOR – MUTHOOT FINANCE LIMITED
MR. GEORGE M. GEORGE – WHOLE -TIME DIRECTOR – MUTHOOT FINANCE LIMITED
MR. GEORGE M. JACOB – WHOLE -TIME DIRECTOR – MUTHOOT FINANCE LIMITED
MR. EAPEN ALEXANDER – EXECUTIVE DIRECTOR –

MUTHOOT FINANCE LIMITED
MR. K.R. BIJIMON – EXECUTIVE DIRECTOR –
MUTHOOT FINANCE LIMITED
MR. OOMMEN MAMMEN – CHIEF FINANCIAL OFFICER
– MUTHOOT FINANCE LIMITED

MODERATOR : MS. RATI PANDIT – NIRMAL BANG EQUITIES PRIVATE LIMITED

Moderator: Ladies and gentlemen, good evening, and welcome to the Muthoot Finance Limited Q2 FY '25 Earnings Conference Call hosted by Nirmal Bang Equities Private Limited. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Rati Pandit from Nirmal Bang Equities Private Limited. Thank you. And over to you, ma'am.
Rati Pandit: Thank you Sejal. A very good evening to everyone on behalf of Nirmal Bang Institutional Equities, we welcome you all to the 2Q FY '25 Earnings Conference Call of Muthoot Finance Limited.
We are pleased to host the senior management of the company represented by Mr. George Alexander Muthoot, Managing Director; Mr. Alexander Geo rge, Whole Time Director; Mr. George M. Alexander, Whole Time Director; Mr. George M. George, Whole Time Director; Mr. George M. Jacob, Whole Time Director; Mr. Eapen Alexander, Executive Director; Mr. K.R. Bijimon, Executive Director; and Mr. Oommen K. Ma mmen, Chief Financial Officer.
I now hand over the call to MD sir, Mr. George Alexander Muthoot for his opening remarks, post which we can have the floor open for Q&A. Thank you, and over to you, sir.
George A. Muthoot : Good evening to all of you. George Alexander Muthoot, Managing Director. I have met the senior team of Muthoot Finance, because we just had our Board meeting. So everybody is around. So once again, good evening to all of you.
Actually, we are pleased to announce that we have achieved the e xceptional financial results for the first year of '25. Our stand -alone assets under management has reached INR90,000 crores and the consolidated AUM has crossed INR1 lakh crore. We definitely feel at Muthoot, we are proud that we have crossed the INR1 lak h crore consolidated AUM mark. And definitely, we are happy with that.
The stand -alone assets under management itself has grown to INR90,197 driven by a robust 28% year-on-year growth on our core gold loan portfolio. Our stand -alone profit after tax grew by 18% year -on-year and now stands at INR2,330 for this half year. This half year, we also saw the highest ever gold loan disbursements to new customers of INR10,687 crores that is to 9 96,000 new customers.
Among the peer NBFC Group, we have the highest average gold loan AUM per branch of INR17.75 crores. During this half year, our gold loan portfolio grew by 18% to 13,285. On the back of these achievements, we wish to revise our earlier guidance for the fina ncial year '25 on gold loan growth from the earlier committed 15% to 25% plus. We are also encouraged by the progress in our non -gold loan portfolio with noticeable growth across the personal loans, home loans and strengthening our position as a diversifie d financial services conglomerate.

Our branch network for a stand -alone Muthoot Finance, stands at INR4,855. The gold loan outstanding stand -alone stands at INR86,164 and the credit losses is INR28.84 crores and the percentage of credit loss on the gross loan assets under management is 0.03%. As I said earlier, the average gold loan per branch is INR17.75 crores and the number of loan accounts is 97 lakhs. The total weight of gold jewelry is 199 tons. And the average ticket size has moved from 79,000 to 88 ,000 and the number of employees, almost, let's say, 28,000 to 28,500. The return on average assets has moved up from last quarter of 5.39% to 5.74%, and the return on average equity has also moved up from 17.7% to 19.9%.
Our subsidiaries have also done well . Belstar Microfinance

has seen an increase in the loan AUM
up 22% year -on-year at INR9,625 crores, and increase in the total revenue, 47% year -on-year to INR1,165 crores. And the increase in profit after tax year -on-year to INR142 crores.
Home Finance also increased its loan AUM and 55% growth year -on-year and now stands at INR2,441 crores. There is also an increase in the loan disbursement of 90% year -on-year at INR529 crores, and the profit after tax has increased to INR17 crores.
Muthoot Money has seen an year-on-year increase in the loan AUM of INR2,265 crores and the increase in the total revenue to INR146 crores. Asia Asset Finance, at Sri Lanka has increased the net profit after tax. Year -on-year increase at LKR30 crores and the branch network has increased now to 91 branches.
The other subsidiaries, the insurance subsidiary, etcetera, has done well. And overall, we feel that the environment is conducive for gold loan growth, and we have been able to take advantage of that, and that is what you see the present scenario.
So with that, I would conclude my opening remarks and leave the floor open for question and answer.
Moderator: Thank you very much. We will no w begin the question -and-answer session. The first question is from the line of Raghav Garg from Ambit Capital.
Raghav Garg: I just wanted to ask what is the auction number for this quarter? And if you can also tell the auction number for the first half?
George A. Muthoot : Yes. First quarter, it is INR69 crores. This quarter, it is INR250 crores. So total put together, it will be around INR320 crores.
Raghav Garg: And what was it in the same period last year? I'm just trying to get a sense on an understanding of how much it has gone up versus last year.
George A. Muthoot : It is definitely much lower. The auctions are much lower. We'll look at the numbers, maybe get back after a while.
Raghav Garg: My next question is, I also wanted to understand your auction policy in the sense that how much time do you typically allow this NPA customer for repayment before you auction off their gold.

My understanding is that you allow a substantial amount of time, but if you can get some numbers around that, what is your stated pol icy? That will be useful.
George A. Muthoot : The stated policy is help the customer. That is our stated policy. Try not to auction the gold of the customer. That is our stated policy, so that customer is not unhappy by having to forgo the valuable precious ornaments.
So what we look at is, when customers come to our branch, ask or request our branch managers for more time when they crossed the threshold limit of time, they ask us for more time and if the branch feels that he /she is a genuine customer and there is a chance of him /her releasing the gold after a while, then he gets the request from the customer. And on that basis, we rather grant him more time. And that is how the position works.
And also, it is to be ensured that we are in the money. So if you are in the money and the customer is seeking for time, we don't mind giving you time to repay the loan. And that has always helped us in having more customers taking -- having high regards f or Muthoot, because their gold auction is not auctioned very quickly. So that's -- we auctioned about INR347 crores, are almost similar.
Raghav Garg: Sir, just on the auction policy, in terms of the time line. Would you say, I mean, do you end up allowing say, about 6 months, 9 months, 1 year? See the reason I'm asking is that, you would be accruing overdue interest on the balance outstanding. Is that understanding correct?
George A. Muthoot : It is not the time. We look at whether if you are in the money. A nd the customer is genuine, we give him time. Whether it is 3 months, 6 months or 9 months is immaterial in that respect.
Raghav Garg: Sir, the point that I was tryi

ng to understand is that, like I said, that you would be accruing interest. You also mentio ned that you need to be in the money. But does it so happen that the outstanding principal and the overdue both cumulative they become more than 75% of the collateral that's available to you. In which case there would be a breach of regulatory norms? Or how do you deal with such situations?
Oommen Mammen: So our regulatory requirement is 75% LTV at the time of origination. So we are complying to the LTV regulation. Beyond that, what we look at is the 12 months period. Normally, we do auctions after 12 mont hs. But because the gold price has gone up and because sometimes customers pay interest even before the contractual due date. And we are in the money and customer is unable to pay the principal amount, we give some time provided the customer makes a reques t.
So in case there is a customer request like that, we hold on to the ornament. We avoid -- try to avoid auction. Because if we re auctioning, customer loses the ornament and it is a destruction

of value for the customer. So he'll be really get upset. W e simply auction the ornament and try
to refund a small portion of the surplus we receive because for him, it's actual investment is lost,
because he's almost investing another 20%, 25% in terms of the making charges or the stones in
it. So if there is a c ontent on the borrowers, we give him more time so that he is able to retrieve
the ornament. During that time, certainly, interest will be accruing.

Raghav Garg: Right. And sir, what is the interest accrued outstanding on the balance sheet as of September?
George A. Muthoot : It's INR1,740 crores.
Moderator: The next question is from the line of Mahrukh from Nuvama Wealth Management.
Mahrukh : Congratulations. Sir, I had a few questions. Firstly, that now that one competitor is ba ck, have
you seen any changes in your business or in your flows in the recent past? So that's my first
question. And secondly, possibly something similar was asked in the previous question also.
Then if your LTV goes above the regulatory limit durin g the course of the loan, what do you
do?
George A. Muthoot : Is that four questions?
Mahrukh : Few questions, I said, not four, sir. So let's make that two now, for now.
George A. Muthoot : So actually, we don't look at any competition in particular. There will be competition in business
where there is potential. Whichever business has potential for growth, there is a lot of
competition, whether 1% or 2%. So that is there. We know we'll see a lot of competitors doing
the same thing, similar pace. But this is nothing new to us. Competitor may come, competitor
may go, but our business will grow along well.
The second question is about LTV. I think, Mr. Oommen, definitely answered this question
currently. Because it is in the time of giving the loan, the 75% is there. And afterwards, when
the interest etcetera grows and again, repeating the same thing which Oommen said.
Mahrukh : Okay. Sir, and is there any way to find out how much of your customers would also have NFI
loans?
George A. Muthoot : We haven't tried that. It may be possible, but we have not tried that.
Moderator: The next question is from the line of Shreepal Doshi from Equirus Securities.
Shreepal Doshi: Congrats on a good set of quarter. My questions were pertaining to LTV norm or other evidence.
As per the new regulation, would we be required to maintain the 75% LTV throughout the loan
tenure? Or will it be only applicable to, at the time of origination?
Geor ge A. Muthoot : What is the new regulation?
Shreepal Doshi: Sir, RBI recently had come out and said that you need to follow this set of rules, which were
already prevailing. So just wanted a clarity that is it like 75% at the time o f origination or 75%
throughout the loan tenure?
George A. Mut

hoot : So as far as we are concerned, there's no change in regulation, as far as LTV norms is concerned.

Shreepal Doshi: Okay, okay. And then the second part was on the auto renewal. So For our e xisting customers
at the time of maturity of the loan, we have a policy, we auto renew the loan. So on that front
also, would there be any regulatory change?
Oommen Mammen: We don't do any auto renewal of loans. Probably it has been done by somebody else, but not
Muthoot.
Shreepal Doshi: Okay. Got it, sir. And just one last question in lin e with the earlier participant. So since, now the
landscape becomes again competitive, and in the last 6 months, we had tweaked our pricing as
well as offer it. So would we continue with our strategy on pricing? Or would we relook at it on
making it more c ompetitive?
George A. Muthoot : What is the competition? We didn't understand what happ ened to competition and pricing . We
didn't understand that.
Shreepal Doshi: Sir, like I'm just saying that in the last 6 months, we had rolled back some of o ur offer rates as
well as have also taken some price hikes. So would we continue to stick to that? Or would w e
look to revisit it, because now one of the largest players is back in the landscape and they might
deploy pricing -related strategy.
George A. Muthoot : I don't know whether we have made any changes based on some comp etition. No. I don't think.
Oommen Mammen: Pricing changes is something quite normal in our system in different places, different s chemes,
which is quite normal. We have not done any specific cases in the last 6 months, probably we

would have seen some of the pricing based on the increase in the cost of borrowing, but we're not active with anything.
Shreepal Doshi: Got it. And increme ntally also, will really stick to that thought process?
George A. Muthoot : The pricing is depending on the cost of funding. If the cost of funding goes up, we will increase, if the cost of funding is coming down, we will reduce that.
Moderator: The next qu estion is from the line of Abhijit Tibrewal from Motilal Oswal Financial Services.
Abhijit Tibrewal: Sir, first of all, congratulations on a strong quarter. I also had a few questions that I wanted to ask. Sir, first thing is first, I mean, on 30t h September, as you recall, RBI has come up with a circular on gold loans. So just trying to understand, are there any items from that circular which were relevant for us and there you're working with the regulator on some of those items?
George A. Muthoot : Yes, yes, we have gone through the regulations, the suggestions they have given for, for gold loan companies, how to do business, etcetera . Generally, it's for all the gold loan companies who are doing business. And for those who are not taking up some practices, they are supposed to do that. That we have discussed it with the regulator.
Abhijit Tibrewal: Sir, secondly, just trying to understand earlier on the 5th, one of your gold loan peers had reported their results. A nd they had also shared in their earnings call that this week, you had a meeting of your gold lending association with the regulator where you were planning to discuss

some of the open items from that circular. So has that meeting happened and any takeaway s from that meeting in terms of clarifications from the regulator?
George A. Muthoot : I don't think any such meeting has taken place and I don't know. I'm not aware of such meeting.
Abhijit Tibrewal: Got it. And sir, lastly, just trying to understand, whil e you have already said that, I mean, competition will be getting businesses where there is potential for growth. I'm just trying to understand, I mean, then kind of try to infer that there has not been any significant change in the competitive intensity in the last 2 m

onths. And sir, one question for Oommen sir, as well. Sir, I mean, given that our NPAs have gone off in the last time , I think, we went for a uctions, so I mean, how are you thinking about that, given that our NPAs are going up, indeed, because we are giving more time to customers to come back, repay and take their gold jewelry. I mean, are there any covenants in place based on which you ta ke these calls?
George A. Muthoot : I think we explained that in detail in the first call, the first analyst who asked us. We explained in detail that we give more time to the customer if they request, provided we are in the money. And he has paid some interest, and he is a genuine customer. Genuinely he wants to pay, we give more time. So sometimes the NPA numbers go up, last time it was 3.98. Today it is 4.3. But since we are in the money, and we are not losing any money on that, we are not very much concerned with that. And of course, we will try our best to ask the customers to pay the interest and renew the loan. That will definitely be our side. We'll ask him to pay the interest and maybe close the loan and take a new loan or something like t hat. We constantly try to do so that we can keep the NPA numbers also reasonable.
Abhijit Tibrewal: Got it. Okay. This is useful sir. And Oommen sir, I mean, how are we thinking about our cost of borrowing trajectory now?
Oommen Mammen: See, I think for Q2 , I think the cost of borrowing is around 9%. I think, it will be more or less remain in that level, because I think, we have already reached the peak. And as a result, there is a lot of talk about further reduction. So I think, we have already reached that p eak level. I think, we should see that coming down as the benchmark rates are reduced.
George A. Muthoot : Oommen, when you said reached, it is not Muthoot, it is the market.
Oommen Mammen: When the benchmark rates are reduced, we will see a reduction in the borrowing cost.
Moderator: The next question is from the line of Digant from GreenEdge Wealth Services.
Digant : Congratulations to everyone for this spectacular results. And sir, this comes at a time when regulatory is holding one or the o ther banks every day or every month, so congratulations on that. The first question is actually not on gold loans. On gold loans, we have seen you for maybe 15 years and competition came, they disrupted, then they again withdrew.
You've done very well on gold loans. But sir, even today after 10 years of diversification, 8% of our profits or maybe even lesser comes from the non -gold business. So if I would think of next,

say, next 5, 7 years, which will be our more shining example like gold loans, li ke will it again

be gold loans after 7 years or some other products get that push? Any thoughts on this, sir?
George A. Muthoot : As of now, we have gold loans where we are good at , as we have a good portfolio on that. And we see a great potential there. Of course, we will keep trying new businesses. We will try our best to give non -gold loans to our gold loan customers if possible, because we see these people borrowing home loans and vehicle finance, persona l finance, LAP, etcetera, what else.
We are trying to see whether we can give that to our customers. But of course, not very easy. And we are in the process of building that only. But our main focus always would be on the gold loan, where we are qui te good at it, I think.
Digant : Not a question of number one product, I'm talking about the number two . Number one , I understand, that it will always be gold loan.
George A. Muthoot : Number two, if you ask number two , it will be the home loan, sir.
Digant : Okay, sir. Okay, sir. The second question is, in general, like for the first time, I'm seeing that RBI is more and more holding the banks and less in NBFC. I have not seen this in 15 years of my career, bu

t that's hap pening now. So we have seen some yield improvement also after a pretty long time. So this whole competitive intensity, has it reduced? Is it the same? Or what do you expect in the next 6 months?
George A. Muthoot : See, our yields have always been r easonable, though our maximum rate will be 24%, average yield is around less than 18%. So I think we are very reasonable, because of the rebate scheme, we are offering a better yield to the customers based on repayment. So we are very reasonable in terms o f the lending product. I don't think we are charging anything more.
Digant : I mean, that was not the question. The question was that, before 3, 6 months in market, there are a lot of products giving loans at 9%, 10%. We just don't see those 9%, 10%, extremely low -yield lending products that, I think, have gone out. And maybe that would have contributed a little bit an improvement. Is that true?
Oommen Mammen: Yes. Especially, I know there was some aggressive pricing by banks, etcetera . At that point of time, everybody tried to reduce the rate. Because we knew that those rates are not sustained, which has pulled down the average yield. But now those things are n ot there. So we are not offering those low -yield lending schemes. You remember the teaser rate, I think you might be asking about the teaser rate. Now it's not required to be offered.
Digant : And the last question is that, I also read that a lot of these b anks, especially in South India, they have done a lot of mischief in the PSL classification, the priority sector lending classification. Can that become an opportunity for us, like if those loans are not classified as gold loans and eventually, those custo mers come to us or no t, that is not a market, because we are mostly urban. So I would assume that will not be a market for us, but any thoughts on this particular thing?

George A. Muthoot : Yes, we have seen some banks trying to do that. But of course, we don't know what to do on that some times. But then, we feel that it is just part of the business. That's all.
Moderator: The next question is from the line of Parag Thakkar from Fort Capital.
Parag Thakkar: Congratulations for excellent number s. I just wanted to ask that when you say , you have revised your guidance upwards from 15% to 25%, right? So I would like to ask the key driving factor for that? That is my first question.
And second question is from a regulatory perspective , where you say that you accommodate customer which is right in your business and that you will try your level best that customer will not lose his gold jewelry, but from RBI perspective and from the NPA provision perspective, whether your credit cos ts will go up because of that, because now the regulator is very, very, I would say, compliant.
And it forces you to be compliant. So, right up till now, you were accommodating your customers by not selling his ornaments. But is it possible to keep your c redit cost as low as it was in the past after this regulatory overhang which has come?
George A. Muthoot : If you're talking about the credit loss, by keeping these loans in the non -auction, I said earlier also, we are in the money. So we'll get back our mo ney, if not today, after 2 months or 3 months or 6 months. So, we're not in the loss and credit costs did not go up sir. Only thing, provisioning will be there. For that, I think, we have some cushion for provisioning.
Parag Thakkar: And sir, j ust the reason for increasing your guidance from 15% to 25%.
George A. Muthoot : Yes, because already, we have crossed 18% growth, I cannot now come and say only 15% growth. We are seeing some good economic indicators, etcetera. Of course, the personal loan sector, the other credits, etcetera, are getting a little more difficult for people as we are also reading in the papers that personal loans, un

secured loans, etcetera is getting difficult. Some of
the NBFCs who are doing this fintech loans, etcetera, are not doing business, etcetera .
People need money. And I feel that Mutho ot and the other gold loan companies are doing a good service to the soc iety by giving credit to people. It's almost something like which happened during the COVID . During the COVID time, people were not prepared. Institutions, banks and NBFCs were not prepared to give unsecured loans, etcetera . That time, Muthoot was there, we did good business, we did good growth, not only our growth, we did a lot of service. So today also, I think, we feel that we are doing good service to the people by being able to give the money with the collateral they are giving us.
So that their needs can be met. And at the time when they are not able to easily get unsecured loans as they w ere before. Definitely, there are people who are finding it a little difficult to get unsecured loans, not from banks alone, even from NBFCs. As I said, this fintech companies also has almost stopped maybe.
Moderator: The next question is from the line of Shubhranshu Mishra from PhillipCapital.

Shubhranshu Mishra: Belated wishes for Onam this year. The first question is around the productivity that we have per branch. Now it's increased to roughly around INR17 crores per branch. The branch would have a particular capacity for gold storage, basis w hich we can derive the productivity. So what is the maximum capacity at a branch, which we can drive in terms of storage and productivity?
Also, when we have changed our guidance to 25%. That's great. But then how do we decompose this growth number of 25% ? How much would be the value growth, how much would be the volume growth, which geographies will be far more productive than the other South geography ?
If you can give some bit of decomposition and flavor to the growth? And the last questio n is a data keeping question. If you can give out the mix of the portion of the AUM of less than INR1 lakh, INR1 lakh to INR3 lakh and more than INR3 lakhs?
George A. Muthoot : Thank you. I think, you have a right question when you said our average business of INR17 crores, etcetera . We have branches with maybe INR10 crores, INR12 crores, INR17 crores, INR25 crores, INR30 crores and INR40 crores, INR50 crores also. So it only mea ns that a branch can take INR30 crores, INR40 crores also. It's almost double of what we are having now.
So to answer that question, yes, there's nothing like a storage capacity in the approach, which is almost always the same. It's about the strong rooms which are quite large to accommodate money and gold. So you can easily double our business with the existing branch itself. Second question was about.
Oommen Mammen: Yes, that I'll c ome back later, Shubhranshu.
Moderator: Mr. Shubhranshu, does that answer your question?
Shubhranshu Mishra: There's one more question I think which I asked is still pending. So the growth decomposition, so what is the value volume?
George A. Muth oot: We see growth from every aspect. It is not that, it is growing in some geography, etcetera . As I said earlier, we feel that there is more than an opportunity, we feel that we are se rving people by being able to give loans. So there is a demand coming from all over the country, everywhere, it's not restricted to Northeast, West, etcetera . So from everywhere, there is a good demand for gold loan business.
Shubhranshu Mishra: And what is the value volume split of the growth tonnage growth versus the...
Oommen Mammen: I think, our tonnage is 199 tons.
Shubhranshu Mishra: How much will it grow in that 25%?
Oommen Mammen: We don't give guidance on tonnage. How can we give guidance on tonnage, sir?
Moderator: The next question is from the line of Mona from Dolat Capital.

Mona : My question was on the stand -alone book. I understa nd that apart from gold, that is a 4% to 5% of SME and P L book as well as part of the stand -alone book. So what would be the LPA there, if I could understand this quarter versus last quarter?
Oommen Mammen: Yes, I'll come back on that.
Mona : Okay. And just on the gold loan NPAs as well. I understand you've given a lot of clarity, but if I look at the NPA ratios in the last few quarters, this been a lot higher than what you've seen historically. Though I understand the credit risks are very low. So I'm just trying to understand if some of this rise is coming from the non -gold portfolio? Or is it something that has changed,

which is leading to higher NPAs on the ground? Just if you could give some color there?
Oommen Mammen: So last quarter, gold loan NPA was INR3,262 crores. This has increased to INR3,686 crores. So that increase is about around INR400 crores plus. That is the primary reason for growth in NPA.
On the non -core and the stand -alone, last quarter, it was INR90 crores. This quarter, it is INR193 crores. So INR100 crores increase in the NPA book of the non -gold and the stand -alone, which is almost 100% provided for.
Mona : Got it. And any particular reason why, I understand a lot of the rise in NPA ratio for stand -alone book is coming from gold, but any particular reason why the ratios are much higher than what we have seen historically? Historically if I see, it's sub 3.5%. And today it's been close to 4% over the last couple of quarters. So any color there, if you could highlight?
Oommen Mammen: Historically, our peak NPA, I think it was almost 6% plus. That is the highest we have seen in gold loan book. Right now, it is 4.3%. We have explained to the reason why we are keeping these accounts in our books, even though it is an NPA. Just to accommodate the customers, because, one, there is a request from the customers.
Second, there is adequate collateral avail, and we are in the money. And we are doing a great help to the customers if we avoid options and provide them more time so that they can retrieve their ornaments. See, on the NPA book, the LTV is around 55% on the principal value. So you can imagine what customer is going to lose if we auction it.
Moderator: The next question is from the line of Rajiv Mehta from Yes Securities.
Rajiv M ehta: Congrats on strong numbers. Sir, I heard your comments and replies on various regulatory risk -related questions. So we don't perceive any overhang or risk to any of our practices on the ground. That's the current reading we have?
I'm saying. I heard your comments and reply on various regulatory risk -related questions. And so, it seems that we don't perceive any overhang or risk to any of our practices on the ground at this point in time.
George A. Muthoot : Yes. That's always our desire and our hope also. So, I think we should have a positive attitude on that, sir.

Rajiv Mehta: Okay. And sir, there's been a significant uptick in new customer acquisition in the past two quarters. Would this hold up and why?
George A. Muthoot : Yes. We did quite a bit of marketing and the marketing activities, what should I say, since we also beefed up our call centers. We beefed up our other online platforms, etcetera . And we are getting newer customers today. That's definitely, we have actually engaged a few big agencie s also for that.
Rajiv Mehta: And just last thing on the second half, you require your gold loan portfolio to grow by 6%, 7% based on your guidance. Sir, this assumes what level of gold price? Because since if there is a sharp correction in the gold price, it can lower our incremental growth. It can also trigger a lot of options. So what have you assumed in terms of gold price for this guidance?
George A. M

uthoot : So on gold price, actually, we don't assume anything and we don't give any guidance based on gold price, but of course, gold price can be a factor, but it is not a significant factor. See last one week after the U.S. elections, the gold prices, it's come down probably after some time, it will again work.
So we're not very much concerned with that because more so, because our new incremental loans are based on the current gold price. So the price is falling or new loans will be priced at a lower LTV. So that is something which we all know for the past several years. So we don't think we are not ver y steady calculations on gold pricing. In otherwise, we see good uptick, I said earlier also, non -gold loans or unsecured loans are little difficult these days, in the last 2, 3 months. And that is definitely an opportun ity for gold loan business, we see it as some service which we are giving to the people rather helping them in time of need when they really need money, and it is not forthcoming from unsecured low unsecured area. So we are definitely helping them out.
Mod erator: The next question is from the line of Bhavik Dave from Nippon Mutual Funds.
Bhavik Dave: Sir, two, three questions. One is, on the gold loan itself, I just wanted to understand, after our competitor coming back into the market, have we seen any increase in attrition on the ground in our branches, because they would have maybe gotten aggressive and maybe that was a case earlier where the attrition levels are quite high for other players who were taking away people. How is the attrition rate a t the branches of gold loans?
George A. Muthoot : Yes, I think, we have got a 25,000 numbers employed in many of these branch, gold loan branch itself. And there's always a pipeline, some people will come, some people go. So to answer your question, we have not seen any significant attrition, etcetera.
Bhavik Dave: Sure. And how would that number be? Like what is the kind of attrition rate that we see on the

ground, or on the gold loan book?
George A. Muthoot : I don't know the number, but we also know there's nothing significant.
Bhavik Dave: Sir, second question is on our personal loan book. How big is this book and how are we scaling it up like in the last one year, how would we have grown this business? And is it to existing gold

loan customers who are maturing and maybe taking unsecured? Or is it too new to Muthoot customers?
George A. Muthoot : So I think we had today a book of about INR1,200 crores, personal loan. Probably, a year back, it could have been about INR800 crores. And we actually wante d to give only to our core existing gold loan customers only. But of course, we're not able to do that. So a part of it is given to our existing gold loan customers. It's not that when the gold is released, all our gold loan customers, many of them has a p ersonal loan elsewhere. So we are just trying to give the personal loan from Muthoot instead of taking from X, Y, Z. That is the reason for the personal loan.
Bhavik Dave: This is not a new business. We have...
George A. Muthoot : No, no. This business, we are there for the last 5 years plus -- 8 years.
Bhavik Dave: But this is like, we have scaled up from INR800 crores to INR4,200 crores in one year, right? Especially when unsecured has become a big challenge. I'm just trying to understand how is this playi ng out? And second is because the LTV...
George A. Muthoot : That is not because of hard work.
Bhavik Dave: I understood. All right. One last question is on your home loan. You mentioned to one of the previous participant, that's a second area where you can maybe scale business up. But when we've seen like last 6, 7 years of business has been around this INR2,000 -odd crore range. Any learnings from our past like what went wrong? have we changed the team? Have we

done
anything different to this time around scale this business up from this INR2,000 -odd crores to INR5,000 crores, INR10,000 crores over the next 3, 4 years? What are we doing? What are the investments?
George A. Muthoot : We would like to grow it. That's what our desire is to. Growth of gold loan book, gradually, yes, of course, we had a setback due to the COVID. During the COVID time, actually, we went slow and actually we degrew our book also. But now we are back on track . And as you said, we have changed the team also. Maybe just 2 years back we changed the team.
Bhavik Dave: Understood. And can we expect this book to be INR5,000 -odd crores in the next 2, 3 years time? Like can this double in 3 years?
George A. Muthoot : Definitely, we would like it to be there.
Oommen Mammen: One-point , earlier Mr. Shubhranshu was asking on the ticket -wise breaker. So about INR3 lakh is 32% of the overall book and INR1 lakh to INR3 lakh is 36percentage, less than INR1 lakh is 32 percentage .
Moderator: The next question is from the line of Nischint from Kotak Institutional Equities.
Nischint Chawathe: This is, again, going back to the non -gold loans. So what you mentioned is that personal loans are around INR12,000 crores. But I think, as I do the math, the other non -gold is around INR4,000 crores. So what is the balance?

Oommen Mammen: So personal loan -- pure personal loan is about INR1,125 crores. We have -- we also give personal loans to gold loan customers who have been dealing with us f or a particular period of time. So that's about INR1,015 crores. And we have a business loan of about INR600 crores.
And we also have SME loans.
That is both put together, it is INR678 crores. And corporate loans of about INR86 crores and loan to subsidies about INR1,100 crores. That's it.
Nischint Chawathe: Got it. And the big growth that we can see here is essentially across segments or any special segment that have grown so well in the last couple of quarters?
George A. Mut hoot : Growth has come from our gold loan. The growth is under gold loan.
Nischint Chawathe: I see that. But I'm saying last year, second quarter, this book was around INR1,400 crores, now it's INR4,000 crores.
George A. Muthoot : That side comes from the pe rsonal loan book.
Nischint Chawathe: Okay. And if I understand what you said is that NPAs in this INR4,000 crore book is around INR193 crores in this quarter versus INR90 crores in the first quarter. So that's almost like a

closer to 5% NPA in this segment. So how should one think about it?
Oommen Mammen: So it is fully provided for it. And the increase has also happened because of the increase in the loan to subsidiaries. That is about INR1,000 crores, which was probably not there last year.
Nischin t Chawathe: No. But the point is if your NPAs have gone up by almost INR100 crores, I think that's kind of accounting for almost half the credit cost for the quarter, right? So we're just curious how to think about this business?
Oommen Mammen: So Nischint , see, finally, we have a very firm policy in terms of writing off. We try to write off loans when it becomes overdue for 180 days. So there is a very standard policy we follow. Irrespective of what is the status we write off. So that is an automatic proce ss, which happens in terms of the personal loan book. That is the reason why it happens and subsequently it gets recovered. So whatever recovery happens, it gets come in the bad debts recovered.
Nischint Chawathe: Sure. Got it. And any number you could qua ntify on the interest income that you could earn after these loans which were sold to ARC are sort of now kind of run down because incrementally it will be early now?
Oommen Mammen: This quarter, we have added about INR35 crores.
Nischint Chawathe: Okay. And any quantum of how much is there in the pool after this

?
Oommen Mammen: So principal amount outstanding will be about INR160 crores.
Moderator: The next question is from the line of Jigar Jani from B&K Securities.

Jigar Jani: Just one question.
Moderat or: The current participant got disconnected. We'll move on to the next participant. The next question is from the line of Bunty from IDBI Capital.
Bunty: Congrats on a good set of numbers. Sir, in the Belstar Microfinance, as we have seen in the industry also, there has been a good amount of increase in the NPA. So need to share your thoughts how the NPA pressure going in Q3, Q4, how is the situation on the ground as well as what we have seen more? How many of our custom ers have more than four lenders , if you can share some bit of data on that. Any thought process on the MFI portfolio?
George A. Muthoot : Well, I don't have that information.
Bunty: Okay, sir. So your view on the MFI portfolio because it's NPA's Q -on-Q has increase and how one should see this panning out in Q3 and Q4, how the asset quality has been?
George A. Muthoot : Yes. So all the microfinance companies are under stress now. Probably after a while, it should ease out.
Oommen Mammen: Even during COVID times, just like everybody faced the challenge, we also faced that challenge. Our profits dipped, then subsequently came back. I think the microfinance business runs like that.
Moderator: The next question is from the line of Kamal Mulchandani from Invest ec Capital Services.
Kamal Mulchandani: I just had one question. In a recent con call, one of your competitors said that in an inspection, the regulator had raised concerns about giving personal loan to that existing gold loan customers, but I can see that we have a portfolio of around INR1,500 -odd crores, which we have given as personal loans to our existing loan customers. So has there been any interaction with the regulator on this? Or I just wanted to understand if there could be any potential regulatory compliance issue on this?
George A. Muthoot : So when we started personal loan also, we give loans to anybody who ask and the data is from the customers who have gold loan with us also, who has earlier taken gold loan. So that's the data. One, we are having its own underwriting norms. If they don't have a gold loan with us, they might have had a gold loan earlier or they might be having a gold loan. That is immaterial with us. It's just the customer data. And these customers all have taken personal loans from elsewhere. It's only based on that, that we give a loan.
Oommen Mammen: So the difference is, person loan product, it is sourced from outside. The other loan is based on the track record of our existing customer in this business. No, he need not have an outstanding gold loan book right now.
Kamal Mulchandani: Okay. But there can be some overlap that the customer has taken a gold loan from you and a personal loan from you?

Oommen Mammen: No, that product is not offered to all the gold loan customers, only it's the creditworthy

customers, we assess and we give them. I mean, the product is EMI based. Not a bullet written.
Kamal Mulchandani: Okay. Understood. And just to ask like from how many branches are we sourcing personal loans like or -- and what is the proportion of the digital personal loans?
George A. Muthoot : Personal loans, we don't source from branches.
Oommen Mammen: We don't have digital process.
George A. Muthoot : We don't have digital process, first of all. The second, personal loans are not, it is only the customer number they have so that they call them and see, ask whether they need a personal loan. It is only done through 40 branches of personal loan. Personal l oan has its own branches. It's on set up. Its own people. Not the Muthoot Finance branch, does not

do any gold loan branch.
Only personal loans.
Moderator: The next question is from the line of Jigar Jani from B&K Securities.
Jigar Jani: So congratulations firstly on a great set of numbers. Just one question. What would be our guidance on credit cost, because now over the last 2 quarters, we have seen about a 1% credit cost in the first half significantly higher than what we have seen over several years. So would this continue? Or do you see that kind of normalizing in the second half or...
George A. Muthoot : Our credit cost quarter -on-quarter would be around INR30 crores, I think. That's a rough number in my mind.
Oommen Mammen: Credit cost. So the write -offs for this quarter is INR16 crores. First quarter it is INR12 crores. The rest is the ECL provisions.
Jigar Jani: So if if you continue to give more time to your customers, this elevated ECL, you will maintain the ECL at these levels, which is about 1.4% of the overall gross loan assets. Is that correct?
George A. Muthoot : Yes, yes. So on the growth, roughly, it is around 1 percentage. For the NPAs, it will come roughly around 10% on gold loan.
Moderator: Ladies and gentlemen, we will t ake that as the last question. I would now like to hand the conference over to the management for closing comments.
George A. Muthoot : So good evening, once again, and thank you all for participating in the call. Your support and your cooperation with us k eeps us going and as usual, we will do our best to see that all the stakeholders are taken care of, whether it is our customers, whether it is our bank, whether it is our shareholders, whether regulators.
We'll try our best and keep everybo dy happy, and we will do everything in our power to see that our shareholders and other stakeholders are benefited by Muthoot. Once again, thank you all, and we wish you a happy Christmas and New Year in advance.

Moderator: On behalf of Nirmal Bang Equitie s Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

Ref: SEC/MFL/SE/202 5/6025
February 18, 202 5

National Stock Exchange of India Ltd.
Exchange Plaza
Plot No. C/1, G Block, Bandra - Kurla
Complex, Bandra (E), Mumbai - 400 051
Symbol: MUTHOOTFIN Department of Corporate Services
BSE Limited
P.J. Tower, Dalal Street
Mumbai - 400 001
Scrip Code: 533398

NSE IFSC Limited (NSE IX)
Unit 1201, Brigade, International
Financial Center, 12th Floor, Building No.
14-A, GIFT SEZ Gandhinagar,
Gujarat 382 355

Dear Sir/Madam,

Sub: Transcript of the Analyst Call on Unaudited Financial Results (Consolidated and Standalone) for the quarter and nine months ended December 31, 202 4.

In continuation of our letter dated February 07, 202 5, and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the analyst call made on February 12, 202 5, on the Unaudited Financial Results (Consolidated and Standalone) of the Company f or the quarte r and nine months ended December 31, 202 4, has been uploaded on the website of the Company within 5 working days of the conclusion of the call and is available at https://www.muthootfinance.com/analyst -call.

Thank You,
For Muthoot Finance Limited

Rajesh A
Company Secretary
ICSI Membership No. FCS 7106

"Muthoot Finance Limited
Q3 FY '25 Earnings Conference Call "
February 12, 202 5

MANAGEMENT : MR. GEORGE A. MUTHOOT – MANAGING DIRECTOR – MUTHOOT FINANCE LIMITED
MR. ALEXANDER GEORGE – WHOLE -TIME DIRECTOR – MUTHOOT FINANCE LIMITED
MR. GEORGE M. ALEXANDER – WHOLE -TIME DIRECTOR – MUTHOOT FINANCE LIMITED
MR. GEORGE M. GEORGE – WHOLE -TIME DIRECTOR – MUTHOOT FINANCE LIMITED
MR. GEORGE M. JACOB – WHOLE -TIME DIRECTOR – MUTHOOT FINANCE LIMITED
MR. EAPEN ALEXANDER – EXECUTIVE DIRECTOR –

MUTHOOT FINANCE LIMITED
MR. K.R. BIJIMON – EXECUTIVE DIRECTOR –
MUTHOOT FINANCE LIMITED
MR. OOMMEN MAMMEN – CHIEF FINANCIAL OFFICER
– MUTHOOT FINANCE LIMITED

MODERATOR : MR. SANKET CHHEDA – DAM CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Muthoot Finance Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star , then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sa nket Chheda from DAM Capital. Thank you, and over to you, sir.
Sanket Chheda: Yes. Hi, all. Thank you and very warm good evening. We have with us the entire senior management team of Muthoot Finance to discuss their Q3 results. From the management team, we have Mr. George Alexander Muthoot, who is the Managing Director; Mr. Alexander George, who is Whole -Time Director; George M. Alexander, Whole -Time Director; George M. George, Whole -Time Director; George M. Jacob, Whole -Time Director; and Mr. Eapen Alexand er, who is the Executive Director; Mr. K.R. Bijimon, who is the Executive Director; and Mr. Oommen Mammen, who is the CFO.
Without further ad ieu, I will hand the call over to the MD sir for their opening remarks, post which we will follow up with the questi on and answers. So over to you, sir.
George Muthoot: Thank you, and good evening to all. I'm pleased to place before you the financial results of Muthoot Finance for the quarter ended 31st December 2024 . We had a consolidated loan assets under management, which grew by 34% year -on-year to INR1,11,308 crores as of ninth month as against INR82,773 crores last year. During this quarter, the consolidated loan assets under management increased by INR7,159 crores, an increase of 7% quarter -on-quarter.
The consolidated profit after tax for the 9 months stood at INR3,908 crores as against INR3,285 crores last year, an increase of 19% year -on-year. The consolidated profit after tax for Q3 of this financial year increased by 21% year -on-year to INR1,392 cro res as against INR1,145 crores in Q3 of last year.
We are pleased to record another strong quarter building on our robust performance trajectory. For Q3 financial year '25, our stand -alone assets under management witnessed a significant growth of INR26,30 5 crores driven by a robust 37% year -on-year growth on our core gold loan portfolio. During 9 months, the gold loans increased by INR21,660 crores, registering a growth of 29%. This was in tandem with the accelerated demand for gold loan, especially during the festive season.
Our stand -alone profit after tax for the 9 months grew by 23% year -on-year stands at INR3,693 crores. The surge in goal loan advances reflects not only the trust our customers place in us, but also the resilience of India's economic m omentum.
Among our subsidiaries, we have witnessed growth in the housing finance arm disbursing INR880 crores in the 9 months, up from INR493 crores last year. We have tempered the disbursements in response to a challenge faced in the microfinance sector and all our focus continues to be on strengthening collections and enhancing quality of the loan book.

We are closely monitoring the industry situation, and we see this as a transitionary issue and expect it to get resolved in the next couple of quarters. The expansion of our branch network and the increasing adoption of digital platforms will further strengthen customer engagement with a significant portion of transactions now being facilitated through digital channels.
I think I will leave it there. All the other details, etcetera, are there with you in the presentation. And I will now wait for the queries, questions from the team there.
Moderator: Thank you very much. We will now begin with the question -and-a

nswer session. We take the
first question from the line of Rajiv Mehta from Yes Securities.

Rajiv Mehta: Congrats on very strong numbers. Sir, my first question is on, I mean, the employee expenses were higher Q -on-Q and Y -on-Y by a significant extent but when I look at the employee base, it's fla t. There is 0% growth in employee base. So, can you please elaborate on how this growth in employee costs have come about? Maybe if you can slightly elaborate about the variables, the incentives which was there or maybe any new plans or new schemes of vari ables or incentives, which was introduced for growth?
George Muthoot: Yes. I think there are two things. One, whenever business grows we pay incentives for the first half for the business growth. Second, during the last quarter it was the festival quarter, all the Onam bonus, Diwali bonus all are paid in that period, and that would have been the reason for the employee cost to go up. But again, it is in line with the usual trend.
Rajiv Mehta: And can you also comment on the growth outlook now because you have already achieved your full year guidance. We are already up 29% in the year. But what is the incremental growth outlook from a pure volume perspective? Of course, value -wise gold is going up, but from a volume perspective and from a competition perspective, do you remain very confident about delivering very similar performance in the coming quarters also?
George Muthoot: No, I wouldn't want to say exactly that. But certainly, there will be a growth in this quarter also. But I wouldn't want to commit a number to it. But anyway, we are glad that we were able to grow 29% in 9 months, we are glad to see a growth there. The next quarter also, we should see some growth, but I don't want to give a number to it.
Rajiv Mehta: And just one last thing I want to clarify, whether from January, have we made any changes in terms of any practices on the ground in any of the aspects because, see, there was a regulatory observation for all the gold loan players and 3 months were given for feedback. And I 'm sure there would have been a to -and-fro discussion with the regulator. But post that, were there any conclusive feedback from the regulator, which we had to implement on the ground in January and February?
George Muthoot: Yes, you are right, there were some communication from the regulator. It is mostly hygiene checks which all banks and finance companies need to do, and we have given our comments to them. And to answer your question, we did not have to do any changes in the processes which we are doing. It is mostly a process -oriented and it is in line with what we are doing and there were no changes required in that.

Rajiv Mehta: So, no impact on growth as such from those changes?
George Muthoot: No.
Moderator: We take the next question from the line of Shreya Shivani from CLSA.
Shreya Shivani: Congratulations on a good set of numbers. Sir, I have two questions. First is on the borrowing profile. If you can give us a little bit of idea on the cost of fund rate movement that -- the trend in the cost of fun d that we can expect in 4Q and the year to come by. I believe majority of our bank loans are MCLR linked. Is there some more colour you can give in terms of how much is 6 monthly MCLR or 1 year linked? And is any of our borrowing linked to repo rate?
Sir, my second question is on the partnership. Your PPT talks about partnership with GPay and PhonePe. Can you help us understand how the business dynamics and the sharing of the economics of that partnership will take place? And how much -- I mean, yes, the e conomics, can you talk about the economics of this area?
Management: So, in terms of borrowings, we have the secured debentures, we have the bank borrowings, which constitute 56%, secured borrowings, NCDs constitute about 26 p ercentage.

Now we
have ventured into the ECB borrowings for the current year again. So that constitutes about 13 percentage. So, I think these are the 3 major avenues where NBFCs can do borrowing.
In terms of borrowing costs, I think it's roughly around 9 percentage . Most of the limits are linked to MCLR and because we have a larger proportion of term loans, most of these term loans are going to reset annually. So very few loan limits are under the working capital li mit. Majority is in the term loans. So that reset is going to happen annually. And loans linked to repo rate, it's very, very negligible.
Shreya Shivani: Got it, sir. Sir, what would be the landing cost on your ECBs? And this 9% you mentioned, is this incr emental cost of borrowing?
Management: Yes, roughly around 9% will be the incremental costs.
George Muthoot: Yes. The next question you asked was about the Google Pay and PhonePe, yes, we have some arrangement with them. The arrangement is fo r lead generation, which will help us in gold loans, personal loans, LAP, etcetera. So, they are generating leads for us. And we just started it, it's going on.
Shreya Shivani: Okay, sir. So, it will be like distributors for you. You will pay this fees sort of a thing for

generating leads for you, right?
George Muthoot: Yes, they're basically leads for us, yes.
Moderator: We take the next question from the line of Vaibhav Badjatya from Honesty and Integrity Investment.

Vaibhav Badjatya: Sir, in one of the earlier con calls you specified for the microfinance business, you require customers to come to your branches to pay installment versus other companies having field agents who go and collect. So, why do you think that this approach is better? And where does it reflect in terms of either reducing regulatory risk or better credit cost? How this approach is better?
George Muthoot: See, a good part of o ur business in the microfinance is from SHG model but from the...
Management: SHG.
George Muthoot: SHG model, so they have a connect to the customers even before they take the loan. So that is one of the main advantages or differentiators of this. The second is again, the loans, the customers have to come to the branch to pay the money. And t hat is our model. I think it definitely helped us. I wouldn't want to compare it to the other models, but definitely it has helped us and probably it is standing us in good stead now.
Management: It also gives a feel like bank like environment when they are able to come to the branch an d doing the transactions with.
George Muthoot: That's what they've been doing.
Vaibhav Badjatya: Okay. Got it. And sir, lastly, on many con calls, you have always guided for 4% to 5% long - term ROA. Currently, we are doing much better than that for sure. But for a long -term basis, you've always guided for mostly 4%, but even if you achieve 4% to 5% on a long -term basis, and your leverage is always less than 3%. So that implies that your ROE will always be around 12%, 13% if we get to our guidance that you always give. So how do you think about the leverage? And because we keep generating lot of profits, keep accumulating t his and leverage keeps on reducing which depress. So, I just want to understand what are your thoughts on that.
Management: Last December, it was 2.24...
Moderator: Sorry to interrupt, sir. We are losing your audio.
Management: So, leverage has increased in the last 1 year. Last year, it was 2.24. Now it is 2.75x leverage. So, it improves along with the borrowing though we are generating capital. I think sooner or later, we should be we should be seeing a better leverage and better utilization of the capital.
Vaibhav Badjatya: But any thoughts on , trying to give more dividends to the shareholders and trying to improve ROE through that?
George Muthoot: We had a Board meeting today . Su

ch discussions were not there. But I think the business is also performing well. So, we feel that maybe , no decisions have been taken anyway but keeping more money in the company definitely helps, I suppose.
Moderator : We take the next question from the line of Mona Khetan from Dolat Capital.

Mona Khetan: Congratulations on a strong quarter. Sir, firstly, if I have to look at NPA in the stand -alone book, how much would be the non -gold segments versus the gold? If you could help me with that. It was about INR190 crores last quarter, the non -gold NPA.
George Muthoot: So, what was your question? I didn't understand the question. The NPA, the Stage III for this year is 4.22% versus 4.3% in just immediate quarter. So, repeat the question, I didn't understand the question.
Mona Khetan: So, this includes gold, PL and some SME book as well, right? So, I'm just trying to understand how much is from the non -gold se gment versus the gold. I think it was INR190 crores, as you highlighted last quarter. Where does it stand for this quarter?
Management: Around INR300 crores.
Mona Khetan: So, we are seeing a significant rise in this segment. It mainly comes from PL. So, could we expect this to be the peak? Or what is the thought process here in the PL NPA or the non -gold NPA in the standalone book?
Management: Non-gold, I think this will be the peak, of course. As and when you grow the book, naturally, the absolute amount c ould increase. But with the current non -gold portfolio, I think this should be the peak.

Mona Khetan: Okay. And how about the ARC sale? What is the outstanding? And when could we expect, if at all, any benefit to come in, in the other income?
Management: So, it has already started coming in, in terms of booking the income. So, we have already received the principal amount on second -tier assets. We have already started booking income based on the collections coming from the residual portfolio.
George M uthoot: Probably in this quarter or next quarter, we should see it fully coming back.
Mona Khetan: Okay. So, the outstanding is nil. All the loans have been sold by the ARC.
Management: No. So, the loans some more portions are there. What I sai d is that the security receipts, the value has come down nil, so we are able to book income from further collections.
George Muthoot: Hereafter the collections which come will be booked as income in Muthoot Finance.
Mona Khetan: Got it, got it. So, something substantial could come in the interim quarters, and there were some small component this quarter as well?
George Muthoot: Yes, yes. You're right, you're right.
Mona Khetan: Okay. And just finally, on the branches, what kind of approval we have for this year for additional branches?

George Muthoot: We had approvals. I think we are, again, given papers for approval, I think it should come this quarter or so.
Mona Khetan: So right now, we don't have any RBI a pproval for FY '25 branches. Is that a fair understanding?
Management: So, this year, we focused on expansion of branch network in our wholly owned subsidiary, Muthoot Money. So, we have added almost close to about 800 branches during the year. And now we have transformed Muthoot Money from a pure vehicle finance company to a gold loan company. So, because now we fear that vehicle finance business is too competitive, and the margins are lower. So, we transformed that company into a vehicle loan comp any. So, we focused on adding...
George Muthoot: Into a gold loan company.
Management: A gold loan company. We have focused on building the network in that company. So currently, it has close to 1,000 branches.
George Muthoot: 950.
Mona Khetan: But the approval for this year from Muthoot Finance, the stand -alone business, it's not yet there

from RBI?
George Muthoot: Yes. We completed opening of the last approval last quarter. This quarter, there were no pending approvals.
Moderator: We take the next question from the line of Shweta from Elara.
Shweta: Congratulations on a good quarter. So, I have two questions. One, so the fresh loans to new customers, the quantum has actually remained steady quarter -on-quarter and rather come down from the beginning of the fiscal year.
Now I understand that the tonnage growth largely would have been attributable to the gold price, the underlying gold price hike. So how do you see actually the organic growth, either from the customer addition or produ ctivity gains through branch network expansion will come through in the next or forthcoming quarters? That's question number one.
Question number two, the banks and Ministry have been highlighting about rising GNPAs in the gold lending segment. Now I comp letely understand it's a highly recoverable asset, and you have strategy in place.
But given the fact that you also side customers and sort of take time for auctioning processes, how do you see the gold loan NPA picture going forward? And are there any an omalies as part of lending practices of banks are concerned wherein Muthoot has remained sacrosanct?
George Muthoot: So many questions, anyway. So, the first question was about the customer...

Management: New customer.
George Muthoot: New customer. There has been substantial new customer addition this quarter also. So, I don't know from where you get there was a reduction...
Management: No, it's not a pure gold price function. If you look at Slide number 44, you can see tha t the new customers have significantly increased each and every quarter. Say first quarter, we added 4.57

lakhs, second quarter 4.34 lakhs, third quarter 4.17 lakhs. Now all these disbursements adds up to almost like INR15,000 crores. So that is a signific ant improvement.

And now our customer addition net basis, during this 9 months, number of loan accounts has increased from 87 lakhs to 99 lakhs , almost 1 crore s loan accounts. Net customer base has increased from 56 lakhs to 62 lakhs. So, there is a significant improvement. It is not a pure gold price play in this. When the price of the underlying commodity goes up, we cannot expect people to bring in more and more jewel lery.

George Muthoot: If they want INR2 lakh, they'll bring only jewel lery worth INR2 lakh at today's price. So, every loan, the old loan when it gets closed, there the proportion, the LTV there should be much lesser. So, 20 grams will go when the same amount is taken, another customer, he needs to bring only 18 grams. That's the difference.

Management: Can you repeat your second question?

Shweta: Yes. So, there has been anomalies as far as gold lending NP As are concerned for banks and even Ministry has been highlighting that from now and then. I mean, I understand it's a highly recoverable asset and GNPA might not be the right parameter to judge a business like yours, but still, how are we sacrosanct vis-à-vis the anomalies that banks are facing on the gold -- in the gold lending segment?

George Muthoot: If you avoid the discussions to bank, I will tell you what we do. As a stated policy, we would like to give more time to the customer. We wouldn't like to auction his gold just at the drop of a hat. So just because it has become NPA, we don't auction the gold.

If the customer comes back, comes to us and request the branch for some more time, maybe 2 months, 3 months, etcetera , if we see th at we are in the money, we will rather give the customer more time than auction his gold just because it is an NPA. That is our stated policy. And that is what we do, and that is why customers flock back to us again for their next loan. So, they feel that we are not very harsh in this auction busi

ness. So probably, we have 4.2% of our NPA but it is 100% principal, and interest is safe there or it is secured in our book. So, we don't mind keeping a part of it as an NPA, of course, because kno wing very well that it will never translate into a loan loss for us.

So, over the last decades, because of an NPA, we never had a loan loss. So that is why we try to adjust or to accommodate the customer as far as possible. So, in the next 2, 3 months, many

of them will pay interest or will close the account, etcetera . But then we are saving an auction. We're actually helping the customer not to auction his gold. That is our policy.

So, we would like to keep this NP A also around this 4.2%, 4.3%, that level going forward also. If things are better, we would like to bring it down also, but we wouldn't be concerned even if it is 4.2% or 4.3%.

Shweta: So that is well understood. Second part of the question was there were certain anomalies as far as gold lending customer base is concerned, especially for banks. How is our customer base and underwriting sacrosanct vis-à-vis the anomalies that have been observed for banks in the gold lending segment?

George Muthoot: I don't know what are the anomalies seen in the bank. If you can say the anomaly, then I'll say whether anomaly is there with us.

Shweta: So, there have been observatio ns on LTV transparency and renewal of loans without the closure of existing loans, plus Ministry have also highlighted rising GNPAs in the gold lending segment. So, I understood the Muthoot part, but I'm just talking more because you are the industry veteran. So, talking more from the industry perspective on how this customer segm ent is behaving vis-à-vis gold financials versus bank -led gold loan customers?

George Muthoot: Gold loan is one of the best products which a customer can get today. It is not a loan which is increasing its leverage. It is the best loan, which is available today, where customers are not able to get personal loans, they're not able to get a microfinance loan, they are not able to get other types of loans, the easiest is gold and people are generally very happy taking a loan in gold and the customers don't get into a debt trap also.

So, this is something which needs to be encouraged. So, some banks have started wrong practices, it is not there in Muthoot. We are doing what is definitely required and what is in the line and that is what Muthoot stands for. That is why you see that we have the largest gold loan portfolio among all the other NBFCs also.

So, the practices which we do are definitely good and definitely in line with what the customer needs, and that is what we'll be looking at. What banks do, what they don't do is not for me to comment or what the Ministry said also, not for me to comment.

Moderator: The next question is from the line of Kamal Mulchandani from Investec Capital Services.

Kamal Mulchandani: Sir, firstly, on the gold loan part, could you give some colour like what is the policy on the loan rollover by Muthoot? Like do we net off the loan or like the customer pays the loan completely at the maturity and then we like give a 100% new loan to the customer? So, what is the policy over rollover?
George Muthoot: Any loan which is given as a new loan, or a renewal is only done at the current LTV. If the current LTV is 75%, it is done only at 75%. So that is the loan policy we have, and that is what we have been doing till now also.

Kamal Mulchandani: Sir, so suppo sedly on the maturity date, if the value of the gold has increased, and I can avail further loan basis new gold price, so will I be required to repay my earlier loan or you could give an additional amount over and above like whatever the di fference in the LTV is? So how do we do that?
Geo

rge Muthoot: No, if the customer requests for that, we can definitely do that as long as it is within the LTV.
Kamal Mulchandani: Okay, sir. Sir, on the MFI part, can you please help us what is the par zero number?
George Muthoot: I'll just check. We'll get that number.
Management: We'll get that to you later. We'll get it.
Kamal Mulchandani: Okay. Sure. And do we have some colour over what is happening in Karnataka and what is the percentage of portfolio in Karnataka? And are we facing some issues in collection with the government uncertainty going around?
George Muthoot: No, I don't think there is any problem as yet. Of course, there are some talks about Karnataka bringing some rule, etcetera . And there is a lso some talk about somebody overriding that rule, staying that rule also. That's all there, but I think nothing specific for us there in Karnataka. And the portfolio in Karnataka, I don't know the exact number, is very small also.
Kamal Mulchandani: Got i t. It would be great if you could just provide us the par zero number.
George Muthoot: Yes, yes.
Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal.
Abhijit Tibrewal: Firstly, congratulations on a good quarter. We need your help in understanding …
Moderator: Sorry to interrupt, sir. Sir, your voice is sounding very muffled, sir. Are you connected on your earphones? I would request you to please switch to your handset, sir.
Abhijit Tibrewal: Is it better now?
Moderator: Yes, sir. Please go ahead.
Abhijit Tibrewal: Yes. Sir, what I was saying is we need your help in understanding some of the regulatory developments that some of the other gold loan players, including NBFCs and small finance banks who've spoken about these dev elopments in this quarter.
Sir, first thing is, I mean, what some of the other gold loan players are saying is the regulator is asking that LTV instead of being capped at 75% at the time of disbursements should remain at 75% during the entire tenure of th e loan and what this means is that at the time of disbursement, the LTV that one can give out will actually be lower depending on what will be the accrued interest during the tenure of the loan.

And the second thing, sir, I mean, when RBI had come out wit h guidelines, they had also shown or talked about something around, I would say, a renewal or rollover of gold loans at the time of maturity. Just trying to understand is the RBI now asking that you start making some additional provisions if you are rollin g over loans at the time of maturity. So, if you can just help us understand these two developments, if any, on the regulatory side, that will be very useful.
George Muthoot: There are actually no two developments on this. RBI has always been sa ying these things, but there are no new developments on this, and we are doing business as usual.
Abhijit Tibrewal: Got it, sir. And sir, just one last thing. While a lot of discussion has already happened on the level of GNPAs and whe n you will eventually want to auction the loan, all those points are very well received. I'm just trying to understand, given that now we are in the fourth quarter, we'll be closing the March numbers, is there a certain level of GNPA that you will want to be at, right? And because of which you might want to look at some auctioning in the fourth quarter?
George Muthoot: Auction is not restricted to fourth quarter or third quarter, etcetera . Auction is something which

we do always. So definitely, whenever we need to do auctions, we will do auctions also. So, if the GNPA, the customers are not forthcoming, and we feel that they are not going to take back the gold and they are not going to close the l oan, we will have to do auction . But that's our very last, last, last resort. So, if there is something to be done this quarter, we'll defini

tely do it.
But we will try to see that our GNPA, etcetera , is within this 4.3%, 4.2%, etcetera .
Management: So, there was a question on what is our microfinance exposure in Karnataka. That is about INR900 crores. And par zero is INR7,850 crores, that is about 90.5% of the total portfolio.
Moderator: We take the next question from the line of Shreepal Doshi from Equirus.
Shreepal Doshi: The fir st question, sir, was again on the regulatory front. So has there been any communication with the regulator on the bullet repayment as a product and the regulator has, in a way, highlighted to have EMI as a product in the gol d loan category as well. So, is there any communication or has there been any discussion on this particular aspect?
George Muthoot: No, sir. No.
Shreepal Doshi: Okay, okay. And then secondly, just, I mean, touching again on the earlier participant's question on 75% LTV throughout the tenor and at the time of disbursement. So, we are following the policy of the 75% LTV at the time of disbursement and then we do not really look at how it is moving throughout the tenure?
George Muthoot: No, we have not made any change there, and we have not heard anything for the regulator also.
Shreepal Doshi: Got it, sir. Sir, the third question was on the instant personal loan category. So there, as you highlighted from INR190 crores, I mean, the non -gold NPA has increased to almost INR300

crores. So, is it predominantly coming from this particular like segmen t? Or is it some other segment also?
George Muthoot: [inaudible 0:35:47].
Moderator: Sorry to interrupt, sir. We are losing your audio. We are not able to hear you clearly.
George Muthoot: That INR300 crores is from personal loans, from business loans, fro m LAP and instant PL, all put together. And the portfolio has also grown, sir.
Shreepal Doshi: Okay, okay. So, sir, how is this instant personal loan portfolio in terms of GNPA, particularly for the segment and credit cost here, si r?
George Muthoot: It is, I think, quite good, quite nice because it is given to customers who are known to Muthoot already.
Management: So, this would be predominantly...
Management: And it is already 100% provided for, all NPA accounts on the non -gold, w e are providing 100 percentage.
Shreepal Doshi: So just one aspect there. So, this instant PL would be to our captive gold customers only, right?
George Muthoot: Not captive gold customers, customers who have had business with Muthoot.
Shreepal Doshi: All right, all right. And sir, just last question. What would be the auction during the quarter?
Management: Around INR60 crores.
George Muthoot: INR60 crores.
Shreepal Doshi: And for 9 months, sir, like the whole 9 -month FY '25?
George Muthoot: We'll get back to you. Not a big number I suppose.
Moderator: We take the next question from the line of Raghav Garg from Ambit Capital.
Raghav Garg: Sir, one of my questions have been answered. My other question is, what is the interest accrued outstanding as of Decemb er on the books?
Management: INR1,851 crores.
Raghav Garg: Sorry, INR1,851 crores. Is that correct?
Management: Correct.
Raghav Garg: Okay, I'm not able to hear you properly. I'm sorry.

Moderator: I'm sorry to interrupt you, sir. We are losing your audio. Participants, please stay connected. I will reconnect the management line. We have the line for the management reconnected. Please go ahead, sir.
Raghav Garg: Sir, my other question was I wanted to understand your rationale behind transforming Muthoot Mone y into gold loan business. Why is it that you cannot absorb those branches into the stand -

alone business? Why do you have to do it as a separate business even though the nature of the business is same as a standalone entity or a parent entity?

Management: That's why it's called transformation. Earlier, we were doing vehicle loan business with our subsidiary.
George Muthoot: It was doing vehicle loan business initially. That vehicle loan portfolio is running down, it's still some vehicle loans are still there. So, it was not making money. So that is why we started the gold loan business. That's why we started the gold loan business.
Raghav Garg: Okay. So, do you plan to absorb this entity at some point in the future into the parent entity?
George Muthoot: That's a decision for the Board to take. I think we will not respond to that at all.
Raghav Garg: Understood. And do you see any regulatory risk here? Because I think for gold loan branch expansion, you have to take the RBI's approval. Will that apply in this case as well, in the case of Muthoot Money once you transform it completely?
Management: So Muthoot Money, once it crosses 1,000 transactions, regulations will apply.
Management: Earlier, there was a question on auctions. So, the 9 month auctions is around INR382 crores.
George Muthoot: INR382 crores is the full year's auction, 9 months. Somebody has asked for it.
Moderator: We take the next question from the line of Umang Shah from Kotak Mutual Fund.
Umang Shah: Sir, I just wanted one clarification. So, the non-gold loan portfolio where these customers who are -- is it fair to assume all of these are like active Muthoot customers? Or these could possibly be customers who have been Muthoot customers in the past?
George Muthoot: There are customers of Muthoot, there are non-customers of Muthoot also. It's a mix. It's not that they are fully customers of existing or past customers. There are entirely new customers just who had no business with Muthoot Finance also are coming there.
Umang Shah: Sure. And sir, typically, out of this INR4,500 crores worth of loans, what proportion of loans or customers would also have active gold loan at this point of time with us?
George Muthoot: We wouldn't have looked at that number. We wouldn't have looked because it is not on active gold loan customer, we are giving the loan. We're giving the loan based on the underwriting for the personal loan. Gold loan is not a criteria there at all.

Umang Shah: Sure. But it's a possibility that they might also have a gold loan, which is probably active?
George Muthoot: Definitely, definitely. Somebody who has taken a personal loan from other NBFCs also will have a gold loan with Muthoot probably. So, I don't...
Moderator: The next question is from the line of Shubhranshu Mishra from PhillipCapital.
Shubhranshu Mishra: I just wanted to understand the total number of customers we bank on a monthly basis. Of them, the number of customers who have got two gold loans with us, the number of customers who've got three gold loans and the number of customers who've got four plus gold loans with us.
Management: Shubhranshu, your voice was not clear. Can you repeat?
George Muthoot: Can you repeat that once more?
Shubhranshu Mishra: I hope my voice is clear now. I wanted to understand the total number of customers we bank on a monthly basis, the number of match accounts we bank on a monthly basis. The second part of this, how many customers have two gold loans with us, how many customers have three gold loans with us and how many customers have four-plus gold loans with us?
Management: So, Shubhranshu, there is a slide, Slide number 44, which talks about the customers, new customers we onboard. Now you can take that as a number of new customers onboarded, because the other portfolio is negligible. So, you can simply ignore those non-gold customers getting added.
Shubhranshu Mishra: No, no, I'm not asking for non-gold customers. I'm asking for the number of gold loan customers we bank on a monthly basis.
Management: So, I don't have the monthly numbers. Quarterly, it is around -- roughly around 4.1 lakh or 4.3 lakh customers.
Shubhranshu Mishra: Okay. Of these, how many customers would have two gold loans, three gold loans and four-plus gold loans?
George Muthoot: That number, we don't have. customers with two gold loan, customers with three gold loans, customers with four gold loans, we don't have data on that, sir.
Management: So, if you simply add 1 crores by 60 lakhs, every customer will have about 1.25, 1.3. So simply divide. Are there more questions?
Shubhranshu Mishra: No, there are no more questions. I'll take this offline.
Moderator: Next question is from the line of Bhaskar Basu from Jefferies.

Bhaskar Basu: I just had one question. Wh en I look at your ALM for the last couple of years, almost 40% of your borrowings ex -NCDs mature in the first 6 months and around another 30% in the

remaining 6 months. So almost 70% matures. And just wanted to clarify, I mean, there was a question earlier also. These are all 1 year MCLR linked? Or do you have shorter MCLR as well because these seem to be shorter maturity loans?
Management: So no, I think I answered this question earlier. We have roughly around 20% of the bank loans, which are short term, r est are all long -term loans. So, this short term loans, the reset happens on maturity. Long -term loans, mostly it is annual reset.
Bhaskar Basu: Yes. But every year, almost like 70% matures within the year, so which is why when you say long-term loans, what would be the tenure for these loans?
Management: No. So, when you look at the ALM, you might be seeing the installments also because term loans are quarterly installments, there's no resent happening. That's why that payment is shown in the ALM statement.
Bhaskar Basu: Okay. So basically, 20% is shorter tenure?
Management: 20% is shorter tenure. The rest will be term loans where the reset happens annually, whatever is the residual balance outstanding as on that date.
Moderator: The next question is from the line of Aditya Vikram from DigitalBeat .
Aditya Vikram : So, sir, you had revised the guidance last quarter. Are we sticking to the same guidance for this year as well? Apologies if you have already answered this.
Management: Yes. So last quarte r, we revised the guidance from 15% to 25 percentage for the whole year. But in the third quarter, we overachieved it. We have reached 29 percentage. Suddenly, we are not, again, raising the number. Certainly, we are expecting growth to happen in the fourt h quarter.
Aditya Vikram: Okay. So just a follow -up. Somewhere in your presentation, I read that you have written that there is a cautious approach. So, is that only for microfinance business? Or that is for the entire -- at a consolidated level?
George Mu thoot: Yes, mainly for the microfinance business.
Aditya Vikram: Okay. My second question, sir, then is your GNPA and net NPA has come down primarily because, of course, the AUM has increased. But on a net basis, do you see any stress overall in the econom y? Or do you think that we are sticking to the numbers which we have?
George Muthoot: There definitely can be stress in the economy. That's what I am hearing. We don't see any stress but I'm reading everywhere there is stress in the economy. But then that is helping in the gold loan business because people are not getting money elsewhere, they're coming for gold loan. That's what we can understand.
Aditya Vikram: Okay. So, what is your net increase for like -to-like basis between the quarters in the AUM, the NPA side?

Management: So, on the NPAs, September quarter, it was INR3,880 crores. December, it is INR4,117 crores. So, there is an increase of around INR230 crores quarter -on-quarter.
Aditya Vi

kram: And what was September to July quarter? Sorry, if you can answer that one. September to June, apologies.
Management: June, it was INR3,353 crores, that is about INR530 crores increase. We're expecting the NPA numbers to come down by March. In gold loan business …
Moderator: I'm sorry, sir, we are unable to hea r you clearly.
George Muthoot: In gold loan business, these NPA numbers don't matter. Now it may be lesser also …
Moderator: Sir, I'm sorry to interrupt. We are not able to hear you.
George Muthoot: Okay, there is not much answer required there also. The qu estion is over.
Moderator: We take the next question from the line of Kushan Parikh from Morgan Stanley.
Kushan Parikh: I had three questions. The first on the loan growth guidance. We understand your guidance for F '25 but if you could also refresh your g uidance for F '26 in terms of loan growth? My second question is around the credit cost. On the credit cost, basically, we are looking for maybe stable or slightly better asset quality GNPA in the next quarter. Does that mean that credit costs for fourth q uarter will remain broadly in the same range as 2Q and 3Q?
And if you could also, I mean given the non -gold portfolio is growing faster at the standalone

level, if you could give some credit card guidance going forward as well for the s tand-alone
book. And lastly, just one data keeping question, if you could give the loan book split by ticket
size for the gold loan?
George Muthoot: Let's try it one by one. The guidance for 2026 , as usual, we are giving only the usual 15%
guidance for 2026 also. We will revisit it after next quarter. So that is the first part of the
question. The second was the credit cost, if you are saying credit cost or GNPA, credit cost is...
Management: So, credit cost primarily comes from , one, the loan grow th. If there is a loan growth, we have
to mark 1% with the current ECL provision percent, 1% credit cost.
George Muthoot: Can you hear?
Kushan Parikh: Yes, I'm listening.
Management: Yes. So, 1% provisioning we have to do. Any NPA increase, roughly aroun d 10% provisioning
we have to do. So, to the extent, percent increase will happen to the extent of NPA reduction
happening, we'll get some benefit on credit cost.
Kushan Parikh: Understood. That's quite clear. And going forward, is the share of non -gold lo ans rising in the
stand -alone book? If you could give some guidance around that. I mean, do we provide a

higher percentage to the standard assets for the non -gold loan book versus the gold loan book?
Or it's the same 1%?
Management: So, we provide a higher .
George Muthoot: Non-gold loan book today is INR4,500 crores something and the gold loan book is INR92,000
crores. So both will be growing. So, it is not that one is growing faster than the other, both will
be growing.
Kushan Parikh: Understo od, understood. And sir, on the last question of the loan book split.
Management: So up to INR1 lakh, it is 30%. INR1 lakh to INR3 lakh, it is 32 percentage and above INR3
lakhs is the rest. I think it's around 34 percentage.
Moderator: We take the next qu estion from the line of Anuj Singla from Bank of America.
Anuj Singla: Sir, on the ECL which you've given on Slide #48, just one question. We have seen an
improvement in Stage 2 and 3 on a sequential basis. But when I look at the total ECL, it's gone
up by around 8 basis points on a Q -on-Q basis. So, my assessment is that the PCR you have
increased the coverage across various stages. Can you verify that? And also give us some
sense of what is driving this.
Management: Yes. So, we explained this earlier. So, in terms of non -gold portfolio, the NPA book, we make
a 100% provision. So, in the instant PL loans, there is a slight increase in the NPA. So that is
the reason why that portion has increased.
Anuj Singla: Okay.

So, the composition of the GNPAs now has significantly higher non -gold portfolio?
That is what you're saying and that is why the PCR has gone up?
Management: The non -gold NPA is only around INR300 crores out of INR4,117 crore s.
Moderator: Thank you. Ladies and gentlemen, we take that as the last question for today. I would now like
to hand the conference over to the management for closing comments.
George Muthoot: Yes. We are quite happy that we had some lively discussions her e. As usual, we remain
committed to the company. We remain committed to serving the interest of all our
stakeholders, the investors, the lenders, the regulators and definitely, our customers. So, we
will do all what is required to see that every -- all our stakeholders are adequately looked after,
and we stay committed to grow , to do good and quality business in coming days also.
Again, once again, thanking you all for a lively participation. We look forward to in the next
quarter to meeting you again. T hank you, and goodbye.
Management: Thank you. Thank you, Sanket.
Moderator: Thank you, members of the management. On behalf of DAM Capital, that concludes this
conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

Ref: SEC/MFL/SE/202 5/6144
May 17 , 202 5

National Stock Exchange of India Ltd.
Exchange Plaza
Plot No. C/1, G Block , Bandra - Kurla
Complex , Bandra (E), Mumbai - 400 051
Symbol: MUTHOOTFIN Department of Corporate Services
BSE Limited
P.J. Tower, Dalal Street
Mumbai - 400 001
Scrip Code: 533398

NSE IFSC Limited (NSE IX)
Unit 1201, Brigade, International
Financial Center, 12th Floor, Building
No. 14 -A, GIFT SEZ Gandhinagar,
Gujarat 382 355

Dear Sir/Madam,

Sub: Transcript of the Analyst call on Audited Financial Results (Consolidated and Standalone) for the quarter and year ended March 31, 202 5.

In continuation of our letter dated May 08, 202 5, and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the analyst call made on May 14, 202 5, on the Audited Financial Results (Consolidated and Standalone) of the Company for the quarter and year ended March 31 2025 , is available on the Company's website at https://www.muthootfinance.com/analyst -call

Thank You,
For Muthoot Finance Limited

Rajesh A
Company Secretary
ICSI Membership No. FCS 7106

"Muthoot Finance Ltd. Q4FY25 Earnings Conference Call "

May 14 , 2025

MANAGEMENT : MR. GEORGE ALEXANDER MUTHOOT – MANAGING DIRECTOR , MUTHOOT FINANCE LIMITED
MR. ALEXANDER GEORGE – WHOLE -TIME DIRECTOR , MUTHOOT FINANCE LIMITED
MR. GEORGE M. ALEXANDER – WHOLE -TIME DIRECTOR , MUTHOOT FINANCE LIMITED
MR. GEORGE M. GEORGE – WHOLE -TIME DIRECTOR , MUTHOOT FINANCE LIMITED
MR. GEORGE M. JACOB – EXECUTIVE DIRECTOR , MUTHOOT FINANCE LIMITED
MR. EAPEN ALEXANDER – EXECUTIVE DIRECTOR , MUTHOOT FINANCE LIMITED
MR. K.R. BIJIMON – EXECUTIVE DIRECTOR , MUTHOOT

FINANCE LIMITED
MR. OOMMEN K. MAMMEN – CHIEF FINANCIAL
OFFICER , MUTHOOT FINANCE LIMITED
MODERATOR : MS. RATI PANDIT – NIRMAL BANG EQUITIES

Moderator: Ladies and Gentlemen , Good Day and Welcome to Muthoot Finance Limited Q4 & FY25 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during this conference call, please signal an operator by pressing "*", then "0" on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Ms . Rati Pandit from Nirmal Bang Equit ies. Thank you and over to you , ma'am .
Rati Pandit: Thank you, Anshul. A very good evening to everyone . On behalf of Nirmal Bang Institutional Equities , we welcome you all to the 4Q FY 25 Earnings Conference Call of M uthoot Finance Limited.
We are pleased t o host the Senior Management of the Company represented by Mr. George Alexander Muth oot – Managing Director ; Mr. Alexander George – Whole -Time Director; Mr. George M Alexander – Whole -Time Director ; Mr. George M . George – Whole -Time Director ; Mr. George M . Jacob – Whole -Time Director ; Mr. E apen Alexander – Executive Director ; Mr. K . R. Bijimon – Executive Director and Mr. O ommen K Mammen – Chief Financial Officer.
I now hand over the call to "M.D. Sir, Mr. George Alexander Mut hoot for his Opening Remarks, " post which we can have the floor open for "Q&A. " Thank you and over to you sir.
George A Muthoot: Thank you and good evening to all. Today, Muthoot F inance held its Board Meeting for the Financial Year '2 4-25 as well as for Quarter 4 of last year. The board meeting has just got over and we have declared the Results, and I am sure it is available for you all.
I would like to speak of "Some of the Highlights of this Year's Performance ":
We have had the highest ever consolidated loan AUM of Rs.1,22,000 crores as on March and also the highest year -on-year growth in AUM of Rs.33,000 crores which is 37%. The consolidated profit after tax stands at Rs.5,352 in this year ; it is up by 20% year -on-year. The standalone A UM stands at Rs.1,08,000 crores a nd the historic year -on-year growth in loan AUM of Rs.32,800 crores.
The standalone profit after tax stand s at Rs.5200 crores ; it is up by 28% year -on-year.
Regarding the gold loan per s e, the gold loan AUM of Muthoot F inance stands at Rs.1,02,956 crores w hich is certainly a historic moment for us since we have reached the Rs.1,00,000 crore s market , and the highest year -on-year growth of gold lo an of Rs.30,000 crores , which is again 41% of the previous year's growth.

Muth oot Finance has declared a dividend for the year, which is 260% on the face value, or Rs.26 per equity share.
During the year, the group opened 850 new branches . And S&P Global Rating has Upgraded Muthoot Finance Limited Long -Term Issuer Credit Rating from B B to BB + with a stable o utlook.
Moody's Rating has also Upgraded the Long Term Issuer Rating of Muthoot F inance from BA 2 to BA1 with a Stable Outlook .
We have had 1.5 crore s downloads in the iMuthoot App.
Muthoot F inance is the Only Pure Play Gold Loan NBFC in the Upper Layer NBFC's Classification Listed in the Reserve Bank of India for Three Years in a Row . We have received other recognitions, etc. ,
Coming to the subsidiaries :
The Belstar Finance has opened 57 branches in the last year and the business has generated a profit after tax of Rs.46 crores in spite of the turbulent year for the microfinance sector.
Stage -III loan assets at 4.98% is in line with the peers.
Muthoot Home Finance's loan AUM stands at Rs.2,985 crores versus Rs.2,000 crores in the last year, a growth of 47%.
The loan disbursal of Rs.1,242 crores this year compares with Rs.815 crores of the previous year.
The interest income also increased to Rs.273 crores from Rs.178 crores , and

the profit after tax
stood at Rs.39 crores for this year versus Rs.18 crores in th e previous year.
The GNPA at 1.1% in the financial year versus 1.88 % in the previous year and the NNPA at 0.46 versus 0.57 in the previous year .

Muthoot M oney 's loan AUM stands at Rs.3,903 crores versus Rs.1,100 crores last year , a growth of 248%. The bran ch network increased to 992 from 470 last year.

We are proud to announce that this year we crossed the historic milestone of 1,00,000 crore gold loan AUM reaching 102 lakh crores , and all other things which I said definitely has been good for the Company and we should see good performance in the continuing years also.

Sri Lanka Company has also done well ; as on March, the total holding is at 9.6 crores equity shares representing 72% of the Company and the Company has also done well. The Company 's profit has been quite good last year also and the AUM stands at LKR 3,133 with the total revenue of -

Moderator: Sorry to interrupt, sir, there is a static in your voice.

George A Muthoot: In Asia Asset Finance, we hold 72% stake. The total revenue increased to Rs.9,059 crores.

For Bel star Microfinance Limited, the total revenue increased to Rs.2,125 crores as against Rs.1,851 crores in the previous year with a year -on-year increase of 15 %. The loan AUM stands at Rs.7,970 crores and it achieved a net profit after tax of Rs.46 crores in the financial year .

Muthoot Insurance brokers also had a premium collection of Rs.589 crores and a profit after tax of Rs.166 crores for this year.

Asia Asset Finance has also done well. It has achieved a profit after tax of LKR 44 crores in the last year.

Muthoot Money , which is also a wholly -owned subsidiary of Muthoot F inance, has a total revenue of Rs.432 crores as against Rs.126 crores in the prev ious year and it achieved a profit after tax of Rs.12 crores for this year.

I think with that I will conclude my opening remarks and leave the floor open for your questions and clarifications.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Abhijit from Motilal Oswal. Please go ahead.

Abhijit: Yes. Good evening, everyone, and thank you for taking my question. Sir, first of all, congratulations on a very strong year. So , my question also lies there . Obviously, t he gold prices have hel ped during this year, but I mean not to take any credit away, but just trying to understand two very, very strong years , FY24 and FY25. How would you look at gold loan growth for this year an d the next year? And the related question on gold loans is sir, what we have seen in this quarter is I think, I mean , the entire industry has done well and because of which there has been no aggressive competition or at least it is not reflecting in the yi elds. So just trying to understand, I mean , if you could just explain the competitive landscape as well, is there enough for everyone or is the pie itself become so big that everyone can comfortably chew at that and there is no need for I would say aggress ive pricing at this stage ?

George A Muthoot: So regarding your question on the next year guidance , year-on-year we have always been giving a guidance of 15%. I do not think we want to change that. We will continue to do the minimum growth guidance of 15% f or this year also, but going forward after Quarter 2, we should think of maybe if there is any need to revising the guidance. So , we have been always guiding at 15% . Of course last year we have grown by 41% but that apart we from our side would like to give a very conservative guidance of 15%. Now , you yourself said the competitive landscape is there. But yes, I agree with you . Why it is increasing ? It is increasing because more and more people are now looking at using the gold or monetiz

ing their ornaments to take a gold loan. And that is what is attracting new players into this market, and I am sure many of the gold loan companies h ave grown business a nd also the bank . So the pie is increasing , nobody has grown, everybody has grown only , the banks have grown, NBFCs have grow n. I think the market is widening. I agree with you.

Abhijit: Got it, sir. The other thing I wanted to understand is we would have all gone through the draft gold lending guidelines that came out . One of the key things which was highlighted in this gold lending guidelines was also the fact that LTV needs to be maintained at 75% throughout the tenure of the loan, which most of the NBFC s I would say we were not doing earlier because there was no regulatory requirement to do that. Now , if this draft guidelines actually translates into final guidelines, just trying to understand if we ha ve had a chance to work on this, trying to understand what could disbursement L TVs look like going ahead if these draft guidelines actually translat e into final guidelines ?

George A Muthoot: Okay. First of all, the draft guidelines have come. Everybody has gone through it. I am sure everybody has read it and also have got their own opinions on it. The last date for submitting the guidelines was yesterday. So we along with many others have given their suggestions. We should wait for the regulator to come up with the final guidelines. Having said that , our take on this or my

take on this, our Company 's take on this would be , I feel that there is a lot of things happening in
the gold and gold loan market. Gold prices are shooting up ; in the last one year, it has gone up by
more than 50%. So that again the gold price and the jewellery price and the gold price is one factor
of it. The second factor we have seen in the last one year , quite a few players have started coming
into this . Most of the banks who are not very keen on this in the last one, two years have started
becoming very keen. So there is a lot of a ctivity in the gold loan sector from the NBFCs. Quite a
few new players coming into this . New players coming into this has always attracted regulatory
oversight or regulatory concern, so they -
Moderator: Sorry to interrupt, sir, but your audio is again cracking up.
George A Muthoot: The regulatory guidelines are definitely a reaction or action from the regulator when many new
playe rs start coming into this . So a good part of the new draft guidelines are to harmonize the
processes which are to be followed by the NB FCs. So the old gold loan NB FCs like us have been

following all these things, but I am sure the regulator is not sure whe ther all the new players
coming in are following or -
Moderator: Sir, sorry to interrupt again, but ye s, again, it is breaking up.
George A Muthoot: So the new regulatory guidelines we feel or Muthoot feels is mainly coming from the RBI or the
regulator , because new players are entering into the market and the gold price is also going up very
fast, in fact, 50% in the last one year. This is certainly raising some red flags or maybe concerns
with the regulator as to how this is going to pan out. A similar thing happened in 2012 when many
new players started coming into this gold loan market and that time also the regulator came out
with similar regulations which finally culminated in a guideline or a report from the K U B Ra o
Commission, which was again imp lemented and that implemented re gulations is what is happening
now. But what is happening is the new players who are coming may not be familiar with the
processes , nuances of gold loan and that is what this regulation mainly tries to harmony. The
second qu estion is why the gold prices , etc., are going up and new players are also going up,
whether the regulator should look at maybe tweaking the LTV , etc., So they have given some draft
guid

elines on that. There are a few pain points there especially with the LTV, etc., which is
different for N BFCs and banks, which is acts as a n association of gold loan companies. The
association that is taken up with the Reserve Bank of India and certainly asked for a personal
hearing also on this and we are yet to hear from them. Other than that , the regulations are quite
good, quite useful for the sector, and I am sure with these regulations coming into place and the few
concerns which we see being set right by the regulator, I think this is going to be a good time for
the N BFC gold loans .
Abhijit: Noted , sir. This is useful and just one last follow -up. So in Muthoot M oney, we started doing gold
loans now and received good traction as well. Just trying to understand , is there anything
differently we are doing in Muthoot M oney or this is more an extension of the parent entity,
Muthoot F inance ?
George A Muthoot: No, Muthoot M oney started as a function of hire purchase of u sed vehicles , four wheelers , two
wheelers, etc ., We had a portfolio of about Rs.600, 700 crores at one time three years back. Soon
after that pandemic came and thereafter also we started seeing trust in that and finally we were not
able to really jack up the business . Now we are slowly winding down that business and at that time
when the business was coming down, we start of foraying into the gold loan, which was certainly
the group's strength and today we are concentrating mainly on gold loan and the hi re purchase
portfoli o is actually running down . You asked about the process . No, the process is the same
because the management is the same but different set of CEOs, different set of branches, different
set of people , but of course the Muthoot branch is there and the process es are same as Muthoot
Finance.

Abhijit: Got it, sir. That is all from my side. Again, congratulations on a strong quarter and I wish you and
your team the very best.
Moderator: Thank you . The next question is from the line of Harshit from Premji Invest. P lease go ahead.
Harshit : So the first question was on the Stage -III and the credit cost . If you can help us breakthrough the
Stage -III within the gold and in the non -gold loan portfolio ?
Management: Stage -III on gold loan will be about Rs.3,400 crores , about Rs.300 crores will be non -gold.
Harshit: Understood. Understood , sir. Sir, I think the question was that when we look at this year's credit
cost, I think it is slightly elevated versus the previous two years. And if you try to slightly break
down , then 50% of the credit cost would be from non -gold loan if I am reading it correctly ?
Wanted to just get your thoughts that going forward, how should we look at this book? It is already

5% of the portfolio . Will the mix keep on increasing , and if yes, then ho w should we look at the credit cost or should we look at it that since these are the same customers for which we have gold loan, ultimately this money will be coming back , even though unsecured in nature, but that might not be the risk. And I will just ask the second question also, sir. On the branch piece, do we have any approvals right now or are we expecting any approvals for branch expansion ? And other is on Muthoot M oney . Why are not we expanding the branches much faster over there or are we restricted on branch expansion there also?

Management: Okay. So the first question is on ECL . Total impairment for the whole year is about Rs.766 crores , out of that Rs.130 crores will be about write-off, the remaining Rs.630-odd crores will be because of the incremental pro visions required because of the growth in the loan book on stage 1 and stage 2 primarily on the gold loan .

Harshit: Okay. Y ou are saying all the increase in provision is with respect to the gold loan itself ?

Management: Yes, because we have not increased th

e non -gold in a significant manner . Probably we would have increased by about Rs.2,000 crores in the last one year. So primarily the impairment provisions has increased because of the increase in the gold loan because we have increased the total loans by about Rs.30,000 crores plus. So on that itself the ECL provisions would have gone up.

Harshit: Sir, my question was that because over there whatever Stage -III has happened in the non -gold loan, I remember in the last call you said that we provide 100% as soon as it slips to Stage -III. And if I go by that then of the Rs.760, 780 crore s of impairment credit cost this year , my assumption was more that like around Rs.200, 300 crore s has be en from the new business. Is that right? Because I think the write-offs of Rs.130 crores are from new business you are s aying, but beyond that another Rs.100, 150 crore s would be provisions on the new business ?

Management: So I do not know what do you inte nd by the new business because like in the last call we had mentioned about the personal loan business, where we have done through our branches, there is a rise in the NPA problem because of some weakness in terms of collections , etc., So because of that there is an increase in that. So that would have certainly factored in the increase in the E CL provision. That is one thing . And second thing is the write -off, that is Rs.130 crores . You asked me what was the gold loan NP A last year . Last year was about Rs.2,400 cr ores out of Rs.2,484 crores , this year out of total Rs.3,700 crores the gold loan b ook is Rs.3,350-odd crores and the balance Rs.350-odd crores is because of the non -gold business. So there is an increase of around Rs.250 crores in non -gold busines s which we would have included the impairment which I had explained in the last quarterly call that there is a specific increase in the NPA in the branch based person al loan business. So that is more of a one -off kind of impact where we are stabilizing the collection mechanism, etc.,

George A Muthoot: On y our second question about the branches , we already have a approval for 115 branches which we are going to open this year. So branch opening will do either in Muthoot M oney or in Muthoot Finance. It is happening in the normal course. It is not that we are starved of branch , the branches are growing and the business also is growing. So branch opening is not an issue for us.

Harshit: Got it. Just one clarification. On consolidat ion we have option to open 1 15 more branches ?

George A Muthoot: Once we open this Muthoot F inance branch, we will think of the Muthoot M oney branches also.

Harshit: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Shreya Shivani from CLSA. Please go a head.

Shreya Shivani : Yes. Thank you for the opportunity. My first question is again on the asset quality. Just wanted to understand that for the quarter if I take Rs.74 crores of write -off and if I just balance with the provisions and the gross you have given there seems to be some upgrades and recoveries that have happened in the quarter. Can you help us understand about that ? And also what is the auction number for the quarter , for the year and for 4th Quarter '24 and for 'FY24 as well, if you can share that number ?

Management: So in December end the Stage -III portfolio on gold loan was Rs.3,700-plus crores. This has come down to Rs.3,347 crores . In December total NPA was Rs.4,117 crores, in March it has come down to Rs.3,700 crores. So to the extent of around Rs.400 crores has happened mainly it is in the gold loan book. In terms of auctions, we had auctioned about Rs.461 crores during last full year.

Shreya Shivani: This Rs.461 crores is i n FY25. What was in FY24? Okay that I can get from the annual report. Ye s, that is fine. Just wanted to check sometimes the auction number th

at you mentioned on the con calls

and when we check with the annual report, it tends to not match. So does it not include the interest outstandin g, what is the difference in the number that you have given in the con call?

Management: The number which we always talk about in the con -call is the principal amount of loans. In the RBI reporting in the annual report, it is talking about the realized price and the total dues.

Shreya Shivani: Sorry, could you do in the annual report what do you talk about?

Management: The total dues and the auction realization.

George A Muthoot: Principal plus interest.

Shreya Shivani: Okay, sir, this is useful. Thank you so much.

Moderator: Thank you. The next question is from the line of Shweta from Elara Capital. Please go ahead.

Shweta : Thank you, sir for the opportunity and congratulations on a good quarter. S ir, my question pertains to the draft norms only and two sets of questions there. One is if the draft norms were to go in similar state through, t hen will we see change in business mix or shift more towards non -gold lending , is the business mix changing or ev en outside these draft norms implementation do we have any strategy , plans or thought process for business mix tilting now towards non -gold? That is question #1. Question #2 , so while you have explain ed that these drafts norms more from the regulatory and competition and overall landscape perspective , I want to understand more from Muthoot F inance business model perspective ? So just to deep dive slightly more into especially the LTV norms wherein … so we were also just talking about principal plus interest , so now the new LTV calculation will be on princip al plus interest plus there are requirements of internal limits on gold loan portfolios to manage risk, which might potentially constrain your gold loan volumes plus there now have to be a clear bifurcation on consumption versus income generation loans and there will be stricter sort of monitoring across periods. So if we put together these kind s of restrictions and draft norm implementation were to happen in current state of affairs, then do we see any interim impact on disbursements and this is outside of what is happening on the gold price action and therefore so do you see any changes in your practices or a need for customer awareness? Ye s, those are my two questions. Thank you.

George A Muthoot: Very leng thy question s. You give most of the answers in the questions also. So the draft guidelines is still the draft guideline . We have to wait for the final guidelines , that is #1 . The guideline mainly talks about the processes which have to be harmonized , that is the #2. The only thing which we as an association of gold loan companies would like to bring to the attention of the regulator is that the LTV which is being tweaked would not be in the interest of the customer because if the NB FCs are placed at a d isadvantage, most of the customers may go back to the money (inaudible) 32:21 . So in

the last 20 -30 years , with lot of effort, NB FCs have been able to bring the customers from the unorganized sector into the organized sector through the NB FCs and as a resu lt of th at the sector has become corporatized and because of that banks are also finding it easy and good portfolio till then. So with lot of efforts these people have come from the unorganized sector. But if the NB FCs are limited through tweaks in the LTV as suggested in the draft guidelines, it will take back these customers to the unorganized sector which I do not think would be in the interest of the country , interest of the regulator. So we have definitely flag ged this to the regulator and our associat ion of gold loan companies have given representation on this aspect to them. All the other aspects are quite good as strengthening the sector

especially in respect of new players coming into this sector ,
process , etc., harmonization and clarity for the new sectors also , interest also is good. So this we have taken up with the regulator and let us hear from the regulator what is their views , not to disturb the sector and probably take back the customers to the unorganized sector. We have given our representa tion. So we will wait for the final guidelines.

Shweta: The second question was change in business mix or maybe more a tilt towards non -gold?

George A Muthoot: No, we h ave not thought about that as yet. We have a plan . Our core business is gold loan . We wi ll continue to do gold loan.

Shweta: Fair point. V ery helpful. Thank you so much.

Moderator: Thank you. The next q uestion is from the line of Raji v Mehta from Yes Securities. Please go ahead.

Rajiv Mehta : Yes, hi, sir, good evening. Just two things. Sir, when I look at your quarterly run rate of new customer acquisition and even the existing customer reactivation , in the last two quarters, the run rate seemed to have fallen versus what it was in the first two quarters of the year. There ca n be some seasonality. As you pointed out that there is increasing competition because of increas e in gold prices and many players are entering the industry, are we seeing some pressure in terms of customer acquisition , your old customer reactivation which is why we need to step up on the A&P spend, business promotion expenditure, maybe even employee variables in that case. So is it slightly becoming a trade -off between keeping growth high and giving away some cost ?

Management: I think new customer addition s in the last four quarters was around 4.5 , 4.3, 4.17. Any material -

Management: We are increasing by about 4,00,000 new customers ; new customers are increasing.

Rajiv Mehta: Yes, they are increasing, but the rate at which they were increasing in the firs t two quarters, that seems to have slightly come down ?

Management: That is only marginal , no. See, when somebody comes and takes a loan, sometimes the customer might be borrowing for Rs.10,000 , and sometimes he might be coming and taking Rs.2,00,000 also.
George A Muthoot: There is good growth in the new customer acquisition quarter -on-quarter, but of course as you say, the first quarter, second quarter, third quarter, almost four quarters every quarter we should have done four and plus extra at least we are able to do that with the higher base , we are quite happy with that.
Rajiv Mehta: No, the second part of my question was whether to keep up with this current run rate of new customer acquisition , do you feel the need to step up the OPEX in terms of A&P spend, business promotional expenditure, maybe your employee variables , do you see that scenario or you would want to reserve your comment because you want to also see whether what kind of draft guidelines come into play ?
George A Muthoot: No, not because of the guidelines. So we definitely would like to always like to increase our customer base. We have regular marketing activities. We have regular campaigns, etc ., going and that is bringing us business . You should understand that gold loan is a very, ver y short period loan and we have to be very, very quick to get newer and newer customers , otherwise active customer base will not increase. So , as customers take back their gold, we get new customers. So we have campaigns , etc., which constantly we run. The re is nothing cutting back on that or maybe nothing to do extraordinary also now.
Rajiv Mehta: Okay. And can you share sales too for Bel star and what is the collection efficiency trend ?
Management: I can come back later.
Rajiv Mehta: Sure, sure. Sure. Thank you and best of luck.
Moderator: Thank you. The next question is from the line of Ni dhesh Jain from Investec. Please go ahead.
Nidhesh Jain : T

hanks for the opportunity, sir. Sir, on the yields, how should we think about next year given that competitive intensity is increasing , at the same time interest rates are also likely to decline , so how do you see yields panning out next year and interest spread p anning out next year? And also if you can share what is the incremental yield for Q4 FY25 on the gold loan business?
George A Muthoot: Yes. Our interest spread has always been in the range of 9% to 10% and we would continue to maintain that . If the cost of borrowing comes down after a quarter or so, we will reduce our yield. If the cost of borrowing is going up, we will increase our yield. But we will try to maintain our spread at between 9 % and 10 %. That is what we have been always doing that and we continue to do that. So if the cost comes down, we will pass on the benefit to customer s. If the cost of borrowing goes

up, for some time, we will try to absorb it. After that we will have to increase. So I think the interest spread would be constant.
Nidhesh Jain: Sure, sure. And sir, yields are broadly similar for Q4 also, the Q4, the incremental yields that the loans that were in Q4 ?
George A Muthoot: 18.5% is what has been for the all the quarters.
Nidhesh Jain: Okay . And the second data keeping question is on Bel star. If you can share par zero plus as of March '25 for Be lstar?
Management: Yes, I will come back on the Bel star numbers.
Nidhesh Jain: Sure. Sure. That is it from my side. Thank you.
Moderator: Thank you. The next question is from the line of Kunal Shah from Citigroup. Please go ahead.
Kunal Shah : Yes, hi. So g etting on to the draft regulations , based on your assessment, if you have to look at it here maybe on the LTV side , have you done any analysis in terms of where actually we would have been breaching this norms of interest accrual plus the principal at 75 %-odd given th e draft guidelines, are there, no doubt it is still draft, but any internal assessment being done ? And given your experience, is it like customers take a particular value of money whatever they need, and they would be more willing to come and pledge the gold further rather than lowering the quantum of money required, would that be the case based on your experience over so many years ? And the second question again is on the operationa l part of it, maybe in terms of the customer assessment, which I do not think we have done till date, maybe in terms of analyzing the repayment capability of the customers and even the documents with respect to the end use of the gold loans . So operational ly, how would these things pan out -- would it be more like mere documentation and the self-declaration that would be required or we would have a separate procedure to assess the customers as well ?
George A Muthoot: The first question is about the draft guidelines whether we have done a calculation on the impact assessment. I do not think there is something great in that. And I would also like to say that as of date, our loan -to-value when the current price is only less than 62%. So today also , all the

borrowers have not borrowed the whole 75% , they have all borrowed only 62%, so -
Kunal Shah: That is not the question was . Maybe average is 62 %, but if we look at it maybe any particular proportion of customers who would be -?

Management: Somebody who was getting Rs.75 earlier, under the new guidelines, he will be able to get only Rs.55, and there will not be any standardization in the industry, no. Somebody who is lending at 20%, it will be at 55, somebody who is lending at 10, it will be 65. Final ly, the consumers are going to get affected, he will not be clear where he will get an appropriate value for his ornament.
George A Muthoot: That is what we have put up to the regulator. We have raised these concerns. Let us

wait for that.
Kunal Shah: So looking at our yield, we believe like it should settle somewhere around 55 % to 60 %-odd is what eventually it would settle at maybe if you have to land on an incremental basis?
Management: Let the final guidelines come and then we will take a call. Anyway, y ou know what is the impact, right . Let us wait and see in which direction it goes.
George A Muthoot: On your third question, understand. yes, day -by-day the compliance and operational costs are going up, not only for us, for all NB FCs, not only gold load N BFCs, any NBFC. So operational costs, compliance cost will go up. So we like to comply with that or compliance cost will go up. That is all. What else can we do?
Kunal Shah: No, my question was, would it be like the self -declaration from the customer that suppose if we have to require the customer assessment we will just take that this is the income which they are having or this is the end use or we will be deploying people to keep the evidence of it?
George A Muthoot: Sir, let the regulations come. Whateve r it is, we will have to comply . Only the compliance cost will go up. That is all. We will have to comply. So we will cross that bridge at that time. Whatever it is, it will be compliant. We will wait for the final regulations, but the point is all this wi ll add to compliance cost. That is all.
Kunal Shah: Yes, got it. Got it. Ye s, thanks and all the best.
Management: So there was a question on Stage -II in Belstar. Belstar the Stage -II percentage is 3.17 and NP A in Stage -III is 4.98 percentage.
Moderator: Thank you. The next question is from the line of S hubhranshu Mishra from Phil lipCapital. Please go ahead.
Shubhranshu Mishra: Hi, thanks for this opportunity. The first one is on Muthoot M oney . In terms of the branch expansion, we a re just short of 1,000 beyond which we might require regulatory approval . So I just want to understand what kind of gold loans we are doing ? What is the total gold loan capacity in each of the branches that we have built out ? What is the AUM per branch here? What kind of teams have we built in at Muthoot Money? And if the regulator might look at this saying that, look, you

do not get regulatory approval and you have increased branches here . Can there be some kind of a regulatory oversight or action on Muthoot M oney increasing branches rapidly ? So th e second question is the data keeping question . What is the accrued interest ? And what will be the AUM split less than 1 lakh to 3 lakhs a nd more than 3 lakhs .
Management: Muthoot M oney gold loan AUM is Rs.3,500 crores .
George A Muth oot: I think we explained all in details earlier also wh y we started the hir e purchase and we started the gold loan . It was around 980 or 990 branches and the AUM is Rs.3,700 crores. So because these are young branches, per branch basis business s hould be going up year -on-year. So we do not see any regulatory concerns in this. So that is the first part of it.
Management: Interest a ccrued is Rs.1,740 crores. Ticket size break up above 3 lakhs is 38 %, 1 lakh to 3 lakhs is 35% and 50,000 to 1 lakh is 15 % and the balance below 50,000 is 13 %.
Shubhranshu Mishra: Sure. What is the AUM per branch at Muthoot M oney now?
Management: Rs.3,500 crores .
Shubhranshu Mishra: And what is the maximum level it can go to ?
Management: You know what is the average in Muthoo t Finance, right?
George A Muthoot: So it can go up to that level .
Management: It can go higher also. There is no difference between branches of Muthoot Money, I mean the operational team is different.
Shubhranshu Mishra: Understood, understood. This is very helpful. Thank you so much sir.
Management: Yes. Management is different , operations team is different.
Moderator: Thank you. The next question is from the line of Mona K hetan from D olat Capital.

Please go ahead.

Mona K hetan : Yes, hi, sir. Good evening. Firstly on the other income, it is a lot higher this quarter. So , any particular thing that is driving it? Non-interest income.
Management: Not really. Maybe some -

Mona Khetan: Is it driven by the ARC ?
Management: Yes, the ARC is there then the investments in mutual funds , etc., will give fair value changes , that is all .
Mona Khetan: So is that transaction complete , I mean, are the entire recoveries from the ARC sales now reflected in the P &L in our case?
Management: No, no. Some more, some more is outstanding.
Mona Khetan: Okay. And coming to Muthoot Money , what is the gold AUM of this Rs. 3,700 crore s though and what was the same last year if you could high light?
George A Muthoot: Last year it was Rs.7,000 crores, today it is Rs.3,700 crores.
Mona Khetan: So the entire AUM consists of gold loan only?
George A Muthoot: No, no, there was AUM hypothesis which was about Rs.500 crores as I speak , it is running down and probably today it is about Rs.150 crores.
Mona Khetan: Okay. So Rs.500 crore s last year and Rs.150 crore s as on March end is the non -gold portfolio in the Muthoot M oney book.
George A Muthoot: Yes, yes.
Mona Khetan: Got it. Thanks so much. That is all from my side.
Moderator: Thank you. The next question is from the line of Varun from Kotak Securities. Please go ahead.
Varun : Hi, sir. I just had two questions. First one was with regard to our different products at different LTVs. So what is the yield difference that we offer to the borrower for the different LTVs like the 75% versus 65% and 50%? And the other question was with regard to Belstar's collections in Tamil Nadu. We have a large portfolio over there. Are we seeing any impact of the new bill or act that has been passed in the Tamil Nadu assembly ?
Mana gement: So yield difference , we have schemes right from 10% to 22 %. So there is no hard and fast rule . It operates in different geographies , in different schemes, etc ., There is no particular principle being followed. It is mainly dependent on the schemes which have been decided to run. The second thing is on the impact on Belstar . I think that ordinance will have -

George A Muthoot: Started in Karnataka. Now it is in Tamil Nadu.
Management: No, there will be no impact in the initial stages , then it becomes applicable to everybody in the sector. So we will have to wait and see .
George A Muthoot: Technically, act is not applicable to NB FC, MFI. So it is actually exempted technically, but then it is only the perception , people on the ground may feel this is ap plicable for everybody and people may delay payments. But after some time it has to come. As per the act, both in Tamil Nadu and in Karnataka, the regulated NB FCs, MFIs are exempt, but ground level is always a problem.
Varun: Yes. So I was just asking about the collection trend in April , is there any change of this?
George A Muthoot: Initially, there will be some hiccups. After sometime it has to straighten out. Today , there is a hiccup.
Moderator: Thank you. The next question is from the line of Harshi t from Premji Invest. Please go ahead.
Harshit : Hi, sir. Thank you for the follow -up. This is just on cost of funds. We look at a sequential year cost of funds increase, but I am assuming that the rate cut narrative has started building up. So just wanted to get some sense on the trajectory of cost of funds and the quantum , broad guidance if you can give?
Management: Post-March we are seeing a significant drop in the borrowing cost . So, I think now we should get the benefit of that fall in interest cost unl ess there is a reversal of th e trend.
Harshit: Okay. Got it. Got it. Got it. And so some bit of spread improvement we should probably see from next quarter on

wards as -?
Management: The same thing I used to mention. When there is an increase, no, say 50 basis points increase and all does not make much of a difference in our return of assets . The same thing . When there is a decrease in cost of borrowing , it is not going to make a significant change in our return on assets ; 5, 5.5% return on asset is not go ing to make a material impact.
Harshit: Okay, sir. And if I can just clarify one more time . I was not clear on this part . Our restriction of 115 approval in both Muthoot Money and Muthoot Finance .
George A Muthoot: 115 permission given for branches for Mut hoot Finance .

Management: In Muthoot M oney we just completed 1 ,000 branches, we allow it to grow because it has a long way to go with the 1 ,000 branches and probably at a later stage we can always seek approvals from RBI.
Harshit: Fair point . Fair point . Understood, sir. Thank you.
Moderator: Thank you. The next question is from the line of Bhavesh Kawani from S van Investments. Please go ahead.
Bhavesh Kawani : Thank you for the opportunity. First one was on the standalone P&L where we have seen provisions going up materially and in a scenario where gold prices are favorable one just want to understand the reasoning behind that ? And if you can provide some sense that whether the provisions that we hold today that will be sufficient to kind of handle a possib le correction in gold price or we will continue to provide significantly in '26 as well. The second one s ir was on Be lstar. If it is possible to share some p ar zero data for the last couple of months that would be helpful ?
Management: So on the fir st question on provisioning, see , provisioning is based on IND AS 109. So there we consider the historical losses , etc., and based on that we make p rovisions. We believe that there will be adequate pro visions but whether there could be a very large provision, that is not the way in which we are looking at gold prices. So from that perspective, I think we feel that the provisions are adequate.
George A Muthoot: On Belstar collection, m onthly w e do n ot have , as on date we have .
Management: I mentioned earlier Stage-II percentage on Bel star as on March 31st is 3.17% , Stage -III is 4.98 %.
Bhavesh Kawani: Any numbers you can share for par zero level , sir?
Management: No, I do not have the pa r zero level numbers right now.
Bhavesh Kawani: Sir, going back to your response on provisions, for '24 the provisions translated to something like 30 basis points, whereas for '25 full year it translates to around 80 basis points and you mentioned that we are follow ing the sale method , so what are those ke y changes in the sale assumptions which led to this kind of increase ?
Management: So I think I earlier gave the breakup of ECL provision. Out of Rs.766 crores of ECL pro vision, Rs.130 crores is because of the write -offs and the remaining is because of the increase in ECL provisions as well as increase in NP As of the non -gold book . So increase in pro visions because of the non -gold book is about Rs.200 crores , the remaining is because of the increase in the loan book.

Bhavesh Kawani: Wonderful, sir. That helps.
Moderator: Thank you. The next question is from the line of Nikhil S John from GYR Capital Advisors. Please go ahead.
Nikhil S John : Thank you for the opportunity. Congratulations on crossing Rs.1 lakh crore milestone. So my first question will be with gold loan AUM of 41% year -on-year and interest income rising 56% , is any structural like margin expansion in the FY26 especially with operating leverage kicking in some 850 new branches now build in?
George A Muthoot: That is your question. So I think we have said that our interest spread for all quarters it has been 9.5% . If our borrowing cost comes down, we will reduc

e our yield , but of course maintaining the interest spread . Operating cost, yes, it cannot come down because per branch business is going up. But as you know inflation is also there ; so everything will go up, the rent will go up, salaries will go up , on one side that will go up, but then that is compensated by more per branch . So I think operating cost , etc., would also remain almost the same.
Nikhil S John: Is there any internal benchmark that you have set to improve this metric further before adding more branches?
George A Muthoot: Benchmark ? I did not understand the question . Please -
Nikhil S John: Any intern al benchmarks or KPIs that you have implemented in every branch should be followed ?
George A Muthoot: We ask them to do more per branch. I think that is the benchmark we give to the branches . Individual branch business should go up. That is the benchmark.
Nikhil S John: Okay. Thank you. Thank you, sir.
Moderator: Thank you. The next question is from the line of Jino Thomas from Ind Invest. Please go ahead.
Jino Thomas : Hi, good evening, sir. Congratulations for a great performance . Sir, I am very happy to s ee slide number 20 to 25 . Probably I myself have spoken about this a couple of quarters back and request you to give some color on this analytics initiatives centralized , many, many. innovations coming there in the Company maybe on for cross sell cost effi ciency , etc., it would be the objective. It would be great help if you can give some color on that?
George A Muthoot: These are all steps we are taking to improve the performance of the branch so more customers coming to the branch. So steps we have already taken , some of them are in process , some of them have already been implemented . I am sure going forward these steps should certainly give more

customer foot falls in the branch and definitely improve the business. So everything almost what we said is self -explanatory that we have done. I do not want to go into each detail because I do not have each detail etc. but understand that these are the things which we have been implementing for the last one or two years , it is just that we just put it on pap er now. So these are all meant to get more customers to the branch .

Jino Thomas: Okay. Thank you so much, sir. Wish you all the very best for FY26 and henceforth.

Moderator: Thank you . Ladies and gentlemen, in the interest of time, this would be our last q uestion. I would now like to hand the conference over to the management for closing comm ents.

George A Muthoot: Thank you. We had a good interaction with all the investors and our supporters. Sorry , that there was some disruption in the connection. I think it was mainly because there is some problem in the Airtel total network in Tamil Nadu and Kerala. But I think we took a second alternative, and it has gone well. We are happy that we were able to report good numbers, and we are again happy that we are able to support our customers and also our investors. We will continue to do that going forward , continue to work in the best interest of all our stakeholders, including our borrowers, lenders, our investors and be confident that Muth oot will stand by a ll its values and principles and see that we grow from strength -to-strength so that all our stakeholders are benefited. Thank you. Goodbye from Muth oot Group here.

Moderator: Thank you. On behalf of Muth oot Finance Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

Ref: SEC/MFL/SE/202 5/6256
August 19 , 202 5

National Stock Exchange of India Ltd.
Exchange Plaza
Plot No. C/1, G Block , Bandra - Kurla
Complex , Bandra (E), Mumbai - 400 051
Symbol: MUTHOOTFIN Department of Corporate Services
BSE Limited
P.J. Tower, Dalal Street
Mumbai - 400 001
Scrip Code: 533398

NSE IFSC Limited (NSE IX)
Unit 1201, Brigade, International
Financial Center, 12th Floor, Building
No. 14 -A, GIFT SEZ Gandhinagar,
Gujarat 382 355

Dear Sir/Madam,

Sub: Transcript of the Analyst call on Una udited Financial Results (Consolidated and Standalone) for the quarter ended June 30 , 202 5.

In continuation of our letter dated August 05 , 202 5, and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the analyst call made on August 13 , 202 5, on the Unaudited Financial Results (Consolidated and Standalone) of the Company for the quarter ended June 30 2025 , is available on the Company's website at https://www.muthootfinance.com/analyst -call

Transcript of Analyst Call was uploaded on the website at 05:00 PM on 18th of August 2025.

Thank You,
For Muthoot Finance Limited

Rajesh A
Company Secretary
ICSI Membership No. FCS 7106

"Muthoot Finance Limited
Q1 FY '26 Earnings Conference Call"
August 13, 2025

MANAGEMENT : MR. GEORGE ALEXANDER MUTHOOT – MANAGING DIRECTOR – MUTHOOT FINANCE
MR. ALEXANDER GEORGE – WHOLE-TIME DIRECTOR – MUTHOOT FINANCE
MR. GEORGE ALEXANDER – WHOLE-TIME DIRECTOR – MUTHOOT FINANCE
MR. GEORGE M. GEORGE – WHOLE-TIME DIRECTOR – MUTHOOT FINANCE
MR. GEORGE M. JACOB – WHOLE-TIME DIRECTOR – MUTHOOT FINANCE
MR. EAPEN ALEXANDER – EXECUTIVE DIRECTOR – MUTHOOT FINANCE

MR. K.R. BIJIMON – EXECUTIVE DIRECTOR – MUTHOOT FINANCE
MR. OOMMEN K. MAMMEN – CHIEF FINANCIAL OFFICER – MUTHOOT FINANCE LIMITED

MODERATOR : MS. SHWETA DAPTARDAR – ELARA SECURITIES INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Muthoot Finance Q1 FY '26 Earnings Conference Call, hosted by Elara Securities India Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Shweta Daptardar from Elara Securities India Private Limited. Thank you, and over to you, ma'am.
Shweta Daptardar: Thank you, Anushka. Good evening, everyone. On behalf of Elara Securities, we welcome you all to Q1 FY '26 earnings conference call of Muthoot Finance. From the esteemed management, we have with us today Mr. George Alexander Muthoot, Managing Director; Mr. Alexander George, Whole-Time Director; Mr. George M. Alexander, Whole-time Director; Mr. George M. George, Whole-Time Director; Mr. George M. Jacob, Whole-Time Director; Mr. Eapen Alexander, Executive Director; Mr. K.R. Bijimon, Executive Director; Mr. Oommen K. Mammen, Chief Financial Officer.
We express our gratitude towards the esteemed management of Muthoot Finance to provide us the opportunity today to host this conference call. Without further ado, I now hand over the call to Mr. George Alexander Muthoot, Managing Director for his opening remarks, post which we can open the floor for Q&A. Thank you, and over to you, sir.
George Muthoot: Thank you. Good evening to all. This is George Alexander Muthoot, Managing Director of Muthoot Finance. Today, we had our company's Board meeting for the Q1 '25-'26. We just -- the meeting just got over, and I am here to present the report for the Q1 performance of Muthoot Finance.
We had an impressive start to the year, and our stand-alone loan assets under management has reached a record of INR1,20,031 crores, driven by a robust 40% year-on year growth in gold loan of INR32,272 crores for the full year and a 10% quarter-on-quarter increase of INR10,238 crores.
This is a testament to our three-pronged strategy to focus on disbursements, operational efficiency and maintaining healthy margins. As a result, our stand-alone profit after tax for this quarter grew by 90% to reach INR2,046 crores.
These results reaffirm our leadership in the gold loan segment, supported by a pan-India branch network, strong brand equity and deeper customer engagement. We are encouraged by the growing acceptance of gold loan as a reliable, accessible, and inclusive form of credit.
Looking ahead, we are accelerating our efforts to digitally enable our gold loan offerings, making credit access faster, more seamless, and more inclusive. Our technology investments are already

enhancing our customer experience, reducing turnaround times, and strengthening operational efficiency.
The recent RBI guidelines on gold loans will bring greater transparency and further streamline the lending process. While the recent industry cuts create a favorable credit environment, with these supportive tailwinds and our continued focus on innovation and services, we are well positioned to sustain strong growth through financial year '25-'26 and beyond.
This year, we have seen -- we have crossed the market capitalization of INR1 trillion. We opened 22 branches and won many rewards and accolades. Their subsidiaries are also doing well. The Belstar Microfinance has opened 10 gold loan branches in Q1 to diversify the loan portfolio. It has maintained a Stage 3 loan asset at 4.4%, which is consistent with the industry peers. And Muthoot Home Finance, the loan AUM stands at INR3,096 crores versus INR2,100 crores in the last year same quarter, a 41% year-on-year growth.
Muthoot Money, the loan AUM at INR

5,000 crores in Q2 versus INR1,657 crores in Q1, a growth of 202% year-on-year. Continued decline in NPA through physical collections witnessed consistently throughout the year. GNPA has increased to 0.96 in Q1, that's for Muthoot Money. The branch network also increased to 997 during this quarter.
Overall, this year has been quite good for Muthoot and I think all the other details are there in the slides and presentations we have given. I will halt now -- I will stop now and may be wait for your clarifications and questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Raghav from Ambit Capital.
Raghav: I have a few questions. One is, this quarter, the yields have expanded by 100 basis points sequentially. And I also noticed that there have been some significant NPA recoveries of about INR550 crores on a net basis. So my question is, was there any booking of income in the interest income line related to this NPA recovery, if yes, how much was it?
George Muthoot: This is your question. Any more questions?
Raghav: Yes. So the other question I had was the sequential addition in customers, I noticed that previously we were running or growing at about 2% in Q4 and Q3 on a quarter-on-quarter basis. This time, it has come down to 1.4%. So what will be your guidance going ahead? Those were my only 2 questions.
George Muthoot: The second question, I did not understand. What is this 2% and 1.4%?

Raghav: So if you look at your number of active customers in Q3 and Q4.
George Muthoot: Number of customers. Understood. So regarding the yield, the yield is 19.56% and usually our yield is 18.5%. This year -- this quarter, the yield has been better, as you exactly said, there has been an INR700 crores NPA reduction. And the interest accrued on that, which has come into the P&L is around INR300 crores.
Number two, we have given some of our loans -- sold some of our loans to the ARC about a year back. And now today, all the principal has been received in the last quarters. So this quarter, we received INR100 crores from the ARC, which is fully towards the interest. So INR300 crores plus INR100, INR400 crores is the extra interest we have received this year, and that should account for the higher yield of 100 basis points more. And about the number of customers, just...
Oommen Mammen: So sequentially, I think the outstanding number of customers is, it has increased by about 1 percentage. We've been repeatedly saying that you should look at the new customer additions, which is actually the net outstanding number of new customers added is about 4.2...
Raghav: I'm still here. I could not listen to the management in the last 10 seconds.
Moderator: Sorry to interrupt. The line for the management has been disconnected. Please wait till I connect the management back. Ladies and gentlemen, the line for the management has been reconnected. Thank you. Raghav, you may proceed.
Raghav: Yes, I think the management was saying something...
George Muthoot: No. You heard about the interest yield, etcetera?
Raghav: Yes, yes. I heard the INR400 crores...
George Muthoot: So the next point was about the customer addition. The new customer addition in last quarter was -- last quarter, not this quarter, last quarter was 4.1 lakhs and this quarter, it is like 4.24 lakhs. So there is increase in the number of new customer additions. What you said is only the net growth in the customers. So new customers are coming and old customers are going out. So we are better off in the new customer addition. That's what I wanted to convey.
Raghav: Just one more follow-up question, if I remove this INR400 crores of exceptional income, right? And when I also look at -- so is there any competitive pressure because this -- after removing INR400 crores, the yields are somewhere around 18.15%, 18.2%, which is

lower -- the run rate which you had in last week...

George Muthoot: INR400 crores is just an approximate number.
Oommen Mammen: Maybe INR300 crores to roughly around INR300 crores, INR350 crores.
Raghav: Understood. Okay. And generally, what is your sense in terms of competition, one of the other guys in gold loan space said that they want to reduce rates and be more [competitive 0:10:50] Are you seeing any such competitive activity on the ground?
George Muthoot: So the gold loan business is to the flavor of the market. So all competitions are trying to come there. So people come with different strategies. Muthoot has been a long player in this, a very old player in this. And we have our own strategies. And I don't think we need to respond to small strategy changes by others. We will go our way, as we are -- we have been in the market for such a long time. I don't think these things matter to us.
Moderator: We take the next question from the line of Mona Khetan from Dolat Capital.
Mona Khetan: Congratulations on a strong quarter. So just back on the...
Moderator: Sorry to interrupt, Ms. Mona. Your voice is breaking. Could you please fix that?
Mona Khetan: Any better?
Moderator: Much better.
Mona Khetan: Yes. So firstly, just confirm back on the yields. So except extra interest that you earned this quarter, is it fair to assume that your yields would have been similar in the same range as what you've been reporting?

George Muthoot: Yes, yes, correct. Yes. It would have been the same as what we were continuing in the last quarters. Yes, you are right.

Mona Khetan: Sure. Got it. And secondly, just touching on the final guidelines on gold loans. I understand they're far more relaxed versus the dark circular. But to take view as to what changes are you entertaining in terms of LTV once it comes into effect?

George Muthoot: So I think if you want to know my view on the new regulation, I feel it is quite gold loan business friendly. The new revised guidelines are quite gold loan business friendly. It's actually -- can you hear us?

Mona Khetan: Yes.

George Muthoot: It gives more flexibility and actually more product offering to the customer in the new regulation. And up to INR2.5 lakhs, the LTV has been revised from 75% to 85%. So any company who wants to give even up to 85%, there is flexibility. That is what I said, it gives more flexibility and we can give more products to the customer also. And for your information, 85% of customers are below INR2.5 lakhs.

Mona Khetan: Okay. So because this -- so just two follow-ups here. Will it lead to movement towards higher ticket sizes because in the large ticket sizes, there is not much LTV, especially it is given for the income generating purpose? So does it lead to increase in ticket sizes across lenders, given the guideline? And also, for this sub INR2.5 lakh segment, does the effective LTV, which you said, alluding to 55% earlier, does the effective LTV, including the interest component, does that come down to, say, 65% versus the 75% which we had the cap we had earlier pre-guideline or what we have today...

George Muthoot: I'm not sure what is this 55% and 65%, etcetera. Today the maximum LTV, which can be given is 75%. What I said is up to INR2.5 lakhs, there is flexibility to go up to 85% LTV. That's what I meant. And about the bigger ticket customers, yes, bigger ticket customers are there now also. And not that every will take the 75% or 85%. They'll take only what they want. Sometimes it may be 60%, sometimes, it may be 70%. Sometimes, it may be 75%.

Mona Khetan: And will it also lead to like increased product offerings like more of pure multi-products, given that it may not have the inclusion of interest component?

George Muthoot: So as I said earlier, it gives us flexibility, and we can offer more products. Anyway, this is all kicking in only by nex

t March.

Mona Khetan: Right, right. And just one last data-keeping question. What would be the share of the loans above INR5 lakhs, AUM mix above INR5 lakhs?

George Muthoot: So -- you mean the…

Mona Khetan: Yes, ticket size mix that you typically said, loan amount, AUM mix above INR5 lakhs ticket size?

Oommen Mammen: Loan amount above INR3 lakhs, I'm having. That is about 40%.

Mona Khetan: Okay. If you could -- during the call, if you could share at some point the above INR5 lakhs also, that will be very helpful.

Oommen Mammen: I don't have that information.

George Muthoot: That is not available here today.

Moderator: We take the next question from the line of Shreepal Doshi from Equirus.

Shreepal Doshi: My question was on ticket size. So incrementally, since the benefit of the newer regulation is for, let's say, less than INR2.5 lakhs ticket size, would we, as an organization, also focus more in the smaller ticket size versus earlier where we were active across all ticket sizes. Will that be a thought process?

George Muthoot: No, we have not thought about it because anyway we feel that we cater to all the type of customers, the small customer, the big customer, everybody, because through our branches, and through our -- what should I say, our legacy of operations, we have all these customers. So we have not talked about giving only to small customers or only to big customers, it cater to all and we have definitely have a mix of all these customers going forward. We haven't thought about that, sir.

Shreepal Doshi: Got it, sir. Sir, the second question was on the rate side. So I mean, since we are in a rate cut cycle already, will we pass on this benefit on the cost of fund side to the end customer? And also because as you also alluded that the competition has increased. So in all, are we looking to look at -- have some rate cuts going ahead?

George Muthoot: Yes. It is always -- we try to always maintain our spread and our yield -- spread and our yields. So our spread is about 9.5%. We try to maintain that always. And if going forward, our cost of fund is coming -- cost of borrowing is coming down, we certainly will pass it on to customers because we have been doing that all the way. So if there is a rate cut or cost of borrowing is coming down, we will pass it on to our customers.

Shreepal Doshi: Got it. Sir, one last question was on the NPA front, which has benefited us on the interest income side as well. So what really helped us to bring down this NPA by almost INR700 crores on a Q-on-

Q basis, like what efforts or what measures have we taken that led to such a sharp reduction?
George Muthoot: It is not that we engage people to go and collect our money, etcetera. It is people coming forward. They wanted their gold back, they came forward. We gave them time to clear the loan. So what -- what was our NPA was just because we had given these customers time to redeem their gold instead of auctioning it. So in quick time -- some time, they came back, they took back their gold. So because of that, they were able to save the gold. That is what we see in this. It is not that we don't need to do any recovery measures, etcetera.
Moderator: We take the next question from the line of Kushagra Goel from CLSA.

Kushagra Goel: Congratulations on a good set of numbers. Most of my questions are already answered. Just one question. So your opex was also better this quarter. So can you give us some guidance on this, how you are looking at it going forward?
Oommen Mammen: See, opex, yes, we are better because the AUM is going up. Per branch business is also going up. Per branch business, which is much lower earlier, today is more than INR25 crores. So as the per branch business goes up, proportionately a part of the opex also will come down. Of course, there is inflation and other things to consider. But if any compan

y wants to reduce the opex, they have to increase the per branch business. So if this time, the opex has come down, it is because we had an INR10,000 crores growth in the AUM.
Kushagra Goel: Right. Okay. So any particular guidance on this front or...?
George Muthoot: The opex here, it will be almost stable, almost stable. In absolute terms, it will go up only by the rate of inflation. It will only go up by the rate of inflation.
Moderator: We take the next question from the line of Mayank from Trust Mutual Fund.
Mayank: So you indicated that there were a good amount of repayments from the customers who are NPA or who are not able to repay. Can you give some color on the geographies where you are seeing the higher repayments, any specific customer segment, ticket sizes or industry?
Basically, I'm trying to understand is the rural segment is picking up, they are seeing -- you are seeing good opportunities in the rural industry -- sorry, rural customer is picking up or what is leading to the higher repayments?
George Muthoot: No, I don't think we have any debt on the -- it is a general feeling. We don't have granular data.
Oommen Mammen: So Mayank, we are too scattered across various geographies, and there is not much of a pattern which is emerging. In every geography, there is an NPA and you can't attribute any particular reason for that. And don't give too much importance for this NPA going up or NPA coming reduction. What you need to focus, I should have mentioned this in the earlier response.
See, though in gold loan business, you categorize loans as NPA and you reverse the interest accrual on those loans, you make an ECL provisions. The important thing is that later, it will come back. Interest -- the accrued income will come back and also the ECL provisions will get reversed. That is the importance you need to attach to NPAs in our gold loan book.
Moderator: We take the next question from the line of Kushan Parikh from Morgan Stanley.

Kushan Parikh: Just had a few data-keeping questions and a couple of queries as well. So just on the borrowing costs, we saw 11 basis points Q-o-Q benefit in 1Q. What would our incremental borrowing cost be now? And if you could also share the external benchmark linked rate borrowings? Just trying to understand how much benefit we can get on the borrowing cost in coming quarters.
And secondly, also on the ARC sale, we accrued about INR100 crores interest in 1Q. Is there more benefit in terms of interest accrual in coming quarters that we expect, if you could quantify that?
Lastly, just a few data keeping questions. If you could share the AUM by ticket size as you usually do on the call and also the auction numbers for 1Q? Yes. That's from my side.
Oommen Mammen: Okay. So borrowing cost, I think there's -- as you said, there's 11 bps decline. So most of our loans are linked to the MCLR. As and when the MCLR comes down of the banks, it will come down. And we are expecting that to happen in next 3 to 6 months. We don't have anything linked to EBLR. So far, we have not got that privilege. But on the NCD market, we have been able to bring down our rates. Recently, we have done 2.5 year at around 7.85% -- so borrowing cost is coming down.
George Muthoot: And as a practice, when the borrowing cost really comes down, we always maintain our spread of 9.5%. And if there is -- the borrowing cost is coming down considerably, we pass it on to our customers. The second part is about the ARC. This quarter, we have received about INR100 crores in the -- from the ARC. Probably another INR100 crores, INR150 crores is yet to receive in the coming quarters. So what -- the principal has been fully been realized. So another INR100 crores to INR150 crores may come in the coming quarters. Was there one more question?
Oommen Mammen: Ticket-wise above INR3 lakhs, as I said, it is 40%; between INR1 lakh to 3 lakh, it's 34%; and on le

ss than INR1 lakh, it is 26%.
Kushan Parikh: Understood, sir. Just the last question on the auction for the quarter.
Oommen Mammen: Auction is roughly around INR13 crores, INR14 crores.
George Muthoot: It's about INR13 crores only.
Moderator: We take the next question from the line of Harshit from Premji.
Harshit: Firstly, congratulations, sir for an exceptional set of numbers. Just one question, sir. On the NPA side, if you can help that the breakup between the gold loan and the non-gold loan piece within the stand-alone business. I think last year, you mentioned it was around INR300 crores was roughly the Stage 3 for the non-gold loan business. If you can help with that number? And second, sir, I think that piece is also growing at a pretty fast pace itself. It's now 5.7%. Any view on what is the mix you

want to keep on the non-gold loan piece over there and any asset quality trends you are seeing over there?
George Muthoot: Our non-gold loan business is about 13% to 14%. I think we would like to keep it 15% to 20% going forward also. But our first preference, first priority will be the gold loan. So we'll try to do the gold loan. If we take out the microfinance, our non-gold loan portfolio is only about 5%.
Harshit: Right. Got it. And sir, on that -- on the stand-alone book itself, the -- what would the Stage 3 in the non-gold loan book? You mentioned this number around INR300 crores last time.
George Muthoot: I don't have the numbers.
Oommen Mammen: I think on non-gold, I think the NPAs have come down by about INR30 crores. So that also has helped them reversing the ECL provision by about INR30 crores because in non-gold, we make 100% provision.
Harshit: Okay. Over there, we have also seen some recovery in this quarter. Understood.
Moderator: We take next question from the line of Abhijit from Motilal Oswal.
Abhijit: Sir, first one is a clarification. Earlier during the call, you suggested that INR100 crores recoveries from ARC and about INR300 crores interest income write-backs from NPA recoveries. And then later during the call, cumulatively, this could be INR300 crores, INR350 crores.
For the benefit of all of us, if you could just give us the exact numbers, how much was the interest income write-back from NPA recoveries instead of we all making our own assumptions, that would be very useful? So if you could just address that before I can start asking my other questions.
Oommen Mammen: Abhijit, no, we don't exactly track the collections from NPA. But roughly, if you collect INR700 crores, maybe 35% to 40% is the recovery on those loans. So that is why we have given around INR300 crores. ARC amount is exact amount, around INR100 crores.
Abhijit: Okay. This is helpful. Okay. Sir, next, I wanted to understand that if I look at the NPA recoveries almost INR600 crores, INR610 crores on a net basis, they have declined, while the gold loan auctions were just about INR13 crores, what you shared. So when we say recoveries, this is more in the nature of customers coming back and repaying us, right? In a quarter, almost INR600 crores worth of loans where customers have come back and repaid when they were NPAs. Is this understanding correct?
George Muthoot: You are correct. But again, just don't consider this NPA as a default customer, etcetera, as a wilful default or something like that. The customer who has not been able to pay during the loan period.

We just gave him more time so that he has given opportunity to take it back, and he used this opportunity. Let us not see more than that this is somebody whom we had to go and collect it or he is not -- because this gold is here. He will come and collect it, take back the gold from us. So that is why he has come. So it is not that we need to go and collect it, etcetera. We gave him some time, and he utilized that time to maybe take it back. That's it.
Abhi

jit: And sir lastly, in terms of 2 subparts to this question, one is while AUM growth was very strong, tonnage has not really gone up too much, maybe a 0.5% Q-o-Q growth in tonnage. Is it primarily because of the gold price increase that we saw during the first quarter, because your LTVs have also largely been in the same ballpark, not too much of increase in the LTV. That is one.
And other one is now in terms of Muthoot Money, you shared in your opening remarks, 997 branches. So will we be applying to the RBI for opening new branches because it is just 3 branches short of 1,000 branches where we need RBI approval? And secondly, sir, INR5,000 crores of AUM and Muthoot Money, is it all gold loans? Or do we have other products as well, the old products that we used to do in Muthoot Money earlier?
George Muthoot: We'll start with Muthoot Money, the last question. Muthoot Money, we had a vehicle portfolio of about INR600 crores. Now it has rundown, it's about INR150 crores, less than INR150 crores only. So if the INR5,000 crores is there, the balance is all gold loan. So about the branches, we just opened the branches. We are just waiting for the branches to maybe mature. And once it matures and we feel that we need more branches, we will go to the RBI. The other question was about the AUM growth...
Abhijit: AUM growth and tonnage.
George Muthoot: Tonnage, yes, yes. This is a very interesting subject. I think people need to realize something also on

this. See, our loans are actually only very short term, 3 months, 4 months, etcetera. A person who had given 100 grams of gold and taken maybe exact INR5 lakhs of money 3 months back. Next time when he or his friend comes for INR5 lakhs, he need not give [100 grams 0:32:45] because LTV has gone up. He needs to give only 90 grams. So the same -- I can't ask the customer to give me 100 grams because every day the LTV is going up. So he takes that -- because the new customers are coming, they come at a lower tonnage. That's the difference. You can't...
Oommen Mammen: They need to tender a lower amount of gold than what was 6 months back. So you can't expect tonnage at all points of time to increase. But you need to see what is the average LTV on the book. Even now the average LTV on the book is 63%.
George Muthoot: That's what we also say.

Oommen Mammen: Going by what you mentioned, it should always be at 75% because that is the maximum LTV, which itself shows that not every customer is going to take the full LTV. But new customers, because we are giving the 75% LTV, they will tender only a lower quantity of gold.
George Muthoot: That is why because if the gold price is going up, the LTV will definitely -- the tonnage will come down. If the gold price is coming down and people need the same amount of money, they will bring more gold or tonnage will go up.
Abhijit: Got it. Sir, this is well understood. This is well understood.
George Muthoot: Just one more point? All 3 answered.
Abhijit: No, all are being answered. Just a quick clarification on what you answered. So right now, we are doing gold loans from the stand-alone entity, which is Muthoot Finance and Muthoot Money. And going forward, there are plans to start gold loans in Belstar as well.
Oommen Mammen: We have already started.
George Muthoot: We have already started.
Oommen Mammen: How many branches we have for gold loan now? As of date, it is 15.
Abhijit: 15 and the plans to add 10 more.
Oommen Mammen: No, no, no. Last quarter 10. As of date 15.
George Muthoot: 50 more they're planning to add immediately.
Moderator: We take the next question from the line of Rajiv Mehta from Yes Securities.
Rajiv Mehta: Most of my questions are answered. But just 2 things. Sir, in the stand-alone company, the employee cost is moving in line with the AUM growth for the last 3 quarters. So can we expect some operating leverage? Or are most of the employee costs

are related to the value growth and hence, as a proportion of overall AUM, it's all moving in the same line?
George Muthoot: Employee cost, there is always an increment, etcetera, to employees, simply even bonus, incentives, etcetera. Of course, Muthoot pays handsome incentives to the staff also, but employee costs also definitely will go up because there is always a yearly increment, yearly bonus, yearly incentives. So I think it is moving in tandem only.

Rajiv Mehta: Yes. It was just an observation because last 3 quarters, it's been growing in line with the AUM and the AUM has grown really well. So the incentives of the schemes that we run for the employees, is it linked to value growth itself? Or is it more linked to the number of customers, volume numbers?
George Muthoot: I don't think -- we don't look into the granular reasons for the increase in employee costs, etcetera. We have to pay the employees reasonably well. Otherwise, they will run away. So we pay them well, they'll do a good job. That's what we try to do. We haven't looked at the correlation between the total AUM and the employee cost anyway. Now that you have said it, we look for it in the next quarters.
Rajiv Mehta: And sir, how should we look at this customer acquisition run rate? Because it's been pretty healthy, but last 3 quarters, it's been pretty steady only. And see, on one side, you are saying that competition is coming, but we are not very bothered by it. And on the other side, the gold loan demand is also increasing. So if the gold loan demand is increasing and if the competition is not impacting us, ideally, we should see this customer acquisition run rate, customer reactivation run rate go up to the next level. Do we see that happening?
George Muthoot: SO, I think that is what we tell our branch people also to have more customers. Anyway, we always tell them, we get some, but sometimes we are not able to get all the customers. Anyway, we are reasonably happy with the run rate and the growth rate, etcetera.
Rajiv Mehta: Yes. And just lastly, how do you expect the provisioning cycle to play out in Belstar and can you give some collection trends?
Oommen Mammen: Collections are improving. Actually, we have better collection. And I'm sure that by Q3, they would be able to come back to the -- maybe starting some profit. Collections are improving. Actually, especially the advances given from November '24 onwards, we have a very good collection percentage.
George Muthoot: External collection percentage under the new loans, which have come in the last 6 months.

Oommen Mammen: Almost 99.8%.
George Muthoot: 99.8%.
Moderator: We take the next question from the line of Rushabh Doshi from Nirmiti Investment Advisers LLP.
Rushabh Doshi: Congrats on a great set of numbers. So like since we are growing very fast, another effect is that we are consuming a lot of capital. So I see our CRAR close to around 22%. So when would we go for a fundraise because I believe it's been 10 years since we've done our last fundraise. And also like would you be preferring a rights issue or you would prefer a QIP or something like that?

Oommen Mammen: I think we are very comfort with the capital even with the growth plan, we'll be very comfortable even after declaring dividend.
Rushabh Doshi: Okay. And my second question was that like in the annual report, I noticed that we've been adding some debt mutual funds. So like was this kind of a one-off opportunity? Or we are going to build on that?
Oommen Mammen: What was that? Debt mutual fund?
Rushabh Doshi: In the annual report, we have around INR1,800 crores of debt mutual fund. So like was this kind of one-off investment because, I guess, there was a good yield opportunity at that time.
Oommen Mammen: Temporary parking of funds. Our core business is lending. So as and when we require the money, we will redee

m all those investments and utilize for lending it.
George Muthoot: It's only a temporary of excess fund, sir.
Moderator: We take the next question from the line of Abhijit from Motilal Oswal.
Abhijit: Thanks for the follow-up. So this just one data point I needed. What is the split of gold loans where the ticket size is less than INR50,000 and also earlier during the call, I remember MD sir saying that the AUM split, which is the number of customers where the ticket size is less than INR2.5 lakhs is 85%. So while you have already shared the split of gold loans basis the AUM by value, if you could also share some cut basis the number of customers based on the ticket size of gold loans?
Oommen Mammen: So based on number of customers, AUM -- number of customers -- 85% of the customers is below INR2.5 lakhs, and about 15% is about INR2.5 lakhs.
George Muthoot: You want to know 50,000? That is granular numbers. Today INR50,000 is not worth much. Give us a minute. Let's see if we have it.
Oommen Mammen: Loans less than INR50,000, it's probably about 11-odd percent.
George Muthoot: 11%.
Moderator: We take the next question from the line of Shreepal Doshi from Equirus.
Shreepal Doshi: Thank you for giving me one opportunity once again. The question was on this delinquent customers. So basically, I think closer to 65,000, 70,000 accounts would have repaid or would have turned -- basically repaid the interest component from being part of the NPA pool because INR700 crores has

been reversed, right? So just wanted to understand like once they have repaid the entire interest, are they further eligible for fresh loans as per our policy?
Oommen Mammen: They have not renewed. They've taken back the gold. They've closed the loan and taken back.
Shreepal Doshi: Sorry, I couldn't understand that portion.
George Muthoot: The customers who out of the NPA, it is not that they have paid the interest. We collected the interest collected the principal and returned back the gold to them.
Shreepal Doshi: Okay. So we've -- they've also collected the gold?
George Muthoot: Yes. We got the principal, interest they collected. We need to collect the gold, that they have taken back the gold, sir.
Moderator: Ladies and gentlemen, due to time constraints, we take that as the last question. I would like to hand the conference over to the management for closing comments.
George Muthoot: Thank you. Thank you. We value all the suggestions, comments, and questions from our valued investors. We, from Muthoot, we are happy that you all participated in this. And we, from our side, assure you that the company and the management will do all our best to see that the interest of all our stakeholders are protected, whether it is the investors, whether it is the banks who lend us money, whether our customers, whether our employees, and we will put in all our efforts to see better and better results in the next quarters. So thank you and wishing you all a good Independence Day. Thank you. Jai Hind.
Moderator: On behalf of Elara Securities India Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

Ref: SEC/MFL/SE/202 5/6369
November 18, 202 5

National Stock Exchange of India Ltd.
Exchange Plaza
Plot No. C/1, G Block , Bandra - Kurla
Complex , Bandra (E), Mumbai - 400 051
Symbol: MUTHOOTFIN Department of Corporate Services
BSE Limited
P.J. Tower, Dalal Street
Mumbai - 400 001
Scrip Code: 533398

NSE IFSC Limited (NSE IX)
Unit 1201, Brigade, International
Financial Center, 12th Floor, Building
No. 14 -A, GIFT SEZ Gandhinagar,
Gujarat 382 355

Dear Sir/Madam,

Sub: Transcript of the Analyst call on Una udited Financial Results (Consolidated and Standalone) for the quarter ended September 30, 202 5.

In continuation of our letter dated November 07, 202 5, and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the analyst call made on November 13 2025 , on the Unaudited Financial Results (Consolidated and Standalone) of the Company for the quarter ended September 30, 2025 , is available on the Company's website at https://www.muthootfinance.com/analyst -call

Transcript of Analyst Call was uploaded on the website at 05:00 PM on 18th of November 2025.

Thank You,
For Muthoot Finance Limited

Rajesh A
Company Secretary
ICSI Membership No. FCS 7106

"Muthoot Finance Limited Q2 FY'26 Earnings Conference Call "

November 13, 2025

MANAGEMENT : MR. GEORGE ALEXANDER MUTHOOT – MANAGING DIRECTOR
MR. ALEXANDER GEORGE – WHOLE -TIME DIRECTOR

MR. GEORGE ALEXANDER – WHOLE -TIME DIRECTOR
MR. GEORGE M. GEORGE – WHOLE -TIME DIRECTOR
MR. GEORGE MUTHOOT JACOB – WHOLE -TIME
DIRECTOR
MR. EAPEN ALEXANDER – EXECUTIVE DIRECTOR
MR. K. R. BIJIMON – EXECUTIVE DIRECTOR
MR. OOMMEN K. MAMMEN – CHIEF FINANCIAL
OFFICER
MODERATOR : MS. SHWETA DAPTARDAR – ELARA SECURITIES

Moderator : Ladies and gentlemen, good day and welcome to Muthoot Finance Q2 FY '26 Earnings Conference Call hosted by Elara Securities.

As a reminder, all participant line will be in listen only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Ms. Shweta Daptardar from Elara Securities. Thank you and over to you ma'am.

Shweta Daptardar: Thank you , Shifa. Good evening , everyone. On behalf of Elara Securities, we welcome you all to Q2 FY '26 Ea rnings Conference Call of Muthoot Finance Limited.

From the esteemed Management , we have with us today Mr. George Alexander Muthoot – Managing Director , Mr. Alexander George – Whole -Time Director , Mr. George Alexander – Whole -Time Director , Mr. George M. George – Whole -Time Director ; Mr. George Muthoot Jacob – Whole -Time Director. Mr. Eapen Alexander – Executive Director ; Mr. K. R. Bijimon – Executive Director ; Mr. Oom men K. Mammen – Chief Financial Officer.

We express our gratitude towards the Esteemed Management of Muthoot Finance to provide us the opportunity today to host this Conference Call .

Without further ado, I now hand over the call to Mr. George Alexander Muth oot – Managing Director for his opening remarks post which we can open the floor for Q&A. Thank you and over to you , sir.

George A. Muthoot: Good evening to all of you. This is George Alexander Muth oot – Managing Director. We have the members of the board also with me because today afternoon we had our board meeting for reviewing the Q2 performance of the Company.

And I am glad to say that Muthoot Finance consolidated loan assets under management group 42% year -on-year to Rs. 1,47,673 crores and as against Rs. 1,04,149 in the corresponding half - year of last year. During the half -year, consolidated loan assets under management grew by Rs. 25,000 crores, a growth of 21%. Consolidated profit after tax stood at Rs. 4,386 crores as against Rs. 2,517 crores last year, an increase of 74% year -on-year. Muth oot Finance, the portfolio in Muth oot Finance per se, the standalone profit of Muth oot Finance stood at Rs. 4,391 crores in the half -year as against Rs. 2,330 crores in the last half -year, an increase of 88%. The profit after tax for the Q2 financial year stood at Rs. 2,345 crores as against Rs. 1,251 crores in the Q2 of the last year, an increase of 87% year -on-year. Loan assets under management stood at Rs. 1,32,305 crores this half -year as compared to Rs. 90,197 in the preceding half -year of last year,

again registering a growth of 47% year -on-year. During Q2 financial year '26, Gold loan AUM increased by Rs. 11,723 crores registering a growth of 10%.

Now coming to the subsidiaries :

Muthoot Home Finance, the AUM stood at Rs. 3,247 crores, a total revenue for the half year stood at Rs. 222 crores as against Rs. 155 crores in the last year, a growth of 44%. Profit after tax stood at Rs. 10 crores. Stage 3 loan assets stood at 1.69% as of September 30, 2025.

Belstar Microfinance is a subsidiary again of Muthoot Finance where Muthoot Finance holds 66% stake. Loan AUM for the half -year stood at Rs. 7,717 and a total revenue stood at Rs. 840 crores. It incurred a loss of Rs. 160 crores during the half -year which is consistent with the adverse environment generally in the microfinance sector. However, the losses have narrowed down from Rs. 128 crores in Q1 to Rs. 32 crores in Q2. Stage 3 loans stood at Rs. 4.58 crores which is also consistent with industry peers. C onsequent to the RBI allowing microfinance companies to have 40%

non -microfinance loan portfolio, Belstar has opened 23 gold loan branches in the half -year to diversify the loan product portfolio.

Muth oot Insurance Brokers, an IRDA -registered company, has a revenue of Rs. 70 crores and it has achieved a profit after tax of Rs. 23 crores in the half -year. Asia Asset Finance is a listed subsidiary based in Sri Lanka where Muthoot Finance holds 72.9% of the stake , the loan portfolio stood at Sri Lankan Rs. 3,868 crores as against Rs. 2,600 crores in the last half -year, again an increase of 48% year -on-year. The total revenue also stood at Rs. 440 crores and an increase of 40% and the profit after tax of Sri Lankan Rs. 40 crores as against a profit of Rs. 30 crores last year.

Muthoot Money Limited, a wh olly owned subsidiary of Muthoot Finance, is an RBI -registered non-banking finance company. Today, it extends loan against vehicle finance as also loan against gold loans. The loan portfolio for the half -year stood at Rs. 6,393 as against Rs. 2,491 crores, an increase of 63%. The total revenue increased to Rs. 501 crores as against Rs. 146 crores in the half-year, an increase of 244% year -on-year. Again, it achieved a profit after tax of Rs. 106 crores in this half -year compared to Rs. 5 crores in the previous year. We are delighted to rep ort another strong quarter with standalone loan assets under management rising to Rs. 1,32,000 crores. The steady trajectory highlights the resilience of our business model and the continued trust of our customers. Standalone profit after tax increased Rs. 88% year -on-year to Rs. 4,391 crores for this half -year. In view of this performance, we are upgrading our financial year '26 gold loan growth guidance from 50% to 30 %-35%. Favourable regulatory changes in the RBI for gold loan sector, higher gold price a nd tighter norms for unsecured credit are expected to boost gold loan demand. We will continue to expand our non -gold loan portfolio also, including microfinance. This non -gold loan portfolio is about 12 %-15% of the consolidated loan board portfolio. The microfinance sector is showing renewed resilience following the implementation of regulatory guardrails and improved underwriting, auguring wealth for future performance.

We are accelerating our digital transformation to deliver faster, more seamless credit access for millions of customers worldwide.

With an enhanced branch network, a trusted brand and sustained investment in technology and innovation, Muthoot Finance is well positioned to deliver sustained growth throughout the financial year 2026 and beyond.

I think with this, I would like to conclude my short address. I would be delighted to give clarifications from any of the investors. Thank you.

Moderator: Thank you so much. We will now begin the question -and-answer session. We have a question from the line of Mr. Raghav from Ambit Capital. Please go ahead.

Raghav: Sir, Good evening and congrats on these results. I just have one question. I wanted some understanding on your yield. So it has moved up again in this quarter versus Q1. Last quarter, I remember you had some Rs. 350 crores to Rs. 400 crores of recovery benefit. What is that recovery benefit in this quarter that is leading to a yield expansion again quarter -on-quarter? Is it somewhere around Rs. 550 crores to Rs. 600 crores in this quarter? Is that estimate right? I just wanted some thoughts on this and then I have another question.

Oommen K. Mammen: So, Raghav, I think the reason why it has increased a bit is probably in the NPA bucket, there has been a liquidation of some old dues, especially in the light of increased gold price. So there we have been able to generate a better yield, which should be somewhere around Rs. 300 crores plus. So that should add to the additional yield interest income which has been generated. As you know,

on NPA accounts, we do not recognize the interest. So that has come in as an additional yield. Rest is probably because of the churn in the book.

Raghav: Okay. And you also, I think last quarter you had mentioned there was some Rs. 150 crores that you were to receive from the ARC sale. Has that come in in this quarter?

Oommen K. Mammen: The connections from remaining portion of A RC is, this quarter it is small, very small.

Raghav: Okay. Understood. So you are saying the entire yield expansion that has come, which is from 19.56 to 19.99, that is entirely because of this Rs. 300 crores. Is that understanding right? Because the mat h doesn't seem to be adding up.

Oommen K. Mammen: The math doesn't seem to add up only about Rs. 300 crores because I think last quarter when you had this Rs. 350 crores -Rs. 400 crores, adjusted for that, the core yield was somewhere around 18 %-18.5%. And hence the question that if this benefit is only restricted to Rs. 300 crores or is it more?

Raghav: So roughly around Rs. 300 crores. And the yield should be somewhere between 18.5 to 18.75, Somewhere around that range.

Oommen K. Mammen: Understood. Perfect. That was all from my side. Thanks for answering that. Thank you.

Moderator: Thank you. Next question is from Piran from CLSA. Please go ahead.
Piran: Hi, sir and team. Many congratulations on the strong quarter. Just going back to Raghav's question on the yiel d movement. So if I reduce 300 crores -350 crores from last quarter and this quarter's interest income, that interest income has still grown 14% versus loan growth of 10%. So are our fresh disbursement yields going up in the last few months?
Oommen K. Mammen: Interest income is going up because the portfolio also has gone up.
Piran: Portfolio is up 10%. Interest income is up 14%. If I adjust for the Rs. 300 crores.
George A. Muthoot: So the non -portfolio, so we have a bouquet of products for yield, etc. So high yield, low yield. It occasionally, it sometimes happens that in some quarters, the higher yield portfolio the offtake may be higher. That is simply that. Not that such a lot of retail loans. Some of it happens like that. So it only means that during the quarter or just before the last quarter, more high yielding loans would have been disbursed. That is it.
Piran: Okay. So we should not read too much into it. It sounds like that.
George A. Muthoot: Exactly. That is what I think. That is what Oommen was also trying to say.
Piran: Okay. Now I understand. Sir, also in your opening remarks, you mentioned about favourable regulatory tailwinds. I think you are referring to the LTV, you can give at a higher LTV for lower ticket loans. Have you started doing that for loans less than 2.5 lakhs?
George A. Muthoot: What I meant by regulatory tailwinds is mainly the clarifications, the what is the clarifications and what should I say, confusions being set at rest by the RBI. I think that is what I meant by the regulatory tailwinds. Of course, we have not started the n ew, what should I say, less than 2.5 lakh loans and 85% etc. We have not started, sir.
Piran: But we intend to start before April 1st? Or you will just wait for the market to do and then we follow?
George A. Muthoot: We will take some decisions. I think usually we do and others follow.
Piran: Okay. Fair enough. So just lastly, on cost of funds, how much more benefit can we expect to see over the next 2 -3 quarters?

Management : I think it has started. Cost of borrowing has started declining. I think last quarter it was 8. 88, this quarter I think it is 8.78. So I think it should come down. I think banks MCLR also started declining. So we should see that. I know domestic NCD market also, the rates have started falling. So I think we should see the, I think the pe

ak level of interest has already reached and I think it started declining. So we should get benefit in the coming quarters.
Piran: So like 30 -40 bps sounds reasonable? Like 8.78 becoming 8.0?
Oommen K. Mammen: Probably by the end of the year. Not end of the year, it is another 2 quarters, right? W e should see some decline. Maybe another 15 -20 basis point decline should happen from first quarter of next year.
Piran: Okay. So that answers my questions. I will get back in the queue and congrats once again.
Moderator: Thank you. Next question is from Maruk from N uvama. Please go ahead.
Maruk: Hello, congratulations. I have two questions. One is on yield. So do you have any plans to cut your yields given that competition is at very varying levels of yield? There are gold finance companies such as you which are at 18 %-20% and then there are SFBs and other NBFCs at around 15 and then banks are lending at lower. Maybe they are all different segments. But are there competitive pressures enough to suggest a yield drop or it will just take the, it will just track the interest rate cuts?
Oommen K. Mammen: So Maruk, see our lowest interest rate will be around 10%. Our highest rate will be around 21%. We keep tweaking with these schemes depending upon how the business scenario is. So that's why sometimes the rates go up, sometimes the rates come down. But we generally tr y to remain somewhere around 18.5 kind of a level because we try to cater to different segments depending upon how the market is. So to answer your questions, we have low rate products. We have not done any across the board re duction interest rates.
George A. Muthoot: And competition from all the banks and NBFCs which you mentioned, they are there for the last several years. So there is nothing new, nothing new. Banks are there, SFBs are there, NBFCs are there, nothing new. So we try to give the best for the customer and probably see that we grow our portfolio also side by side. If the rate is too high, etc, people may not come. If it is too low, our yield may come down. So we do a balance.
Maruk: Okay, sir. Thank you. Thanks a lot.
Moderator: Thank yo u. Next question is from Abhiji t from Motilal Oswal. Please go ahead.
Abhijit: Thank you for taking my question, sir. I mean, while you've already answered, right, that competitive intensity has remained for the last many years and despite that, they've done so well.

I'm just trying to understand, especially in southern India, where we kind of keep hearing that there are other NBFCs who've entered into gold loans and who've poached employees from Muthoot. So I'm just trying to understand, despite so many NBFCs now announcing their foray into gold loans and now starting to build teams in gold loans, it still is not really prompting you to rethink your strategy in any way, right?
George A. Muthoot: So, thank you. I think there is competition always. This is not the first time others are also planning to enter. There was again, I remember in 2011 -12, there was again a rush of all NBFCs and non -NBFCs also wanting to enter the gold loan sector. After some time, after a year or two, most of them lost interest. So at this point of time, there are people coming in. But focused players, people who are focused, we were also focused at that time. We are focused today also. We are focused on gold loans. I think there is always space for us and we did not take any knee - jerk reactions when such things, some people come. No need for any knee -jerk reactions. We are there. We have branches. We have our customers and those customers definitely value the service and the products which we give, I think. To answer your point, no need to take any knee - jerk reactions to some people saying that and people poaching from Muthoot always has been there. But anyway, people think that by poaching a few

managers or some senior managers from Muthoot , they can start a gold loan. But they will start. But afterwards, they will find that the operations, the challenges in the operations will catch up with them. We will wait and see. So one point, one word, there is no need to take any hasty or knee -jerk reactions. People will come and go. But we have been there, focused on this.
Abhijit: Got it, sir. And sir, there has been a related question again on the same thing, that even despite so many other large NBFCs entering to gold loans, no one is, at this point in time, introducing any teaser rate schemes just to entice customers. So given ho w years have been, what I'm trying to understand is the pricing discipline in gold loans is still very much there, right? Everyone is able to grow without really having to do too much on yields and pricing.
George A. Muthoot: I think you put the question, you answer ed it also. So I think I should agree with that only.
Abhijit: All right, sir. And then the last question again I had is, sir, I mean, while you explained that there were some one -offs in interest income in the first quarter, second quarter, right? And which is why maybe the yields are higher. But from a second half perspective, if you could help us understand what are the recoveries which are expected either from NPA resolutions or from the ARC transaction that we had in the first quarter called out that maybe another 100 crores -150 crores we are expecting. S o what are the recoveries which are expected, which will reflect in interest income in the second half? And then what are the blended steady -state yields which we should expect going forward?
George A. Muthoot: I think yield is what Oommen also mentioned, 18.5, that is the rate which we would plus or minus 0.5% is what we would be expecting, maybe 18 %-18.5%, that should be the steady state. Occasionally some of these comes because as Oommen said, when there is a churn in the NPA,

the gold loan NPAs with a lot of interest embedded in them gets replaced by a new NPA with much lesser interest. So all the interest which we had actually derecognized will become recognized. So when this churn happens, some of these things happen. So our NPA as of this quarter is I think little less than Rs. 3,000 crores and I think it is continued to be there that is because we give more time to the customers to take the loan. That is the NPA. Regarding the ARC, yes, some of it people have come and taken back their gold and now the gold price is also high. So probably more and more people may come and take back their gold. In fact, in the ARC also, all the customers who are able to take back the gold are very, very happy because we did not auction their go ld. So again, there are some little bit, a little ARC is left and we are definitely in the money. So we are not hard pressed to auction it quickly and when they come, they will be able to take it back. So answering the question, the yield should be in the 18-18.5 range going forward also. This of course, occasionally this churn in the NPA etc happens and some extra interest come in.
Abhijit: Got it. And Oommen sir, if you could just answer that question, what are the expected recoveries in the second half?
George A. Muthoot: Expected recoveries means what is, there is no particular customer whom we should, it is just such a lot of small loan portfolios. So it is just the people coming and taking back their gold. There is no one big customer or some big loans which has to be re covered. There is nothing like that in this. In the gold loan, it is all average 50,000 and 1 lakh loans. They come, they close and they go, that's all.
Abhijit: Got it, sir. This is useful and thank you so much for patiently answering all my questions and I wish you and your team the very best.
Moderator: Thank you. Next question is from Lo

ve Sharma from JP Morgan. Please go ahead.
Love Sharma: Hi, thank you management for taking the question. Three questions from me, if you can help me with that. So first one, I think on the ECB side, the dollar bond borrowings, of course, they have grown to quite decent portion of the overall funding, about 15% now. If you could just share some insight to where you think your target or any steady state number you have in mind as a percentage of your funding for the ECB borrowings. Second question would be around the new RBI guidelines. If you can sh are what has been the changes since they have been implemented in October. And I believe some of those measures would likely be implemented from April onwards. But just to get a sense of what you expect in terms of changes, in terms of growth, competitive scenario, or anything else which you could highlight. And just lastly, I th ink you made some announcement around this particular case about some retail investors having some complaints or some issues. If you could just share where that case is or what is t he, any quantifiable impact you could see there, if at all. That's it from me. Thank you.

Oommen K. Mammen: ECB borrowings is around 16%. Ideally, we should have a stable source of funding. If it is a stable source of funding, it should constitute around 25 %-30%. But on ECB borrowings, now we have focused only so far on bonds. There is also a larger ECB loan market, which probably we will be keen to look at it.
George A. Muthoot: Regulatory changes. Regulatory, actually, it's all clarifications. There's not much changes happening. And we have not started implementing the new regulations. It is coming, kicking in only from 1st of April next year. So, I think there is nothing now to be done on that. So, we have not made any changes. There is no big changes necessitated from this regulatory guidelines. The only thing is that the new loans, which we are permitted to do, loans up to Rs. 2,50,000 with 85% LTV, etc., tha t we will consider from next April. The board will have to take a decision or the credit department will have to take a decision on that.
Oommen K. Mammen: The last point, I think we have already filed an exchange filing, which is quite detailed. So, we don't have anything to add more than that.
Love Sharma: Is it possible to give any quantifiable amount, how much of the retail investors are, what kind of losses being incur red, etc.?
Oommen K. Mammen: Love, p lease go through that exchange filing. This has nothing to do with Muth oot Finance , no loss incurred by the investors.
Love Sharma: Okay. Thank you.
Moderator: Thank you. Next question is from Shreya from Nomura. Please go ahead.
Shreya: Yes. Thank you for the opportunity. Congratulations on a great set of numbers. I have two questions. I wanted to understand our average ticket size is now more than Rs. 1,17,000. I wanted to understand at what point or at what ticket size will this start plateauing, because obviously at the higher end, your competition from banks will become aggressive, maybe beyond Rs. 2 lakhs or Rs. 2.5 lakhs or Rs. 1.5 lakhs. If you can help us understand beyond what ticket size do you feel for your book you see far higher competition from the banks? My second question is on the number of customers. Obviously, there was a very strong growth in the number of customers in the slide that you've given of customers coming back with fresh collateral, etc. But in this quarter, that number seems to have plateaued a little bit or declined in certain segments. It seems a little counterintuitive because we thought that a lot of customers who are not getting MSME loans, not getting MFI loans would still be coming to you all. Has there been some slowdown in the number of people walking into your branches? Those are my two questions. Thank you.
George A. Muthoot: Re

garding the competition from banks, average ticket size, etc., there is space and room for everybody today. As you said in the last line, more and more people are now thinking of gold loan. More and more people are now comfortable to take a gold loan wit h their jewelry. So, we

don't see competition that somebody is taking away our customers or we are taking bank customers or banking. There is space for everybody. The total business is really growing. Today, the banks have a huge gold loan portfolio. They have a portfolio of about 30 trillion and the NBFCs have a portfolio of little less than 3 trillion. So, there is a lot of business being done by the banks. And people may go to banks, may come to NBFCs. My point is, it is not that somebody is taking our business and we are takin g somebody else's business. There is business for everybody.
Oommen K. Mammen: See, Shreya, the number we are showing, it is actually the incremental number of new customers. So, every quarter, if you are able to bring in 4 lakh plus new customers, that is a big thing. What you are thinking is probably the outstanding number of new c ustomers.
Shreya: Sorry, I lost that. So, understood. I get the part that it is an addition of new customers and every

quarter, it has bee n a wonderful journey.
Oommen K. Mammen: So, answering Shreya's question on number of customers , every quarter we are adding a new set of customers, which is around 4.2 lakhs. Sometimes, there could be small variations. Sometimes, it could be higher than previous quarter. But the important thing is that every quarter, we are adding a similar number of new customers and we are making fresh disbursement to those customers.
Shreya: Got it. So, that answers my question. Thank you and all the best.
Moderator: Thank you very much. Next question is from Sameer from Dymon Asia. Please go ahead.
Sameer: Thanks for the opportunity. So, just to kind of harp on this point of compet ition, while I agree that Muthoot has been there across cycle and probably one of the most long -standing players, I just wanted to pick your brains on the fact that this time, the new competition is AAA rated, especially from the NBFC side, large NBFCs who are AAA rated want to scale this product. Also, more invested in technology. So, how are we trying to stay at the forefront in the product as well as do you see any risk t o say pricing or yields? That's my question.
George A. Muthoot: So, I think I had answered a similar question earlier also. There are people coming AAA or AA or whatever A rating, etc. with deep pockets, maybe coming into the business. But then we have been focused on this business. We are focused on gold loan or branches are also focused on gold loan. And we have seen similar people coming in probably after some time losing interest also. But whatever it is, people come to a sector when they see a lot of growth potential. So, it definitely answers on e question, there is growth potential in the gold loan sector. Now, whether somebody is coming and taking away our business, that question, I don't think it has happened , it is happening. And till now, we have not seen anything like that. So, we will see, we will wait and see what is happening in the market and we can always make changes if necessary . But to me, if you ask me, I don't think we need to do anything, any knee -jerk reactions today.

Sameer: Sure, sir. Thank you and all the best .
Moderator: Thank you. Next question is from Harshit from Premji Invest. Please go ahead.
Harshit: Hi, sir. I had a few questions. First, I'll put it all together itself. One is on the LTV piece itself. So, this time, I think we have consciously or probably, because of the market factors, we have kept the LTVs much lower than what it was running till last quart

er. It's right now about around 57% versus 60 to 61% we had earlier. So, I wanted to get your th oughts that is it a conscious decision from our end, given the heated prices right now? And the second question was, sir, on the branches, that we saw a very good branch addition this quarter. If you can throw some light on the targets and what are the limits which we have unused at this point of time. And on the one last question is that when I look at the Stage 3 reduction, last quarter, it was Rs. 700 crore, this year, it was around Rs. 100 crore. Despite that, our interest income recovery this time seemed very strong. So, just wanted to double check that the Rs. 350 crore odd number which you said last quarter was regarding probably the Rs. 600 crore of stage 3 reduction. But this time that number was only Rs. 100 crore, yet the number was very strong. So, if you can give some color on where, how should we look at the yields?
George A. Muthoot: So, about the branches, yes, we have been opening branches regularly. We have, we again give a request to RBI for permission to open branches. As soon as that permission is received, we will keep on opening branches. We had about 100, 200 branches every year. And probably this year also, we will look at that number or a similar number of new branches this year also. Regarding the NPA, I think Oommen had clarified earlier in the first or second call that it is because of the churn in the o ld NPA accounts. So, the old NPA accounts which were really old and had lots of embedded interest which was derecognized earlier, when it became, when it was got renewed or closed, closed interest, a big chunk of that interest came. And the new NPAs which came did not have that much of accrued interest. So, that is the reason for that.
Oommen K. Mammen: And on the LTV, the 43% you see is the average LTV. So, our portfolio will have old loans which is because of the increase in the gold price. Currently, if you look at, it will be at a lower value. So, it is merely because of average LTV. Otherwise, we are lending at 75% of the gold price as per RBI norms .
Harshit: But you are saying that probably the older customers who we have let at, so, where obviously the LTVs are lower, they have not come and taken extra money on the same.
Oommen K. Mammen: Correct. So, whenever they need, they will come and take an additional money if they need it. If they need, they will come. If they do not need, they will not come.
Harshit: The reason I asked is that if I look at from 1Q to 2Q, the drop was actually a bit sharp. So, that 38 moving from 4 to 43 was actually a lot sharp.

Oommen K. Mammen: So, in the second quarter, ther e is an increase in gold price.
George A. Muthoot: The gold price increase is all , purely dependent on the gold price increase. When the gold price goes up, the LTV also comes down.
Harshit: Typically, by when, sir, in your experience, does the customer come and take relatively higher amount or take some of the gold back?
Oommen K. Mammen: See, if you look at daily disbursement, we give maximum 75% LTV. The average will be still somewhere around 70 %-71%. Not all customers will go for 75%. Now later, the same customers, when the gold price increases, their LTV will come down from 70 to say 65, 60, depending upon the increase in the gold price.
Harshit: No, sir, I understood that. But I am saying that behaviorally, what have you seen that that customer typically in 3 to 4 months again, we should see either the LTV moderation, the customer taking more money or taking some of the gold back?
Oommen K. Mammen: That depen ds on the need of the customer.
George A. Muthoot: I think there is one thing which people should really understand. It is not that somebody has pledged a gold and he will take all the maximum loan every time. He actually wants the gold back.

So, he will take only an amount which he feels he will be able to repay. If not one month, two months, three months. If he feels that he will not be able to repay that loan, he will not take it on the gold. Because if he really wanted the full money, he would have actually sold the gold and got all t he 100% instead of coming to a financier and taking only 75%. So, he is a person who needs temporary money and he feels that after one month, two months, three months, etc., he will be able to take it back. And he will take loans only up to the amount whic h he feels he will be able to repay. Otherwise, he will lose the gold. So, those are people how, somebody will not come just because the gold price has gone up. He will come if he really needs the money.
Harshit: Perfect. Thank you, sir. All the best.
Moderator: Thank you. Next question is from Rajiv Mehta from YES Security. You may go ahead.
Rajiv Mehta: Hi, good evening. Thank you for taking my question and congratulations on very strong profitability. Sir, my question is we are earning very strong RO A/ROE right now. So, where do we plan to reinvest for maintaining our customer base growth and our market share? So, if not cutting the yields, then would it be in advertisement and marketing or would it be in more employee incentives? Can you share some thoughts on your growth strategy going ahead to ensure that we keep on growing our customer base?
George A. Muthoot: You want us to spend all the money?

Rajiv Mehta: I think, sir, for maintaining growth at the customer level of 10 %-12% we would appreciate that if something has to be reinvested, it happens.
George A. Muthoot: So, I think we have given a higher guidance this time. So, we are expecting the business to grow maybe 30 %-35%. So, we need all the cash with us.
Rajiv Mehta: No, but that is a value growth. So, I am talking about more customer level growth of 8 %-10% being maintained despite more number of years during the industry.
Oommen K. Mammen: So, our major expenditures are on employees as well as on advertisement. So, that is where we are going to spend the amount.
Rajiv Mehta: Okay, because I have seen in this quarter that your A& P spend has actually increased in this quarter and your even employee cost has been growing well, which is a good thing. So, these are clearly the two areas where you will keep on reinvesting for growth.
George A. Muthoot: Yes, I think this is a bonus season. So, Onam bonus etc . payments come, incentives are paid. Of course, increments are also paid. I am not sure that may be one of the reasons. Of course, we are adding people also. The branch business is growing. We are adding some people also here and there. I do not know the exact numbers. This is general ballpark.
Oommen K. Mammen: You can see the numbers, expense numbers break up in the presentation.
Rajiv Mehta: I know. I have already seen. And on Belstar, I mean, the losses have come down. And now even the book has stopped regrowing. So, what is the outlook on growth and profitability in the next 3-4 quarters? How quickly can we come back to that 15 %-20% growth, 3 %-4% ROA. What is the assessment basis, the current loan stages, the current collection efficiency? How quickly can we come back to normalcy?
George A. Muthoot: So, I think probably next 2 quarters will also be quarters for consolidation. Probably, we may not see big growth there. But then consolidation and maybe making the portfolio better quality would be the focus for the next 2 quarters. Probably after that, after 2 or 3 quarters, we should see business growing also. But again, it will always be on a calibrated scale only. Not something which is, what should we say, very high -powered growth etc. may not be there. So, it will take 2 quarters for it to stabilize. Maybe this quarter, the loss has come down. Probably b

y next 2
quarters, we should see a zero loss etc. And then probably we will slowly see business also going up.
Rajiv Mehta: Okay. Thank you and best of luck, sir.
Moderator: Thank you very much. Next question is from Shr eepal Doshi from Equir us. Please go ahead.

Shreepal Doshi: Hi, sir. Congrats on a good set of numbers. My question was pertaining to the ARC transaction. So, what is the quantum left that can flow in the second half from the ARC transaction that we have done earlier?
Oommen K. Mammen: Another Rs. 90 crores is left. So, that should come. We are not very aggressive in terms of the recovery efforts.
George A. Muthoot: No, we are in the money. If you want to know we are definitely in the money and the principal and interest definitely will come. We can expect something more than Rs. 90 crores also, maybe Rs. 30 crores -Rs. 40 crores more also from that.
Shreepal Doshi: Okay. Got it. The second question was pertaining to the auction during the quarter and what would be the loan book split in terms of below Rs. 2.5 lakh to Rs. 5 lakh and above Rs. 5 lakh ticket size?
Oommen K. Mammen: Auctions is just Rs. 10 crores or something.
George A. Muthoot: Rs. 10 crores, very miniscule because the gold price is there. So, nobody would like to sell it for auction.
Oommen K. Mammen: It is just 5 crores.
George A. Muthoot: 5 crores.
Shreepal Doshi: And the loan book split in terms of the ticket size below 2.5 , 2.5 to 5 lakh and above 5 lakh?
Oommen K. Mammen: So, above 3 lakh is 44%. 1 lakh to 3 lakh is 33%.
Shreepal Doshi: Okay. So, the last question was pertaining to the NPA resolution that we saw during the quarter. So, just wanted to understand like at a blended level on this Rs. 3,000 crore of NPA pool that we have, what would be the overall interest outstanding? Is it fair to assume that it will be more than 30% sort of a number?
George A. Muthoot: Probably there .
Shreepal Doshi: Okay. I mean, sir, if you could give some, let's say, closer specific nu mber that will be very helpful.
Oommen K. Mammen: No, you can take approximately 30%, one and a half years. If it is more than one and a half years, it could be higher also.
Shreepal Doshi: Because one of the earlier participants said that the reduction was just Rs. 100 crores. But the benefit on the interest income has been pretty lumpy at Rs. 350 crores. So ?

Oommen K. Mammen: So, I think we are repeating again on this. So, when there is a churn, you recover the earlier NPA accounts, the new loans get matted. So, the thing is that because gold prices have been high, some of these customers might renew the loan, or maybe take out the NPA accounts to sell the gold. The newer accounts, because there is a churn, which is happening at a higher level, the interest dues will be lower. So, when you collect on the old loans, you get a higher income, but the new NPAs migh t be, the interest dues will be lower. It will be somewhere around 30% -35%. We don't have the exact number.
Shreepal Doshi: Right. Got it. Just the last question was pertaining to the business strategy. So, we have gold business being done under three companies now. What is the thought process going ahead? Will we continue with this structure or there could be some change there?
Oommen K. Mammen: We wil l continue with this structure.
Shreepal Doshi: Got it. Thank you for answering my question and good luck for the next one.
Moderator: Thank you. Next question is from Mona from Dolat Capital. Please go ahead.
Mona: Hi, good evening and congratulations on a good set of numbers. So, firstly, if I look at your stage three levels on the standalone book, which come down sharply over the last 2 to 3 quarters to about 2.25%, what would be the target if any for the end of year at your end on th

e NPA level,
given the kind of price we have and given that people are coming back to repay the NPAs?
George A. Muthoot: So, actually, we support our customers who ask for more time. So, when a customer comes and says he wants one month more, two months more, three months more, or four months more to take back the loan, we see, we look whether we are in the money, are we a l oser. If we are in the money, we don't mind giving him more time for that. That is how these things remain as an NPA. As and when they get the money, they'll take it back. So, no hard and fast rule that we should, but a very high NPA num ber in our books always has some doubts on people. Although it is fully secured, we will not lose any money. But nevertheless, people will ask so many

questions. Why is your NPA higher, etc. For a gold loan company, NPA is not an issue. It should not actually be an issue. We should not compare the NPA of a gold loan business to maybe the NPA of a personal loan or such other loans, where NPAs result in loan loss. No NPA till now has ever resulted in a loan loss or interest loss for any gold loan company, inc luding Muthoot. So, when we hold something as an NPA, it is only to see that the customer doesn't lose his gold through auction. It's only to support the customer. Otherwise, we don't need to keep an NPA. We don't need to keep it. So, we do it so that customers will not lose their gold because it is a precious ornament for them. That is the reason for the NPA. So, finally, we don't have a target for NPA. We only see whether we can maybe the gold within the money, we will retain it in our books.

Mona: But given the environment, is it fair to say that the NPA levels will continue to decline by 30 -40 bps like we have seen in the last two quarters?

George A. Muthoot: I think it's around 2% to 3% will remain in that level only.

Mona: Okay. A nd secondly, what would be our incremental cost of borrowing from banks as of today?

Oommen K. Mammen: I think most of the banks MCLR, 1 -year MCLR is around 8.65 to 8.75, 8.8. That will be the, because we are taking term loans, it's all linked with 1 -year MCLR.

Mona: Okay. And what percentage of your book is linked to MCLR? The borrowings are linked to MCLR?

Oommen K. Mammen: All borrowings are linked to MCLR. All bank borrowings are linked to MCLR.

Mona: Noted. And just finally, so under Belstar, you recently opened 23 branches in H1. Is that the total gold loan branch count you have under Belstar?

George A. Muthoot: As of September, it is that much . We are still opening more branches. The plan is to open about 150 branches by this year.

Mona: Sure. So, at this point of time, the gold loan AUM under Belstar is not m eaningful, is a fair assumption?

George A. Muthoot: Yes. Not meaningful. Correct.

Mon a: Sure. Noted. Thanks so much and all the best.

Moderator: Thank you. Next question is from Bunty Chawla from ASK . Please go ahead.

Bunty Chawla: Thank you, sir. Thank you for giving me the opportunity and congrats on a good set of numbers. Just one data point if you can share, sorry if I am repetitive. Can you share the auction number for this quarter as well as Q1 FY '26?

Oommen K. Mammen: This quarter it's 5 crore s.

George A. Muthoot: Q2 is Rs. 5 crores.

Oommen K. Mammen: Q1 is 13.

Moderator: Ladies and gentlemen, in the interest of time. That was the last question for today. I now the hand the conference over to management for closing comments.

George A. Muthoot: This is again George Alexander, Managing Director here. We had our head office team here. Many of the directors including our Executive Director Mr. K. R. B ijimon and the CFO Mr. Oommen . All the other directors are also here and we are happy about the results and we are also pleased that we had a go

od set of deliberations and I am sure we would have answered many of your clarified many of your questions etc. From our side, we will try ou r best to perform as well in the coming months and c oming years also so that we deliver best results to all our stakeholders, whether it is the investors, the bankers or our customers and our employees. So, on that note of good performance which we are sure for the next years, I would like to hang up. Thank you.

Moderator: On behalf of Elara Securities that concludes this conference call . Thank you for joining us. You may now disconnect your line.

Call: Feb 2026

Ref: SEC/MFL/SE/202 6/6490
February 1 8, 202 6

National Stock Exchange of India Ltd.
Exchange Plaza
Plot No. C/1, G Block , Bandra - Kurla
Complex , Bandra (E), Mumbai - 400 051
Symbol: MUTHOOTFIN Department of Corporate Services
BSE Limited
P.J. Tower, Dalal Street
Mumbai - 400 001
Scrip Code: 533398

NSE IFSC Limited (NSE IX)
Unit 1201, Brigade, International
Financial Center, 12th Floor, Building
No. 14 -A, GIFT SEZ Gandhinagar,
Gujarat 382 355

Dear Sir/Madam,

Sub: Transcript of the Analyst call on Una udited Financial Results (Consolidated and Standalone) for the quarter ended December 31, 202 5.

In continuation of our letter dated February 07, 2026 , and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the analyst call made on February 12, 2026 , on the Unaudited Financia l Results (Consolidated and Standalone) of the Company for the quarter ended December 31, 2025 , is avail able on the Company's website At
https://www.muthootfinance.com/analyst -call

Transcript of Analyst Call was uploaded on the website at 04:30 PM on 18th of February 2026 .

Thank You,
For Muthoot Finance Limited

Rajesh A
Company Secretary
ICSI Membership No. FCS 7106

"Muthoot Finance Limited
Q3 FY6 Earnings Conference Call "
February 12 , 202 6

MANAGEMENT : MR. GEORGE ALEXANDER MUTHOOT – MANAGING DIRECTOR – MUTHOOT FINANCE LIMITED
MR. ALEXANDER GEORGE – WHOLE -TIME DIRECTOR – MUTHOOT FINANCE LIMITED
MR. GEORGE M. ALEXANDER – WHOLE -TIME DIRECTOR – MUTHOOT FINANCE LIMITED
MR. GEORGE M. GEORGE – WHOLE -TIME DIRECTOR – MUTHOOT FINANCE LIMITED
MR. GEORGE M. JACOB – WHOLE TIME DIRECTOR – MUTHOOT FINANCE LIMITED
MR. EAPEN ALEXANDER – EXECUTIVE DIRECTOR – MUTHOOT FINANCE LIMITED
MR. K.R. BIJIMON – EXECUTIVE DIRECTOR – MUTHOOT

FINANCE LIMITED
MR. OOMMEN MAMMEN – CHIEF FINANCIAL OFFICER –
MUTHOOT FINANCE LIMITED

MODERATOR : MR. SANKET CHHEDA – DAM CAPITAL ADVISORS
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Muthoot Finance Q3 FY '26 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that this co nference is being recorded. I now hand the conference over to Mr. Sanket Chheda from DAM Capital Advisors Limited. Thank you, and over to you.

Sanket Chheda: Yes, very good evening to all of you. We have with us the entire management team of Muthoot Finance today to discuss their Q3 results. From management side, we have Mr. George Alexander Muthoot, who is the Managing Director; Mr. Alexander George, who is th e Whole -Time Director; Mr. George M. Alexander, who is the Whole -Time Director; Mr. George M. George, Whole -Time Director; George M. Jacob, Whole -Time Director; and Mr. Eapen Alexander, who's an Executive Director; K.R. Bijimon, Executive Di rector; and lastly, Mr. Oommen Mammen, who is the CFO of the company. Without further ado, I'll hand the call over to MD, sir for their opening remarks, and we'll follow that up with question and answers. Over to you, sir.

George Muthoot: Thank you. Good evening to all. This is George Alexander Muthoot, Managing Director. Along with me, I have the CFO, the COO and some of the other directors also because today, we just finished the Board meeting. That is why we have the luxury of having som e of the other Board members also present here.

So we just had the Board meeting. It was from our side, we felt that we feel that it was a good year for gold loan business. Our standalone AUM has achieved a historic growth of INR50,000 crores, which is fuel led by the robust 50% year -on-year growth in the gold loan portfolio. Our core gold loan portfolio has grown by 50%. But over the 9 -month period, the stand -alone gold loan increased by INR36,700 crores, setting a new record for gold loan of INR1,39,658 crores.

This performance aligns with the accelerated demand for gold loan, especially evident during the festive season. Consequently, our stand -alone profit after tax for the 9 months grew 91% to INR7,048 crores. We are seeing increasing customer acceptance of gold loans as a convenient, trusted, and secure credit solution for a diverse customer base .

See, the customer base is very diverse, including salaried individuals, self -employed professionals, small business owners and also the higher price of gold has further empowered our customers to unlock greater value for their existing assets. So this has been the good performance from Muthoot Finance for this year.

And overall, not only the gold loan business, the other business, other AUM has also definitely grown. The standalone results is what I said about Muthoot Finance. And the Muthoot Home loan

portfolio or the Home Loan business subsidiary, it's a 100% subsidiary. The AUM stands at INR3,380 crores in the 9 months, which shows a 24% growth year -on-year.

And the total revenue stood at INR339 crores, registering a growth of 38% and the profit after tax stood at INR19 crores in 9 months . The Stage 3 loan assets stood at 2.32% as of December '25.

Belstar Microfinance, registered microfinance NBFC as a subsidiary of Muthoot Finance, where Muthoot Finance holds 66.13% stake.

The loan AUM for the 9 months stood at INR7,911 crores. The total revenue stood at INR1,312 crores for the 9 months. The microfinance, it achieved a significant turnaround in Q3, posting a profit after tax of INR51 crores, particularly offsetting the loss incurred in H1 of INR160 crores. So the cumulative loss for the year has then reduced

to INR109 crores.

The Stage 3 loan assets stood at 4.93%, which has a provision coverage of 96.59%. The higher Stage 3 is also consistent with the industry peers consequent to RBI allowing microfinance companies to have 40% non -microfinance portfolio. Belstar has opened 39 gold loan branches in the 9 months to diversify the loan product portfolio.

Muthoot Insurance Brokers, registered insurance broker, has also done well. It's achieved a profit after tax of INR23 crores in the 9 months. Asia Asset Finance, the listed subsidiary based in Sri Lanka, where Muthoot Finance hold 72.9% stake, portfolio stood at LKR 4,224 crores, which would be approximately about INR950 crores to INR960 crores of Indian rupee. And the total revenue stood

at INR703 crores as against INR494 crores in the previous year, increase of 42%.
It achieved a profit after tax of LKR 68 crores in the 9 months ended as against profit of LKR 50 crores in the last year. Muthoot Money became a wholly owned subsidiary of Muthoot Finance in October 28, 2018. Muthoot Money is an RBI registered nonbanking finance company engaged in extending vehicle finance and gold loans.
The loan portfolio for 9 months stood at INR8,003 crores as against INR2,982 crores in the previous year, showing an increase of 168%. During the 9 months, the loan AUM increased by INR4,001 crores, showing an increase of 105%. Total revenue of the 9 months increased to INR862 crores as against INR268 crores in the previous 9 months. And it achieved a profit after tax of INR203 crores in the 9 months compared to a loss of INR2 crores in the corresponding previous 9 months.
So overall, we see good growth, good momentum for gold loan business. The gold loan business per se as well as the other small businesses are also doing well, but potentially, today, it is a time for the gold loan business. The gold loan business is going very well and Muthoot Finance with it almost 5,000 branches in Muthoot Finance as well as about 1,000 branches in Muthoot Money is well po ised to take advantage of the opportunities in the gold loan sector.

And with the blessings of the business, the regulators and the customers, we have been able to do well. Recently, last week, Reserve Bank of India has sent out a circular or rather draft regulations for Comments, where our long -standing request or request for permitting branch opening without getting prior permission from the Reserve Bank stands withdrawn.
So hopefully, these draft regulations will be made into proper regulations and the impact to Muthoot Finance and also to Muthoot Money, which has about 1,000 branches today would be that they would be able to open branches wherever we require. And that is certainly a very positive attitude, which is being shown by the Reserve Bank of India.
Of course, we feel that this will also help in growing the gold loan business all over India. And as well as we feel that this is one way or the best way for the government to put purchasing power in the hands of people and monetize the idle gold lying in the hands of people. So by permitting Muthoot Finance also to open branches, I think this is a very positive step , positive action for Muthoot Finance. And I'm sure we should be able to take advantage of that also. So with that, with the positive signs of the government and regulator looking at gold loan, we see good prospects going forward also. So with that, I would like to end the initial remarks and throw open the floor for clarifications and questions from the i nvestors. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. o ur first ques tion comes from the line of Maruk Adajania from Nuvama.
Maruk Adajania: Congratulations. Sir, my first question is that our yields have been continuously rising, right, for the last four quarters. And so is it that the new customers who are

coming in or the new loans that are
being sanctioned are being sanctioned at higher rates? And if you could call out separately the interest on the recovery interest in the quarter, like last time you had said it was around INR300 crores. So what was it this quarter? That's my first question ?
George Muthoot: Okay. Thank you for the appreciation. Yes, we have been growing in the last 4 quarters. The loan -to-value has been fixed by the regulator at 75%, not that everybody takes the whole 75% of the permitted loans. Today, if you look at today's price, the loans outstanding is only 57% of the total book is what is outstanding.
So whatever is the permitted LTV, we do not do anything more than the 75%, but average LTV today on the outstanding portfolio at today's price is only 57%. About the interest, yes, there have been churn in the NPA portfolio , the legacy NPA of about INR 950 crores has been closed by the customers.
And the new NPA, which has fallen is about INR 342 crores. So the net NPA reduction is about INR556 crores. The interest which we earned on the legacy NPA minus the interest on the derecognized NPA, it comes to about INR 500 crores, which is the old NPA we have received. And

also, we had some auctions during the quarter, and we realized about INR120 crores through auctions also. ARC also contributed to about INR24 crores of interest. So that is why there is a bump in the interest.
Maruk Adajania: Okay. So around INR 624 crores, like INR500 crores from recovery and then INR24 crores from ARC and INR100 crores more, like that, right?
George Muthoot: Yes.
Oommen Mammen: Probably some interest rates here and there, we have done. So that's also.
George Muthoot: Some interest rates tweaking also sometimes happens, yes.
Maruk Adajania: Okay. Got it. Okay. And sir, your new customers or your existing customers who've taken fresh loans with new collateral has grown, but your new customers haven't grown, right, this quarter. As in last

quarter, it was around 0.42 million and now it's around 0.4 million. So it will stabilize at this level, is it o r new branch openings will help improve the new customers coming in? How do we see it in the next few quarters?
Oommen Mammen: So no, we have 400,000 customers, new customers coming.
George Muthoot: Probably it is not that it is stabilized there. It is seasonal also. Sometimes more people come. If as you said, new branches mean some more new customers, but there is a steady flow of new customers.
Maruk Adajania: Okay. And sir, how much was the auction during the quarter?
George Muthoot: That's what I said auction interest is about INR120 crores.
Moderator: Our next question comes from the line of Shreepal Doshi from Equirus Capital.
Shreepal Doshi: Congrats on a good set of numbers. My question was on interest income front. So incrementally, do we expect some more such one -offs coming in from the net recoveries from NPA because it's been going on for the last, at least, let's say, 3 quarters now. So incrementally, like how do you see this trend emerging?
Oommen Mammen: So when there is an increase in the NPA, certainly, there is an interest derecognition happens. And those loans remain for some time in our books, interest accrues. And when it is collected, the entire amount is getting recognized. So that is a regular pro cess because there is no significant decrease in the old NPA accounts, there's a jump. This is not a regular affair. But whenever it happens, there will be an additional income recognition which happens.
Shreepal Doshi: Right. Okay. So I mean, the such clarity will not emerge for how things can evolve in future ?

Oommen Mammen: So as I said, when around INR900 crores of NPAs got recovered, another INR300 crores fresh NPAs got booked in that bucket. So that loan account, if it remains fo

r some time, later on when it is recovered, it gets recognized as interest income. So that's why this happens. It is a regular phenomenon, but it all depends on how long these accounts remain in the NPA bucket, especially when there is a decrease in the net NPA figure, it is bound to happen.
Shreepal Doshi: Got it. And sir, second question was on the pricing front. So incrementally, let's say, last 1 quarter, while we have seen such cycles in the past as well where the competition has increased, when the gold prices have been volatile. But have we tweaked our pricing strategy in the last, let's say, 2, 3 months' time period?
George Muthoot: There is nothing like a pricing strategy. We try to maintain our net interest margins. So if the cost of funding is low, our yield also would be lower. But we try to maintain our net interest margins and spread.
Shreepal Doshi: Got it. But so we would have passed on at least the cost of fund benefit because even during the quarter, the cost of fund has actually gone up. So what explains that?
George Muthoot: The borrowing cost, if it goes up, it's a function of the banks or the lenders increasing their rates. So we just pass on some of that to the customers.
Shreepal Doshi: Sir, as in I mean, the rate environment is declining . So why is our cost of funds?
Oommen Mammen: So Shreepal, see, in case of banks, we are not seeing much of a decrease in their MCLR and especially whereas in the bonds, we have seen a decrease and especially the last couple of months, there has been interest rates have been volatile. It has been going up and down. So that creates a cost environment for in terms of interest spot. And especially it is because the banks have not significantly reduced their MCLRs.
Shreepal Doshi: So sir, we've not seen any great benefit coming in, in our cost of fund as such from the bank borrowing that we have ?
George Muthoot: It will take some time, 1 quarter, 2 quarters, probably after some time, the MCLR will come down. Today, they have not really reduced the MCLR.
Oommen Mammen: It is not like 50 basis. I don't think we have seen a 50 basis points reduction in the MCLRs of banks, most of the banks.
Shreepal Doshi: Okay. And sir, the last question was on the branch expansion. Since the RBI has changed that policy. So now from our end, how do we see the strategy changing? Because we were doing business from our subsidiaries as well on the gold finance side. Now incrementally, would we sort of focu s on stand -alone entity itself o r would we continue with the strategy of doing gold from all of our subsidiaries as well?

George Muthoot: No, no. This is only Muthoot Money, which is doing the gold loan business. So probably they will also be doing. Muthoot Finance usually ask for permission. Today the benefit we see from this is that we don't need to go and ask permission. We can open the b ranch and probably inform them that the branch is open. That's a big convenience factor. Not that just because it is open, we are going to open 10,000 branches. No, nothing like that.
We have to open branches, calibrated growth that we will continue. The advantage is the 2 things.
One, we don't need to go after Reserve Bank to offer a permission. The most important thing is the

comfort or the message which we see from the regulator is t hat they are supportive of the gold loan business. That is the message. That's a positive we see in this.

Moderator: Our next question comes from the line of Piran Engineer from CLSA.

Piran Engineer: Many congratulations on the quarter. Just before my questions, I want to go back to the previous participant's question on branch openings. So we take it that branch openings will be business as usual. It wi ll not be accelerated next year?

George Muthoot: Yes, it can be accelerated if we need to, but it will again depend on the business environment

and

whether we need to open branches. Not that, as I said, not going to open 1,000, 2,000 branches tomorrow. It's not that easy to open.

Piran Engineer: Okay. Understood. That is clear. Sir, secondly, just wanted to understand the opex growth trajectory because while I understand AUM growth has picked up, our opex growth, if I check 2 years back, it was 13%, 14%. Last year, it was 20%. Now we are running at 25% growth. Now given that most of our costs are fixed costs, why is our opex growing so fast?

George Muthoot: I don't know the exact number of growths . Salaries are going up, rents are going up. All costs are going up. Inflation is there. So we are not insulated from all these things.

Piran Engineer: Yes, sir, but like 10%, 12%, right? Not 25%?

George Muthoot: I don't know this number where you see. I'll have to check that number first.

Piran Engineer: How should we think about this? If your gold loan growth next year is 15%, which is your steady■state guidance, how should we think about opex growth in such an environment?

George Muthoot: I didn't give this number probably.

Oommen Mammen: Piran, we can always discuss this. But if you look at employee expenses, there is a regular increase which happens. And especially when there is a larger business growth, certainly, the variable part keeps on growing. So probably that is one aspect. Rent a lso, generally, there is an increase every year.

And one item where we spent more is on the advertisements, that's being a large volume business, our advertising budget has been keep on increasing. And of course, we take some outside help in terms of consultants . So that also plays another reason why there is an increase in opex . So primarily, it is because of the employee benefits and the advertisements. And of course, the business promotion expenses.

Piran Engineer: Okay. And Oommen, sir, just a couple of more number questions for you. So now cost of funds, we should not expect further reduction. It has stabilized here ?

Oommen Mammen: That is not the impression I wanted to give. It all depends on how the rate environment moves in the country. One side, RBI has been keep on reducing the benchmark rates, the banks have not been able to pass on that.

George Muthoot: Banks are not passing on freely the MCLR. So they are giving lesser loans to maybe home loans and other individuals. But when it comes to borrowers like us, they are not really passing on that benefit. That's a sum and substance of it.

Oommen Mammen: It's probably already there in the public domain how far banks have reduced their MCLRs in spite of the reduction. So that is one reason why we are not seeing it because almost 50% plus of the funding comes fro m the bank.

Piran Engineer: Maybe I didn't explain my question well, but MCLR also happens with a lag, right, like 6 months, 1 year. So if a bank cuts their MCLR, let's say, in October last year, it might come up April this year, like that. So we will get that benefit only in April. So my question was that there will be some mismatch in terms timing. Should we see still see some further downside in cost of fund?

Oommen Mammen: So that is true. You look at how far that reduction has happened in terms of all the banks. Has any bank reduced by 50 basis points, I don't think so.

Piran Engineer: Understood. Okay. Okay. And sir, lastly, just INR500 crores of interest recovery on INR900 crores of NPA recovery. So that is more than 50%, which means these NPAs were on the books as NPAs for more than 2 years. Is my understanding correct?

George Muthoot: We give a lot of time to the customers, sir. When the customers request, we give them time. That is one of the reasons we get more business also. We don't just aggressively auction the gold.

Oommen Mammen: See, March '25, our NPA was INR3,700 crores. Right now, it is INR2,300 crores. So that much of NPA

was there at the beginning of the year. So definitely, 9 months has accrued this year. And probably the earlier accruals also now we have received.

Moderator: Our next question comes from the line of Prithviraj Patil from Investec.

Prithviraj Patil: The first question was on the yields. I just wanted to know why the yields have increased Y -o-Y? What was the recovery number this quarter? And the second question was on the competition. So we

have seen some tonnage decrease Q -o-Q and the active customers have also reduced. So I just wanted to know how the competition is panning out?
George Muthoot: Competition is there for everybody. Banks have big competition. Banks have a very big portfolio. Banks have about INR13 lakh crores of portfolio. NBFC has about INR3 lakh crores of portfolio. So everybody's portfolio is increasing. Competition is increasing, we are also growing. We grew by 50%, I think that is decent enough.
Prithviraj Patil: Yes. Sorry. And the second question was the recovery amount ?
Oommen Mammen: We just explained it, but there has been a recovery of the old NPA accounts, which has translated to an additional interest of around INR667 crores. And there's a fresh NPA of around INR110 crores. Then there is an auction income of around INR100 crores, then there is a recovery from the ARC sale of around INR25 crores. So all these have added on top of the regular interest collections and a little bit of interest increase also on the regular loans also has happened. So that is the reason why there is a jump in the yield. Otherwise, I think you should see around 18.5% to 19% as the regular yield.
Moderator: Our next question comes from the line of Vasudha Khurana from Av aiva Life Insurance.
Vasudha Khurana: My question is that gold has seen a bull run in the past few months, and now it is sort of stabilizing. How do you see that impacting the AUM growth going forward? Is there any guidance on that?
George Muthoot: Our AUM growth is not based on the price of gold. AUM growth is based on the demand for gold. So as I was saying in the beginning itself, our AUM or the loan -to-value today, at today's price is only 57%. That means although we can lend up to 75%, people ha ve not borrowed 75%. So it's only 57% is the today's total value.
So that also shows that just because the price is increasing, people don't take money. But it also is a factor because when price increases, people generally feel that their collateral, the gold with them is quite valuable and probably some of them may thi nk of monetizing it by taking a gold loan, .
So price increase is there. But of course, price is volatile. It has gone up very high in the last 1 year. And sometimes we feel that it is stabilizing, then probably it may not stabilize. So we'll wait and see. But having said that, it's not just price ri se, it is the demand. We feel that the demand is coming because unsecured loans are not easy to get. And even the microfinance sector has degrown. People need money, and they are increasingly starting to use gold collateral to get money. I think that is the reason for this.

Vasudha Khurana: Sir, what I actually meant was that the tonnage that Muthoot Finance holds and that being part of assets. So how wo uld that get impacted with the tonnage?
George Muthoot: I think I'll answer this question by saying that the gold loan remains only for about 3 to 4 months. So 3 months back, somebody has to pledge 4 bangles to get INR1 lakh. Today, he has to bring only three bangles. So I cannot ask him to bring all the 4 bangles, which he gave 3 months back. So we have to do it with this three bangles only.
So definitely, for the same or the similar loan amount, he needs to provide any new loans, they need to provide only really le sser quantity. So when the old four bangles get released

an d the same loan
gets priced at three bangles, the weight actually has to come down. So it is a function of the gold price also. The gold price goes up very high, the tonnage has to come down.
Oommen Mammen: See, every day, we are doing fresh loans of around 50,000 to 60,000 numbers. A similar number also comes back as repayments as assumption. So there is a regular churn which happens.
Vasudha Khurana: The cycle is short?
Oommen Mammen: Yes. So we cannot expect the n ew customers to bring the same four bangles.
Moderator: Our next question comes from the line of Sanjay from A cme Private Limited.
Sanjay: Sir, compliments to you for delivering excellent results. Sir, I have a few questions. Are you giving are we revisiting guidance as you indicated in one of the media interviews sometime back, I think last month, sir, you indicated that probably you will revisit the guidance when you hold a Q3 con call or som ething? So that is one question?
Secondly, Sir, we are emerging as one of the top 50 most profitable companies in India with a INR10,000 crore s profit annually, we'll be in the top 50. So we request you to hold quarterly Board meetings earlier like Reliance, TCS, they hold normally in the first month itself rather than holding it in the second end of the season when it ends. So I request you ?
Third question is we request you to appoint a big 4 auditor because that will help in creating more wealth for the investors because it gives a lot of foreigners . Not that we do not like the current auditor, they are also very good. Last question is what are we doing to reward investors, bonus issue, increasing payout, stock split because your 3% equity i s held by only retail investor?
73% by the pro moters and 23% by institutions. So only 3% is held by investors, retail investors. So it's another way to reward investors by splitting the stock or by increasing the value of number of shares by increasing the number of quantity of shares by stock split. So we request the stock split also. So these are the questions?
George Muthoot: So Board meetings, I think we'll have to request the Board members to come early.

Sanjay: Yes, please go ahead.
George Muthoot: So Board meetings, we will request them next time to do it earlier also. Splitting shares and bonus shares is something again, which we will, since you said, we will take it up in the next meeting and ask the Board their opinion on that. And your next question is about the guidance. You said we have already grown by 36%. So you said we had to give a guidance. I thought I will give the guidance tomorrow at the TV interview.
Sanjay: Okay. But sir, you can give it to investors also here ?
Oommen Mammen: So first of all, let me tell you, we have not given a guidance of INR10,000 crores. That is the number which you have quoted.
Sanjay: No, it’s not that INR 10,000 crores of profit will occur. I’m not saying you should give profit guidance. Our MD went on CNBC, and when asked a question, he said that we would probably revisit the loan■growth guidance when we hold our next Board meeting fo r the quarterly results. That is my question. My question is not about profit guidance. I’m not asking about profit. Based on the quarterly results, we will do our analysis. I’m simply asking a straightforward question —regarding the loan■growth guidance, s pecifically the gold■loan guidance. Yes?”
Oommen Mammen: Yes. No, we were just clarifying. We are not , we don't give a guidance on the profit, just to clarify for everybody's interest.
Sanjay: No, sir. I'm not asking the question on the profit gui dance. You are misunderstanding?
George Muthoot: Not for you. Not for you. Oommen is saying for everybody, all the listeners.
Sanjay: Okay .
George Muthoot: I think we have grown by 36%. We should grow a little more. I will be able to give some number tomorrow, sir.

Moderator: Our next quest ion comes from the line of Sanskaar from Iraya Capital .
Sanskaar : Yes, sir, just a follow -up on the question of a previous participant. So given the gold price volatility that we are seeing recently, so how should we think about both AUM as well as earnings and margin growth in a scenario like, let's say, gold prices dec lined significantly given the higher volatility. Just the overall outlook, I wanted to understand?
George Muthoot: I think it's a hypothetical question whether what will happen. But from our experience, again, I'm repeating, gold price is not the factor for gold loan growth. Gold loan growth depends on the requirement of the customer. Gold is there with everybody and p eople come with the gold if they

need money. So if the people feel that gold loan is easier, better than other types of loans, we will get them.
So today, the environment is good for a collateralized loan because unsecured loans are difficult, unsecured personal loans, unsecured business loans and maybe even microfinance loans are difficult. That is why we see a big good demand for gold loan growth. So but probably there will be some people who may think that the price is falling, the gold loan business may not grow, but I don't agree to that. I don't agree to that.
Moderator: Our next question comes from the line of Jacob T from Jacob & Associates.
Jacob T: Congratulations to Mr. George Muthoot and the entire management team for coming out with fantastic results. I just wanted to ask a question, especially regarding the growth this year, but since Mr. George has already told that you want to give it out in a TV interview tomorrow , but at least subsequent to the December month, that is in the Jan, Feb month, are we seeing similar kind of growth?
George Muthoot: Yes, I think we are not supposed to answer that directly. But anyway, business is as good as earlier.
Jacob T: Okay. All right. I have another question that’s we recently, we have seen very volatile prices for gold, gold bullion. So what kind of safeguards do we have in our system. Because if there is a fall of 15%, 20%, do we have some safeguards?
George Muthoot: Yes. I think I answered this question a little earlier also. Today, our average loan -to-value is only 57% or lesser than 57%. So we have such a big margin that, that is one side of the price. But again, most importantly, we finance only gold ornaments on w hich there is a making charge, which is again a 15%, 20%. So the replacement cost for a customer is not 100%, it is 115 to 120. So we have sufficient margin.
Finally, because it's an ornament, it has a sentimental value also. So just because the price falls, people just don't abandon the gold. So we have seen this happen in the last several years. There have been fluctuations in the price just because price has fallen or price has fluctuated, nobody abandons the gold. So in the last 10 years, 15 years after listing also, we have never had such instances. So I think we are definitely insulated from that.
Moderator: Our next question is a follow -up from Shreepal Doshi from Equirus.
Shreepal Doshi: My first question was on what is the accrued interest rating right now?

Oommen Mammen: It will be around INR800 crores plus.

Shreepal Doshi: Got it. And sir, with respect to the incremental disbursements, what is the LTV that we are sort of seeing in the last, let's say, couple of months or, let's say, last quarter? What is the incremental LTV that we are able to do for the fresh disbursements?
Oommen Mammen: See, we are allowed to give 75 percentage. And sometimes because of the gold price, we cannot entirely give the entire 75 percentage. So whatever is the limit which we have fixed, some customers take the full amount, some customers take a lower amount depe nding upon the sc

heme he chooses.
Shreepal Doshi: Okay. But like at an average level, what would it be like because since you would be looking at it from the macro point of view. So from that point of view, have you seen?
Oommen Mammen: So generally, on a stable gold price scenari o, I'm not talking about last one or two quarters. The normal disbursement LTV. We in the past, we have seen though we give 75 percentage, average tends to be around 71, 72 percentage.
Shreepal Doshi: And last quarter, it would have been like?
Oommen Mammen: So last quarter, I'll not be able to comment because we have restricted though we were eligible to give 75%, we have restricted because of the volatility in the gold price.
Shreepal Doshi: So it would have been lower than at least the broader avera ge of 70% to 75% sorry?
Oommen Mammen: That is also one of the reasons why the tonnage tends to come down because when you give at a higher price, the gold people tend will be lower.
Shreepal Doshi: Right. And the last question was on the growth front. So while sir highlighted that the growth has come in from the credit demand, which has increased at the customer level and not purely linked to the gold price really. So I just wanted to understand that this r eason could have also been a function of MFI segment seeing dry out of business momentum or, let's say, disbursements were shrinking there as well. However, with that segment bouncing back, do you see that, that can impact our sort of lenders who are into gold finance incrementally since that vertical is now available at the customer's level?
George Muthoot: So what I said is microfinance is one factor. The overall unsecured lending is also very difficult today, not that people are not getting it, very difficult, especially to non -salaried people, unsecured loans. And also the business loans are also very difficult. That is why you would have seen yesterday's newspaper, which says that RBI has said for business loans, you can even take gold as a collateral. That goes to show that pe ople are not getting unsecured business loans also easily. So th ird factor is microfinance is bounced back. I haven't seen any big bounce back till now. Some small growth only I have see n. Nothing big bounce has come, t hat is my feeling.
Shreepal Doshi: So if it comes, that can have some rub off effect on our growth momentum?

Oommen Mammen: If you look at our growth in the last 1 decade, that's a period when microfinance sector has also boomed. In spite of that, we have grown. So probably you can extrapolate from that.
Shreepal Doshi: Fair, fair. And just the last question was on the customers taking Agri -PSL loans from PSU Bank. So have you seen any increase, let's say, in th at from customers moving away from us and taking the Agri-PSL loans from PSU Bank. Have you seen such leakages happening from our end?
George Muthoot: It's not some leakage because we are also growing. You saw we grow by 36% in the last 9 months. So our business is also growing. In the last 1 year, we grew by 50%. So business is growing. And people don't tell us that they're going to take a gold from us and take an agricultural gold loan from a PSU Bank. They don't confide that to us. Anyway, all these things happen, such a big market. Today, the banks with all the agriculture and non -agricultural loans hold about INR13 lakh crores of portfolio. It's a huge number.
NBFCs, gold loan NBFCs hold only about INR3 lakh crores. So they are still big there and people continue to take gold loans, they will continue to take agri loans from the PSU banks. So it's always there. In spite of that, everybody is growing. They are growing, we are growing.
Shreepal Doshi: Right. Sir, that question was coming like I was coming from, let's say, the pricing point of view as well because there, the pricing is much lower at 8%, 9% sorry, 8% to 10% sort of ra

nge. So yes ?
George Muthoot: So it is nothing new. This has been happening for the last 10 –15 years. Banks have always been giving agricultural loans, PSL loans, and so on. It has always existed. People who come to us do so for other reasons as well , they are our customers. They come to us for convenience and other benefits, and they will continue to come .
Moderator: Our next question comes from the line of Vedan t Sarda from Nirmal Bang Securities Private Limited.
Vedant Sarda: Am I audible?
Oommen Mammen: Yes.
Vedant Sarda: Congratulations on a great set of numbers, sir. What I want to understand is RBI has allowed lending

on silver, I think so from April 1, 2026. So how do we look at it and how it can drive our growth?
George Muthoot: So you mean to say we are planning to give loan against silver. We have not considered it such yet.
Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to management for closing comments.
George Muthoot: Thank you. Good evening from my side. It was quite an interesting interactions with the investors. We are thankful to the investors for participating in the con call and also guiding us, helping us and also probably getting their doubts, et cetera clarifie d. Thank you for your support. I think I thank all

the others who have participated also. And from our side, from Muthoot Finance from the management, we will see and ensure that the interest of the investors, investors, all stakeholders with the borrowers, lenders, et cetera, are protected, and we will do a good job of growing the company both in quality and quantity. Thank you, and good day to all of you.
Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

Ref: SEC/MFL/SE/202 6/6619
May 20, 202 6

National Stock Exchange of India Ltd.
Exchange Plaza
Plot No. C/1, G Block , Bandra - Kurla
Complex , Bandra (E), Mumbai - 400 051
Symbol: MUTHOOTFIN Department of Corporate Services
BSE Limited
P.J. Tower, Dalal Street
Mumbai - 400 001
Scrip Code: 533398

NSE IFSC Limited (NSE IX)
Unit 1201, Brigade, International
Financial Center, 12th Floor, Building
No. 14 -A, GIFT SEZ Gandhinagar,
Gujarat 382 355

Dear Sir/Madam,

Sub: Transcript of the Analyst call on Audited Financial Results (Consolidated and Standalone) for the quarter and year ended March 31, 202 6.

In continuation of our letter dated May 11, 2026 , and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the analyst call made on May 14, 2026 , on the Audited Financial Results (Consolidated and Standalone) of the Company for the quarter and year ended March 31 2026 , is avail able on the Company's website At https://www.muthootfinance.com/analyst -call

Transcript of Analyst Call was uploaded on the website at 3:30 PM on 20th of May 2026 .

Thank You,
For Muthoot Finance Limited

Rajesh A
Company Secretary
ICSI Membership No. FCS 7106

"Muthoot Finance Q4 FY '26 Earnings Conference Call
hosted by DAM Capital Advisors "

May 14, 2026

MANAGEMENT : MR. GEORGE ALEXANDER MUTHOOT - MANAGING DIRECTOR , MUTHOOT FINANCE
MR. OOMMEN MAMMEN – CHIEF FINANCIAL

OFFICER , MUTHOOT FINANCE
MODERATOR : MR. SANKET CHHEDA - DAM CAPITAL ADVISORS

Moderator : Ladies and gentlemen, good day and welcome to the Muthoot Finance Q4 FY '26 Earnings Conference Call hosted by DAM Capital Advisors.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.I now hand the conference over to Sanket Chheda from DAM Capital Advisors. Thank you and over to you, sir.

Sanket Chheda: Hi and very good evening to all of you. We have with us the entire Management Team of Muthoot Finance today to discuss their Q4 Results .

I will hand the call over to Mr. George Alexander Muthoot for opening remarks. We will follow that up with question -and-answer. Over to you, sir.

George A. Muthoot: Thank you, Sanket and also welcome to the Conference Call of Muthoot Finance and subsidiaries for Quarter 4 and the full year 2025 -'26. We just concluded our board meeting and that is the reason the accounts, the Results were uploaded maybe an hour back or an hour and a half back only. Sorry for that.

But otherwise, commenting on the business, I will start with the gold loan business :

We have the highest ever consolidated gold loan A UM of Muthoot Finance and its subsidiaries at INR 1,65,000 crores, which is a historic growth and has a growth of INR 57,000 crores or 54% last year. The full year, our growth was INR 57,000 crores and the A UM consolidated stands at INR 1,65,000 crores.

Looking at the standalone business without the subsidiaries :

The standalone loans stands at INR 1,64,000 crores and the highest ever standalone profit after tax of INR 10,134 crores. It is up by 95% year -on-year.

Coming to the consolidated A UM:

The consolidated A UM of Muthoot Finance and all its subsidiaries stands at INR 1,81,916 crores as of March, which shows a growth of INR 59,000 crores or 49% last year. And the consolidated profit after tax stands at INR 10,607 crores, again up by 98% year -on-year.

Now, a few other highlights I would like to add here :

Muth oot Finance declared the highest dividend of 300% or INR 30 per share and this is the 14th year of consistent dividend declaration since our IPO in 2011.

During the year, we opened 177 new branches by the group and we also have received multiple industry recognitions as Muthoot Finance is certified as India's most trusted financial services brand for 10th year in a row by TR A Brand Trust Report 2026. Also, Muthoot Finance has been certified as a great place to work by Great Place to Work Institute for the 5th year in a row.

Coming to the subsidiaries :

There has been stable performance across the subsidiaries. In Belstar Microfinance, just as we had guided last year, we have started venturing into the gold loan business and we opened 81 gold loan branches last year to diversify the loan portfolio. The total branches, including the microfinance stands at 1,300. The collection efficiency in the microfinance increased by 0.69% and now stands at 99.85%, which was 99.16% last year.

During the year, we disbursed INR 7,500 crores as against INR 6,000 crores in the previous year.

At Muthoot Home Finance, the loan AU M stands at INR 3,485 crores versus INR 2,900 crores in the last year, a growth of 17%. Disbursed loan of INR 999 crores last year. Interest income increased by 36%. Profit after tax stands at INR 45 crores. GNPA stands at 2.63 and NNPA at 1.94.

Now, coming to Muthoot Money :

Muthoot Money, which is doing vehicle finance, has been running down its vehicle finance business and has gone into the gold loan business. And gold loan, the AUM stands at INR 9,794 crores versus INR 3,900 crores last year, a growth of 151%. There has been a share capital infusion of INR

1,000 crores. Being a 100% subsidiary, it was infused by the parent, Muthoot Finance. And today, the capital base stands at INR 2,357 crores.

Total income increased to INR 1,294 crores. Active customer base has shown a consistent growth from 2.74 lakhs last year to 4.6 lakhs this year. The credit rating has been upgraded to AA plus stable from AA stable by CRISIL for long -term borrowings. The profit after tax stood

at INR 338 crores this year versus INR 12 crores last year. So, these are the main highlights of this year.
We are happy to present or we are glad to present a good financials for last year and definitely thanking the stakeholders, including our customers, our lenders, regulators, and of course, our valued shareholders and also the bankers who have been funding us and certainly all the analysts also for your guidance.
So, I think I will stop here and maybe wait for the clarifications and Q&A from the investors.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from Shubham Gupta from Prosper a Wealth. Please go ahead.

Shubham Gupta: I have two questions. First is basically what is the like expected guidance of topline revenue and the margins for the next year? And the second is like how will the recent , like our PM recently said not to buy gold. So, how will it impact the Muthoot F inance overall revenue going ahead in the next year?
George A. Muthoot: So, I think generally we do not give a guidance on the margins and the profit. It is when the AUM grows, there will be definitely profit growth also. So, generally we have not been giving the guidance of that in the previous years. Now, your second question was about the gold, import gold. So, I think the government of India has said that you should reduce the import of gold and they have actually increased the tax also from 6% to 15%. So, because we do not finance any gold purchase, we d o not finance any gold bullion, etc., it actually does not affect Muthoot . As we have always been saying, we finance only the household used ornaments of the public, which is what , we do not take coins and bullions and bars, etc. So, we finance only the household ornaments, which is still intact and there is reportedly about 25,000 to 30,000 tons of gold with us. So, I think there is good scope, good prospects for this business goin g forward also in spite of new gold or new import of gold being restricted.
Shubham Gupta: Got it, sir. Thanks for answering the question.
Moderator: Thank you. The next question is from R ushabh Dos hi from Nirmiti Investment Advisory LLP. Please go ahead .
Rushabh Doshi: Congrats on a great set of numbers. So, I have noticed that you have changed the presentation this time. So, in the last presentation, there was a slide which used to give the average monthly disbursement and the average monthly collection for the quarter. So, if you could just please help me with those numbers. And my second question is that I am noticing th at the yields have gone up again this quarter. So, are there any NPA recoveries or ARC income, which we have booked in this quarter?
Oommen K. Mammen Okay. So, disbursement, it will be something similar. We have not looked at exact numbers. The second question, was there any additional income? So, there was an auction income of about 50 crores. ARC, I think it is around INR 35 crores. So, totally INR 85 crores. And there was some increase in the pricing also in the last quarter.
Rushabh Doshi: Okay. Could you share the disbursement number for the quarter?
Oommen K. Mammen I think it will be almost similar to previous quarters, the trends.
Rushabh Doshi: Around INR 18,000 crores or?
Oommen K. Mammen I do not have the numbers exactly. So, I will not be able to share right now.
Rushabh Doshi: Okay. Thanks.

Moderator: Thank you. The next question is from Abhijit Tibrewal from Motila l Oswal. Please go ahead .
Abhijit Tibrewal: Good evening, sir. Thank you for taking my question. So, if you could just help us understand how is the competitive intensity in the gold finance sector trending? Now, the reason for asking this is, in the past, you have explained to us so many times that whenever gold prices go up, the tonnage will come down. Something we have seen maybe this quarter as well. Having said that, we have also had other gold financing NBFCs, obviously, much smaller than you. But we are still seeing tonnage g rowth come through for them. So, if you could first help us understand how are the competitive dynamics? And why I ask this again, sir, is that in the past, you always said competition will come and go. But not everyone is very serious about gold financing. They do it very opportunistically. But this time around, sir, maybe for the first time, we are seeing a bunch of all AAA rated NBFCs who are themselves deep pocketed, can raise liabilities at finer rat es than us. And at some point in time can also build a distribution muscle, which is very important in gold financing. So, if you could just put some of those pieces together for us, sir.
George A. Muthoot: Thank you. And you actually asked the question and also gave the answers also. The competition is there. New and newer people are coming. Fine. I think I would repeat what I said earlier also.

We are a company which is focused on gold loan. The new players who are coming, maybe deep pockets, maybe lesser cost of funds, they are not focused gold loan players. Focused gold loan players and also gold loan players have a difference, which people wil l realize after some time only. Because this is a very operatio nally challenging, operationally intensive business. And I am sure people will realize that going forward. So, competition will come after some time. Again, I am repeating, some of them will lose interest. Some of them who stay focused will definitely be able to do this, do better. So, they are all opportunistic people. So, we don't find any people, anybody taking away our business also. Because in spite of all this, we have been growing reasonably well, if not better than the previous years. So, we see con tinuous growth in this sector. And we see better things to happen.
Now, if you look at our Slide #9, you will see, when you compare, we have a company which has started gold loan business maybe 1.5 years back. Muthoot Money , row #2. See, Muthoot Money , the tonnage has increased considerably. So, because the tonnage which was 7 has gone up to 12. So, that will be the same for any new player. So, you consider this also as a new player. The new player, you compare with Muthoot Money . So, Muthoot Money , the tonnage has increased from 7 to 11. Whereas, in Muthoot Finance, we ar e an established player. We are having old legacy accounts with us. And there, the tonnage will be definitely, will be proportion to the new loans. So, the churn in the loans. The churn in the loan is actually, every four months, it is churned. So, when every time a four -month churn happens, the new loans are created at a higher LTV. That means, they need to give only lesser gold. So, that is why you see the tonnage coming down. Say, a person who has taken 1 lakh, would have given me 10 grams last year. When he comes this time, instead of 10 grams, he needs to go only 6 grams for the same loan. So, that is why the tonnage is coming down. That I have be en explaining always. But when you said about the new companies, in the new company, you just compare Muthoot Money w here the tonnage has also gone up. The AUM, which was about 3,700 has gone to 9,700. So, tonnage

has gone up. The AUM has also gone up. And the number of customers, the number of customers in

Muthoot Money was 2,74,000 in the last year. Today, it is 4,64,000. So, both are growing because it is a new company, young company. For Muth oot Finance, the big company, the number of customers, not that easy to grow. There is something else also there. Because in Muthoot Finance, that old account, the smaller accounts, up to 10,000 and accounts from 10,000 to 30,000. Actually, we have lost about 15 lakh customer s there. But we have added the same in the higher tickets of 50,000, 1 lakh and 2 lakh s. So, overall, that is the churn which is happening. Smaller loans, people, somebody who took a 10,000 loan last year, today doesn't need 10,000. The money value also has gone up. So, he is coming for a 50,000 loan today or a 20,000 loan today. That is why the number of customers are coming down. So, these are the views, our views about the customers and about the tonnage. And also, I said about the new players and compet ition.
Abhijit Tibrewal: Okay, sir. Thank you. And then the last question I had was on employee attrition. I mean, given that there are so many other N BFCs who are also looking to start gold financing, obviously, they will want to hire people from the best gold financing company in India. So, how is that?
George A. Muthoot: Thank you for branding Muthoot Finance as the best gold finance company. There is always some people going away, but nothing of any alarm because our numbers are also steady. If somebody goes, we take a new person. And again, with competition, some people think that just by taking a few managers or staff from Muthoot , they can start a gold loan business and maybe start branches. Okay, I am not reserving my comments now. Let us see what will happen, what they will be looking after two year s and three years. Now, we have not lost any attrition. We have not lost any staff s. We still have about 30,000 staff. We still have that.
Abhijit Tibrewal: Got it, sir. And earlier, Oommen had mentioned that the higher interest income that we saw was also because of some higher pricing or pricing changes that we have done.
George A. Muthoot: Last quarter, we increased our rates by about 0.5 % to 1% over certain types of loans. So, that is why we see the yield has gone up.
Abhijit Tibrewal: Got it, sir. This is useful. Thank you so much for answering all my questions. And sir, I wish you and your team the very best.
George A. Muthoot: Thank you.
Moderator: Thank you. The next question is from Piran Engineer from CLSA. Please go ahead.
Piran Engineer: Hi, team. Congrats on the quarter. Just sort of going back to the earlier questions, this yield movement from 20.34 t o 20.76 , does this include one of f interest recovery numbers or is this just core?

Oommen K. Mammen No, there could be a regular turn which happens. Previous occasions, what happened is your NPA has gone down. This time, the NPAs has gone up. But the one -off cases will be, one is the auction income, INR 50 crores. And other thing is t he ARC. ARC, that is INR 35 crores. And the yield increase also has happened during the quarter.
Piran Engineer: Okay, so sir, Oommen sir, last quarter, we also had a INR 500 crore interest right back from GNPA recoveries. That would be part of this 20.34% yield number of last quarter, is it?
George A. Muthoot: Last quarter, yes.
Oommen K. Mammen But this quarter? This quarter, no, that is not part of it. That happened last quarter , Q3.
Piran Engineer: Correct. So, if I adjust for that, our yield improvement is very sharp.
George A. Muthoot: Yes, 0.5%.
Piran Engineer: More than 100 bps .
Oommen K. Mammen We do not want to get into the specifics of the yield increase. So, last two quarters, there have been a lot of increase in the gold price, especially in last fourth quarter. So, we have charged some extra for those disbursements. To that extent, we got some extra bene

fits.
Piran Engineer: Understood. And sir, is there, now that we are anyway earning a pretty solid yield of 20.8%, is there a thought that we can maybe cut yields a bit and increase our customer count , because our customer count has also gone down a bit ?
Oommen K. Mammen Piran, this is something which we have always discussed. We have the luxury to reduce the rate. So, that is why we always used to give a guidance of a median term ROI of around 3.5%. So, if the yield reduction adds a lot of customer, certainly we would like to do, which we are already doing. Last several years, we have been offering schemes at lower rate.
George A. Muthoot: We have different schemes. We have a yield for 22%, 23%, a yield for 18%, 15%, 14%, 12%, we have different. So, at some point of time, when we feel that we need to step up the lower yield portfolio, we will do that. So, as of date, we don't see any need for that now.
Piran Engineer: Understood. And sir, just one last question. It's just a technical thing. On slide 28, where you talk about the margin of safety on loans from the lender's perspective, the market price of the gold ornaments…In that chart, where you show the market price of gold ornaments, which is INR 2,634 billion for March '26, is it as of 31st March, or do you take a monthly average number?
Oommen K. Mammen No. So, we have put the price also on the table above, no? INR 13,441. As of 31st March. The date, sir. As of the date, not monthly average.

Piran Engineer: Yes, that's it from my end. Thanks and wish you all the best.
Moderator: Thank you. The next question is from Rajiv Mehta from Yes Securities. Please go ahead .
Rajiv Mehta: Hi, good evening. Congratulations on good numbers. Again, just looking at the customer metrics, I mean, while the acquisition this quarter is better, reactivation of customers is better, we have still kind of degrown at the customer base level by 2%, which means we are also seeing slightly accelerated acquisition. So, I mean, is there any observation around it that the customers already with us are also moving to competition in the quest for better rates, or the high -value customers are moving out, which is impacting not just the customer number, it is also impacting the tonnage growth as well. Is there any observation like that of the management?
George A. Muthoot: So, I think I Five minutes back, I explained, even somebody did not ask that specifically, but we explained that we have the customers up to 0 to 10,000 customers. We have lost about 5 lakh customers, and between 10,000 to 30,000, maybe another 8 lakh customers have gone out. But then if the customer total count is remaining same, it only means that the customers in the other segments, maybe 50,000, 1 lakh, 2 lakhs have grown. See, very small customers or ultra -small customers, they may t end to leave or maybe go away also. But that does not matter much to us because a customer of 10,000 or 30,000 leaving us, maybe he takes it off, either he comes again for a bigger loan, or he does not come again. But I do not know whether somebody is taking away the 30,000 customers or 10,000 customers. I do not think anybody would like to take such a small customer. So, the point I was saying was very ultra -small customers, ultra -small loan customers would have left, but the medium and the better customer s are still growing with Muthoot .
Oommen K. Mammen So, to give you an example, suppose if less than 50,000 customers, 10 lakh customers have left, you would have added another 10 lakh customers in the higher bucket. So, net-net, if you see, because the smaller ticket size customers would have closed their load, which are large in number, will not be able to match the exact same amount. So, this happens for a large portfolio company and new company you will not face. That is why in the previous question, we explained how M

uthoot Money has gr own. We just want to bring a comparison to the new players. If it is a matured company, large portfolio, the churn will happen in the portfolio, which will be there, shift in customer basis from low ticket size customers and higher ticket size customers. So, this plays an important role and in spite of this, we have grown a little bit in terms of outstanding number of cases. This is a natural phenomenon which will happen in any portfolio which has become matured.

Rajiv Mehta: And just coming back to the yield thing, because the movement is so sharp and last quarter you had a major interest recovery as well, which you don't have this quarter, you have raised the price. So, I mean, this NPL increase which has happened in this quarter, which is stage 2 has increased, stage 3 has also significantly increased, that would have given you some more interest income recognition maybe in this quarter. But why did we see an increase in stage 2 and stage 3

so much in this quarter? Is there any particularity around it in terms of customer profile, occupation or any geography?

Oommen K. Mammen So, the stage 3 increase has happened primarily because RBI has advised us to do a borrower wise classification. So, earlier we were doing this classification at the loan level. So, today, this time we have done at the borrower level. So, to that extent, there is an increase in the NPA. So, that is why there is a jump in the NPA. But if you look at percentage wise, it is much lower than what was there in the March '25. So, March '26, it is 2.34. I think last year March, it was 3.35. So, the NPA absolute amount has increased because of the borrower wise classification. And when you do a borrower wise classification, a lot of this stage 1 and stage 2 customers also will be classified as an NPA, where probably the interest servicing is done. So, the interest reversals will be much lower.

Rajiv Mehta: Corrrect.

Oommen K. Mammen If you look at the LTV including on this NPA bucket, including the interest accrued, it is only around 58 % on stage 3.

George A. Muthoot: On stage 3, where we saw as an NPA, the interest plus principal is only 57%. So, we are in the money. Technically, we have to, or maybe regulatory wise, we have to show it as an NPA. But it is 100% recoverable with interest. Just the customer has not come forward to maybe close the loan or renew the loan, etc. That is why it is seen as an NPA.

Rajiv Mehta: So, if I were to look at your yield on a sustainable basis, I just need to subtract INR 50 crore of auction and that INR 35 crore of ARC as being one offs. But otherwise, what you reported 20.2% yield should be largely sustainable unless you make some pricing changes, right?

Oommen K. Mammen Yes, pricing changes can happen because it is a short term loan. So, this pricing increase in between happened because there was a sudden price increase. We thought we will take some benefit out of the increase in the gold price.

Rajiv Mehta: Got it. Thank you so much and best of luck.

Moderator: Thank you, sir. The next question is from Shanskar from Eraya Capital . Please go ahead.

Shanskar : So, sir, you touched upon the difference between operational challenges that a newer player would face. If you can share just a brief color around in terms of examples. I understand that there was handling gold and everything. But apart from that, is there any historically from your experience, what are the major challenges?

George A. Muthoot: Actually, why we want to go into all these details, sir? All these nuts and bolts of it. That I told you, the new players will understand after one year or so. Let us wait for them. Why we should put words into their mouth. Let them understand it at that time.

Shanskar : Okay, understood. And if you can share some color around the g

rowth, as you said, that you gave guidance around AUM. So, if you can share some guidance on that.

George A. Muthoot: Always in the first quarter, we have always been giving a guidance of 15% only. So, as usual, last 10 years, we have been giving 15% guidance in the first quarter. So, in Quarter 2 or Quarter 3, we will see how it is panning out and probably revise it.

Shanskar : Okay, thank you.

Moderator: Thank you, sir. The next question is from Jyoti Khatri from Ambit Wealth. Please go ahead.

Jyoti Khatri : Thank you, sir. Thanks for taking my question. Just wanted to know one thing, this stage 1, stage 2, stage 3 increase that you said that it is because of borrower -wise classification. Is that the only reason? Apart from that, asset quality, you want to stable?

Oommen K. Mammen That's why we said, no, on stage three assets, including the interest dues, it is only 60%, maybe 58%.

George A. Muthoot: The receivable, including principal and interest, is only 58% of the present market value of the good. So, it is not because of any impairment in the loan, et c.. It is only because of the regulatory guidance that it should be shown as an NP A.

Jyoti Khatri: So, I am saying, excluding that factor , I mean, otherwise the asset quality performance is stable.
George A. Muthoot: 100%. W e have our audit team also. So, asset quality has always been stable. Wherever there is anything else, we just write off at that time.
Jyoti Khatri: And secondly, sir, how do you see AUM growth as a standalone entity and console AUM? Any guidance that you would like to put for next fiscal broad range? How do you anticipate how AUM to grow next fiscal?
George A. Muthoot: So, for the standalone Muthoot Finance, we have been always been giving a guidance of 15%. Last 10 years, the first quarter, we have always been giving a guidance of 15%. We will continue to do that. We will re -look at it in Q1 or Q2. After Q1 or after Q2, we will re -look at the same.
Jyoti Khatri: That is it, sir. Thank you.
Moderator: Thank you. The next question is from Nischint Cha wathe from Kotak . Please go ahead.
Nischint Chawathe : Hi, thanks for taking my question. A couple of questions actually. Any strategy or any guidance on branch expansion year and after?
George A. Muthoot: Okay, so probably last year, we opened 170 branches or so. This year, maybe 200 -300 branches. That's it.

Nischint Chawathe: Okay, maybe 200 -300 versus 170. And this will be at Muthoot Finance level, right? I mean, maybe if you could give some, some guidance on consolidated gold branches across all the companies.
George A. Muthoot: I think Bel star, we were thinking of opening another 200 branches or so, because it was only about 100 branches. So, Belstar, which is a microfinance company. And Muthoot Money, I don't think we are aggressively looking at, maybe just because the branches are quite young. So, we are waiting for it to mature a little more before opening many branches there.
Nischint Chawathe: And, Belstar , this 200 will be gold branches?
George A. Muthoot: Yes, gold branches. Sorry, gold branches .
Nischint Chawathe: Okay, got it. So, essentially, around roughly 200 in Muthoot Finance and roughly 200 in Belstar. I think that's the way one thinks about it.
George A. Muthoot: Something like that.
Nischint Chawathe: Got it. The other thing is, you know, increase in stage 2 loans would also be similar reasons in terms of the borrower classification or any other reason?
Oommen K. Mammen Yes, Nischint . Primarily it is because of borrower classification. And again, you know, it is not much of a concern, because it's a 12 -month bullet repayment loan, as in when the disbursement keeps increasing, naturally after 12 months, there will be a corresponding change in the stages.
Nischint Chawathe: But all the increases in gold loans, right? Stage 2

and stage 3, quarter -on-quarter increase that we see is in gold loans, right? I mean, not the non -gold.
George A. Muthoot: Yes.
Nischint Chawathe: And anything specific that's going in non -gold loans, I think, which is also up around INR 3,000 odd crores in a year. So, anything specific that you are doing over there? These are unsecured loans? Or what are these loans?
George A. Muthoot: These are unsecured personal loans, salaried personal loan and unsecured personal loans, which is doing actually quite well. We have about INR 4,000 crores of portfolios, mostly cross -sell. It is mainly a cross -sell to our existing or gold loan base. We have a gold loan base. We give personal loans to them. Cross -sell.
Nischint Chawathe: Got it. And just finally on, coming back to the yield part, you always kind of maintain that, you know, 18 %, 18.5% is probably a more normalized yield. And obviously, we have done almost 150 or 200 basis points higher this quarter. So, would you kind of incrementally say that the 20

plus is a new normal? Or would you, would you probably say that next year you would settle somewhere between 18.5 to 20?
George A. Muthoot: I think , our treasury finance says that the borrowing cost is lookin g of north . So, probably we expect borrowing cost also may go up in the coming. So, probably we may not be able to reduce anymore. We may be able to maintain at this rate.
Nischint Chawathe: On a more normalized level . yes. Sure. Great. Thank you very much.
Moderator: Thank you. The next question is from Vikram Subramanian from Marshall Wace . Please go ahead.
Vikram Subramanian: Congrats on a good set of numbers and on the strong yields. I just wanted to get a clarification on the yields based on all that you have been commenting till now. So, for the past three quarters, we have had a few one -offs in the yield, some INR 300 crores to INR 600 crores per quarter based on NPA recoveries and AR C sales. You used to say, so the sustainable level of yield was

something around 18.5 %, while the reported yields were 20 -20.3. Would you upgrade that 18.5% now for the next year or for a sustainable basis? Is that 18.5 now closer to 20.5?
Oommen K. Mammen It's not, this number is not that particular. It's not like a long -term loan where we are giving a loan for 10 years or 5 years or 20 years. So, this is a very short term. Tomorrow, if we want to increase it, we can increase it. We may also reduce it. What is the impact? Because we have a comfortable margin. This quarter, I think we have generated an ROI of around 7.5. So, it doesn't matter much in terms of the ultimate impact on the return asset. So, we don't want to give a view that the same rates will co ntinue. Again, to be very frank, I have just now asked on the competition, customer -based acquisition, etc. So, we as an institution might take calls in different points of time. So, we don't want to give a commitment that the same yields will be maintained.
Vikram Subramanian: Understood. But at least to clarify on that, the pricing increase that you took at some point in time in the past few months, which has resulted in this yield, as we speak, as of mid -May, that pricing has not reverted back to the previous lower pricing. Am I right in this understanding?
Oommen K. Mammen Think from our point of view. We don't want to give out our strategy in terms of approach. As everyone says, it is a highly competitive market. So, what we roll out, probably we can tell you after we execute it.
George A. Muthoot: We generally have to play by the ear also.
Vikram Subramanian: Understood.
George A. Muthoot: It's all very short -term loan. It always can be dynamic. We can reduce, we can increase, et c., as required so that we maintain good growth as well as maintain a good profit.

Oommen K. Mamm

en I think that decision, you should leave it to us. Every quarter, you look at the numbers. We can explain what has happened and take a view based on the performance in the last several quarters.
Vikram Subramanian: Understood. Got it, sir. Just another clarification. This is on the competitive landscape, which has again been discussed. And you were very clear in your answer. And it is very clear that you are the market leader and you have done this for multiple decades. So, that experience definitely helps over cycles. But in the immediate near term, are there any specific efforts to stop this? So, I see 3% reduction in loan count, 2% reduction in active customer. Are there any specific efforts to stop this? Or is the approach more long -term and that competitive intensi ty would just go correct over the long term?
Oommen K. Mammen I will clarify. See, what we were trying to explain is, being a large portfolio company, being in existence for several decades, we have custom based across various ticket size. Now what happens is, the smaller ticket size customers vanish over a period of time. At the same time, we are creating higher ticket size customers also. Probably because the smaller ticket size customers were initially larger in number. There the liquidation brings down the customer number has a larger impact. Wher eas the higher ticket size customer, the number may not be correspondingly the same. So, which we call it as a churn in the customer base. So, that number has not much of a relevance. Ultimately, it depends on how much a customer wants, etc. So, incrementally, this phenomenon will happen for all companies which will stabilize their business operations after some time. That's why we said, look at Muthoot Money's case. Slide number 19. Muthoot Money , the A UM is almost doubled. There you are seeing an increase in the tonnage . There you are seeing increase in the loan account numbers. There you are seeing increase in the customer base. But the same percentage increase you will not see happening in Muthoot Finance. The same group, the same management, two different phenomena. Which is what we are trying to educate the investor community, how this business functions.
Vikram Subramanian: Understood. That is clear. Thank you.
Moderator: Thank you . The next question is from S hreepal Doshi from Equirus . Please go ahead.
Shreepal Doshi: Hi, sir. Thank you for giving me the opportunity. My question was firstly, what is the interest accrual number during the quarter? Another question is that how many Muthoot Money branches overlap with Muthoot Finance in terms of, let's say, having it in 1 KM or 2 KM radius? And the other follow up there or addition there is that now since there is no gap in terms of Muthoot being allowed to, or let's say, needing to take approval from RBI in terms of branch expansion, then why are we thinkin g to do gold business in the subsidiary that we have? I mean, what is the thought process there? Because now we can scale up the Muthoot Finance franchise itself, right? So, that's the thought process.
George A. Muthoot: That's is an advice on a policy decision. I think we will have to discuss it internally only. You know what I am saying?

Shreepal Doshi: I just wanted to understand, like, what's the thought process there?

George A. Muthoot: I think that's a board decision and that company's individual decision, so let's leave it to them. Now your question about the …
Oommen K. Mammen Interest accrual , it's INR 963 crores.
Shreepal Doshi: And the branch overlap within 1 KM radius for both the entities, Muthoot Finance and Muthoot Money , broader, if you can give some color there.
George A. Muthoot: I don't know where you got this.
Oommen K. Mammen We have branches where we have Muthoot Finance, we have Gold Loan NBFC number two, Gold loan number three in the

same building.
George A. Muthoot: Same building, you will have all the competitors. Whenever Muthoot Finance opens a branch, all the competitors open branch side by side. If possible, next door, or if possible, 20 feet, 30 feet, 50 feet. There is nothing like a 1 KM , 2 KM , etc ., where Muthoot Money saw an opportunity, they opened the branch , irrespective of whether Muthoot Finance is there or competitor number one, competitor number two, competitor number 10 is there. There are so many competitors today.
Shreepal Doshi: Got it. And then just one last question , was on this, the newer framework by RBI in terms of for the gold financing players. So, from first day, we are supposed to maintain or monitor the LTVs more closely. So, what are the challenges are we facing at ground level, or what are the deviations that we have made in terms of our processes, policies, or operations standpoint at branch level?
George A. Muthoot: So, I think the policy has been quite good. The LTV maintaining has been from , the last 10 years or 15 years back, only the LTV came. From that day till today, we are always maintaining the LTV at the RBI regulated rates only. Now, they have given an option of giving 85%, 80% etc. So, that gives us a little more room for giving different types of LTVs and loan products to the customer. That is the only advantage. Now, the processes for that, the software for that is not easy. We are also in the process of doing it. We have rolled out some products also. So, going forward, we can tailor make more products for the customers. So, just like Muthoot , everybody else is also coming out with newer loan schemes, etc., in line with the new regulations. But your first question, we always, whether it is now or before this new regulation, or previously, we have always been maintaining the LTV at the regulated rates only.
Shreepal Doshi: Got it. So, the last question was, if we have taken an interest rate increase during the quarter, and since we are also following the final framework by RBI, our disbursement yield, our disbursement LTVs would have declined on a sequential basis, right? Because if we have taken an interest rate increase, then the actual disbursement LTVs typically would have come down

now. So, is that a fair understanding? And incrementally, if we follow this, our LTV will continue to be sticky with rates increasing happening at your level?
Oommen K. Mammen No, the new regulations allows you to follow two structures. If you are following a bullet repayment, you have to reduce the interest accrued. There are also various options that are available. If you are following an EM I structure, you can give up to 85%. I am talking about 2,50,000. So, we have made some changes, but at the end of the day, it is in our interest to protect our interest, right? So, we will take care of that. We will discuss after first quarter on that. You know, the strategies, based on tha t…
George A. Muthoot: Let e verybody comes to terms with the new regulation.
Shreepal Doshi: Got it. I will take it offline with you, sir, if you don't mind.
George A. Muthoot: Yes.
Shreepal Doshi: Thank you, sir.
Moderator: Thank you. The next question is from Sheelkumar Shah from Sameeksha Capital. Please go ahead.
Sheelkumar Shah: So, in continuation to LTV, on an average, what's our goal on LTV today? And what LTV range we consider comfortable from a risk management perspective?
George A. Muthoot: So, today, our goal loan LTV is 57%. The average goal on in our book is 57%.
Sheelkumar Shah: Okay. And what range do we consider comfortable?
Oommen K. Mammen Range comfortable, higher end or lower end?
Sheelkumar Shah: On a higher end, I mean.
Oommen K. Mammen No, RBI regulations allow up to 85%, you know.
Sheelkumar Shah: But from a risk management, you know, I mean, at the internal level .
Oommen

K. Mammen We don't see much risk in giving it 85% currently.
Sheelkumar Shah: Okay. And historically, how much high we have given on an average?
Oommen K. Mammen I think in the last 10 years, it is up to 75 %. Right now, RBI allows up to 85%.
Sheelkumar Shah: Okay. Got it.

Moderator: Thank you. The next question is from Rakesh Kumar from Volentios . Please go ahead .
Rakesh Kumar: Hi, sir. So, just a small question. So, if we see loan AUM per loan account, with reference to the slide number 19, the number has gone up for Muthoot Finance as well as for Muthoot Money by around 48 %-49% year on year. So, is that rise is due to the customer borrower appetite just because of, you know, the gold loan price has gone up? And so, what is the basic reason for such a sharp rise in the loan AUM per loan account?
George A. Muthoot: If you look at the same similar account, similar statistics for any NB FC, it will be the same because the loans are given for a very short period. In every three months to four months, the loan gets churned and new loans are priced at the new LTV. So, somebody who had taken INR 1 lakh last year, when he comes after one year for a INR 1 lakh, instead of 10 grams, he needs to give only 5 grams because the price has gone up. So, definitely the gra mmage will be lesser and the LTV also will be higher. Not LTV, the loan amount will be higher. So, small customers, people take, tend to take more loans also.
Rakesh Kumar: No, that's fine. They can, since the gold price is rising, so obviously he can avail higher amount of loan for the same gold quantity. But why should he take that much of loan? Is there a need, basically?
Oommen K. Mammen So, you know, you answered it. See, what happens is, Muth oot Money is a new company. What happens is, you are adding more and more new customers. So, the number of customers has increased from 2,74,000 to 4,68,000. Now, a lot of these new customers were looking at higher ticket size customers. So, Muthoot Finance has, if you look at more than 3 lakh ticket size customers, we have 32% of the total book. So, as and when the company increases its footprint as well as attracts more and more customers, people from higher ticket size also might come in, which elevates the average ticket size number. But ultimately, why should somebody pledge gold jewellery with a 25% margin? He has a requirement. So, finally, this business is driven by his working capital funding requirement. So, if he has a need, he will take a higher ticket size loan. Somebody who has a lower need, he will take a lower loan.
George A. Muthoot: Why is he taking a loan? It is up to him. Because anyway, he has to repay the loan. If he takes 1 lakh, he has to repay 1 lakh plus interest. If he takes only 50,000, he takes. So, there is a need for him. That is why he is borrowing. Otherwise, why should he borrow?
Oommen K. Mammen Basically, in this business, you are dealing with a large number of customers with varied needs from different funding requirements. So, that is why you see all these numbers. So, it is very difficult for us also to explain it at a granular level. But his requirement is large, which elevates the ticket size.
Rakesh Kumar: Got it. But setting aside Muthoot M oney, if you look at Muthoot Finance , the similar thing is happening. There also, the growth is around 48% year on year.

George A. Muthoot: Average ticket size has been growing up over the last 10 years. Maybe 5 years back, average ticket size was 15,000. Then it became 25,000. Then it became 30,000. Then it became , today, 1,30,000.
Rakesh Kumar: It has increased to 1.5 lakhs from 1 lakh. So, basically, you would also be trying to assess that what they are doing with the loan amount. You would have also kind of looked into it.
Oommen K. Mammen We ask them. S

o, they must say that , some people will say that they have for business requirement, etc. So, the new guidelines kicking in, there is some assessment about his income, etc. But beyond that, customers may not cooperate. Customers may say that he is using it for business purposes, etc. At the end of the day, because he has to pledge jewellery, only if he has a need, he will pledge. Otherwise, why should he part with a margin of 24% and pledge his jewellery?
George A. Muthoot: Margin of 50%.
Oommen K. Mammen Yes. If you include the making charges, the borrower is parting with almost like 40 %-50% of the value of the jewellery.
Rakesh Kumar: Considering the inflation rise or considering the credit growth in the entire lending ecosystem, if this kind of a growth is there per customer or per loan account, that looks very surprising.
Oommen K. Mammen So, see, people are not using this money for making an investment. These are all called working capital requirements. Money lending activity is short term. Somebody has a short -term requirement, he is taking that funding. Either you can borrow from your friend or your relatives, or you can pledge with the jewellery. After two weeks, he will repay it. Which is why we are talking about the churn in the portfolio.
Rakesh Kumar: Got it. So, he might be rotating also.

Oommen K. Mammen Today, somebody is coming and taking a loan. Two weeks later, he will close it. Then he might come after maybe one month.
Rakesh Kumar: True. Sure, sir. Got it. Thank you.
Moderator: Thank you. Ladies and gentlemen, we will take this as the last question. I now hand the conference over to management for closing comments.
George A. Muthoot: We are from the management side. Very happy that we have had a lot of queries and questions. And probably, we hope that we have answered your question. We are always grateful to the investor community as well as to the analysts who actually get clarification from us. It keeps us also, well, maybe on our toes. And from the management side, as a company, we would like to grow the book, grow the company, better results , which will help customers to get more money

for their needs, for the investors to get more returns, and maybe for the company and the staff also to do well. So, with all your cooperation, with all your support, we assure you that going forward also, Muthoot Finance will put in all efforts at the top management up to the lowest level to see that the interests of all our stakeholders are well taken care of. So, with that, thanking all of you and also the people who participated from here for a what should I say, a very enriching conversation. Thank you and goodbye.
Moderator: Thank you. On behalf of DAM Capital Advisors, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.